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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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ITALY

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Italy, officially the Italian Republic, with a land area of 302,073 km², is the seventh largest country in the European Union. Located in Southern Europe, it has open land borders with France, Slovenia, Switzerland, Austria, San Marino and the Vatican City.

Administratively, Italy is divided into 20 regions and 107 provinces, excluding the enclaves of the independent micro-states of the Vatican City and San Marino. The road network, totalling around 256,567 kilometres, is generally good and the railway system, totalling about 16,779 kilometres, is well developed. The climate is typically Mediterranean throughout most of the country, characterised by hot, dry summers and humid, relatively warm winters with considerable differences in temperatures between the north and the south, especially in the winters. The peninsula also has regions with an alpine climate, due to the presence of the mountain ranges of the Alps and the Apennines.

According to the Classification of Territorial Units for Statistics (NUTS), developed by the European Union, Italy presents five macro-regions:

- North-West (Area 1): Piemonte, Valle d'Aosta, Liguria and Lombardy
- North-East (Area 2): Bolzano, Emilia-Romagna, Friuli-Venezia Giulia, Trento and Veneto
- Centre (Area 3): Tuscany, Umbria, Marche and Lazio
- South (Area 4): Abruzzo, Molise, Campania, Puglia, Basilicata and Calabria
- Islands (Area 5): Sicily and Sardinia

Italy is a moderately densely populated country, with the strongest concentration being in the north. The most populous metropolitan area is Rome (4.3 million people), followed by the metropolitan area of Milan (3.2 million), the metropolitan area of Naples (3.0 million), and the metropolitan area of Turin (2.2 million). Birth rate in 2019 was the lowest since 1918 with just 435,000 live births: 80% born from Italian mothers and 20% born from foreign mothers. The resident population in 2019 was 60.3 million with 91% nationals and 9% non-nationals, according to the most recent ISTAT (National Institute of Statistics) data.

Macroeconomic Overview

In 2019 the Italian economy experienced a marked slowdown. On the demand side, despite the slowdown in exports, the fall in volume of imports led to a positive contribution from net foreign demand. On the supply side of goods and services, the total added value in volume grew by 0.2% in 2019 while the previous year it

had recorded an increase of 0.9%. The growth in added value was sustained in the construction sector (+ 2.6%). Work units increased by 0.3%, thanks to an increase in employees (+0.4%), while the independent work units remained substantially unchanged. The growth of the work units has affected all macro-sectors, with the exception of industry in the strict sense (0.4%). Employment in construction increased by 1.9%. Employee income and gross wages increased by 2.0% and 1.7% respectively. Gross wages per capita recorded a 1.3% increase in the total economy. The net general government debt has clearly improved compared to 2018 and the tax burden was increased.

The demographic picture confirmed the dynamics of recent years, represented in particular by the decline in births and the aging of the population. ISTAT's projections indicate a marked decrease in the population and a significant transformation of its age structure between now and 2050. These changes would progressively reduce, even in the medium term, the working-age population, with possible negative effects on the potential for economic growth and significant impacts on the organisation of production processes and on the composition and quality of available human capital. The increase in demographic aging would also have significant effects on the level and structure of spending on welfare.

In 2019 Italian manufacturing was still ranking seventh in the world for value added, fourth for production diversification and second for export competitiveness, and had a higher investment rate than its main European competitors, including Germany.

The economic prospects in the first quarter of 2020 are seriously compromised due to the health emergency caused by the COVID-19 pandemic. According to the IMF the estimated drop in GDP for 2020 compared to 2019 is close to 10%, with a projected bounce-back in 2021 of almost +5%.

At this point It is not clear how quickly the economy can be restored. To help businesses to cover their immediate working capital and investment needs, thus ensuring the continuation of their activities, the Italian government implemented the "Guarantee Fund for SMEs". In the case of self-employed workers and companies with up to 499 employees affected by the coronavirus outbreak the scheme provides guarantees on loans covering 100% of the risk up to a nominal value of €800,000 per company. In all other cases, guarantees cover up to 90% of risk on loans to cover its near-term liquidity needs. These guarantees will be provided until December 2020 and are limited to a maximum of six years.

Residential Construction

New Housing

The transition from 2018 to 2019 witnessed a modest but sustained growth. Dwelling completions increased to 93,600 in 2019 from 91,600 in 2018.

In 2019 building activity increased following a growth in permits issued at the end of 2018. A difference in completions in 2019 compared to the previous three years is

that there was a greater percentage of multi-family dwellings, such as apartment blocks.

Factors which support the positive outlook for new build growth include: the increased number of permits over the previous 12 months; the high production levels, in the first nine months of 2019, of cement and bricks, which are the main materials used during the starting phase of the building process; the “seismic bonus” which is also applied to demolitions and reconstructions, also extended to buildings in low risk areas with the Decree of April 2019.

Housing RMI

The housing RMI market has long been the most significant segment within the Italian bathroom market, in light of the mature nature of the market as well as the level of home ownership in Italy, which is among the highest in Western Europe at 75% in 2019.

Compared to the other segments, EUROCONSTRUCT confirms that through 2018 and 2019 RMI is the only segment to have exceeded its 2006 level by around 10%. This is due to a combination of market dynamics deriving from structural factors, and government measures and policies designed to stimulate demand. Amongst such measures and policies, various incentives address general renovation and specific energy efficiency interventions to support the market and since 2019 these are responsible for more than 55% of residential RMI.

More specifically the “seismic bonus” provides up to 85% of expenditure within a ceiling of EUR 96,000 for seismic improvement of buildings; the “plan of urban regeneration” which is among the measures announced within the 2020 Stability Law, allocates 853 million up to 2033 for upgrading and increasing the social housing stock and improving social cohesion and the quality of life of citizens; and the renovation tax relief, called Bonus Mobili, which has been confirmed up to 2020 at a rate of 50% with a maximum spending of EUR 96,000.

In 2020, due to the measures taken to combat COVID-19 and the industry shutdown, consumers are likely to delay investment in RMI. However, the policy measures taken by the government prior to the COVID-19 crisis are still in place and should continue to have a positive effect on RMI market later in 2020 and 2021, preventing further decline.

Non-Residential Construction

The non-residential segment continued the growth of the previous four years, posting around 2.1% aggregate growth in value terms for new build and RMI in 2019, but with signs of a reduction in the rate of growth over the previous years, mostly related to an expected reduction in investment growth.

Despite low than desired underlying economic growth, the positive performance of non-residential sector was due to a set of fundamental reasons: since the sector

ended a cyclical period of decreasing investment (2003-14) investment growth has been maintained – and with completion times of 18-30 months the investment decisions of 2016/17 are impacting the numbers of completed units in 2019; the growth of permits issued continued to climb from 12% in 2015 through to 20% in 2018 and 23% in 2018 – resulting in increased completions in 2019; the real estate market continues to improve in general, compared to the rest of the economy; private foreign investment has increased as the profitability of the sector improved in 2019.

Further, certain policy measures such as the super-amortisation plan (which has the effect of incentivising investment by offering up to 30% fiscal deductions), a state budget for 2019/20 which reaffirms increased investment in public sector buildings and the expansion of the “*sisma*” scheme to warehouses and other new categories of commercial building has stimulated investment.

As mentioned previously, the lead-time from investment decision to completion is generally around 18-30 months. The sudden cessation of activity across diverse sectors of the economy due to the measures taken to suppress COVID-19 will most likely have the immediate impact of delaying the completion of projects for which investment decisions were already taken. The uncertainty exists at time of writing this report on the timing and rate of resumption activities: the most optimistic (and simplistic) view the project will be merely delayed by the duration of the measures, in reality supply lines disruption and possibly new working practices are likely to slow the delivery of projects in ways which are currently unpredictable.

Concerning new investment, the underlying projections for 2020 and 2021 prior to the Covid-19 crisis were stable and positive with respect to growth rates, showing reduction from 2.1% to 1.7% in 2020/21, but mainly due to RMI rather than new builds. Clearly, these projections are subject to much greater uncertainty. Since the underlying factors impacting investment and completions may not have changed, one possible result is that the investment predicted will occur over a longer time period than previously, resulting in lower rates. Please see the table at the end of this section for the latest available projections for the construction sector in 2020.

II.2 Key Figures

IT - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

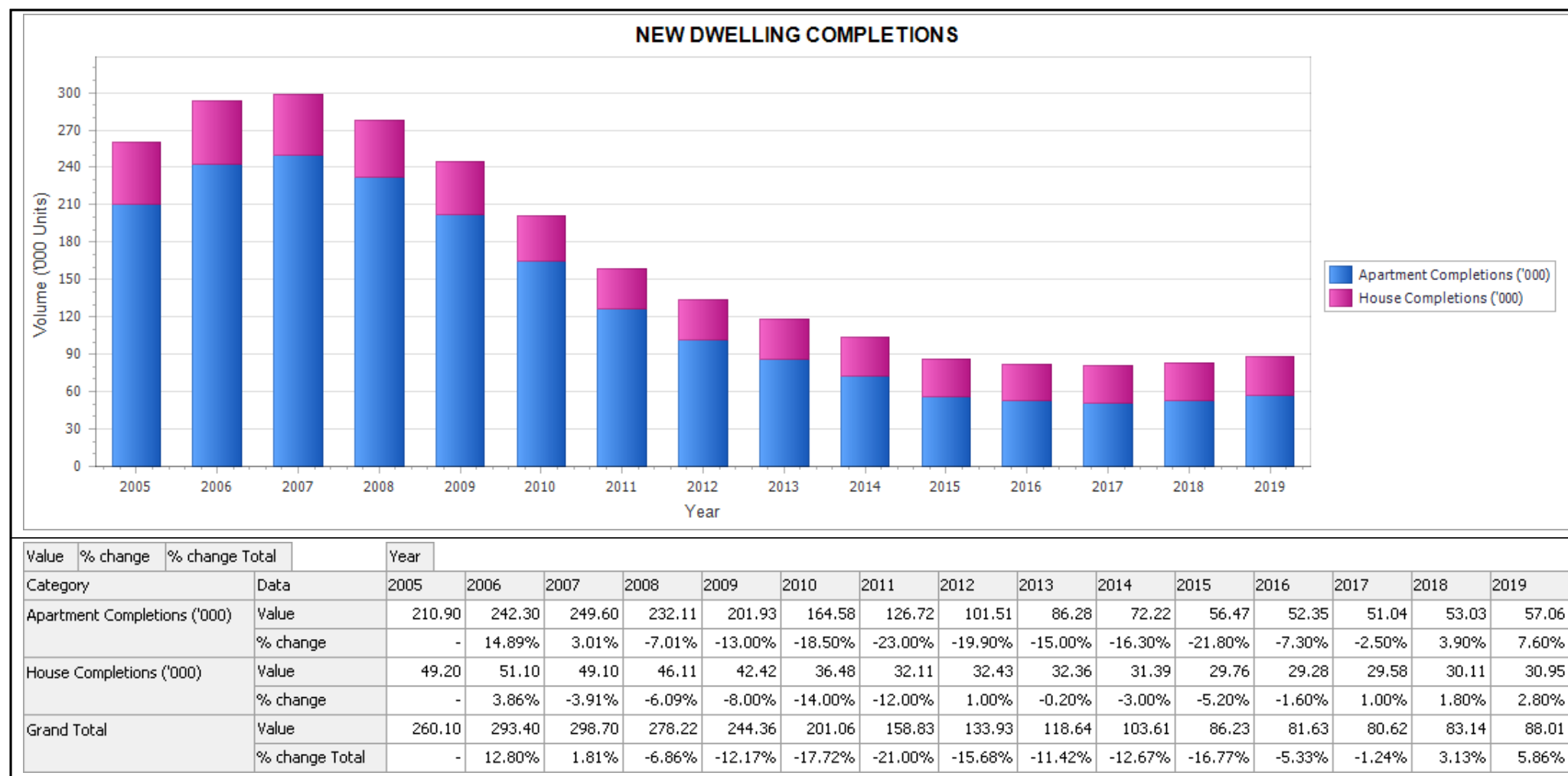
IT - MACROECONOMIC KEY INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	2.21	2.23	2.03	3.49	0.77	1.62	2.94	3.32	1.25	0.23	0.11	- 0.05	1.33	1.24	0.63	0.24	0.66
GDP (% change)	0.82	1.79	1.49	- 0.96	- 5.28	1.71	0.71	- 2.98	- 1.84	- 0.01	0.78	1.29	1.67	0.80	0.30	- 9.13	4.83
Government Balance (% of GDP)	- 4.08	- 3.62	- 1.34	- 2.56	- 5.12	- 4.24	- 3.59	- 2.95	- 2.85	- 2.95	- 2.55	- 2.40	- 2.45	- 2.20	- 1.64	- 8.34	- 3.47
Household Saving Rate (% of Disposable Income)	8.90	8.30	7.82	7.38	6.76	3.93	3.41	1.47	3.29	3.69	2.89	3.01	2.54	2.45	4.31	5.15	5.25
Private Consumption (% change)	1.39	1.34	1.19	- 1.13	- 1.50	1.05	0.06	- 3.72	- 2.44	0.16	1.86	1.22	1.45	0.80	0.41	0.39	0.43
Unemployment Rate (%)	7.68	6.79	6.13	6.74	7.73	8.35	8.39	10.68	12.13	12.61	11.92	11.67	11.27	10.63	9.95	12.70	10.50

Source : IMF and OECD. N.B. No data available beyond 2021 at the time of publication.

II.4 New Dwelling Construction

IT - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
IT - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	75.00
	Apartments ('000)	23 278.50
	Houses : Rural (%)	25.00
	Houses : Rural ('000)	7 759.50
Dwelling Stock by Tenure	Primary Owned (%)	62.83
	Primary Owned ('000)	19 502.00
	Primary Rented : Private (%)	15.60
	Primary Rented : Private ('000)	4 842.00
	Secondary (%)	17.95
	Secondary ('000)	5 572.00
	Vacant (%)	3.61
	Vacant ('000)	1 122.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts

IT – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Country-wide since 10 th March [Expected easing from 3 rd May – as per DPCM 10 th April].
Number of officially confirmed cases [fatalities] to date / population	200,000 confirmed cases [27,400 fatalities] as of 28 th April. Total population (end 2019): 60.4 million.
General measures in place to support the economy	“Decreto Cura Italia” (17 th March): €25 billion approved. Main focus: - Support for national health service - Support for employment and workers - Provision of credit to families and SMEs - Suspension of tax payments
Statistics on affected individuals (unemployed or temporarily off work)	Outlook is for a dramatic spike in unemployment (Goldman Sachs estimates up to 17%, as of 14 th April). Particular concern for the informal sector, especially in the south of the country.
Measures in place to mitigate economic impact on INDIVIDUALS	Existing fund for the temporary suspension of employment (“Cassa Integrazione Guadagni”) extended to up to 9 weeks. €600 “bonus” for self-employed for March. 15 days off @ 50% of salary for employed parents needing to look after children, or alternatively €600 “babysitter voucher.” Time in quarantine considered as paid time off due to sickness. Two-month suspension of dismissal procedures.
Statistics on affected companies (% of total forced to suspend activities)	RETAIL: Only food shops, pharmacies, tobacconists and newsagents, banks and post offices remain open. Since 14 th April, also clothing for babies and bookshops. INDUSTRY: All industrial and commercial activities are suspended, except in areas deemed “essential or strategic” (approx. 75 sectors).
Specific measures affecting BUILDING CONSTRUCTION and RMI (including access to DIY stores)	All construction activity is suspended since 28 th March, with the exception of some civil engineering and hydraulic works (Ministerial Decree 25 th March 2020). Retail outlets selling many DIY products, including sanitary installations, remain open (DPCM 10 th April).
Measures in place to mitigate economic impact on COMPANIES	“Fondo Centrale di Garanzia” for SMEs, in support of credit (including self-employed). Support for remote working (“lavoro agile” or “lavoro a distanza”).
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU’s deficit limits , so Member states can boost spending. Up to €800 million available for European countries in 2020 to cover public health emergencies (from the extension of the EU Solidarity Fund). The Corona Response Investment Initiative : €37 billion from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.
Outlook for New Construction (source)	-22.6% (CRESME, 30 th March). Assumptions based on complete stop of activities for 3 months, and a cautious re-start over June – October 2020.
Outlook for RMI (source)	-23.5% (CRESME, 30 th March). Assumptions – see above.
Outlook for the non-Housing Sector (source)	-23% for new private construction, -27% new public construction, -30% private RMI, -27% public RMI, -12.6 infrastructure (CRESME, 30 th March). Assumptions – see above.

Sources:

- <https://www.imf.org/external/pubs/ft/weo/2020/01/weodata/index.aspx>
- <http://www.protezionecivile.gov.it/attivita-rischi/rischio-sanitario/emergenze/coronavirus/normativa-emergenza-coronavirus>
- <https://www.gazzettaufficiale.it/eli/id/2020/03/26/20A01877/sq>
- https://ec.europa.eu/info/live-work-travel-eu/health/coronavirus-response/overview-commissions-response_en
- https://www.edilportale.com/news/2020/03/lavori-pubblici/coronavirus-cresme-nel-2020-le-costruzioni-potrebbero-perdere-34-miliardi-di-euro_75677_11.html

ITALY

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The Italian heating and plumbing market is generally rather traditional, with a larger share of sales coming from wholesalers and specialist retailers compared to most other European countries, particularly those from Northern Europe. Very often, only the larger manufacturers will have a multi-channel distribution strategy because of the larger costs associated with spreading out sales over different distribution channels. Most market players will supply to either wholesalers or specialist retailers, otherwise known as 'showrooms' in Italy, so that they can focus their selling and get a better price by maximising volumes per distributor. The main distribution approaches are: the two-step approach (*canale corto*), whereby the manufacturer sells directly to installers, and the three-step approach (*canale lungo*), whereby the manufacturer sells through a wholesaler network.

There are several reasons for the slow penetration of the newer channels such as DIY, and among them are geographical and economic causes. The shape of Italy itself, narrow and long, does not lend itself to efficient distribution by selecting a few strategic distribution points, and instead distributors must spread themselves out considerably to be able to cover large areas. Therefore, it has taken the largest distribution firms a long time to create any significant presence in the country because of the investment required.

Another difficulty is the, sometimes marked, economic difference between the North and the South, which has only increased during the financial crisis of the late 2000's, and can cause complexities for larger distribution firms that would favour one fixed pricing policy than varying structures depending on geographic region.

Both the DIY and internet channels are growing, albeit more slowly than in many other European countries, primarily as a result of the D.L. N. 114/1998, which represents the first concrete act by the Italian legislator liberalising the commercial sector in Italy. Such types of interventions have further grown since 2006, with the reception of the European Directive 123/2006 in relation to the services within the EU internal market, and despite some resistance from regional administrators. The effects of such legislative frameworks, it is believed, will continue to reduce market concentration across Italian regions, reduce differences between the north and south of the peninsula, and lead to an increase of the dimensions of the middle-sized distribution companies, helping align the Italian distribution structure with that of the other major European economies. A further consequence of such a process is associated with consumer behaviour, increasingly affected by the availability of wider choice – of both the level of products and the range of pricing. It is assumed that these channels will grow increasingly faster over the forecast period, and that they are likely to erode some share from wholesalers, but mostly from specialist retailers that have suffered considerably in recent years from higher average prices and a reduced diversification of product choice.

Wholesale Level

The wholesale channel has long been the most popular form of distribution for manufacturers, with many merchants known as Idro-Termo-Sanitari (ITS) providing a mixed product selection together with other building materials, and specialists providing heating and bathroom products.

Due to Italy's geographical fragmentation, most wholesalers are local firms with an average of two outlets, a main stockholding depot and a showroom intended for the private consumer – which is typically located in more central areas. There are several large wholesaler groups, such as CAMBIELLI EDILFRIULI, DELTA, and IDROTEAM. However, as stated previously, the high fragmentation of the market means that even the largest distributors only have a small percentage of the total market share. Their product ranges tend to focus on bathroom and heating products, but often provide other building materials as well – as an integration of their offering.

A further implication of the fragmented nature of Italian distribution is that the major players in the Italian wholesale segment continue to be rather marginal in the European context – in terms of both business size and turnover. Recent attempts to expand the business activity in the electrical sector by large wholesaler groups have proven to be rather difficult, due to the technical skills required and the novel type of customer involved.

The wholesale sector is in a phase of transition, in which forms of aggregation and joint ventures are being experimented with, so as to increase competitiveness and widen the product offering. Among these forms of aggregation, noteworthy is the joint venture between PRESSIANI and the German giant GC GRUPPE in 2017, which is expected to improve logistics, improve after-sale support and expand the e-commerce platform. This might set a precedent for entry into the Italian wholesale ITS market by a foreign group. Although exclusive stocking agreements are common in order to take full advantage of credit agreements and rebates, the financial crisis or the late 2000s put a lot of pressure on distributors because credit and debt collection became more complex. Payment terms have been lowered to 100 days, with higher discounts available for prompt payers, and it is common for distributors to screen their clients to gauge their ability to pay. The attempt to implement more rigorous credit policies and increase pricing competitiveness for the manufacturers has led several major wholesale players to establish two main *gruppi di acquisto* (purchasing groups), namely CISETTE and IDROTEAM.

The growing interest by consumers in a wider product offer, assistance in the choice, and an increase in the level of personalisation in the sanitary and thermal segments have caused several wholesale entities to support the establishment of the digital start-up DESIVERO, which enables the end-user to control the entire design and realisation of different heating and bathroom solutions.

Retail Level

DIY Retailers

DIY retailing is recognised to have been slow to develop in Italy, to the extent that some observers have argued that the country is not culturally adapted to the 'DIY philosophy'. The first DIY superstores did not appear until the early 1980s, which is relatively late compared to other European countries where the channel had already shown strong expansion; however, the market is now seeing considerable year-on-year growth, particularly for certain products that are low cost and considered easy to install.

The overall DIY sector remained rather stable in terms of sales volumes in 2019.. The high degree of fragmentation of the distribution landscape, with over 11,000 small specialist shops known as *ferramenta*, has increased the opportunities for growth for the more structured distribution channels. Such a window of opportunity has allowed both domestic and international players to expand their presence in Italy: namely the French ADEO group with its chains LEROY MERLIN and BRICOMAN, the German OBI, and the Italian BRICO IO. After its acquisition of CASTORAMA in 2009, the ADEO group has set an objective to increase its presence in the peninsula – with a further 15 openings, totalling 60 stores, by 2021. The rapid growth of DIY in recent years comes as a direct result of consumer demand to have a greater choice of products within a wider price range; this is particularly evident as the financial crisis has encouraged many consumers to reduce their budgets by choosing more low-end products and possibly installing the products themselves, whereas previously they would have relied on an installer.

The importance of the DIY market in Italy is now considerable, not necessarily because of its current share of the market, but because almost all manufacturers agree that it is going to experience ongoing growth during the forecast period and beyond.

The channel that is likely to lose the biggest share to DIY is that of specialist retailers and their showrooms, as they represent the high price segment that is struggling to compete with lower price alternatives. After years of Italian consumers tightening their belts, the perception of what the average price should be for certain products has shifted downwards and is unlikely to return to pre-crisis levels, so specialist retailers will increasingly find themselves fighting over a niche consumer base who still hold quality above all other characteristics.

Specialist/Other Retailers

The majority of specialist retailers in Italy are small, independent outlets that sell directly to consumers and tend to be located in urban areas with strong customer footfall. There are some strong chains, such as IDRAS SPA and BOREA SPA, but their revenues and numbers of outlets are nowhere near the levels of wholesalers and DIY chains.

The DIY and internet channels have been responsible for most of the loss of share within the specialist retailer segment, although it is also true that wholesalers themselves will often have showrooms, and many consumers have switched to these because they tend to hold greater stock levels and choices of products.

Products within the specialist retailer channel are typically sourced directly from the manufacturers themselves, although a lower percentage is also purchased from the wholesalers, which are typically larger specialist retailers that can accommodate a greater amount of stock.

Specialist/Other Retailers

The majority of specialist retailers within the sanitary ware market are actually wholesaler chains that have showrooms attached to their depots and sell directly, either B2B or B2C. There are also some small, independent outlets such as ITS retailers that sell directly to consumers and tend to be located in urban areas with strong customer footfall, but their presence has heavily diminished over the last decade as installers prefer the price and payback flexibility of larger distributors.

This channel is likely to lose share in the future to newer channels such as DIY, which can offer a greater distribution and delivery network, and attract a wider variety of customers.

Internet Retailers

Although still at a relatively early stage with regards to the heating market, the internet channel in Italy has undoubtedly influenced the way that Italians compare and buy HVAC products; manufacturers are divided between those who are embracing the change and those who see it as an erosion of quality and value within the market.

The degree of penetration of e-commerce has reached only 2% of the total distribution turnover. The lack of sales within the internet channel in Italy, compared to other countries, can be easily explained by an overall lack of internet usage due to an ageing population. With 72% active internet users as a percentage of the population, Italy is among the bottom 15 European countries for internet usage. The result is an underdeveloped online economy, with many poorly constructed websites that do not facilitate online purchasing and comparison.

However, innovation has reached this segment, with the arrival of players exclusively operating on the e-commerce platform, such as the French start-ups MANOMANO and BRICO PRIVE. The model of these companies is that of a 'collaborative' virtual space where the assistance for and availability of products is determined by the input of the end-use customers and retailers. Similarly, the players that have based their business models around the centrality of the physical store, such as the ADEO GROUP, SELFITALIA and BRICO IO, are also expanding their offers and services online.

In the coming years, the quality and efficiency of the online economy is expected to improve in Italy, but it is unlikely that this will develop as rapidly as in its European counterparts. Having said this, sales within the internet channel are expected to grow because millennials, who are far more adept at online purchasing, are beginning to buy their first houses and invest in their heating and plumbing systems.

Another reason why manufacturers and installers are concerned about the internet channel is that some web-based shops are now providing both the heating system and the installation service, which could drastically affect the traditional two-/three-step distribution chain.

III.2 Summary of Leading Distributors

IT - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				Year End	Million EUR	No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
ADEO	LEROY MERLIN	DIY retailer	DIY Assortment	2018	1461.79	47	National	xxx											xxx			
IDROTRADE	IDROTRADE	Buying Group	Heating, Sanitary/Plumbing	2018	71.30	50	National	xxx														
GRUPPO CAMBIELLI-EDIL FRIULI	CAMBIELLI EDILFRIULI S.P.A.	ITS Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2018	659.00	200	National	xxx	xx	xx	x	x										
ADEO	BRICO CENTER	DIY Retailer	DIY Assortment	2018	267.00	47	National	xxx	xx	xx	xx		xx						xxx			
TENGELMANN	OBI ITALIA S.R.L.	DIY retailer	DIY Assortment	2018	444.00	40	Northern and Central only	xxx	3%	9%									xxx			
IDROCENTRO	IDROCENTRO S.P.A.	ITS Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2018	144.00	44	Italy: Piemonte, Lombardia, Valle D'Aosta, Emilia, Toscana, Sardegna, France: Grenoble	100%											xx	Fire equipment and water treatment		
CENTROGAMMA	CENTROGAMMA S.P.A.	Specialist retailer	Specialist merchant	2016	4.51	22	Emilia Romagna, Lombardia, Veneto	xxx	xx	xx			xx						xx			
CARBONI	CARBONI S.P.A	Wholesaler	Wholesaler	2018	93.90	5	Emilia Romagna, Lombardia, Ven	70%	30%	20%	5%	5%	5%	30%	30%						IDROTEAM	
SVAI HOLDING IMMOBILIARE	SVAI S.P.A.	Wholesaler/Importer	Wholesaler/Importer	2018	86.10	9	Veneto, Lombardia, Trentino-Alto Adige		xx	xx			xx		x							
GRUPPO COMINI & PRESSIANI	PRESSIANI S.R.L.	Wholesaler/Importer	Heating, Sanitary/Plumbing & Vent/Air con	2018	74.20	9	Lombardia	xxx	xx	xx	xx	xx										
FRATELLI BELTRAME	FRATELLI BELTRAME S.P.A.	Wholesaler	Heating, Sanitary/Plumbing	2016	80.09	9	Veneto, Lombardia, Trentino- Alto	xxx														
GRUPPO IDRAS spa	IDRAS S.P.A.	Specialist merchant	Heating, Bathroom	2018	77.80	7	Lombardia	xxx	xx	xx			x									
IDROS ART &BOZZOLA	IDROS ART S.P.A.	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2018	47.90	10	Emilia Romagna	100%	xxx	xx	x	x	x									
CERAMICHE APPIA NUOVA	CERAMICHE APPIA NUOVA S.P.A.	Mixed merchant	Heating, Sanitary/Plumbing	2018	1.27	2	Lazio	100%	x	xxx	xx	xx	xxx	xx	xx							
AFIS G. CLERICI	AFIS G. CLERICI S.P.A.	Wholesaler	Heating, Sanitary/Plumbing	2018	47.80	16	Emilia Romagna, Lombardia	100%	38%	5%	12%										IDROTRADE	
GRUPPO FISAR	FISAR S.R.L.	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2018	6.15	11	Lombardia	100%	30%	30%	10%	30%									IDROTEAM	
GRUPPO C.I.I.C.A.I	C.I.I.C.A.I Soc. Coop.	Wholesaler	Heating, Sanitary/Plumbing	2018	62.6	2	Emilia Romagna		xx	xx	xx	xx	xx									
GRUPPO BOREA	BOREA S.P.A.	Specialist merchant	Heating, Sanitary/Plumbing & Vent/Air con	2018	18	6	Liguria, Emilia Rom, Veneto, Toscana, Lombardia, Abroad: France	xxx	xx	xx	xx	xx			x			x		KITCHEN	PIANETA	
INTESA	INTESA S.R.L.	Buying Group	Heating, Sanitary/Plumbing	2018	7.98		National	xxx														
CICAI	CICAI S.P.A.	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2018	8.28	4	Marche and Abruzzo	xxx	xx	xx	xx	xx										
BRICOFER	BRICOFER S.P.A.	DIY retailer	DIY Assortment	2016	216	94	Sardegna, Lazio	x											xxx			
ADEO	SIB S.P.A. (BRICOCENTER & LEROY MERLIN	DIY retailer	DIY Assortment	2018	4.18	119	Nothern Italy, Toscana, Puglia, Sicilia, Lazio	x											xxx			
DELTA	DELTA S.P.A.	Buying Group	Heating, Sanitary/Plumbing	2018	2.76	120	National	100%	35%	20%			10%						x			

Source : BRG Based on Company Financials
x = marginal activity
xx = substantial activity
xxx = core activity

ITALY

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The evolution of the baths market reveals a shift of preference – from pure functionality with limited aesthetics, in which price played the most important role, to a higher degree of personalisation, adaptability and integration into the surrounding space.

A closer look at the Italian baths market reveals that it has been characterised by a considerable decline in sales in the last decade, due to changing consumer behaviour and the impact of the economic crisis, which has contributed to further erosion of the segment. The steady decline in bath sales was caused by the fall in consumer confidence and spending, coupled with more structural reasons such as the contraction in new housing completions, along with a growing substitution trend towards showering.

An interesting characteristic of the baths market is that despite its maturity, many sales still come from the new housing sector due to the renewed interest in installing baths in new buildings. Nevertheless, one of the most significant characteristics of this market is the substitution trend from baths to shower trays in the replacement segment. The improvement of the economic situation, mirrored by an increase in investment in home renovation, has supported the deceleration of the decline in bath sales.

The consideration of showers being space-saving, as well as their safety for an increasingly ageing population, is increasingly being countered by the demand for aesthetic personalisation and digitalisation. Hydromassage baths have been losing their appeal as luxury products, and instead are heavily substituted for the more high-end baths, such as cast iron or steel, which have no hydrotherapy functions. Their large dimensions, and the high cost of hydromassage systems, made them lose appeal well before the start of the economic downturn. Hydromassage baths, historically, seem to have been more closely dependent on the development of private consumption and consumer purchasing confidence.

In the past, cast iron was among the most popular types of bath material; however, ever since the introduction of synthetic materials such as hard resins, which are both durable and lightweight, cast iron has been relegated to a niche share in high-end new housing. Steel baths looked set to face the same decline because of the rising popularity of synthetic baths, but have managed to carve out a share of the high-end market thanks to the aggressive pricing strategy of KALDEWEI. Synthetic baths represent by far the largest market and have had more success than other segments due to their lower price, flexible mould shapes and lightweight design.

Shower trays have been more insulated from the general trend of decline in recent years, due to the ongoing replacement of baths with showers, with the sales of the non-ceramic alternatives having experienced growth despite the contractions seen across other bathroom product categories. Ceramic remains the most popular type

of shower tray; however, its popularity is steadily decreasing due to its heaviness and fragility, with consumers favouring synthetic models that are light, durable and allow for much more flexibility in terms of moulding certain sizes and shapes.

In terms of outside-of-product-family substitutions, the number of wet rooms, or walk-in showers, although still a small proportion of the overall bathroom market, continues to experience sustained growth. Although this is currently not expected to pose a threat to the bath or shower market, it could gain further relevance in the coming years, closely following the improvement in new housing construction output.

The incentive scheme featuring the replacement rebate (*Detrazione per la Ristrutturazione*), introduced in June 2012, saw limited success in stimulating sales in the housing RMI segment in recent years. In general, according to manufacturers, the scheme has suffered from poor advertising, the application process remains too bureaucratic and overly complicated, and the length of time for a return on investment is 10 years. This has led an increasing number of consumers to opt to buy 'under the table', meaning the sales are undeclared and neither consumer nor installer pay tax on the product.

Recent Market Trends

In 2019, the decline of the RMI segment pushed the bath and shower tray markets downwards. In fact, the renovation sector accounts for the bulk of sales in both markets. However, sales of baths have remained also rather vulnerable to the output of new dwelling activity. New housing is a segment on which baths increasingly rely due to the high preference for making the bath the centrepiece of bathroom decoration.

The demand for cast iron baths, despite these being a niche market, increased slightly in 2019, mostly driven by the RMI segment, whereas installations in the new residential and renovation segments continued to decline. On the other hand, synthetic bath sales recorded a decrease in 2019, despite the good performance of the new and non-housing construction sectors. Sales of steel baths remained stable in 2019, predominantly due to these being a niche product wherein demand is less price-driven, with several dominating brands that are marketing the material with a higher degree of personalisation than the cast iron models. Sales of steel baths increased in both non-housing and renovation. The share of new housing sales was eroded from cast iron to the benefit of steel baths in 2019.

The market for hydrotherapy products in Italy continued its declining curve in 2019, further accentuating the contraction of previous years. Thus, hydrotherapy baths continued to be the worst performing bathroom products, with sales being around one quarter of the 2006 peak, with high prices and slow penetration in wider distribution channels being the main causes of the drop in demand. Economy hydrotherapy baths decreased only marginally, in part because of the renovation trend from baths to their upgraded versions – which offer more interaction and transform the bathroom into a spa space.

Shower trays witnessed a return to decline, driven predominantly by the renovation segment. Ceramic shower trays continued to account for the bulk of the shower tray market, even though synthetic products represented a good alternative. Thus, synthetic shower trays are gaining shares over other shower trays. The reason for the slow level of recovery of the product segment may be traced to the increased relevance within the DIY market of customisation, which is pushing major manufacturers to introduce a wider variety of sizes, product finishes and resistance to wear that previously were only offered with synthetic shower trays.

Many ceramic manufacturers have launched design lines within the polymers range, with new solutions in terms of modularity and resistance to any form of wear. To this extent, new materials are increasingly introduced to the synthetic market and are gaining strong popularity, such as mineral marble, a mixture of natural marble charges, and polyester resin.

Steel/cast iron trays had a very difficult year in 2019, due to increased competition, primarily from synthetic trays, with marked losses in all segments except non-housing, where some more design-focused hotels continue to appreciate this type of niche product.

Finally, the proportion of wet rooms in Italy, mainly installed in new housing, continued to experience an increase in both the new and non-housing segments. Wet rooms represent a clear advantage for disabled people and households with children. However, the expansion of wet rooms is threatened by the presence of extra flat and concealed shower trays.

Prices and Market Values

A slight shift towards the upper/luxury segment has been noticed in the cast iron baths market, while steel baths recorded a more important share of economy/lower products in 2019. In fact, the increasing popularity of cast iron baths was driven by demand from customers willing to spend more. On the other hand, the stabilisation of demand for steel baths harmed the leader KALDEWEI, which pushed the market towards the economy/lower segment, with the increase in sales of cheaper brands. Synthetic baths have increased their dominance in the lower price segments due to amplified price competition.

Steel shower trays also experienced growing sales in economy and middle-priced products, supported also by the diversification of the more price-competitive product range offered by KALDEWEI.

Conversely, synthetic shower trays saw a stable degree of penetration, with an increased number of new players entering the synthetic baths segment.

In 2019, it was the upper/luxury price segment that performed best within the hydromassage baths product segment, confirming the expansion of domestic demand for high-end products, sustained by reductions in catalogue and list prices.

On the other hand, sales to the economy/lower price segment decreased in 2019 as the market remained unattractive.

New Housing

The demand for baths within new housing continued to increase, with around half of new apartments being equipped with a bath and most houses having at least one. Synthetic was the most dynamic material in terms of demand, which allowed it to gain share over all other products in the segment. This is due to their higher degree of personalisation and affordability.

For shower trays, new housing is a relatively marginal destination when compared to housing RMI sales. However, the penetration of shower trays in new housing accelerated in 2019 compared to 2018, following the expansion of the overall market for such products – in line with the higher new housing construction output. Most new dwellings, even large ones, are likely to feature showers for space- and water-saving considerations and large houses may even have two or more showers, reflecting the increasing importance of showers as environmentally friendly solutions.

Housing RMI

The analysis of the evolution of baths within the housing RMI segment confirms that currently such a product has become a niche choice, similar to other mature bathroom markets. However, sales in housing RMI are witnessing a higher product diversification due to a resurgence of steel and cast iron baths within the new housing segment, thanks to the new product image created by market leaders. Despite the increased popularity of such models, the synthetic bath provides by far the most sales, due to the growth in demand for light, cheap and flexible synthetic options.

Hydromassage baths rely greatly on the replacement segment. It must be noted that replacement demand declined substantially in 2019 due to the increased competition from other shower alternatives such as shower panels.

Shower trays continue to rely heavily on the housing RMI segment, mainly due to the presence on the market of several market players (such as REMAIL, which has focused its business on offering solutions for the switch from baths to showers) and the growth of housing RMI investment that had started far before the recovery of either new housing or non-housing investment. Ceramic trays remain the most popular product in terms of volumes in the replacement segment, due to their affordability, and the increased ability to counter, better than in the past, the market penetration of synthetic trays. Synthetic shower trays continued to experience an expansion of sales in this segment in 2019, in line with the overall performance of this market.

Non-Housing

Considering the importance of the hospitality industry in Italy, hotels may be considered the main driver behind the demand for baths; these tend to be the main destination for non-residential purchases. Synthetic baths are preferred in hotels for their versatility and variety of shapes and sizes. For shower trays, sales in non-housing are also dependant on the hospitality sector, but public buildings such as schools, hospitals and gyms are switching to showers for safety and hygiene considerations.

Luxury hotels and spas have been the main source of demand for hydromassage baths in non-residential installations. Hydromassage baths remain one of the bathroom products associated with high quality; nonetheless, the high investment associated with such products is leading many operators in the hospitality segment to replace them with luxury shower and bath alternatives.

Ceramic shower trays lost share to the benefit of all the other types of shower trays. Synthetic shower trays remain a good alternative to the ceramic trays thanks to the affordable price and various shapes and colours available.

Supply Structure

The cast iron and steel bath markets remain highly concentrated, with only a few players. ROCA and KALDEWEI control nearly two thirds of the respective production.

A higher level of fragmentation is present within the synthetic bath market, which is much more open to various players, and IDEAL STANDARD remains the main player, closely followed by GLASS IDROMASSAGGIO. TEUCO GUZZINI limited its sales within this segment to destocking activity in 2018, due to its considerable contraction of production, and went bankrupt in 2019. Such a demise has benefitted the entry of new players and the further consolidation of existing manufacturers, namely JACUZZI and NOVELLINI.

In terms of supply structure, baths are generally distributed through wholesalers, especially in the steel and cast iron segments, seeing as ROCA and KALDEWEI both sell exclusively to wholesalers. The specialist retailer segment is served by companies such as JACUZZI, whose sales within the product segment have dropped considerably and, as a result, specialist retailers suffered in 2019. The relevance of specialist retailers has been further eroded by the choice of manufacturers to develop their own showrooms, thus enhancing direct contact with the end-use customer and a consequent increase in profit margins.

The steel/cast iron shower tray market has been historically dominated by KALDEWEI, which specialises principally in steel finishes, and the possibility of product personalisation renders it the driving force within the market. Among the other players present in this market, noteworthy is the decision of SMAVIT to move

its sales mainly to foreign markets, hence reducing the presence of its products in the national market.

In the ceramic shower tray product segment, IDEAL STANDARD has maintained its leadership through CERAMICA DOLOMITE and its own brand. Of significance is the improved position of RAK CERAMICS, which despite being among the newer players entering into a relatively mature market, has been able to carve out a significant market share through competitive pricing and innovative product development, thus assuring growth in sales for the last few years. On the other hand, FIORA's primacy in the synthetic shower tray segment has been eroded, due to the increased competition in terms of product characteristics and the more competitive pricing strategies of the other players present in the market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of all shower tray products are expected to decrease in 2020 and 2021 and rebound from 2022, except steel/cast iron shower trays, which should continue to suffer over the forecast period. The rebound should come later for bath sales, as most bath segments should rebound only from 2023 onwards. Steel baths represent the only product category that should experience a sharp increase in 2022, due to the significant increase of the RMI segment.

At the level of product preference within the baths segment, the shift in favour of steel baths is likely to continue, eroding share predominantly from synthetic. It seems that demand for upper-end products, of which steel is nowadays associated, is more resistant to the consumer shift towards shower trays.

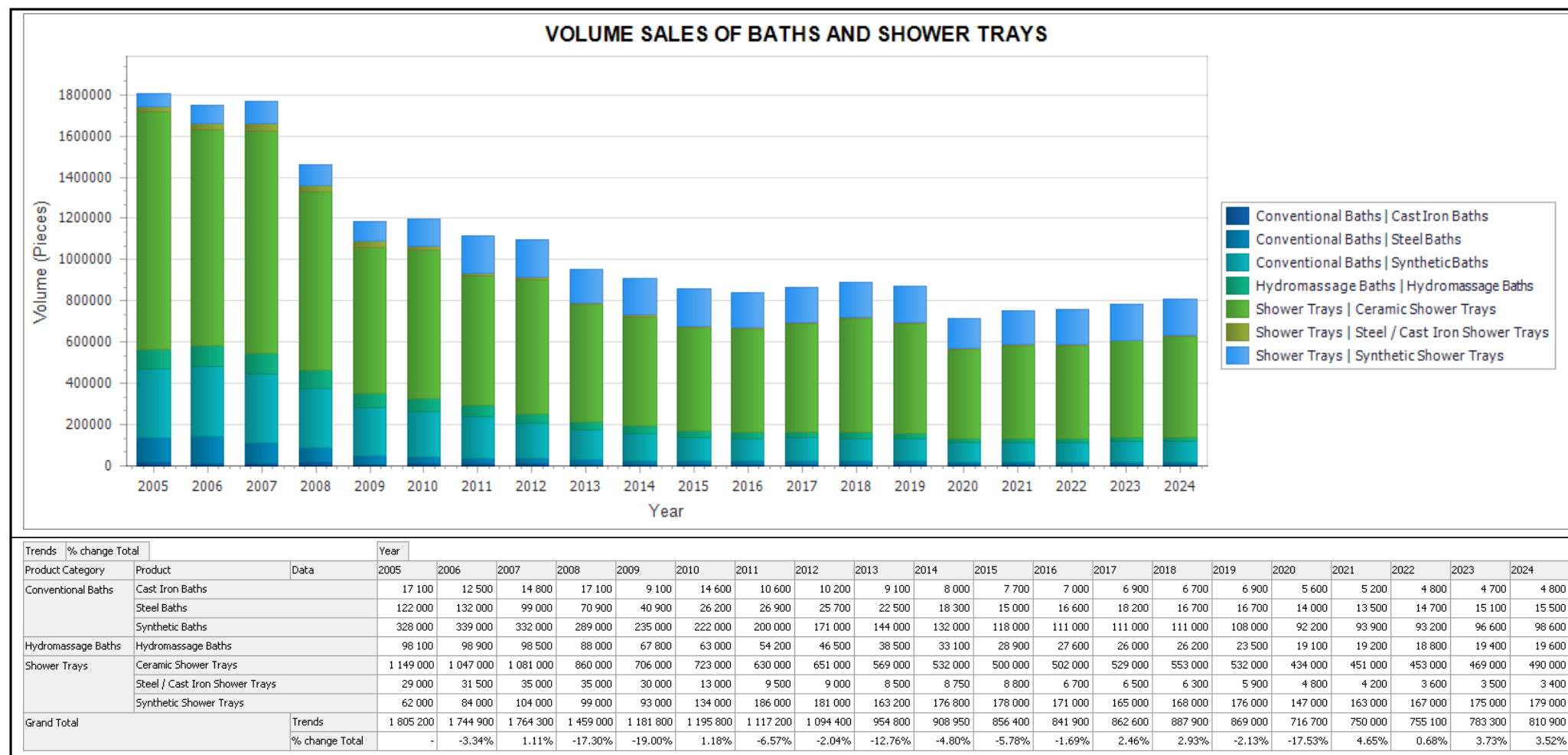
Sales of ceramic shower trays should be more dynamic than those of synthetic from 2022 onwards, due to an important rebound of the RMI segment. In fact, ceramic trays account for slightly more renovation works than synthetic shower trays, which should benefit the market from 2022 onwards.

Within the product mix, synthetic shower trays are likely to grow in the near future, driven also by the availability of different material finishes, and the mineral cast and solid surface product alternatives are likely to erode the primacy of the acrylic product options. However, as explained above, ceramic shower trays should grow more rapidly from 2022 onwards, gaining share over synthetic shower trays.

In terms of distribution, the shift towards the DIY channel is likely to be slow, owing to the size and cost of bath products, but growth nonetheless will most likely see the stealing of shares from specialist retailers and wholesalers with the expansion of showrooms. This should result in higher price competitiveness and product visibility, hence enhancing current product preference shifts, but the manufacturers' selling price itself should stabilise in the coming years.

1.2 Historical Trends and Forecasts

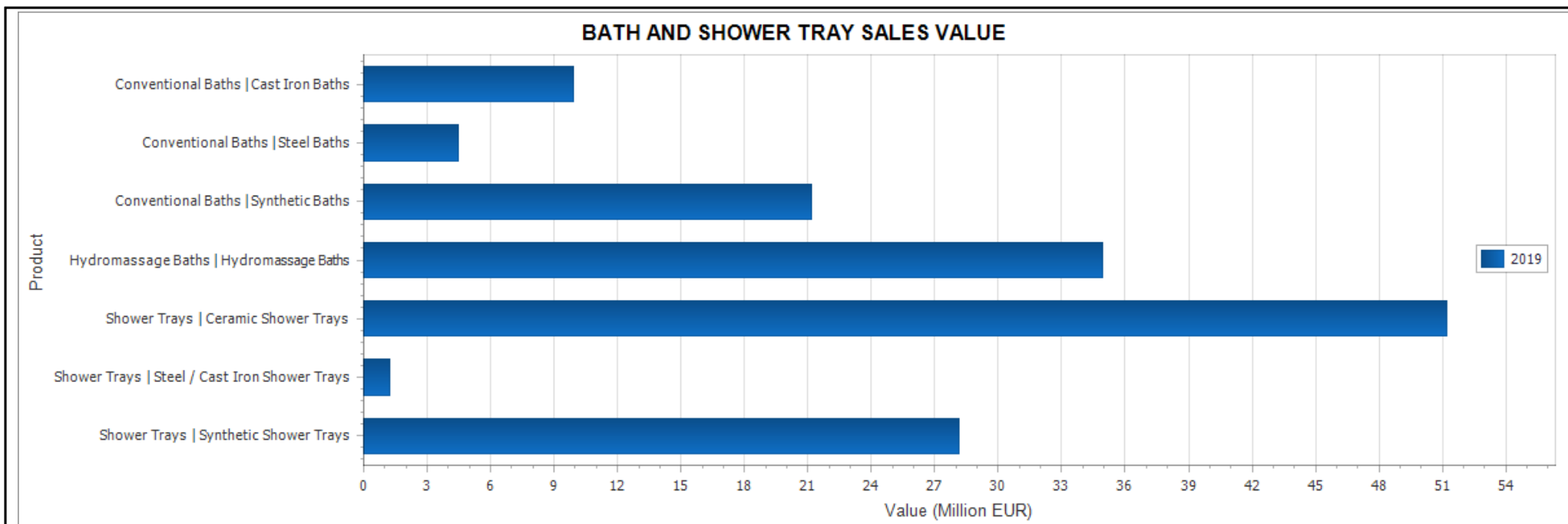
IT - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

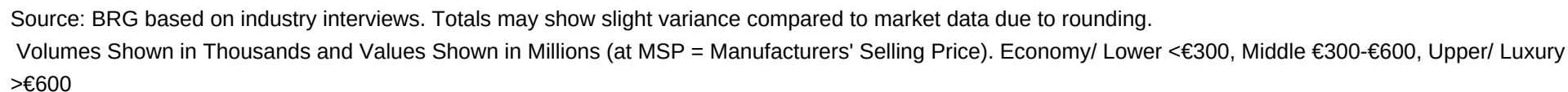
IT - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data			
			2019		2018		
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Conventional Baths	Cast Iron Baths	6 900	1,438.51	9.93	6 700	1,407.17	9.43
	Steel Baths	16 700	268.17	4.48	16 700	266.53	4.45
	Synthetic Baths	108 000	195.73	21.14	111 000	187.89	20.86
Hydromassage Baths	Hydromassage Baths	23 500	1,486.36	34.93	26 200	1,481.46	38.81
Shower Trays	Ceramic Shower Trays	532 000	96.27	51.22	553 000	95.37	52.74
	Steel / Cast Iron Shower Trays	5 900	205.70	1.21	6 300	204.89	1.29
	Synthetic Shower Trays	176 000	159.78	28.12	168 000	158.35	26.60
Grand Total		869 000	173.79	151.02	887 900	173.65	154.18

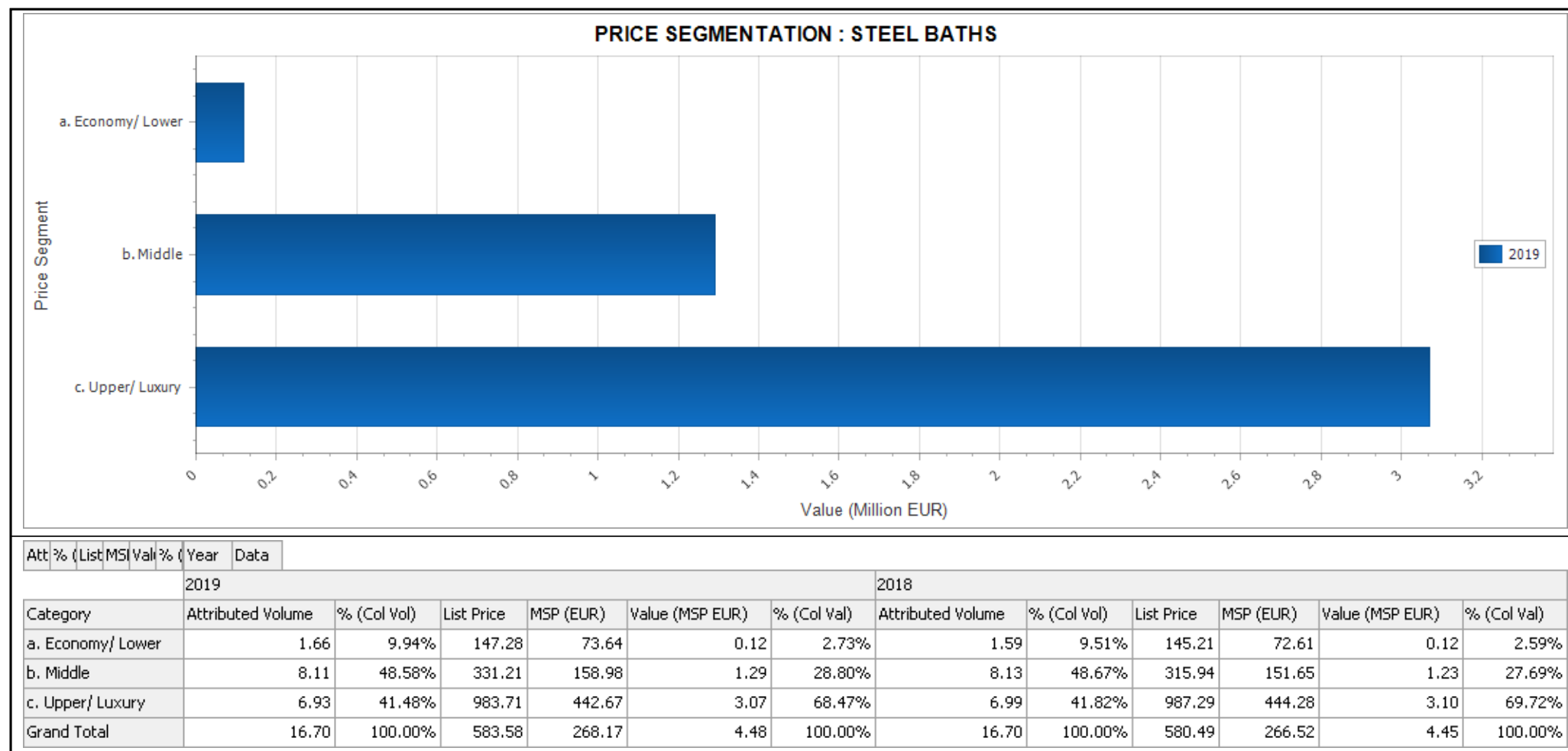
Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

IT - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS



1.3.3 Price Segmentation : Steel Baths

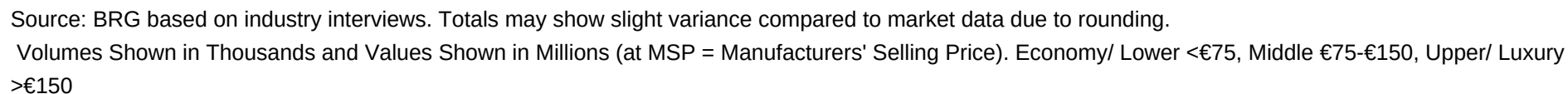
IT - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

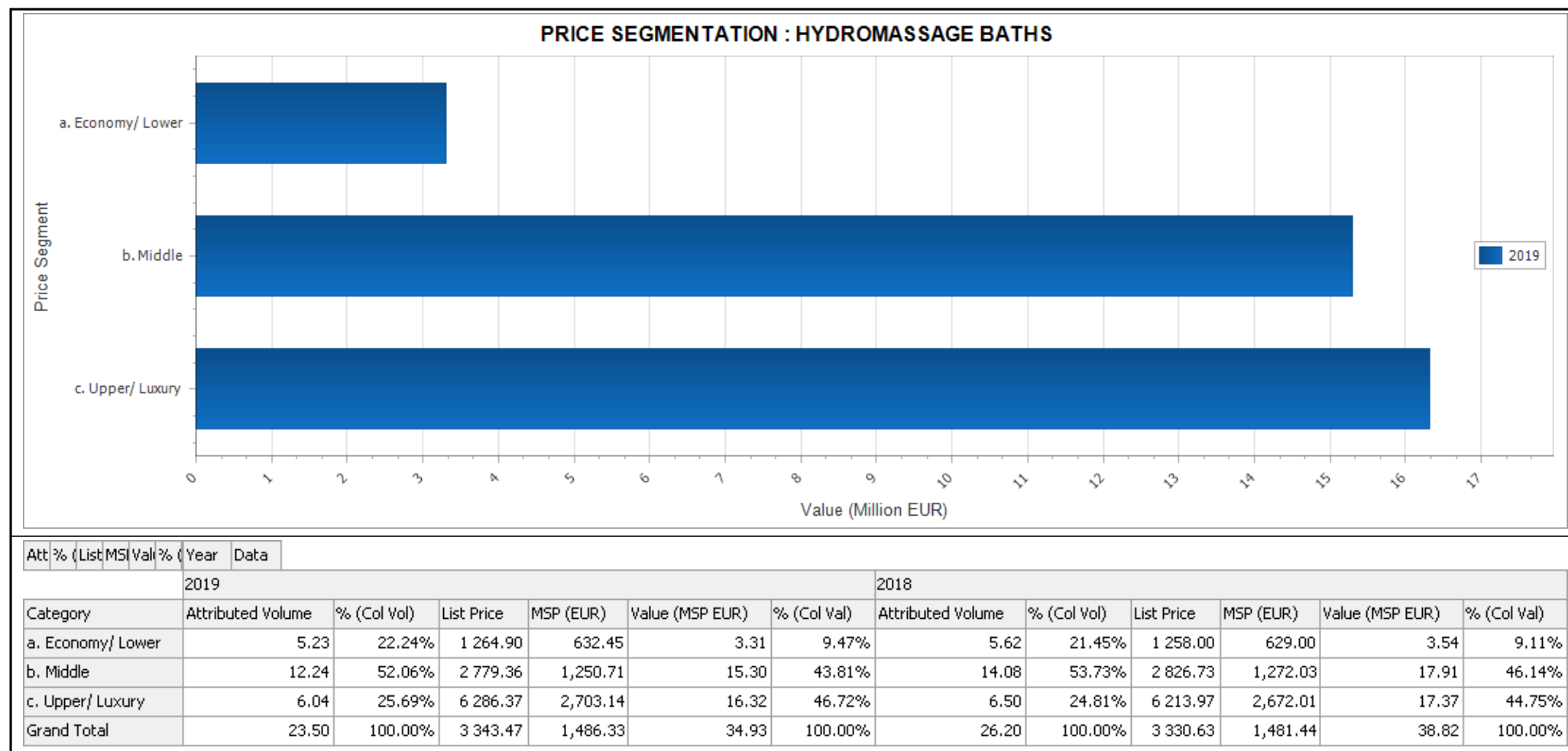
Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS



1.3.5 Price Segmentation : Hydromassage Baths

IT - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

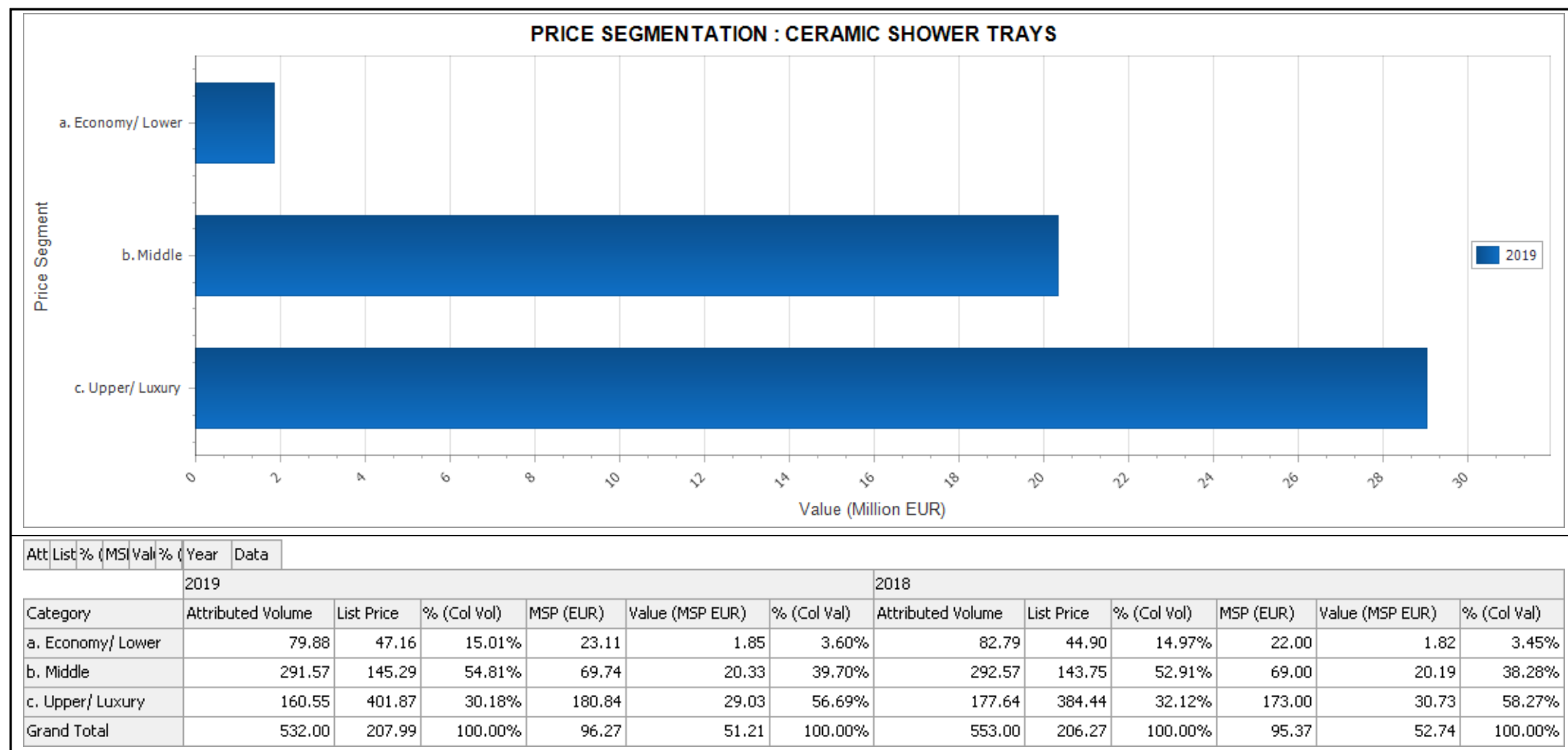


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

1.3.6 Price Segmentation : Ceramic Shower Trays

IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

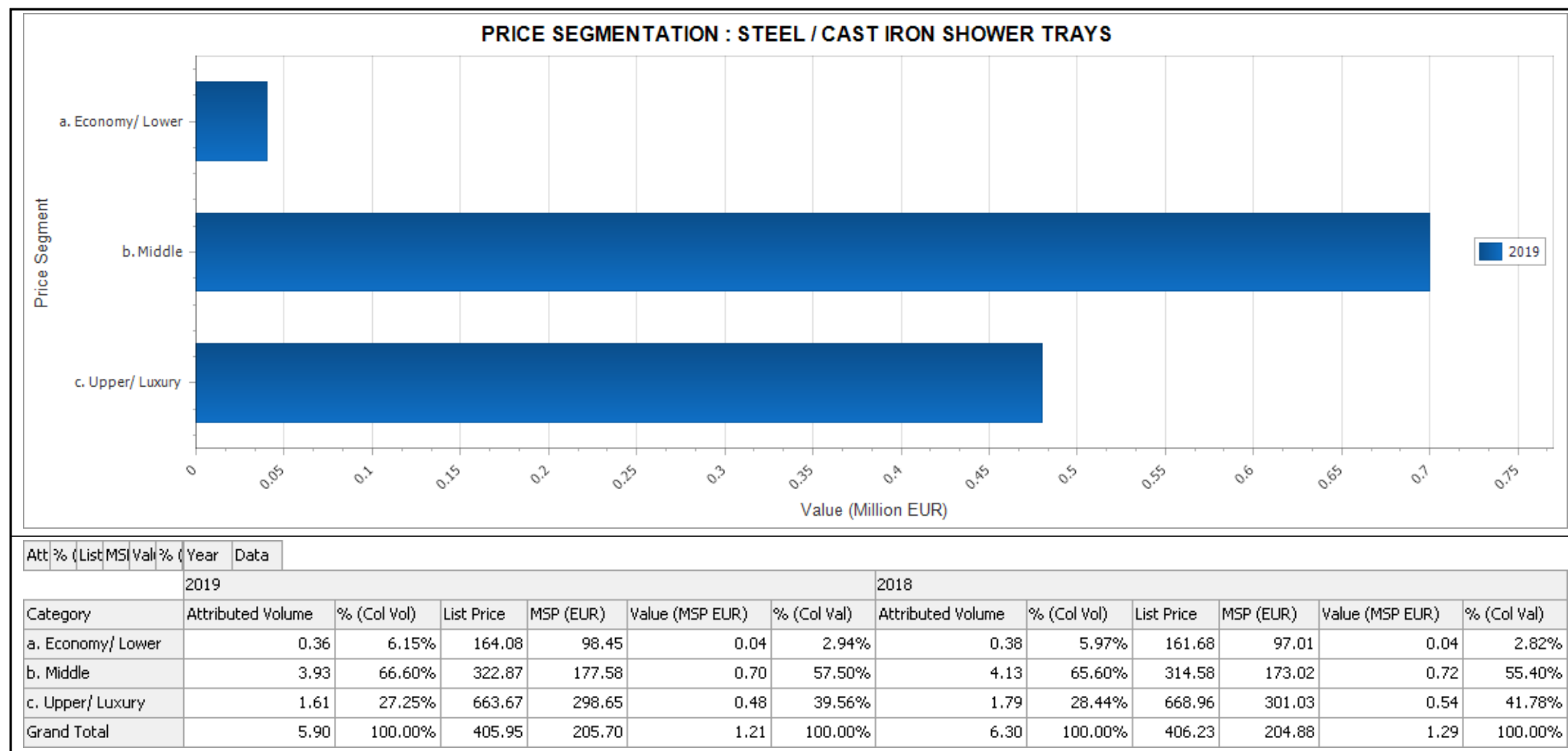


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

IT - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

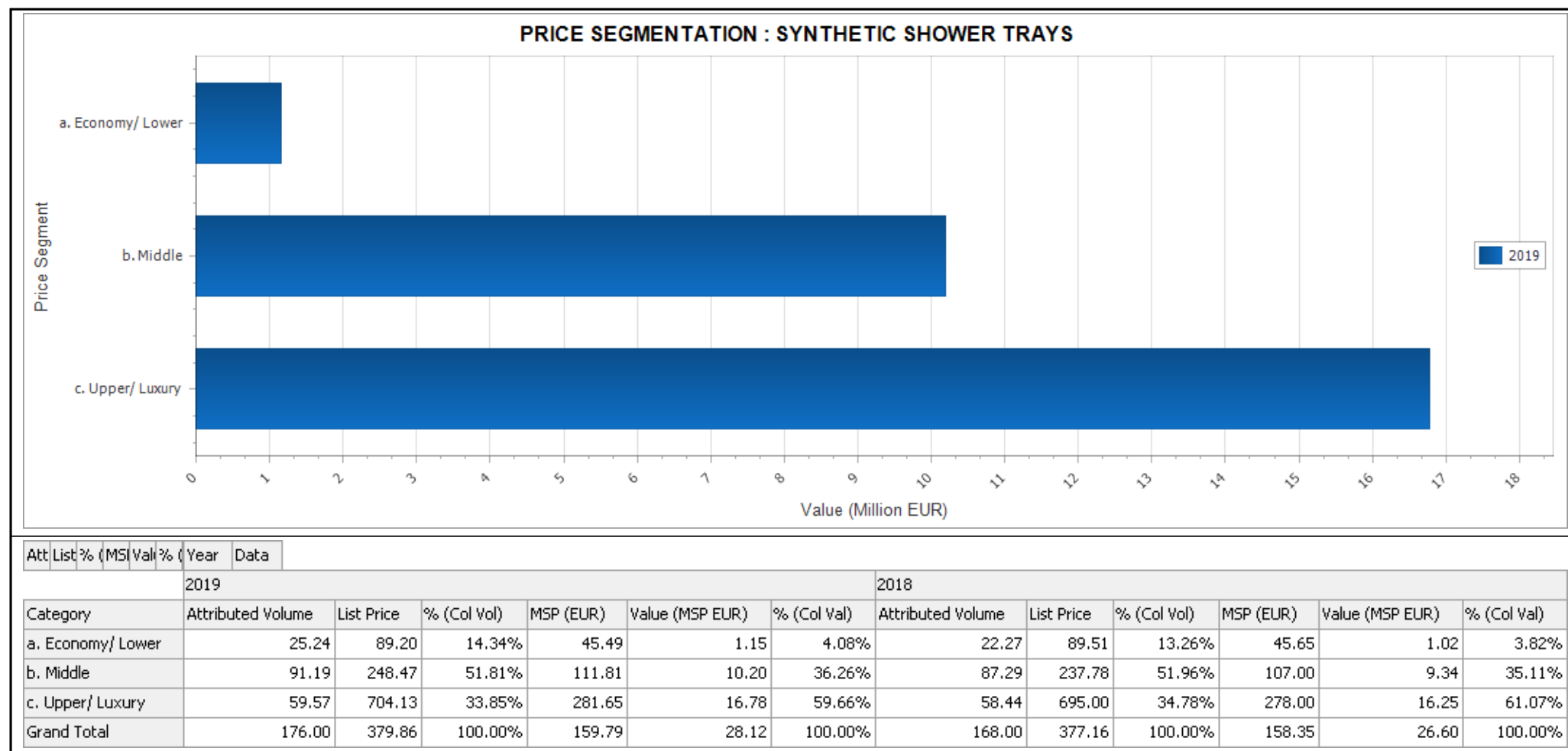


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

1.3.8 Price Segmentation : Synthetic Shower Trays

IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

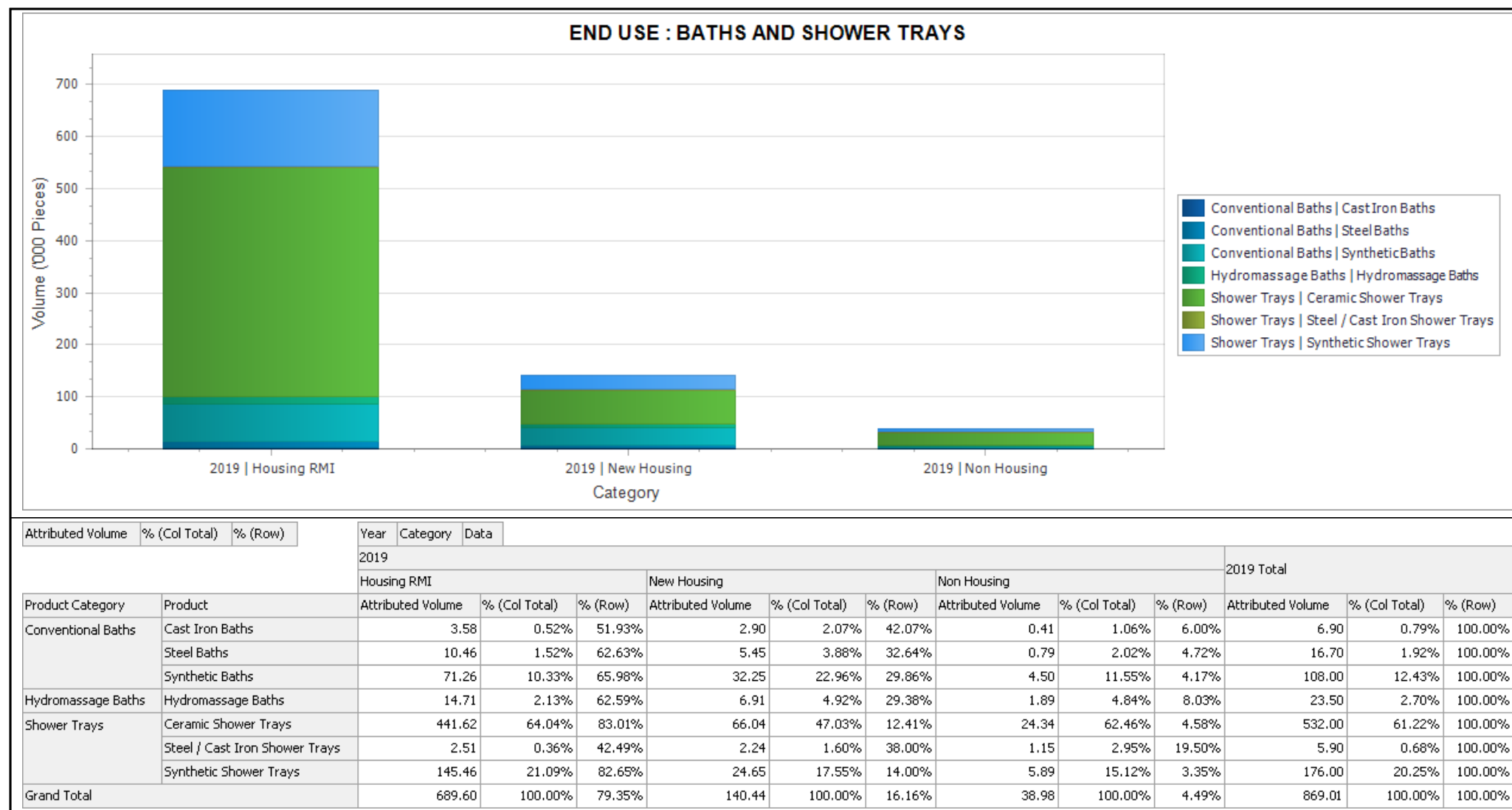


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.4.1 End Use : Base Year

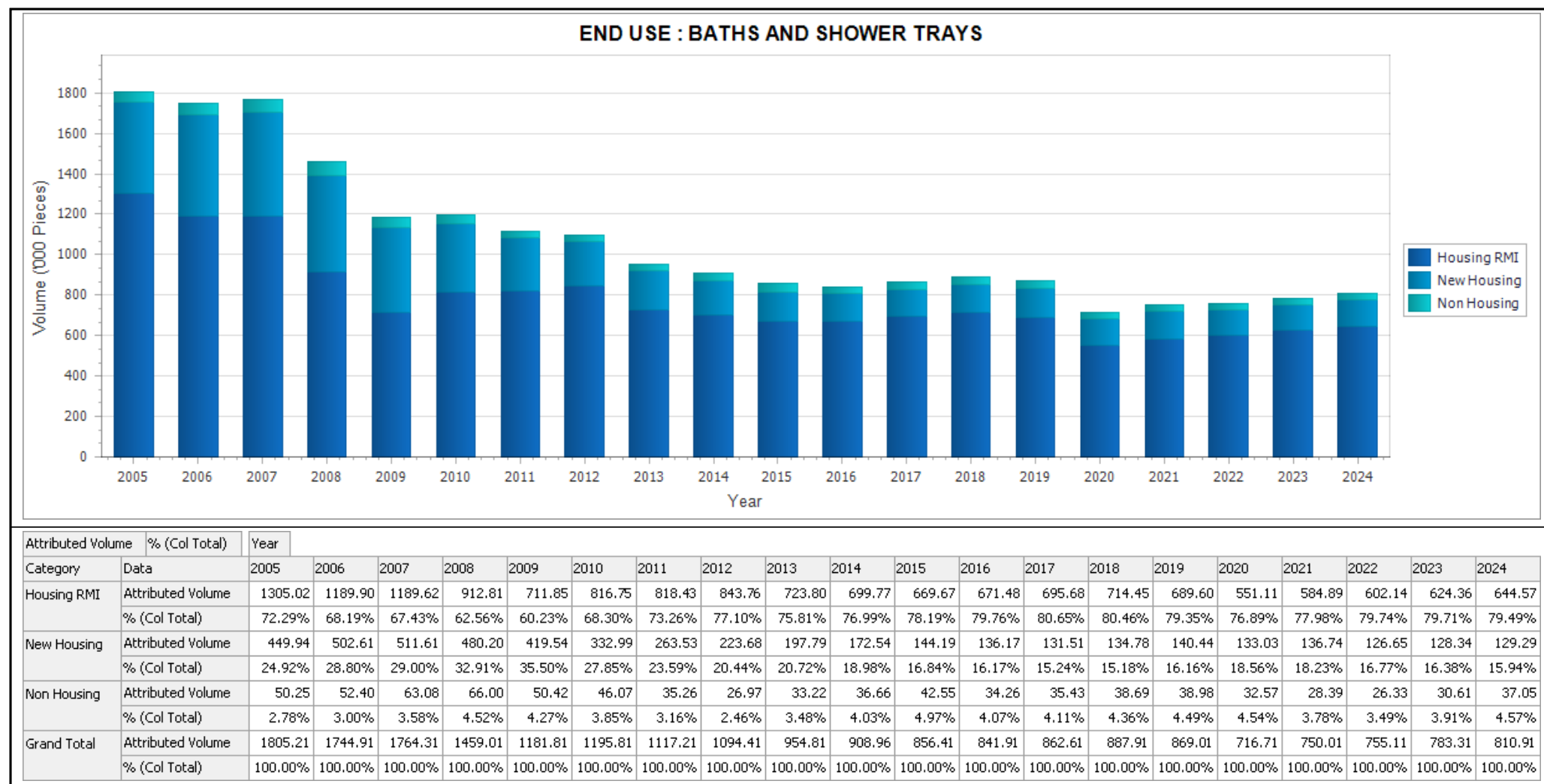
IT - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

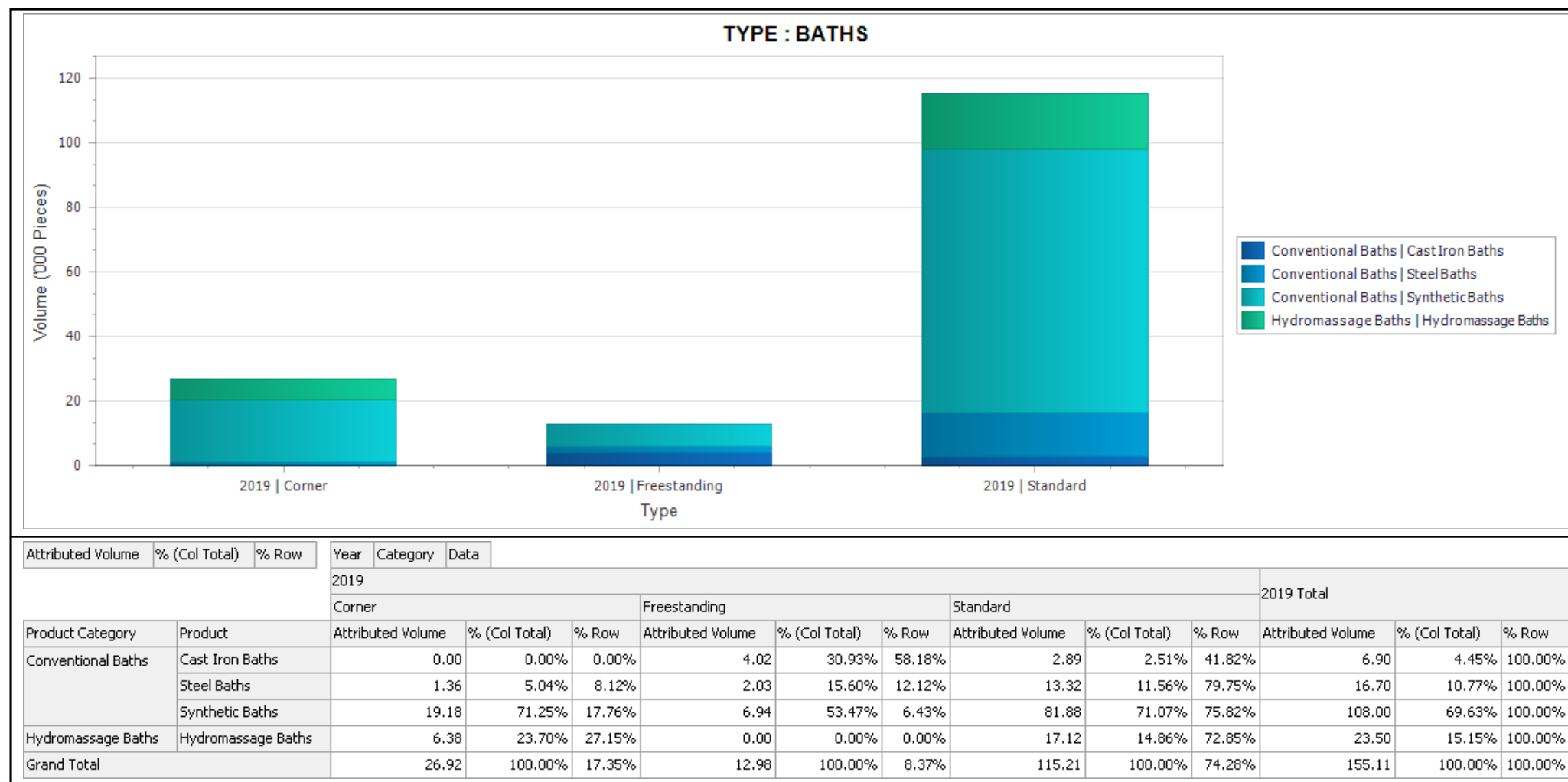
IT - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

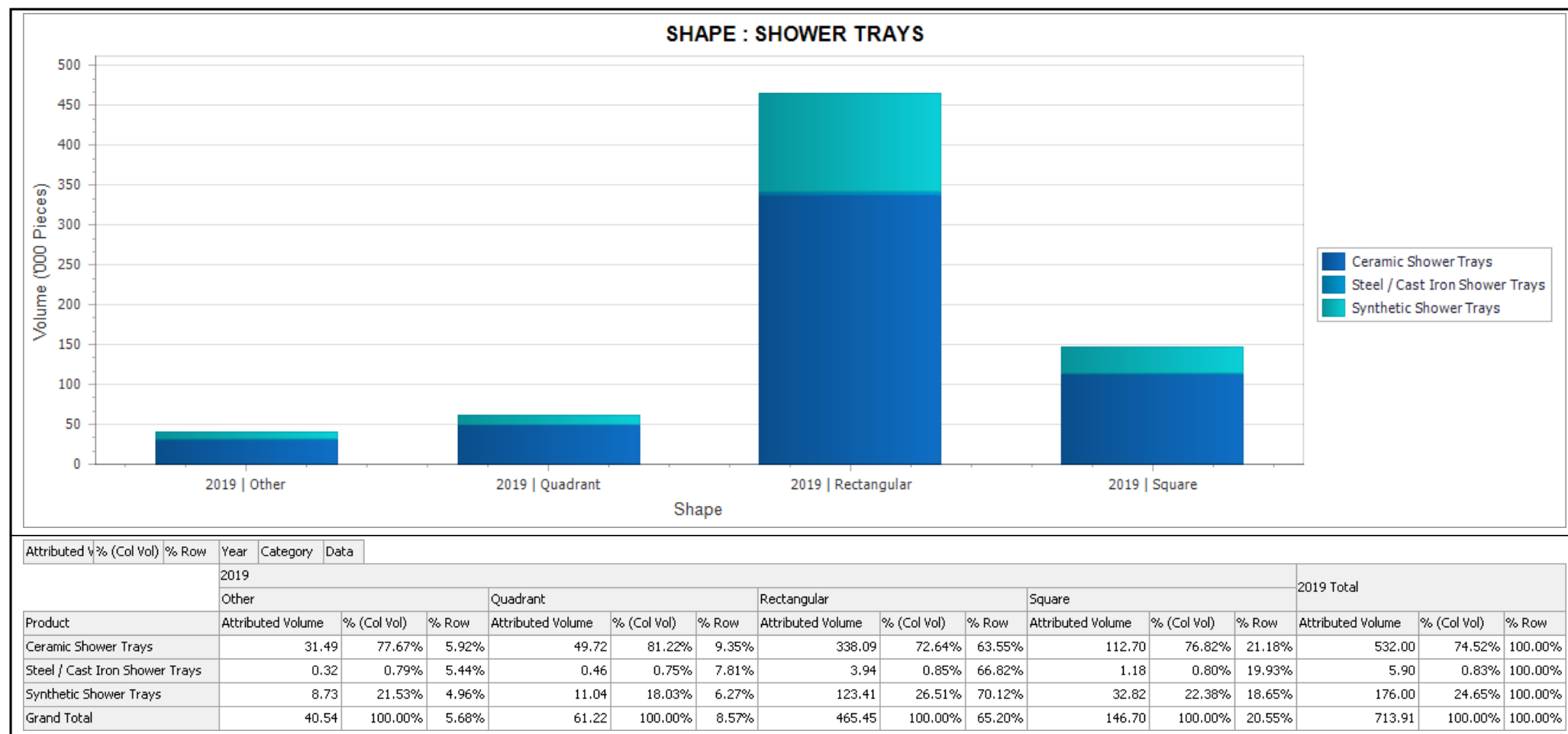
IT - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

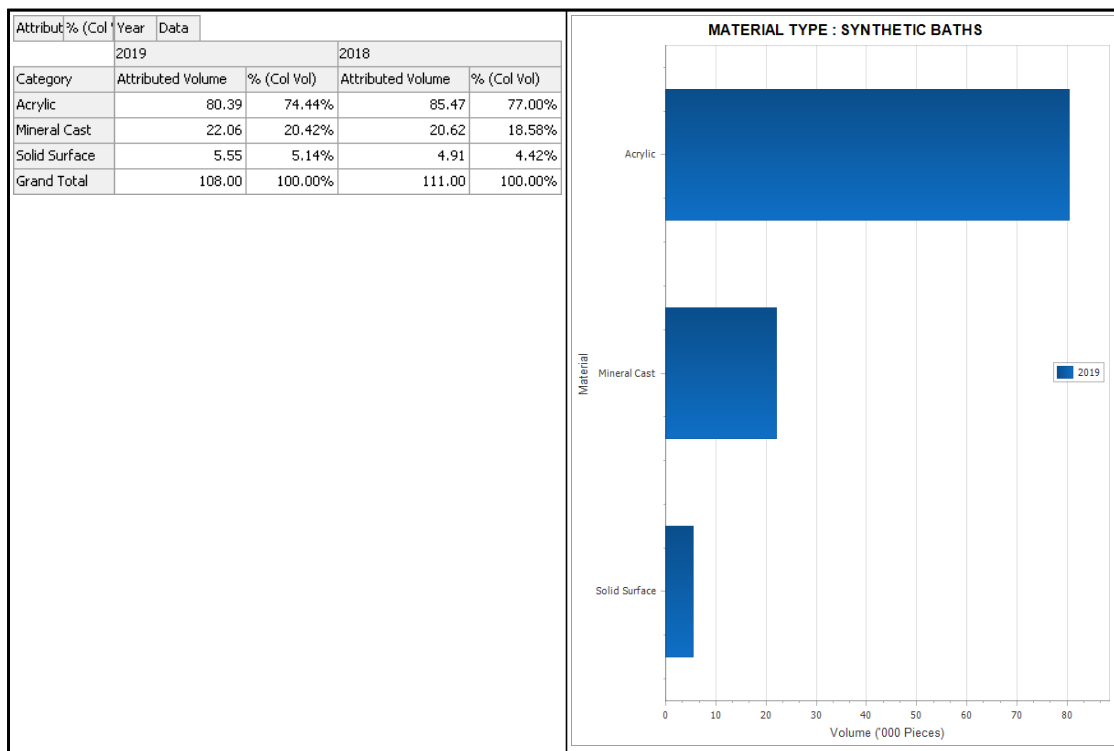
IT - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

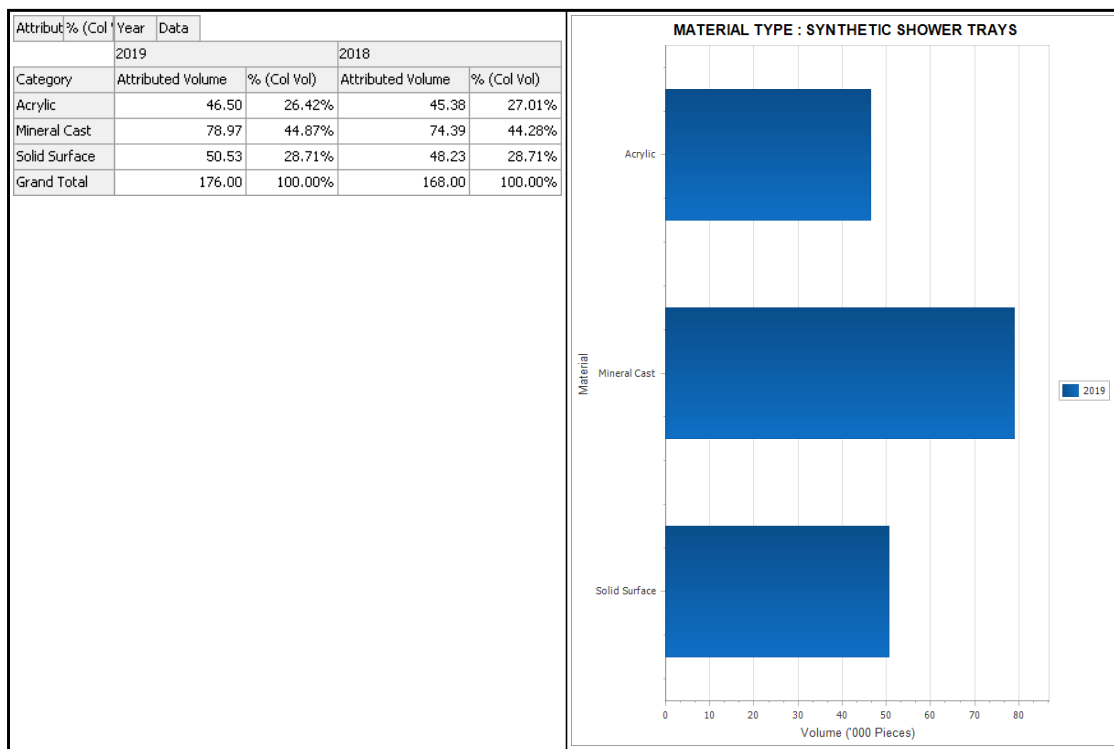
1.4.5 Sales by Material : Synthetic Baths

IT - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



1.4.6 Sales by Material : Synthetic Shower Trays

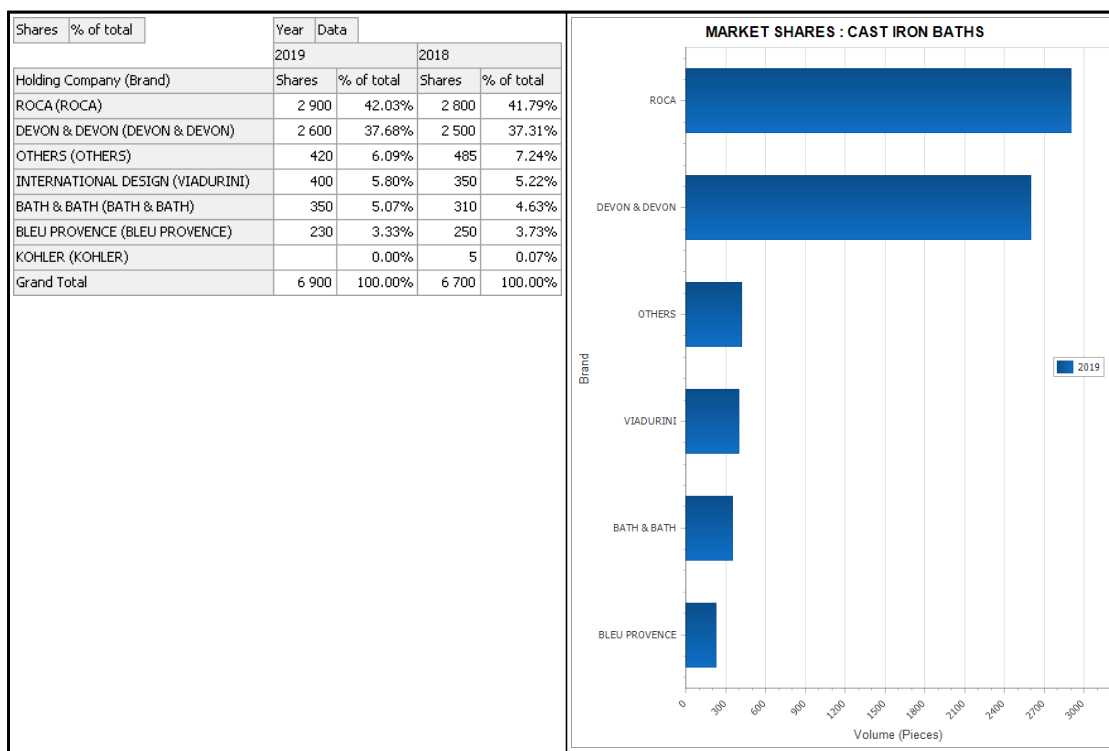
IT - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

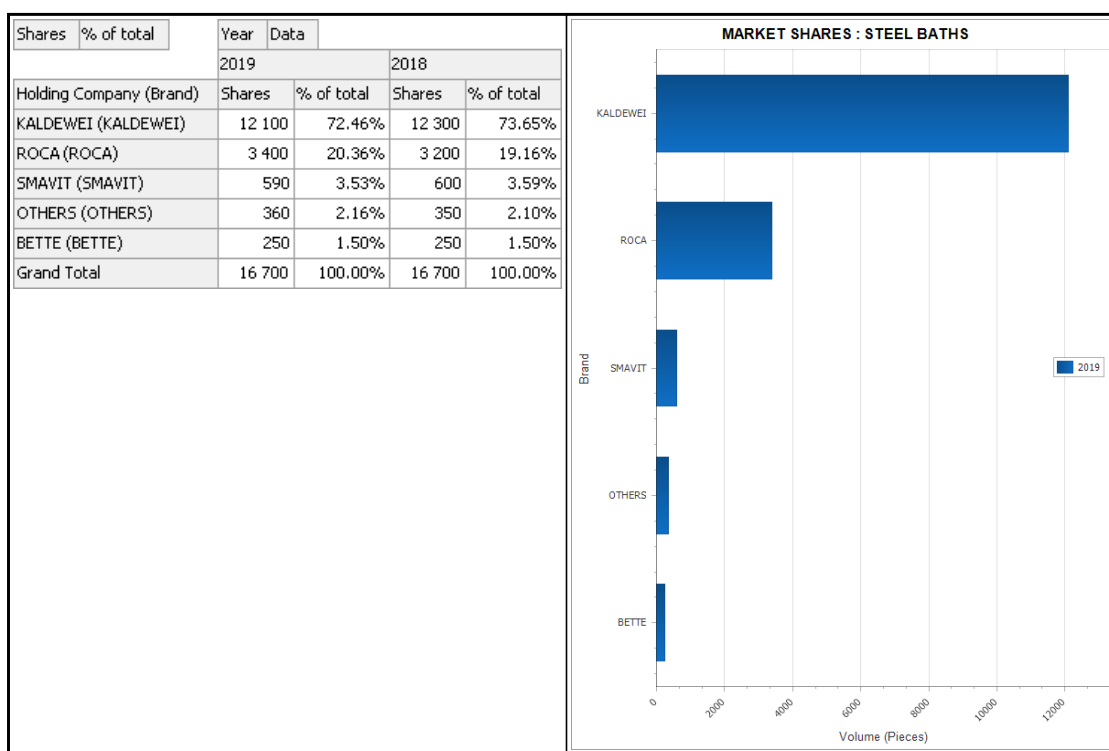
IT - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

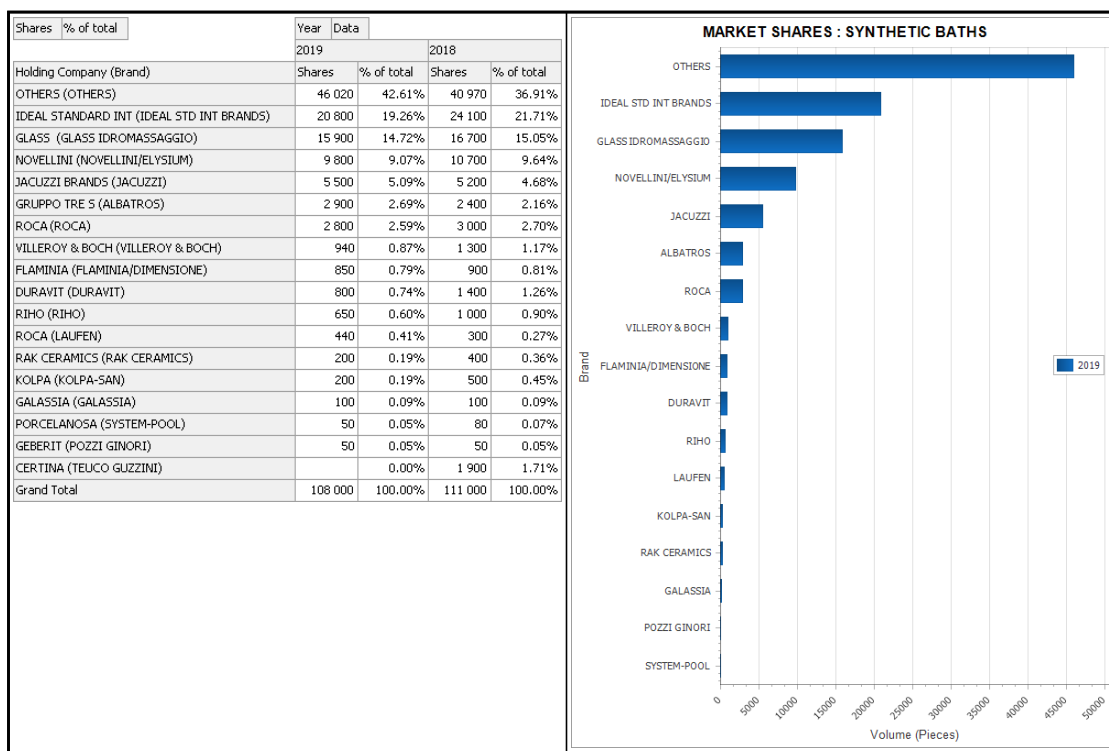
IT - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

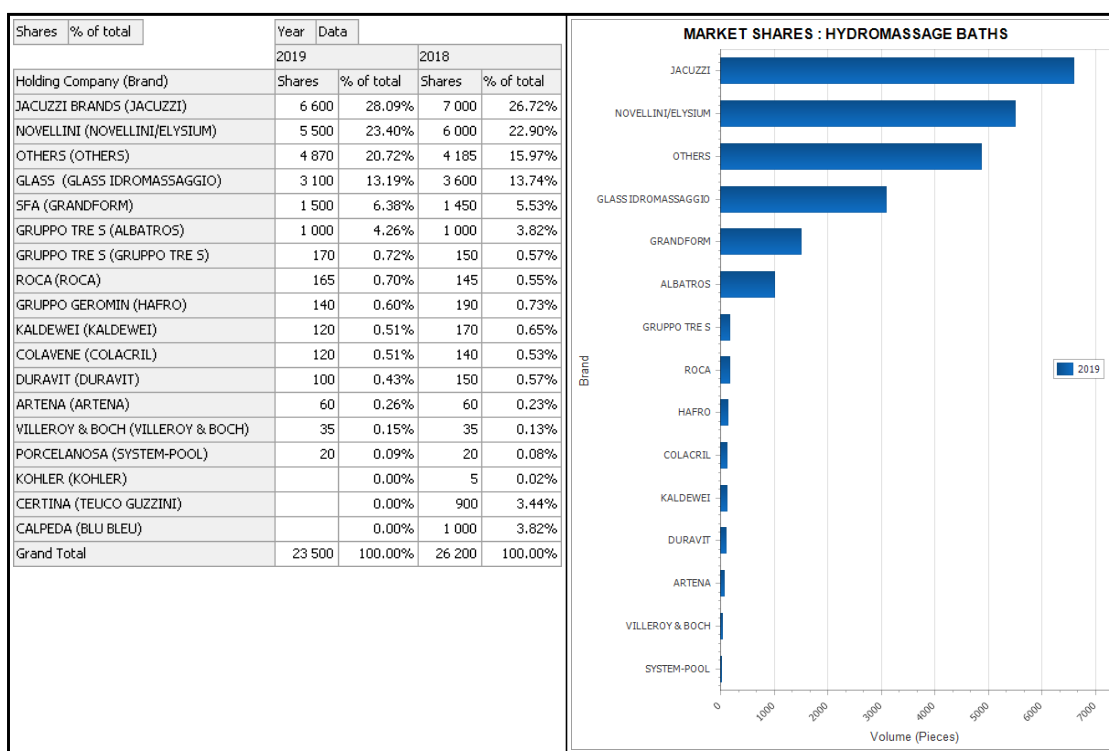
IT - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

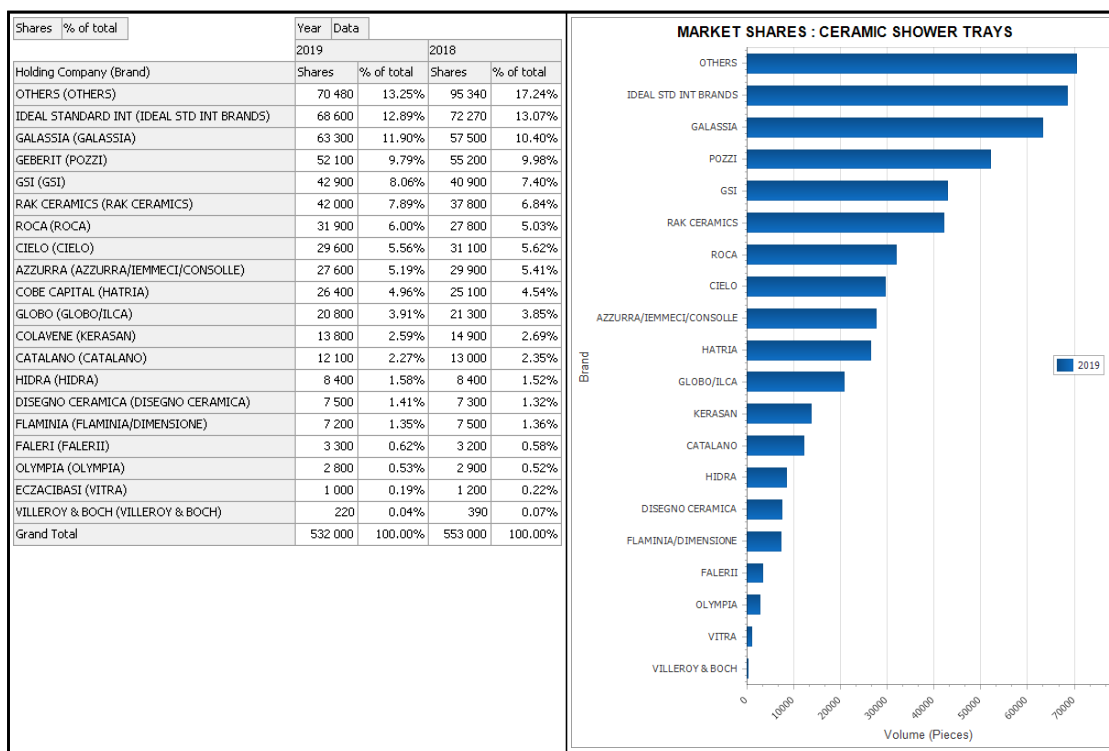
IT - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

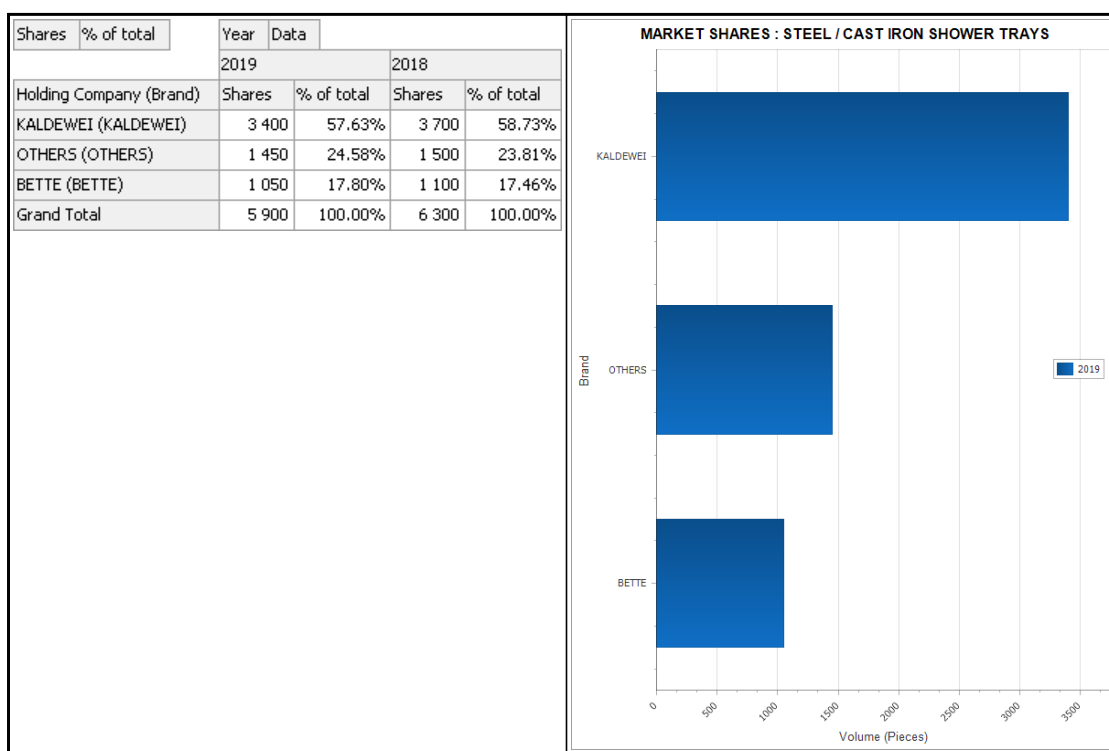
IT - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

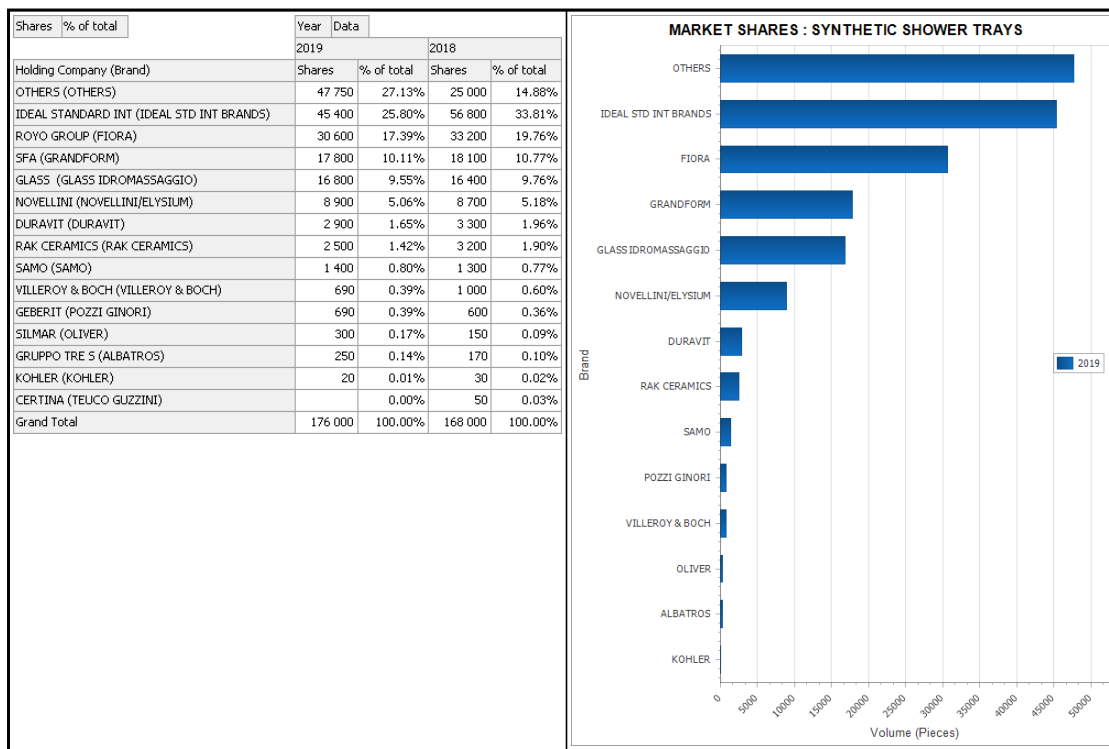
IT - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

IT - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 IT - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	67	94.8%	185	77.7%	111	97.7%	279	87.2%
Spain	3	3.9%	26	10.9%	1	1.1%	3	0.9%
OTHERS	1	1.3%	27	11.3%	1	1.2%	38	11.9%
Total	71	100.0%	238	100.0%	114	100.0%	320	100.0%

Source : Trademap

1.6.2 IT - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	13	27.3%	167	24.3%	14	20.6%	156	16.8%
France	4	7.9%	60	8.7%	8	11.6%	102	11.0%
United Kingdom	3	6.0%	43	6.3%	2	3.5%	38	4.1%
Switzerland	3	5.6%	40	5.8%	6	9.3%	97	10.4%
Germany	3	5.3%	42	6.1%	4	6.1%	55	5.9%
United States of Amer	2	5.1%	38	5.5%	2	2.6%	30	3.2%
China	2	5.0%	35	5.1%	3	4.2%	60	6.4%
Israel	2	3.1%	14	2.0%	1	1.8%	17	1.8%
Ukraine	1	2.5%	15	2.2%	1	2.1%	18	1.9%
Poland	1	2.3%	13	1.9%	0	0.7%	7	0.8%
Austria	1	2.2%	13	1.9%	2	2.3%	14	1.5%
OTHERS	13	27.6%	208	30.2%	24	35.2%	337	36.2%
Total	48	100.0%	688	100.0%	67	100.0%	931	100.0%

Source : Trademap

1.6.3 IT - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	180	72.5%	894	88.9%	223	82.2%	1 182	87.3%
Netherlands	39	15.6%	16	1.6%	2	0.8%	2	0.1%
China	14	5.6%	44	4.4%	21	7.6%	91	6.7%
Spain	5	2.1%	10	1.0%	2	0.9%	8	0.6%
United Kingdom	5	2.1%	34	3.4%	6	2.2%	20	1.5%
OTHERS	5	2.2%	8	0.8%	17	6.2%	51	3.8%
Total	248	100.0%	1 006	100.0%	271	100.0%	1 354	100.0%

Source : Trademap

1.6.4 IT - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	2 241	57.1%	239	7.4%	2 206	64.2%	254	9.2%
Spain	330	8.4%	234	7.3%	134	3.9%	235	8.5%
Chile	219	5.6%	351	10.9%	0	0.0%	0	0.0%
Slovenia	127	3.2%	9	0.3%	35	1.0%	7	0.3%
Argentina	108	2.8%	184	5.7%	16	0.5%	26	0.9%
Lebanon	104	2.6%	203	6.3%	173	5.0%	311	11.3%
Algeria	93	2.4%	207	6.4%	1	0.0%	17	0.6%
Malta	92	2.3%	41	1.3%	86	2.5%	50	1.8%
Hungary	48	1.2%	87	2.7%	65	1.9%	107	3.9%
Romania	45	1.2%	69	2.1%	94	2.7%	141	5.1%
OTHERS	519	13.2%	1 595	49.5%	624	18.2%	1 607	58.3%
Total	3 928	100.0%	3 219	100.0%	3 436	100.0%	2 755	100.0%

Source : Trademap

1.6.5 IT - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	3 465	35.8%	11 352	31.0%	3 040	30.2%	9 828	24.7%
Spain	1 610	16.6%	4 567	12.5%	1 442	14.3%	4 870	12.2%
Egypt	958	9.9%	2 401	6.6%	1 403	13.9%	3 777	9.5%
Croatia	743	7.7%	2 938	8.0%	627	6.2%	2 777	7.0%
Bulgaria	699	7.2%	3 176	8.7%	1 032	10.3%	4 609	11.6%
Romania	429	4.4%	1 660	4.5%	430	4.3%	1 510	3.8%
Turkey	398	4.1%	1 179	3.2%	377	3.8%	1 135	2.9%
Germany	327	3.4%	2 652	7.2%	506	5.0%	3 956	9.9%
Serbia	292	3.0%	1 337	3.6%	417	4.1%	1 651	4.2%
Poland	206	2.1%	777	2.1%	161	1.6%	637	1.6%
France	192	2.0%	1 499	4.1%	270	2.7%	1 995	5.0%
OTHERS	362	3.7%	3 100	8.5%	351	3.5%	3 029	7.6%
Total	9 680	100.0%	36 638	100.0%	10 057	100.0%	39 774	100.0%

Source : Trademap

1.6.6 IT - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	2 319	26.4%	12 417	17.6%	2 277	28.7%	13 208	18.6%
Germany	1 393	15.9%	9 005	12.8%	773	9.7%	7 244	10.2%
Spain	693	7.9%	5 179	7.4%	685	8.6%	4 732	6.7%
Belgium	502	5.7%	4 414	6.3%	562	7.1%	4 487	6.3%
Switzerland	365	4.2%	5 319	7.6%	360	4.5%	5 771	8.1%
Croatia	352	4.0%	2 643	3.8%	267	3.4%	2 973	4.2%
Poland	290	3.3%	1 360	1.9%	107	1.4%	818	1.2%
United Kingdom	274	3.1%	2 107	3.0%	274	3.5%	2 371	3.3%
Netherlands	271	3.1%	1 894	2.7%	236	3.0%	1 871	2.6%
United States of Amer	169	1.9%	2 078	3.0%	198	2.5%	2 744	3.9%
Bulgaria	140	1.6%	856	1.2%	131	1.7%	1 083	1.5%
OTHERS	2 010	22.9%	23 144	32.9%	2 058	26.0%	23 805	33.5%
Total	8 778	100.0%	70 416	100.0%	7 927	100.0%	71 107	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.3%
	Wholesalers / Merchants
	73.3%

Retail Level	Manufacturer 0.3%	Wholesaler 1.8%	Manufacturer 4.3%	Wholesaler 1.2%	Manufacturer 14.1%	Wholesaler 16.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.1%		5.5%		30.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.6%	36.6%	0.3%	1.7%	21.0%
Installers				
65.2%				

End Use Level	Manufacturer 1.7%	Wholesaler 16.4%	Internet 1.8%	DIY 3.9%	Specialist 9.9%	Installer 61.5%	Manufacturer 0.7%	Wholesaler 0.5%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 3.8%
	Residential						Non-Residential					
	95.1%						4.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.6%			64.5%			2.1%			2.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	17.5%		13.2%	2.9%		61.6%	1.5%		0.5%	1.6%		1.2%

1.7.2

Route to Market: Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.6%
	Wholesalers / Merchants
	73.6%

Retail Level	Manufacturer 0.4%	Wholesaler 2.1%	Manufacturer 4.1%	Wholesaler 1.1%	Manufacturer 13.8%	Wholesaler 17.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.5%		5.2%		30.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.7%	36.8%	0.4%	1.6%	21.0%
Installers				
65.5%				

End Use Level	Manufacturer 1.5%	Wholesaler 16.0%	Internet 2.1%	DIY 3.6%	Specialist 9.9%	Installer 61.9%	Manufacturer 0.9%	Wholesaler 0.5%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 3.6%
	Residential						Non-Residential					
	95.1%						4.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	31.7%			63.3%			2.9%			2.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	19.0%		12.7%	2.9%		60.5%	2.2%		0.7%	1.2%		0.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

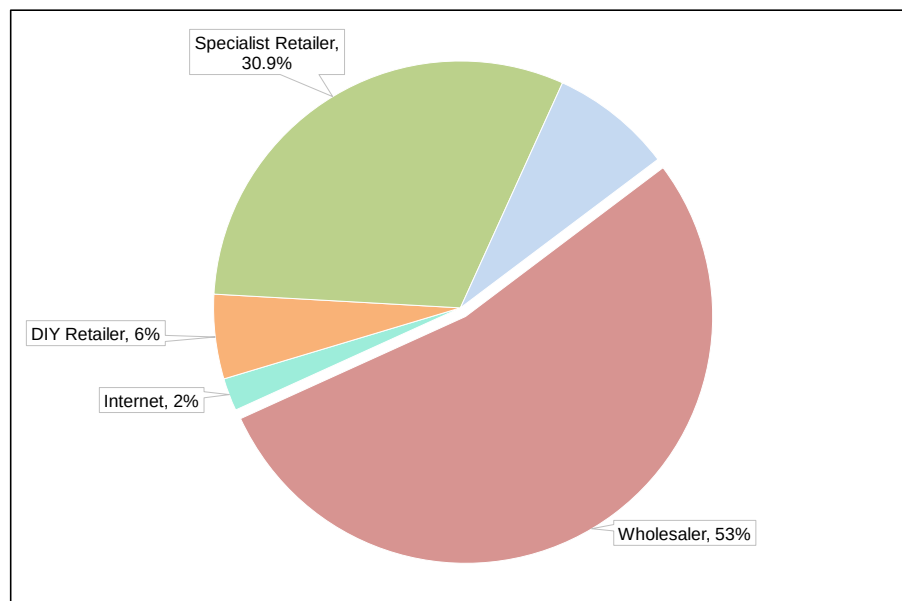
1.7.3 Route to Market - Consolidated View : Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
53.5%	2.1%	5.5%	30.9%	7.9%	20.4%	3.2%	74.7%	1.7%
100%					23.5%		76.5%	

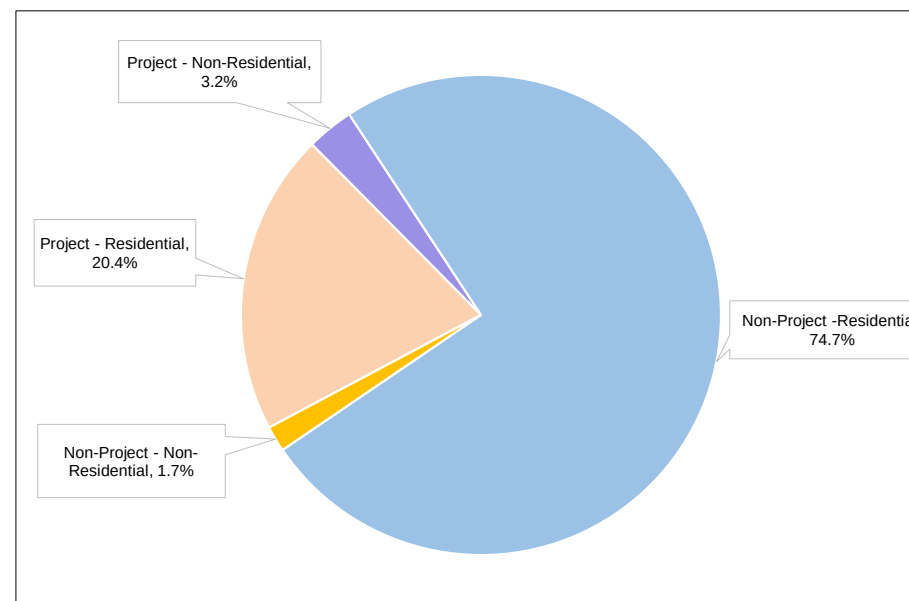
1.7.4 Route to Market - Consolidated View : Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
53.3%	2.4%	5.2%	30.9%	8.2%	21.9%	3.3%	73.2%	1.6%
100%					25.2%		74.8%	

IT - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.3%
	Wholesalers / Merchants
	80.3%

Retail Level	Manufacturer 0.5%	Wholesaler 2.4%	Manufacturer 5.3%	Wholesaler 2.9%	Manufacturer 10.7%	Wholesaler 17.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.9%		8.2%		28.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.1%	40.1%	0.4%	2.5%	19.1%
Installers				
64.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	16.9%	2.4%	5.7%	9.0%	60.8%
	Residential					
	95.6%					
	New Build		Residential RMI			
	13.0%		82.6%			
	Project	Non-Project	Project	Non-Project		
	7.4%	5.6%	3.7%	78.9%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.5%	0.0%	0.0%	0.0%	3.5%
Non-Residential					
4.4%					
New Build		Non-Residential RMI			
1.8%		2.5%			
Project	Non-Project	Project	Non-Project		
1.4%	0.5%	1.5%	1.1%		

1.7.6

Route to Market: Shower Trays
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	82.4%
	Wholesalers / Merchants
	82.4%

Retail Level	Manufacturer 0.6%	Wholesaler 2.7%	Manufacturer 5.1%	Wholesaler 2.8%	Manufacturer 9.1%	Wholesaler 17.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.3%		7.9%		26.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	41.2%	0.5%	2.4%	17.9%
Installers				
63.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.9%	18.0%	2.8%	5.5%	8.4%	59.9%
	Residential					
	95.5%					
New Build			Residential RMI			
12.7%			82.8%			
Project	Non-Project		Project	Non-Project		
7.6%	5.1%		3.7%	79.1%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.5%	0.0%	0.0%	0.0%	3.8%
Non-Residential					
4.5%					
New Build			Non-Residential RMI		
2.6%			1.8%		
Project	Non-Project		Project	Non-Project	
2.0%	0.7%		1.0%	0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

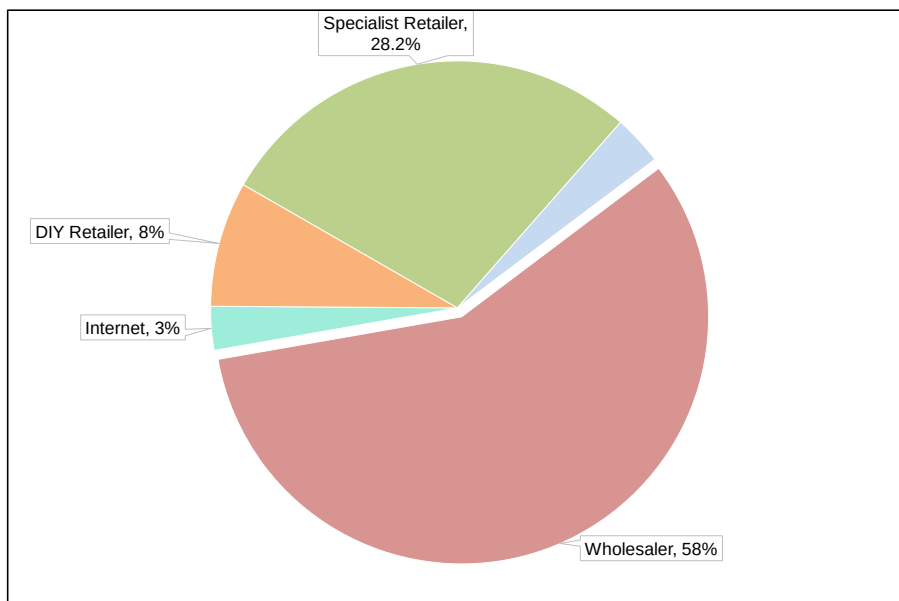
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
57.5%	2.9%	8.2%	28.2%	3.3%	11.1%	2.8%	84.5%	1.6%
100%					14.0%		86.0%	

1.7.8 Route to Market - Consolidated View : Shower Trays

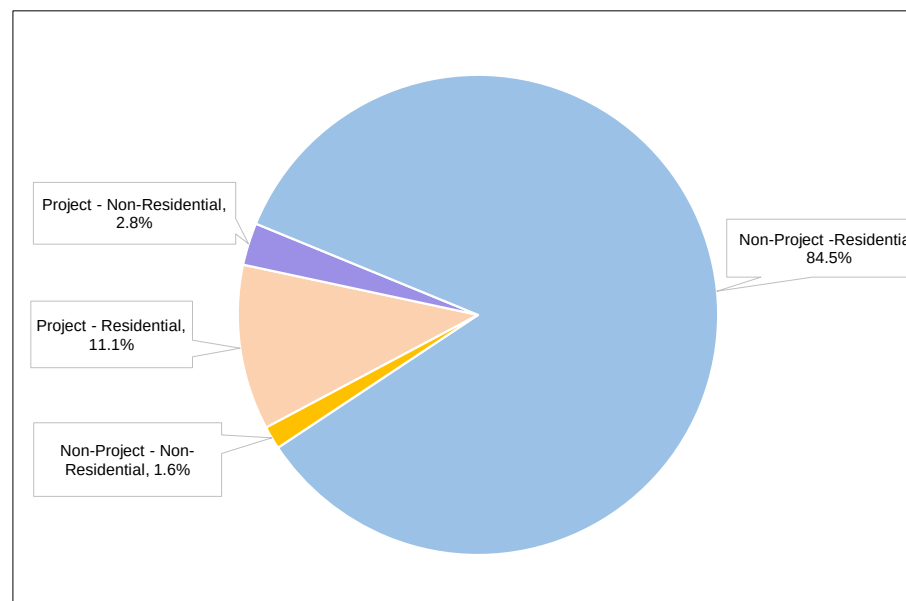
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.7%	3.3%	7.9%	26.3%	2.8%	11.3%	3.0%	84.2%	1.5%
100%					14.4%		85.6%	

IT - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



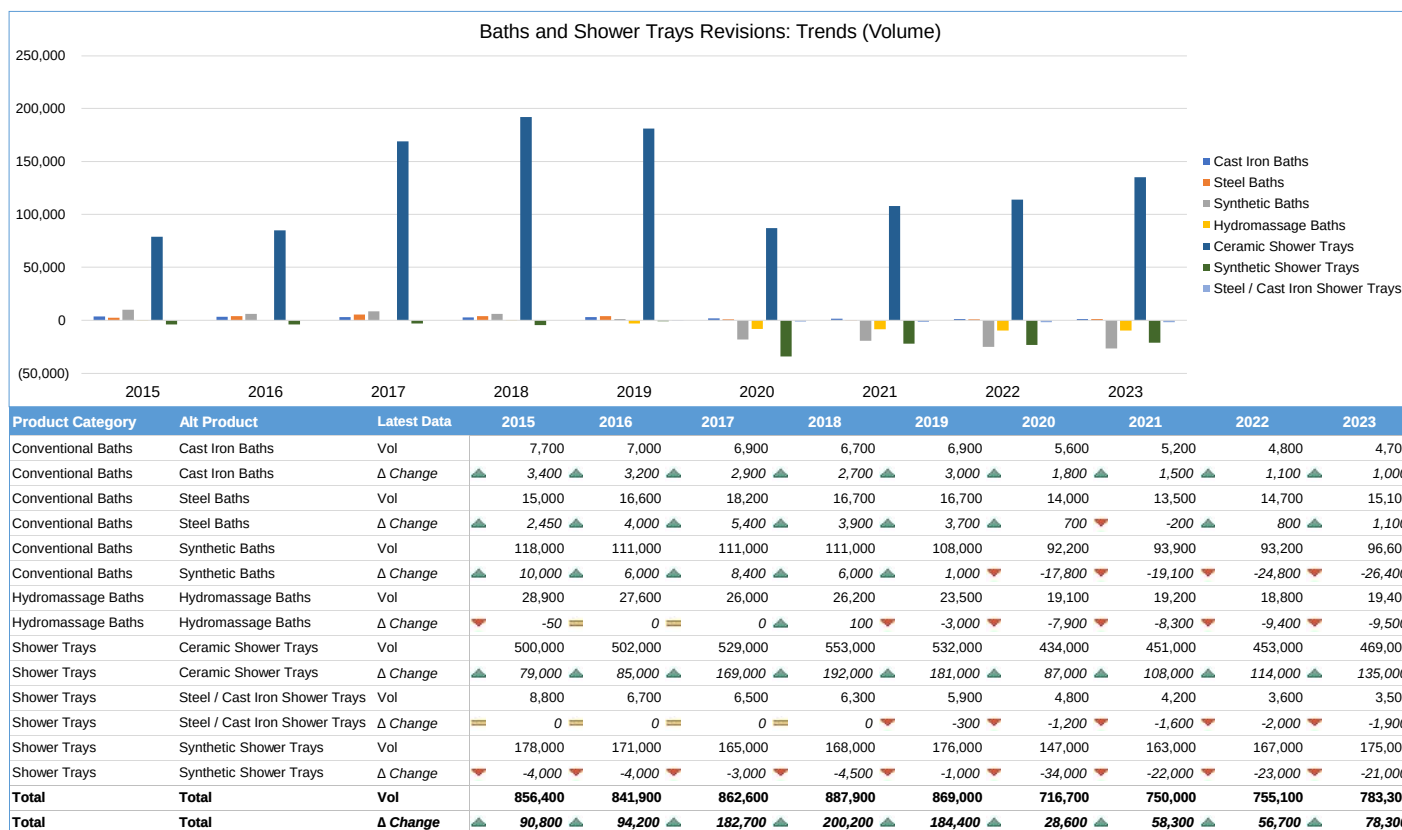
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Italian Baths and Shower Trays Market (April 2020)

IT - REVISIONS IN THE ITALIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



A significant upward revision was made to the market size for cast iron baths. Whereas sales of standard drop-in baths have been decreased strongly over the last decade, the cast iron bath market is today developing into a luxury segment, consisting predominantly over freestanding models. BRG identified a number of players which were previously not included, such as DEVON & DEVON, BATH & BATH, BLUE PROVINCE and VIADURINI. The latter two companies were only established a few years ago but have gained share year-by-year. All players produce these baths locally in Italy.

Following newly received manufacturers sales figures, including historical years, revisions were made to the market size for steel baths. Although steel baths have suffered dramatic losses over the last two decades, since the market has developed in favour of showers and synthetic baths, the decline was previously overstated and has now been corrected.

The market size for synthetic baths and hydromassage baths was revised up to account for rising Chinese imports, such as the ones sold through DIY stores. As with other segments of the Italian bathroom market, supply on Italian market has changed in favour of imports rather than domestic supply. A trend that can be seen in Italy is that many DIY stores, especially international chains, are increasingly offering private label rather than promoting leading brands.

In addition, the MSP for cast iron baths was revised up due to the inclusion of the newly identified brands which predominantly go into the upper/ luxury price segment of the market, with retail prices starting from €4,000. The MSP for synthetic baths were revised due to a shift of volumes sold into the economy/ lower price segment rather than the middle price segment, affecting the overall MSP. This is, in turn, due to rising imports of Chinese imports which are predominantly aimed at the lower price segments. Following industry feedback, the MSP for hydromassage bath were revised up as prices were considered to be too low.

The market size for ceramic shower trays was revised both historically and all forecast years following more detailed analysis of official statistics. Please refer to the Ceramic Sanitary section for the reason behind this revision.

A minor revision was made to the market size for steel shower trays for 2019 as the market performed not as well as previously indicated.

Following input from manufacturers, some minor downward revisions were made to the market size for synthetic shower trays.

In addition, following revisions in sales per price segment, the MSPs for all types of shower trays were revised.

ITALY

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian sanitary ware market is the largest of the bathroom product segments, and among the most mature, incorporating ceramic sanitary ware (CSW) and exposed/concealed plastic cisterns. Ceramic sanitary ware in turn includes WCs, washbasins, bidets and other products. In recent years, the general market trend has favoured WCs and other ceramic sanitary ware, such as shower trays and bidets, as the most popular sub-segments. Due to the maturity of the market, sanitary ware relies mostly on housing RMI sales, in turn dependent on the general macroeconomic trend of the country. New construction is also a key driver, especially in ceramic sanitary ware and concealed plastic cisterns, which are both popular categories in new housing.

For WCs, wall hung models have progressively grown in popularity as they facilitate bathroom floor cleaning and are generally associated with better design and quality. Bidets follow WC sales relatively closely and have traditionally been a very popular product in all households; however, the gap is currently widening between WC and bidet sales as apartments become smaller and space becomes limited. Ceramic shower trays make up the bulk of other ceramic sanitary ware, but have faced stiff competition from cast iron, steel and synthetic substitutions in recent years, as a result of the various disadvantages of ceramic, such as heaviness and fragility.

The cistern product mix has generally seen a shift away from exposed plastic cisterns and towards the more popular concealed, in increasingly elaborate designs and shapes. There is strong evidence of regional preference, with the southern regions favouring more the external cisterns, of ceramic rather than plastic and often in a mono-block formation, whereas the northern ones prefer concealed models. Significant shifts in trends like this have had a large effect on the product mix in recent years; an example is the increasing popularity of base units as opposed to half and full pedestals, which continued in recent years.

Recent Market Trends

The substantial growth in washbasins sales may be attributed to the higher degree of replacement of the pampering area as well as the demand for non-ceramic alternatives such as Corian and steel, which are gaining popularity. Ceramic shower trays sales declined due to the rise in preference for synthetic materials.

The same degree of growth has been observed for WC that urinals and bidets have enjoyed, with demand remaining rather stable due to the moderate rate of replacement sales. Nonetheless, in the product mix, wall-hung toilets continue to gradually increase their share, and an increasing number of rimless toilets from manufacturers such as CATALANO , GEBERIT (POZZI), and IDEAL STANDARD are being pushed in the Italian market, with increased success over the last few years.

Shower trays and bidets continue to dominate the other CSW product mix and the decline of bidets may be delayed further in the future as consumers, installers and contractors continue to not opt for space-saving alternatives in new housing. Therefore WC-bidet combination products (“bidet seats”, or “shower toilets”), such as those launched by GEBERIT, remain a niche market. Countertop washbasins continued to count for the bulk of washbasins sales in 2019, recording a sharp increase, also including inset and semi-recessed washbasins.

Prices and Market Values

The market value for ceramic sanitary products increased in 2019, due to the overall rise in volume sales, while the average MSP decreased in 2019, in comparison to 2018. Prices for hand washbasins continued to increase in 2019, even though other CSW, WCs and concealed plastic cistern recorded a slight increase of MSP in 2019.

The average MSP of WCs increased in 2019, due to the fast uptake in recent years of wall-hung and rimless models that have a higher MSP than other traditional models – and despite the fact that they are now increasingly offered through the DIY channel and, but to a lesser extent, the internet channel. In fact, this led to an increase of the economy and lower segment in 2019.

As regards concealed plastic WC cisterns, they are more often installed based on the ease and speed of installation, as well as aesthetic criteria. Prices of such models are consistently higher than those of exposed cisterns. This is mostly due to the fact that their average MSP also includes their relatively expensive installation modules. The average MSP increased in 2019.

Within the Other CSW product category, the average MSP increased, driven by the rise of utility/laundry sinks in 2019.

New Housing

Due to their centrality in the bathroom and the high number of dwellings that are equipped with two or more bathrooms, the penetration of WC and washbasin products has remained relatively high in new housing in Italy. A typical new house has a shower tray, a bidet, one or two WCs, and usually two washbasins.

Cisterns are closely tied to WCs for new housing, with an average of around 1.3 cisterns per new dwelling. Concealed plastic cisterns remain by far the most popular type in new housing, confirming the ever-increasing preference of consumers for the more minimalist design that the concealed cistern presents.

Housing RMI

The Italian sanitary ware market is mature and, as such, relies on housing RMI for most of its sales – and this should continue in the coming years. Other ceramic

sanitary ware is one the most replaced product type, due primarily to the large park of ceramic shower trays and bidets in existing dwellings. In term of volume, WCs account of the bulk of replacement with a high reliance on the replacement segment, as a WC breakage tends to require immediate replacement.

The relative share of concealed and exposed cisterns is much closer in renovation than in new housing to the higher park of exposed cisterns, the predominance of like-for-like replacement and the slow penetration of the concealed alternative, which might necessitate dry wall installation. Thus, exposed cisterns have the highest share of sales in the RMI segment, reflecting the maturity of the market.

Non-Housing

The hospitality and health sectors remain the main sources of demand within the non-housing market. There is a relatively large market in offices and commercial buildings for WCs and washbasins, allowing those market to count for the bulk of sales. In new non-housing constructions, wall-hung toilets and concealed cisterns are becoming the default choice, while bidets and ceramic shower trays increased due the interest in the ceramic product variants.

Supply Structure

The Italian ceramic sanitary ware market is led by several multinational manufacturers, such as IDEAL STANDARD, GEBERIT, and DURAVIT, which provide a wide variety of products. They share the market with long-established specialists in the ceramic industry that are primarily based in the Civita Castellana district and include names such as CERAMICA GLOBO, CERAMICA GALASSIA, and CERAMICA FLAMINIA.

In terms of market players in 2019, GEBERIT (POZZI) has continued to meet successfully the taste of Italian consumers, through a constant diversification of products and a higher degree of personalisation, as well as an effective pricing strategy. Moreover, players operating in both the lower and upper price segments have succeeded in widening their market presence as GLOBO and CATALANO also seemed to have performed well, whereas DURAVIT, focussing on the high-end segments, continued to lose share. Remarkable in a market that is very much fragmented is the success of RAK CERAMICS (RAK), which has continued to consolidate its presence in the Italian sanitary ware market, and further erodes the positions of domestic manufacturers.

Beyond the acquisition of CERAMICA CIELO by the MITTEL group, amongst foreign players in the market, RAK is notable and has managed to consolidate its market presence with aggressive pricing strategies.

No major changes have been observed in the plastic cisterns market, which is considerably less fragmented than the ceramic sanitary ware market, with OLI and GEBERIT dominating the exposed and concealed markets respectively, thus constraining any development in price and distribution. In the context of the

concealed cistern market, the overall market is steadily growing – due to increased product research and innovation that matches consumer needs. Such success has been further fuelled by product development around the mechanism of the plate, which in most cases is becoming the main ground of choice for the cistern (acquisto abbinato). Most players in the exposed cistern market could only retain market share in 2019 as demand continued to drop.

The focus of DIY chains on showrooms and internet channels at the expense of the showroom continued in 2019, driven by consumer demand for wider availability of choice, easy acquisition and the possibility of personalisation, with manufacturers such as GEBERIT (POZZI) and RAK CERAMICS (RAK) placing a greater importance on these growing channels and finding a good degree of success. The DIY channel is currently witnessing a strong expansion, with more outlets and better after-sales assistance, transportation and installation option services. The channel is noticeably targeting installers who normally purchase wholesale, and many installers are switching as a result. The showroom market saw a further consolidation in 2019, due to the preference of the consumer to direct the product choice, with some manufacturers being more closely associated and DIY leading the way in an attempt to enter the showroom channel with a higher quality product line. Notably, RAK has further strengthened its foothold, as well as POZZI following the acquisition by GEBERIT– further enhancing the attention on developing higher cost/quality products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

From 2021 onwards, BRG expects a rise in the demand of total sanitary ware products for the forecast period, with demand for RMI driving the market. The improvement of new build construction and non-housing performance from 2023 onwards should boost further the growth of the market.

The product mix is expected to shift relatively rapidly away from wall hung WCs and concealed cisterns. It is expected that new products such as rimless WCs and shower toilets (also referred to as ‘bidet seats’) will increase their presence on the Italian market, although these are expected to remain niche products during the forecast period.

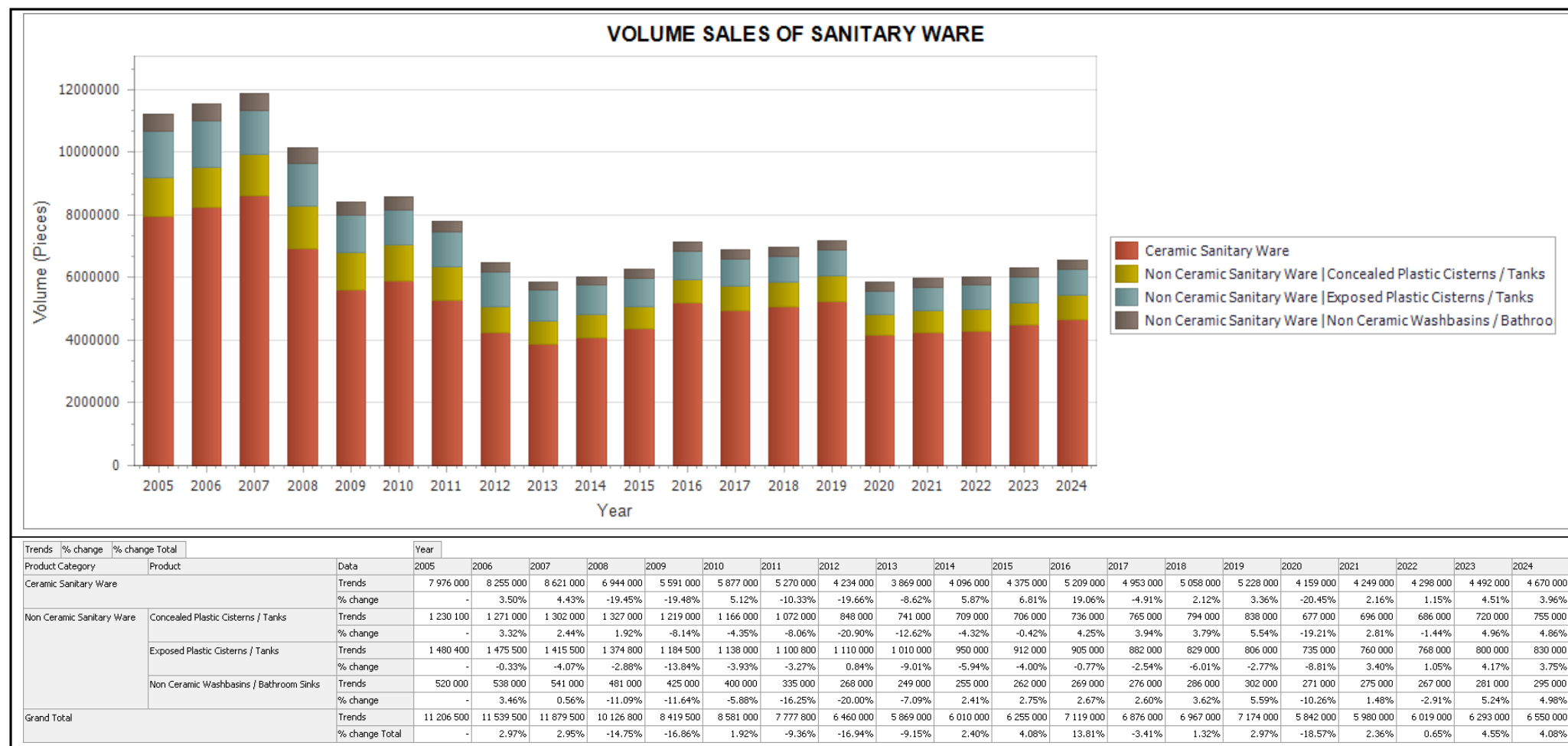
As with most bathroom products, the outlook for the distribution structure is a growth in DIY and internet sales, as the service offered by DIY chains improves and more and more installers switch from wholesale. Along with such a trend, it is

expected that manufacturers will increase their reliance on showroom sales as products increasingly combine design with innovation as well as increase the final end-use consumer engagement in the choice of the product, thus bypassing the installer in the choice and purchasing phases.

These are expected to be the main factors influencing the development of average prices in years to come, with a continued light drop in overall prices driven by increasing sales through DIY, somewhat compensated by consumers buying more from the upper and medium price segments, due to greater attention to quality and the durability of products.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

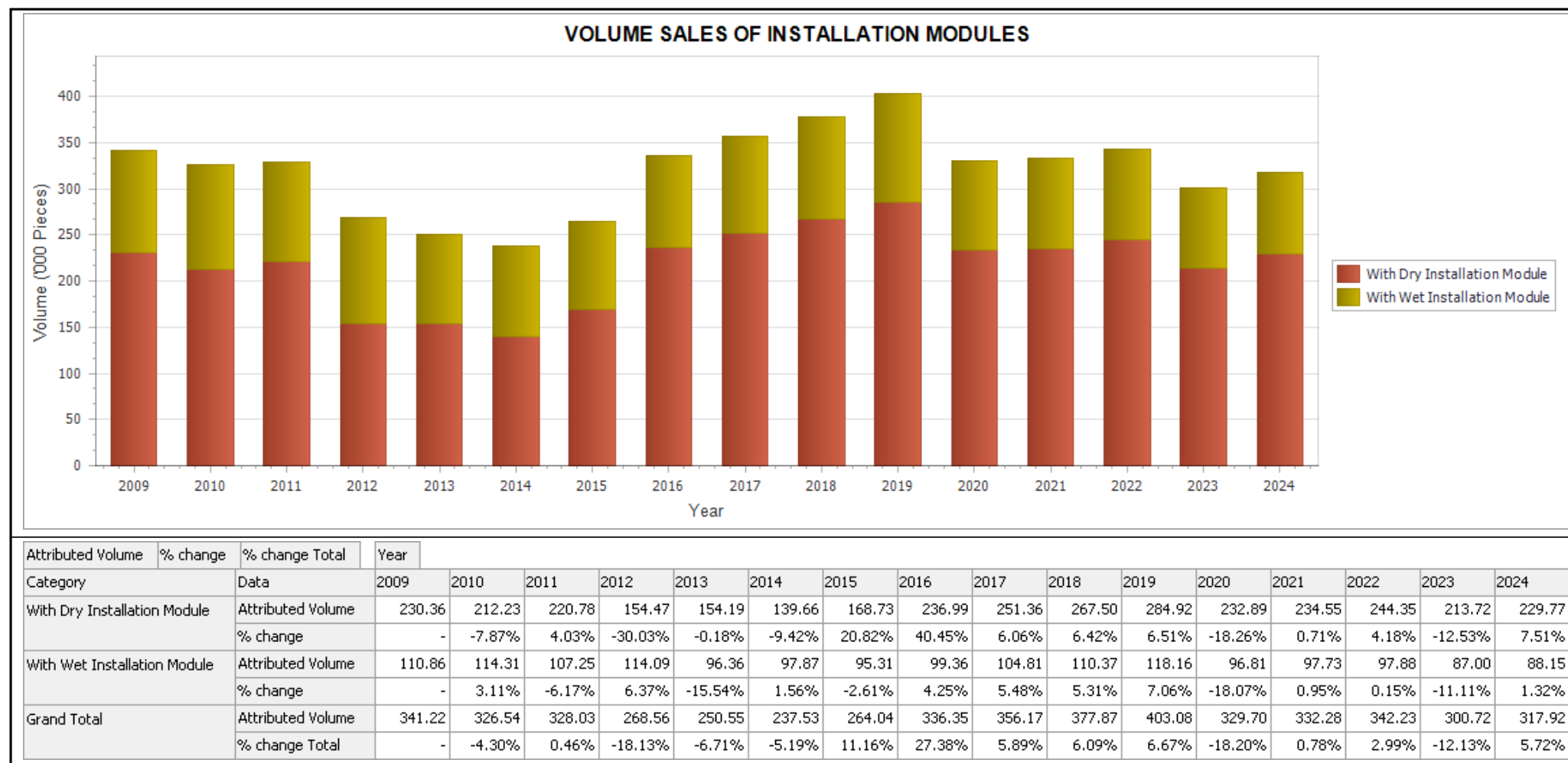
IT - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

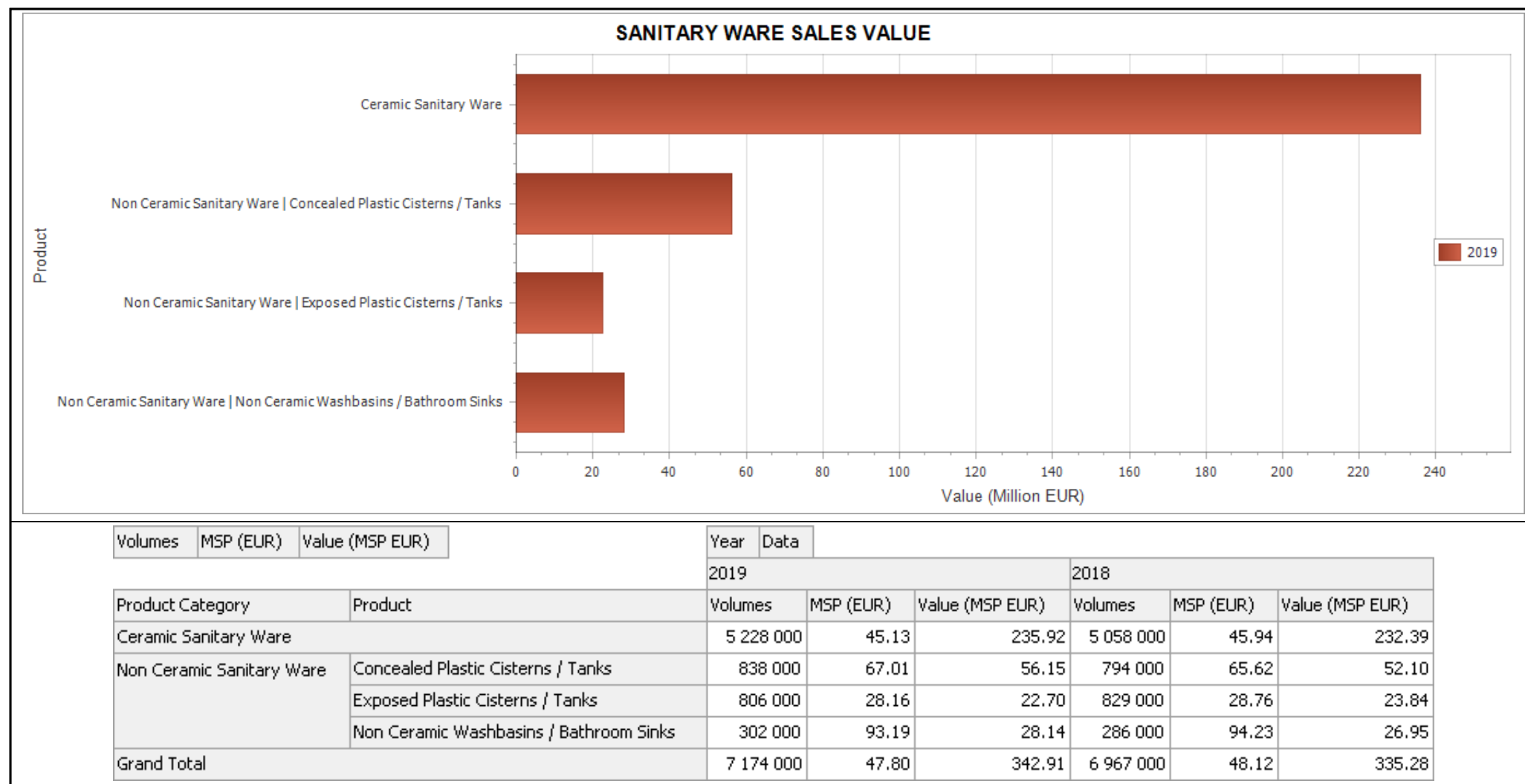
IT - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

IT - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

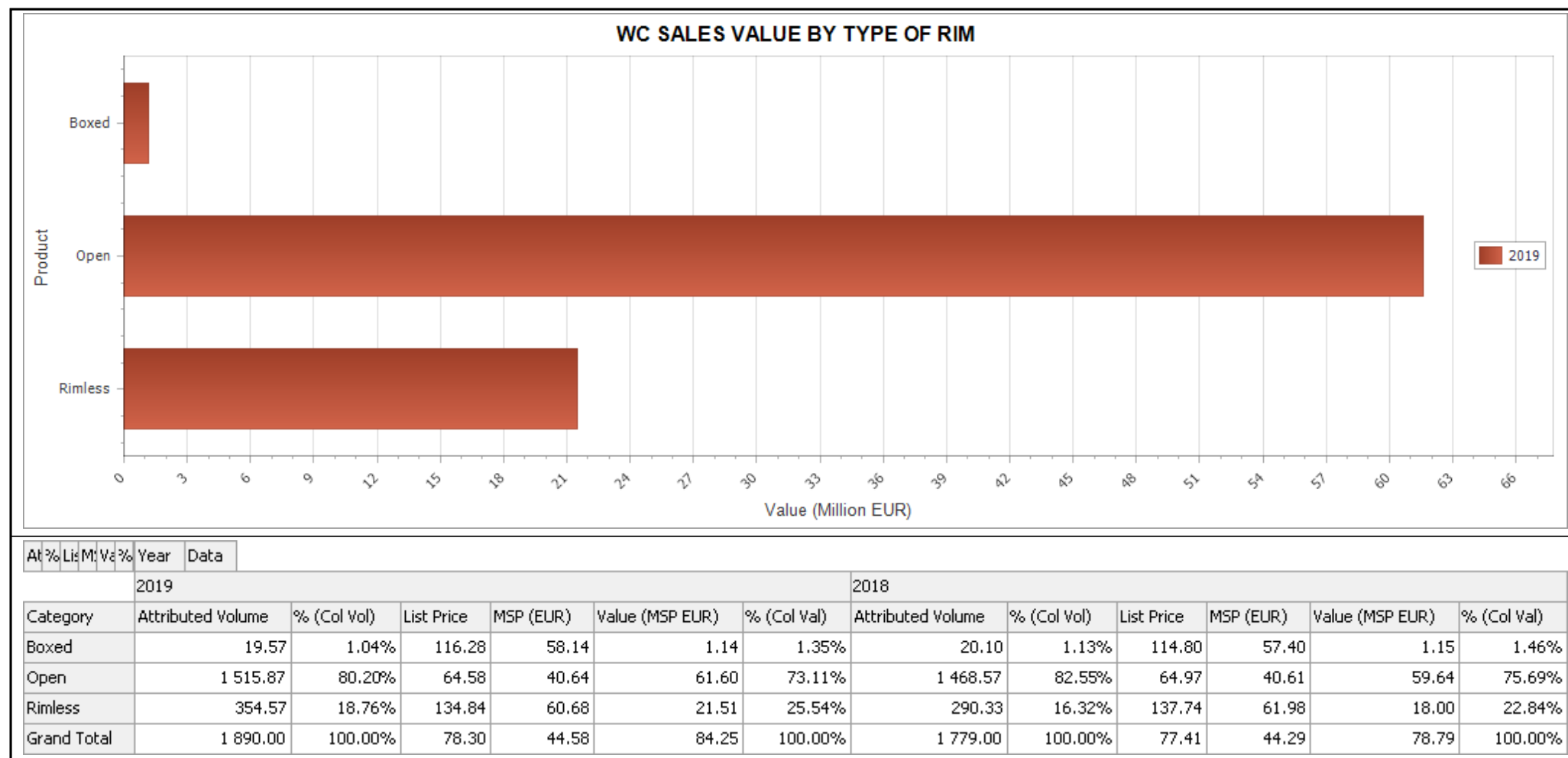
IT - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2019								2018					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	454.05	35.42%	154.53	69.54	31.57	50.05%	405.85	33.54%	156.67	70.50	28.61	47.35%
	Hand Washbasins	90.25	7.04%	37.38	18.69	1.69	2.67%	85.91	7.10%	40.40	20.20	1.74	2.87%
	Inset Washbasins	81.61	6.37%	122.76	55.24	4.51	7.15%	73.47	6.07%	125.89	56.65	4.16	6.89%
	Pedestal Washbasins	279.99	21.84%	70.48	35.24	9.87	15.64%	267.89	22.14%	76.48	38.24	10.24	16.95%
	Semi-Recessed Washbasins	45.41	3.54%	174.78	78.65	3.57	5.66%	40.59	3.35%	167.69	75.46	3.06	5.07%
	Undermount Washbasins	36.10	2.82%	142.98	64.34	2.32	3.68%	34.36	2.84%	140.73	63.33	2.18	3.60%
	Wall Hung Washbasins	294.60	22.98%	72.11	32.45	9.56	15.15%	301.93	24.95%	76.76	34.54	10.43	17.26%
Other CSW	Bidets	863.19	41.98%	81.93	36.87	31.82	32.55%	846.53	40.92%	80.07	36.03	30.50	30.92%
	Close-Coupled Cisterns	270.25	13.14%	50.33	22.65	6.12	6.26%	276.14	13.35%	52.24	23.51	6.49	6.58%
	Kitchen Sinks	11.80	0.57%	230.47	110.69	1.31	1.34%	11.40	0.55%	225.44	108.26	1.23	1.25%
	Others	5.84	0.28%	55.21	26.50	0.15	0.16%	5.88	0.28%	52.49	25.20	0.15	0.15%
	Pedestals & Half Pedestals	295.45	14.37%	42.18	18.98	5.61	5.73%	300.10	14.50%	44.93	20.22	6.07	6.15%
	Shower Trays	532.00	25.88%	207.99	96.26	51.21	52.37%	553.00	26.73%	206.27	95.38	52.74	53.47%
	Urinals	13.33	0.65%	80.10	41.65	0.56	0.57%	13.59	0.66%	76.98	40.03	0.54	0.55%
WCs / Toilets	Utility / Laundry Sinks	64.15	3.12%	34.84	15.68	1.01	1.03%	62.36	3.01%	32.31	14.54	0.91	0.92%
	Close-Coupled WC Bowls	150.82	7.98%	79.00	39.50	5.96	7.07%	146.59	8.24%	80.07	40.04	5.87	7.45%
	Floor Standing WC Bowls	803.63	42.52%	43.05	27.98	22.49	26.69%	784.90	44.12%	46.29	30.09	23.62	29.97%
Wall Hung WC Bowls		935.55	49.50%	108.45	59.65	55.80	66.24%	847.52	47.64%	105.78	58.18	49.31	62.58%
Grand Total		5 228.01	100.00%	95.52	46.89	245.12	100.00%	5 058.01	100.00%	95.89	47.03	237.85	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

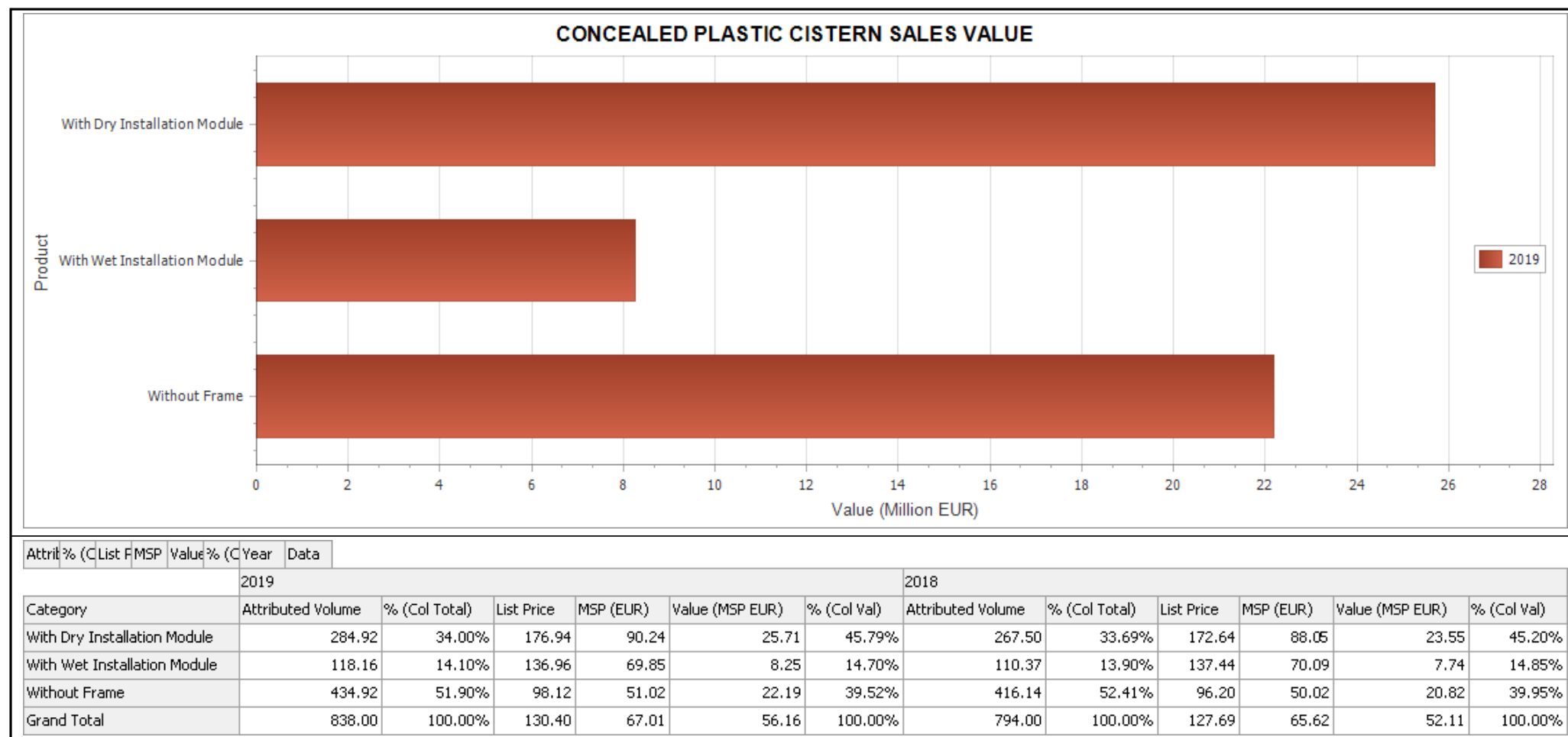
IT - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

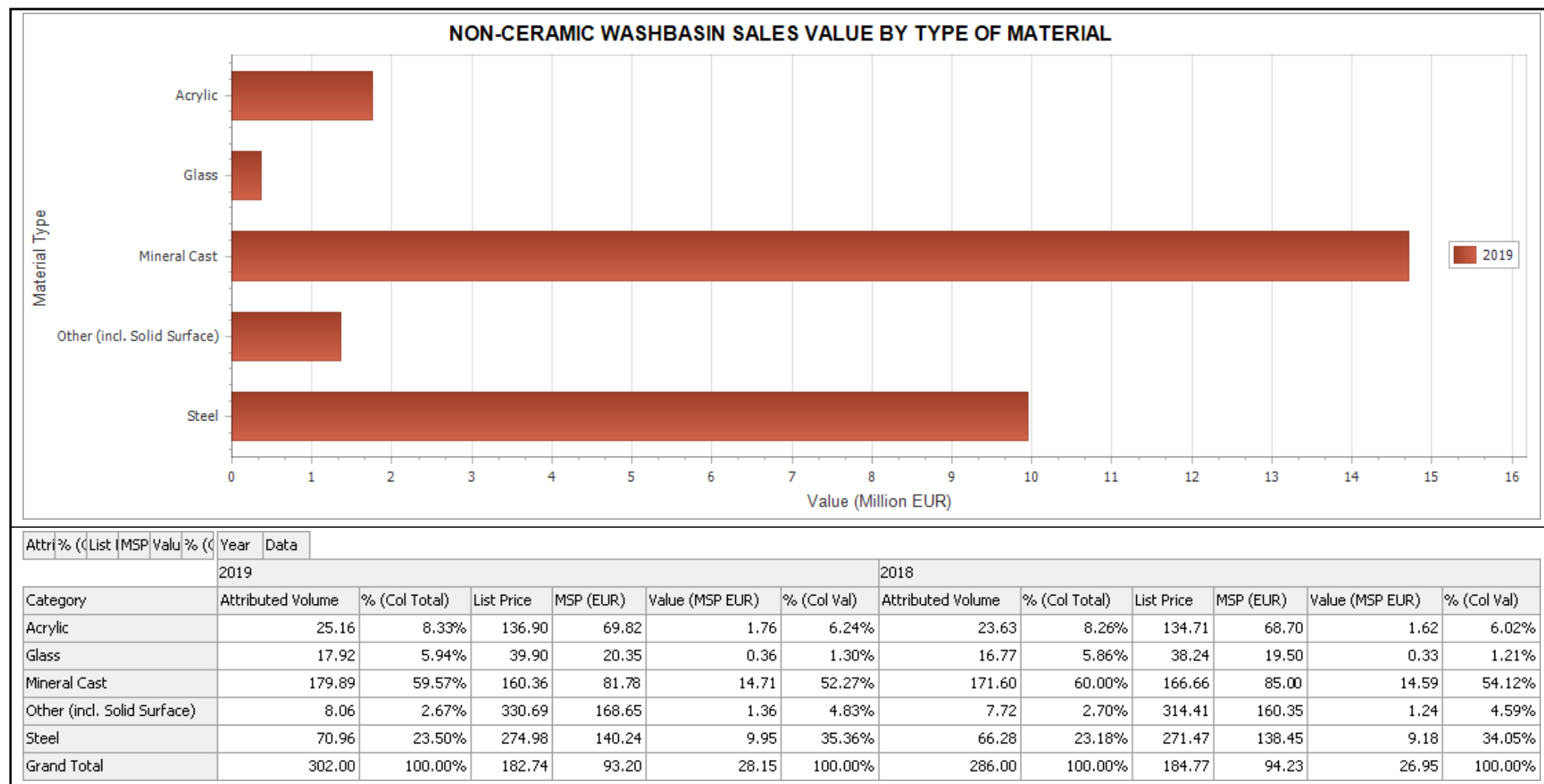
IT - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

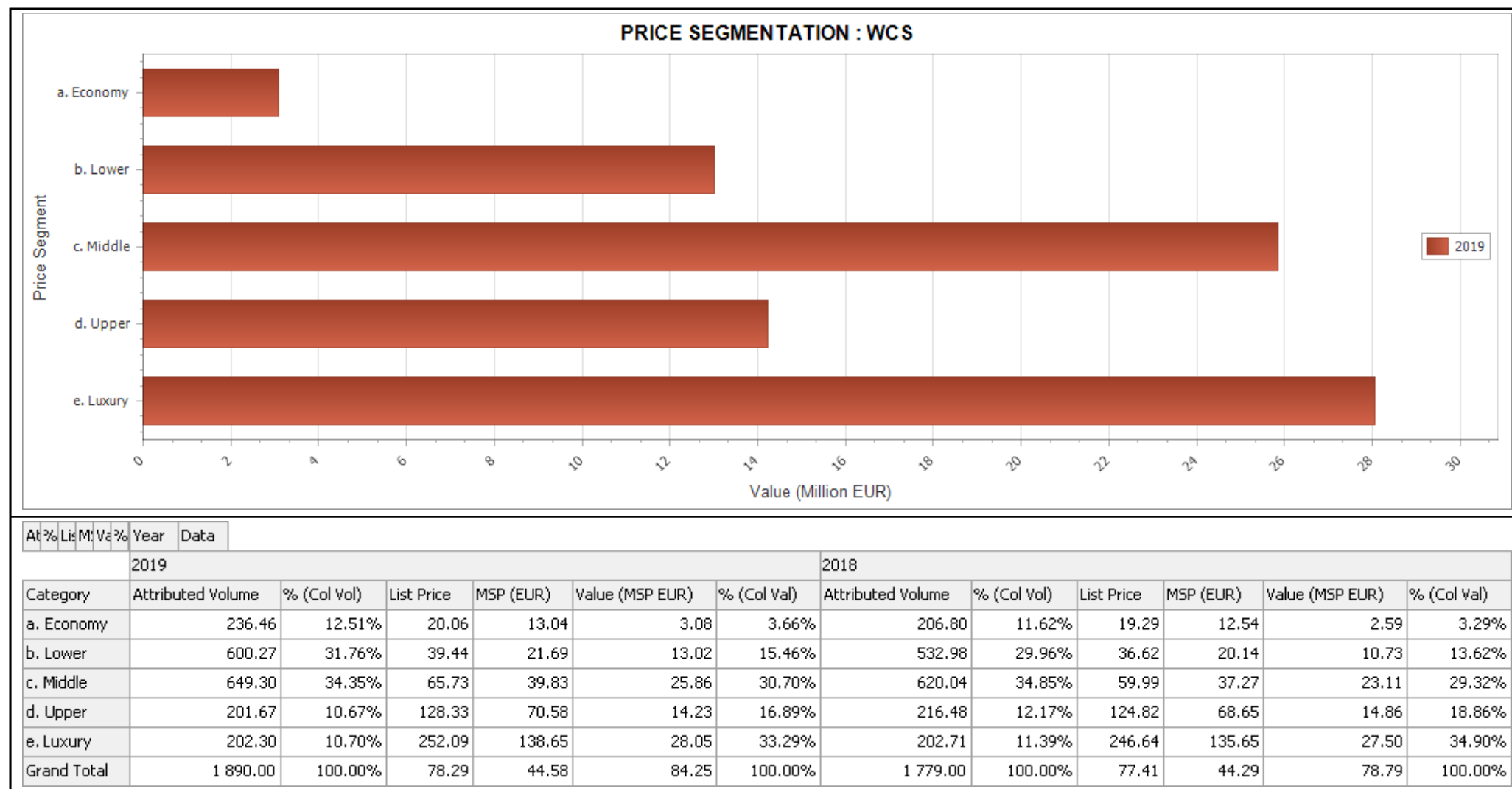
IT - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

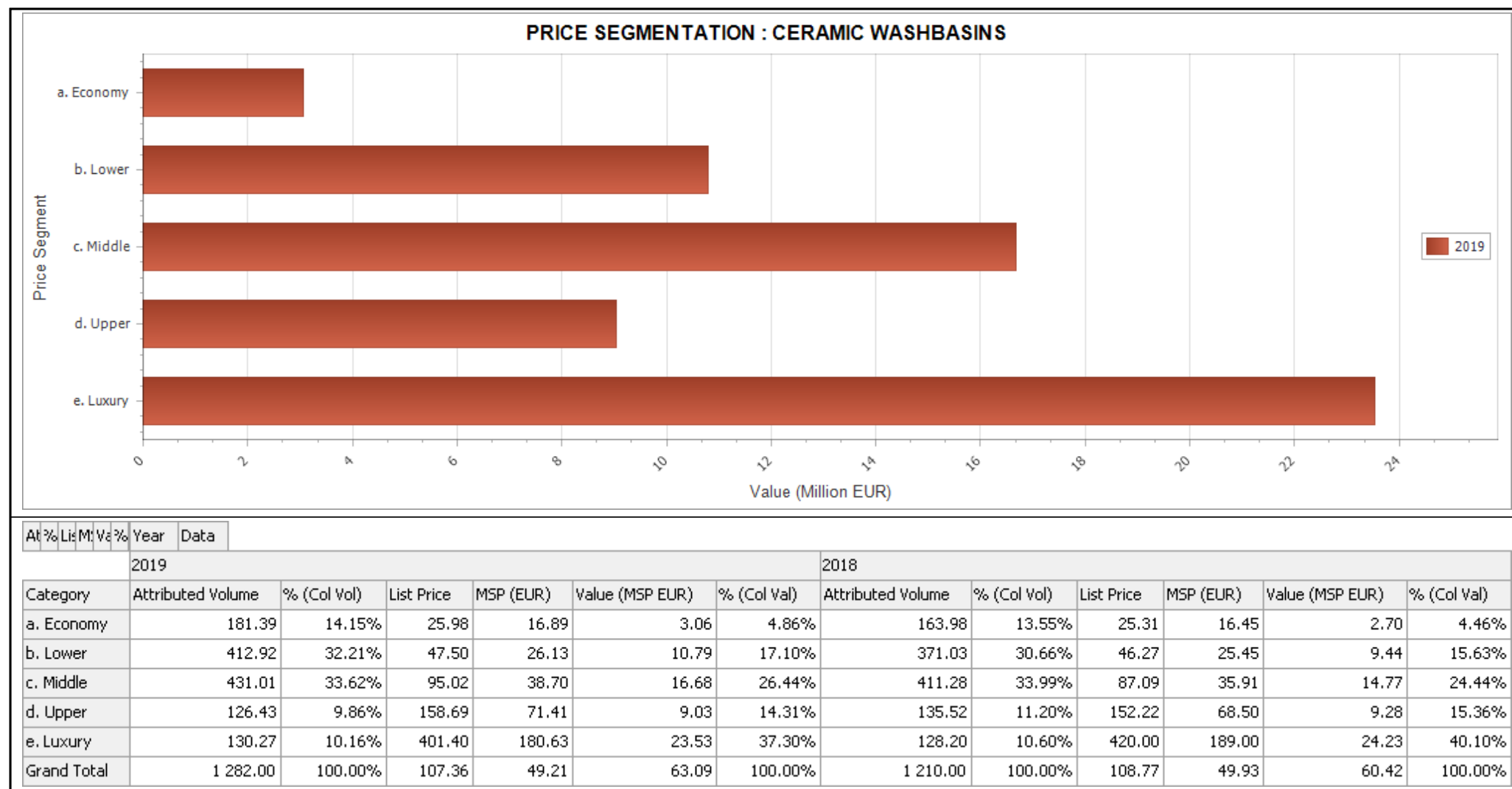
IT - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80, Luxury >€80

2.3.7 Price Segmentation : Ceramic Washbasins

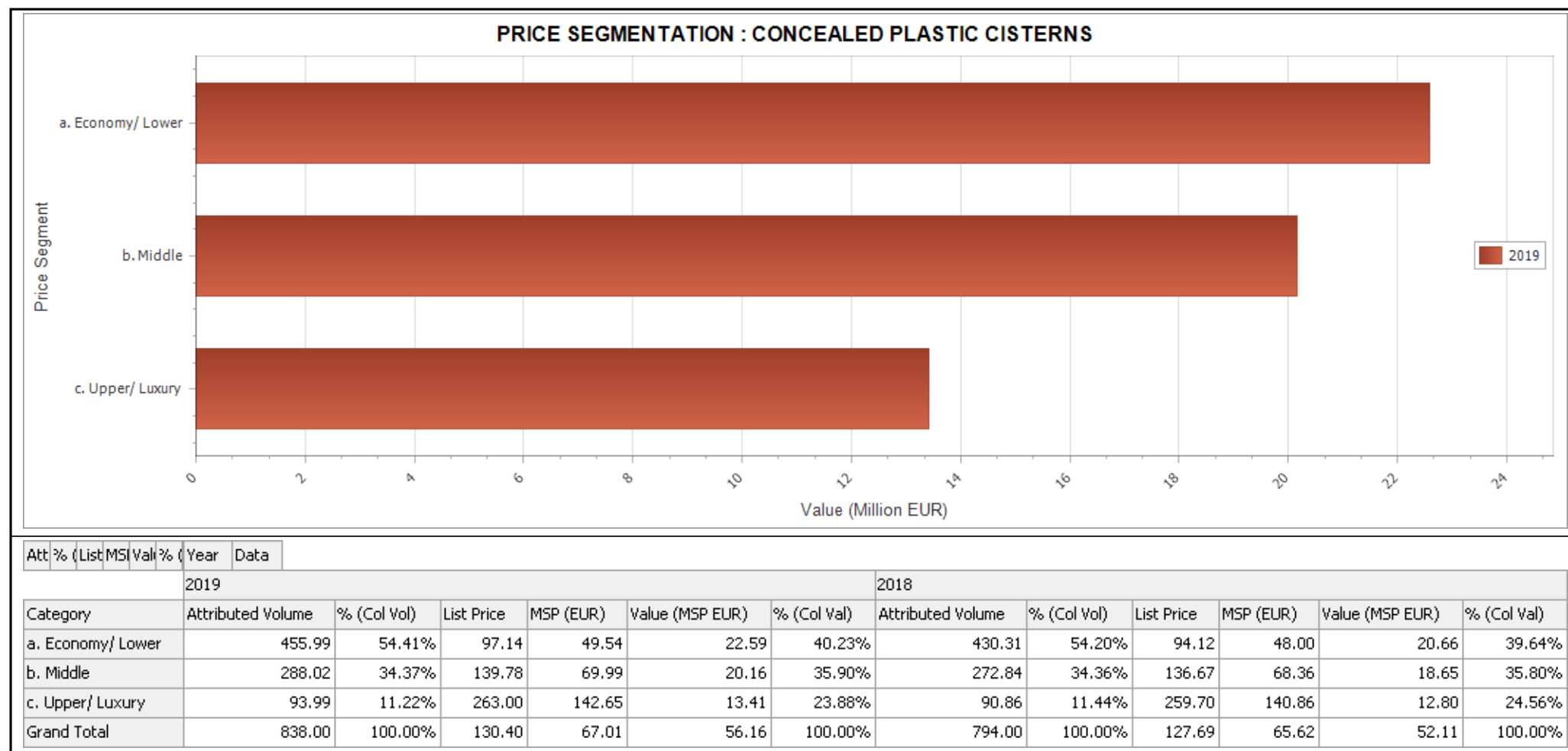
IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€100, Luxury >€100

2.3.8 Price Segmentation : Concealed Plastic Cisterns

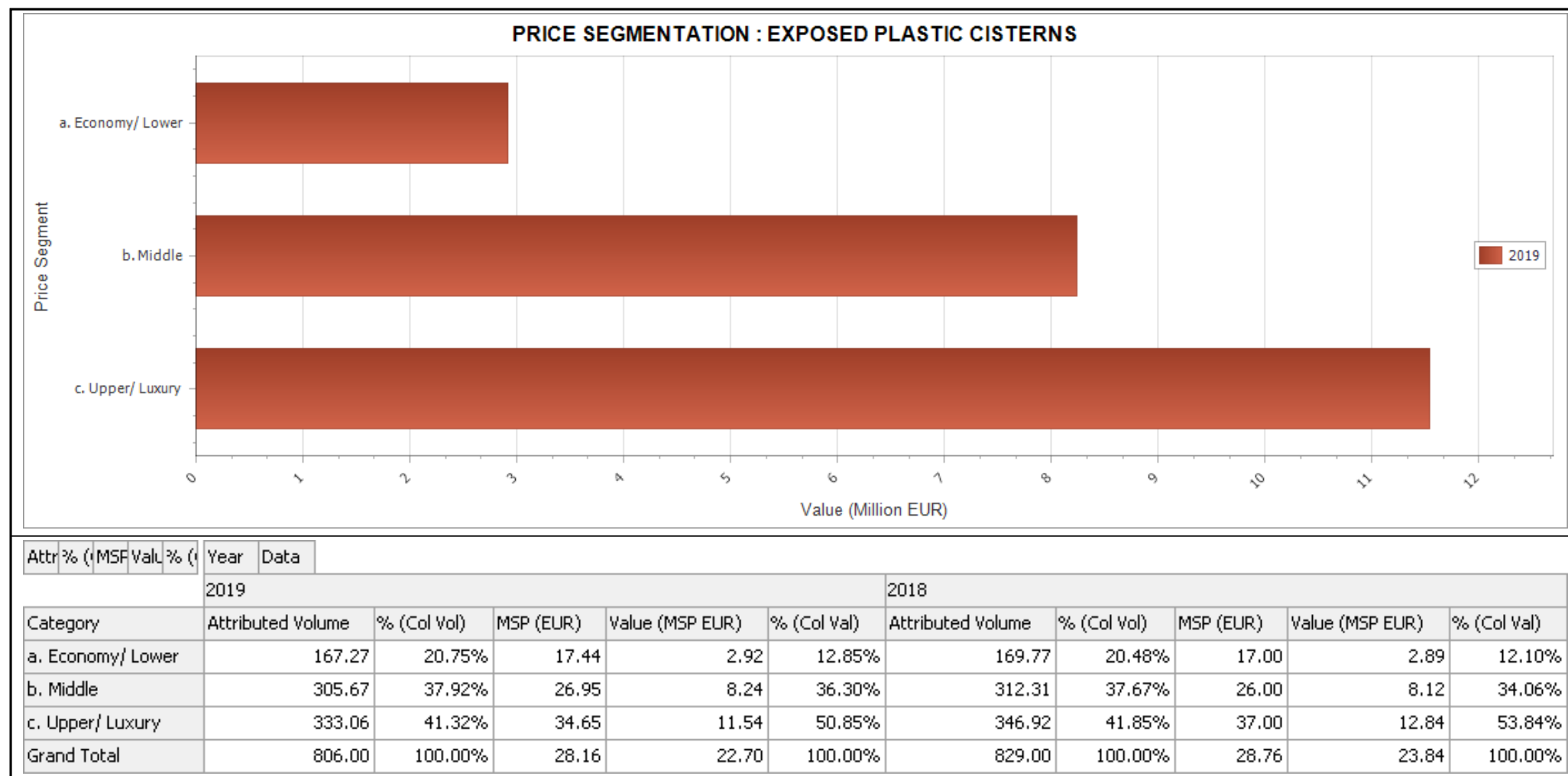
IT - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

2.3.9 Price Segmentation : Exposed Plastic Cisterns

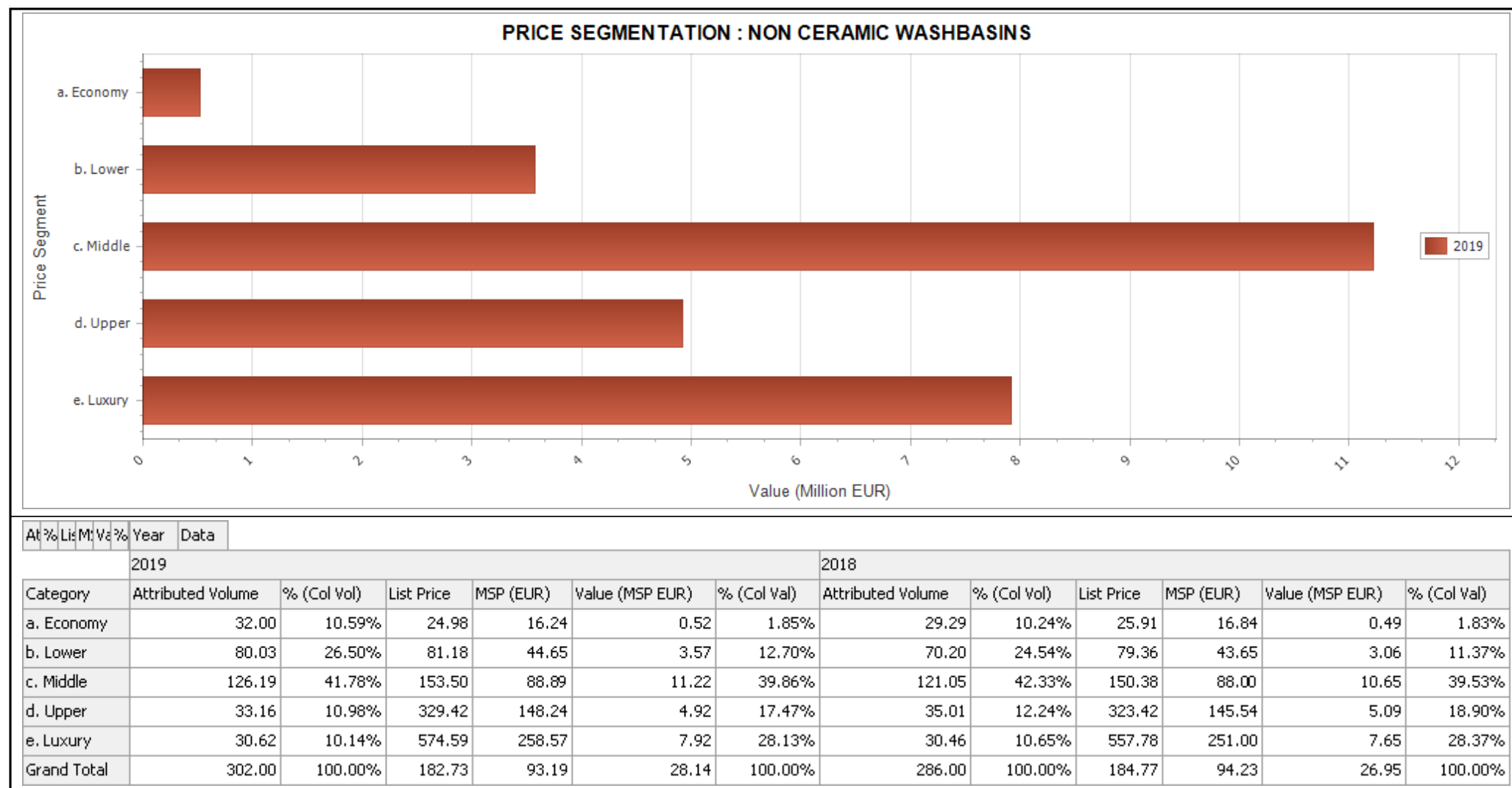
IT - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€30, Upper/ Luxury >€30

2.3.10 Price Segmentation : Non Ceramic Washbasins

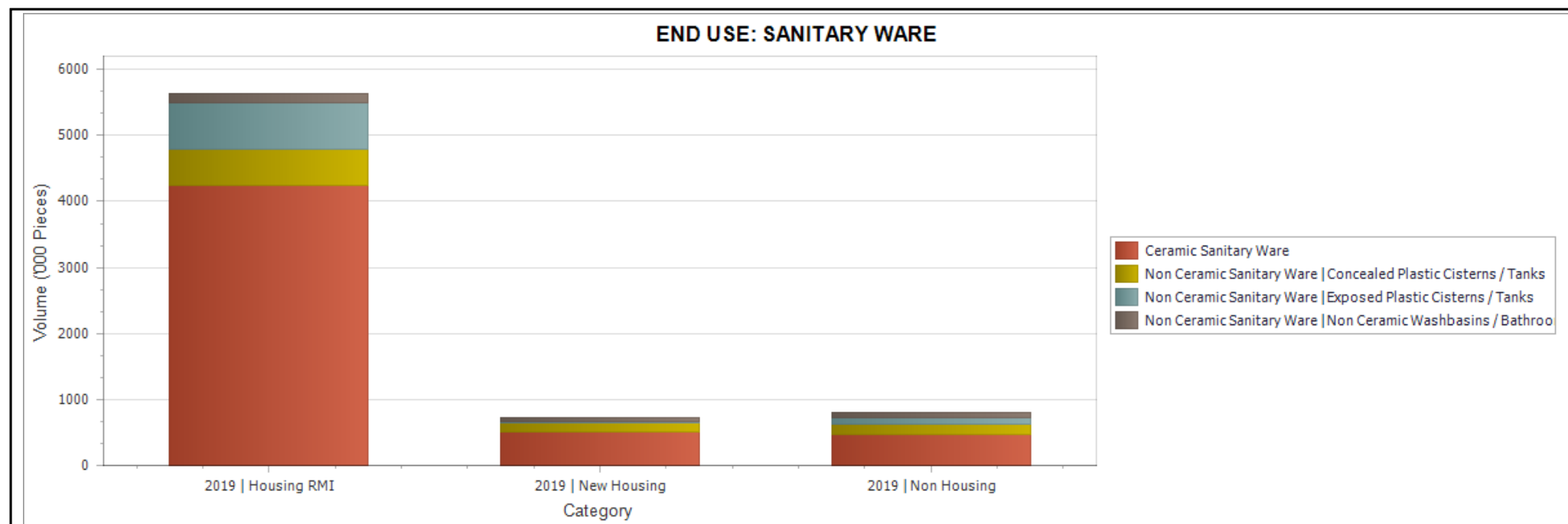
IT - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€60, Middle €60-€100, Upper €100-€200, Luxury >€200

2.4.1 End Use : Base Year

IT - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)

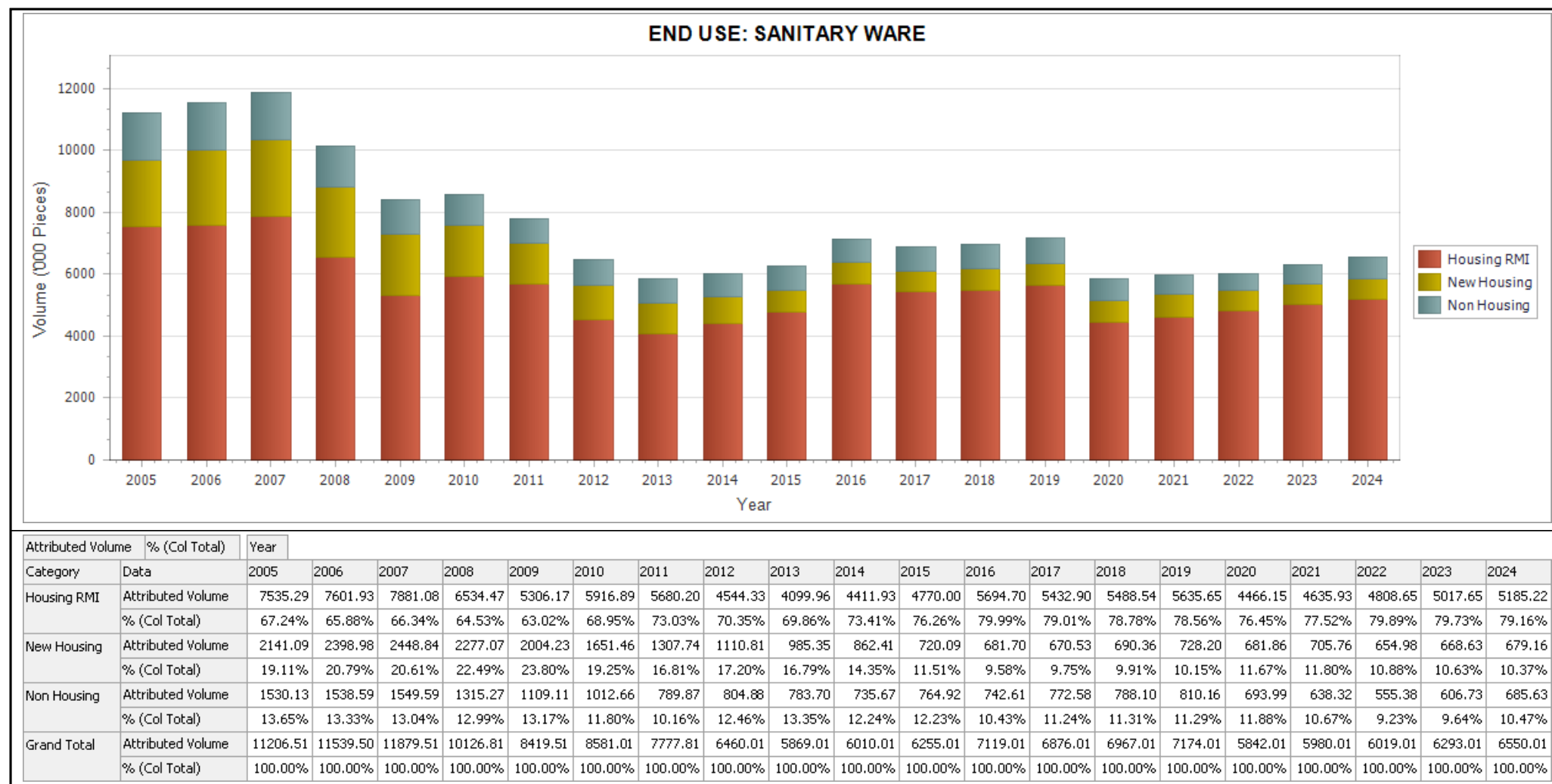


Attributed Volume			% (Col Total)			% (Row)								
Year			Category			Data								
2019														
Housing RMI						New Housing			Non Housing			2019 Total		
Product Category		Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Ceramic Sanitary Ware			4249.26	75.40%	81.28%	517.39	71.05%	9.90%	461.36	56.95%	8.82%	5228.00	72.87%	100.00%
Non Ceramic Sanitary Ware		Concealed Plastic Cisterns / Tanks	549.14	9.74%	65.53%	123.33	16.94%	14.72%	165.54	20.43%	19.75%	838.00	11.68%	100.00%
		Exposed Plastic Cisterns / Tanks	693.25	12.30%	86.01%	22.19	3.05%	2.75%	90.56	11.18%	11.24%	806.00	11.24%	100.00%
		Non Ceramic Washbasins / Bathroom Sinks	144.01	2.56%	47.68%	65.30	8.97%	21.62%	92.70	11.44%	30.69%	302.00	4.21%	100.00%
Grand Total			5635.65	100.00%	78.56%	728.20	100.00%	10.15%	810.16	100.00%	11.29%	7174.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

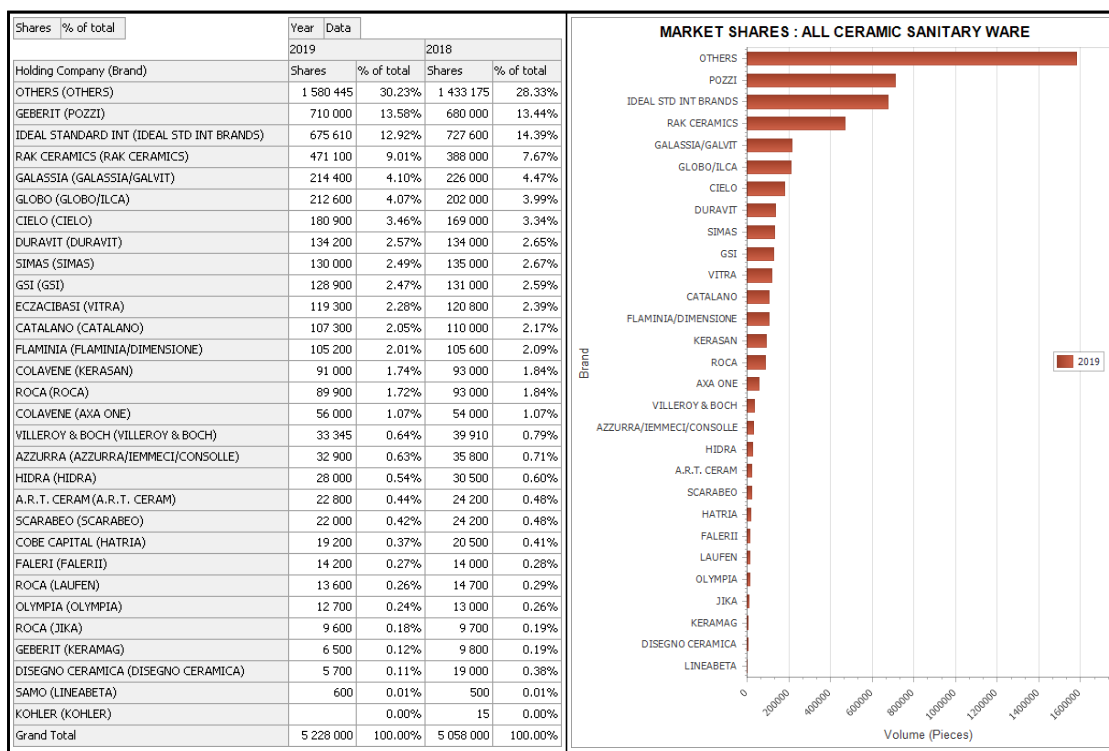
IT - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

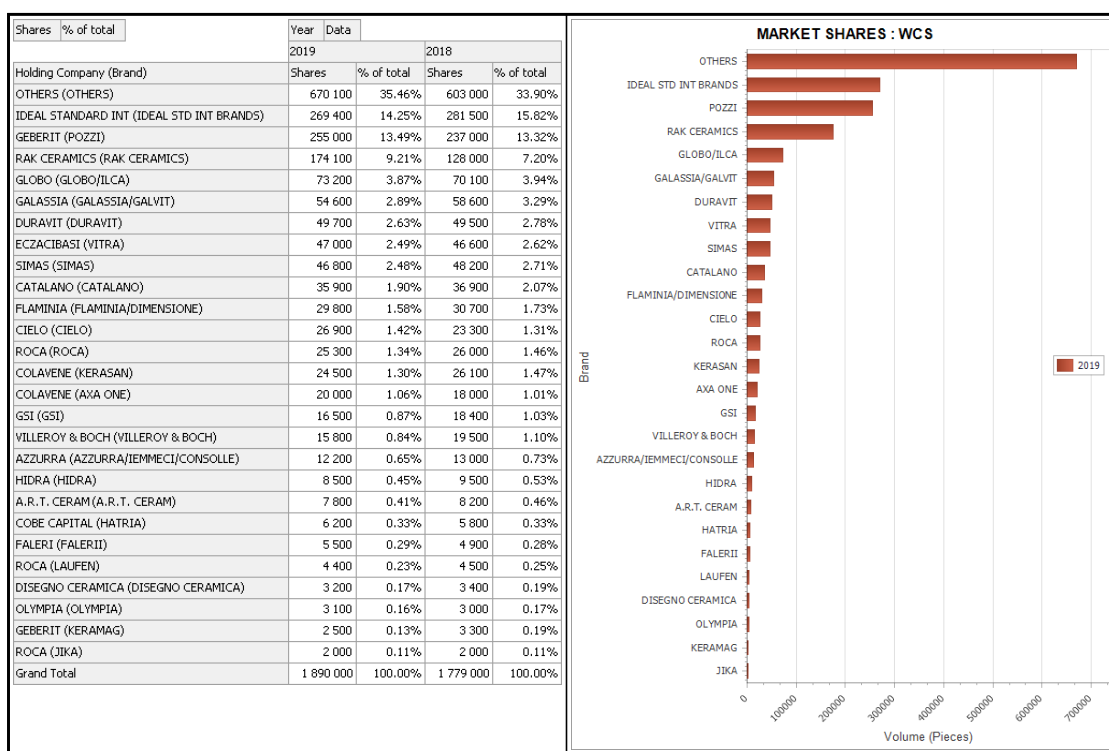
IT - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

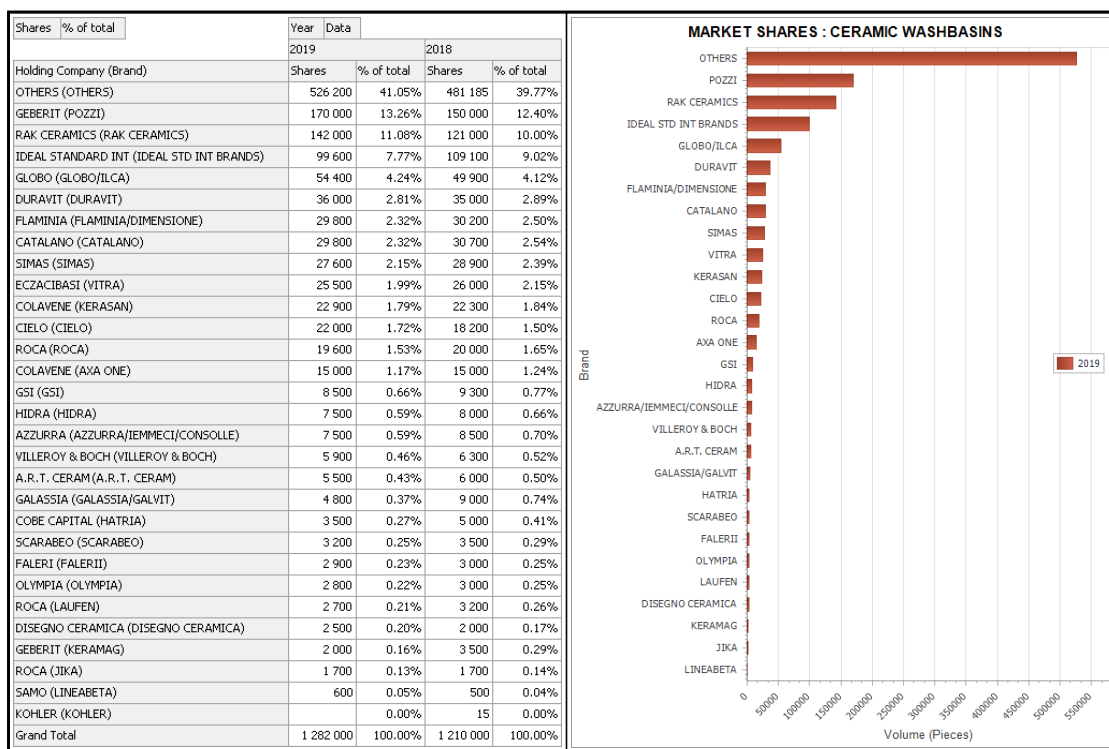
IT - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

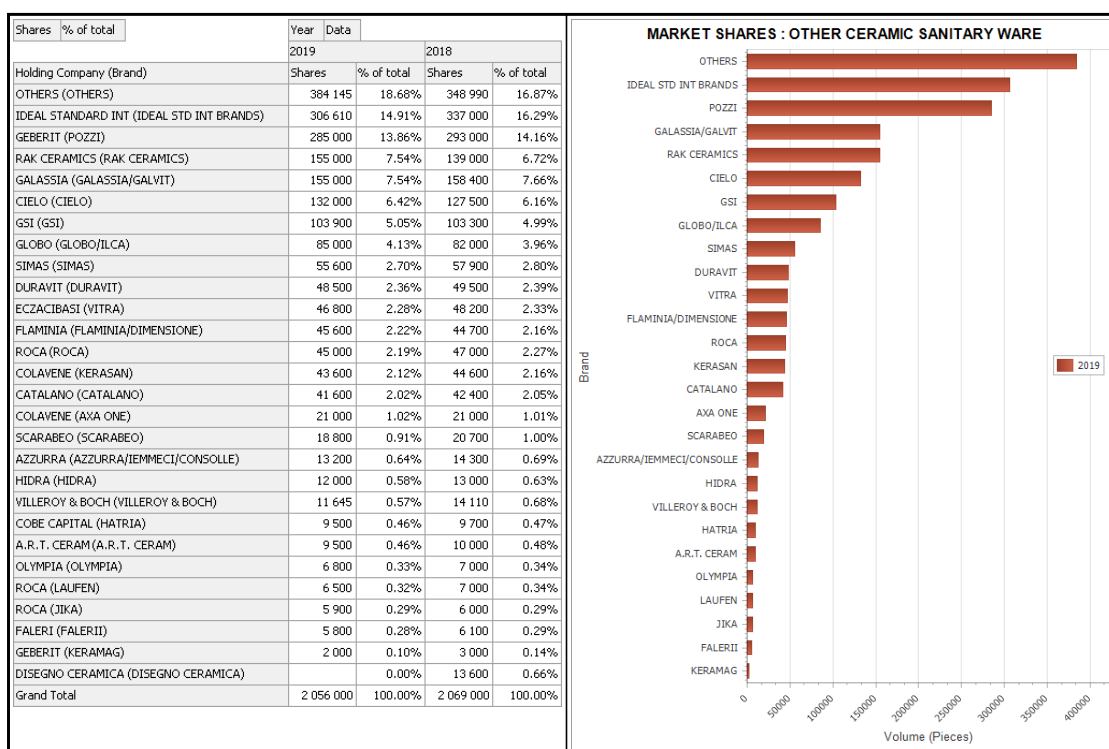
IT - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

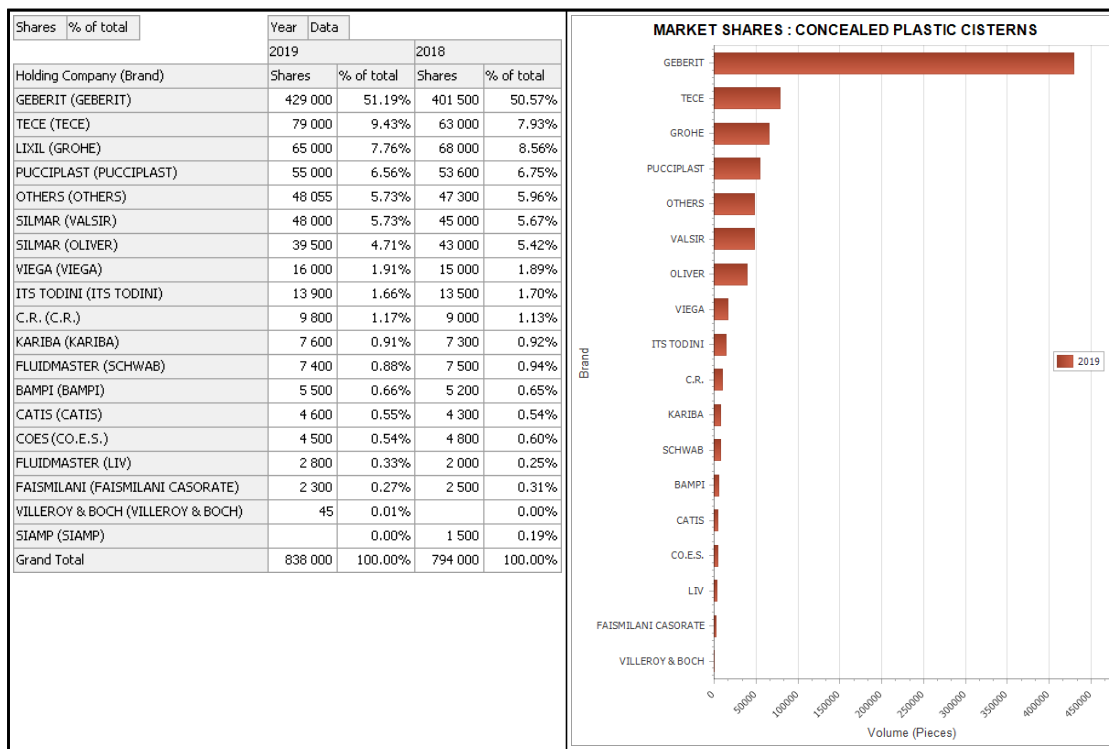
IT - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

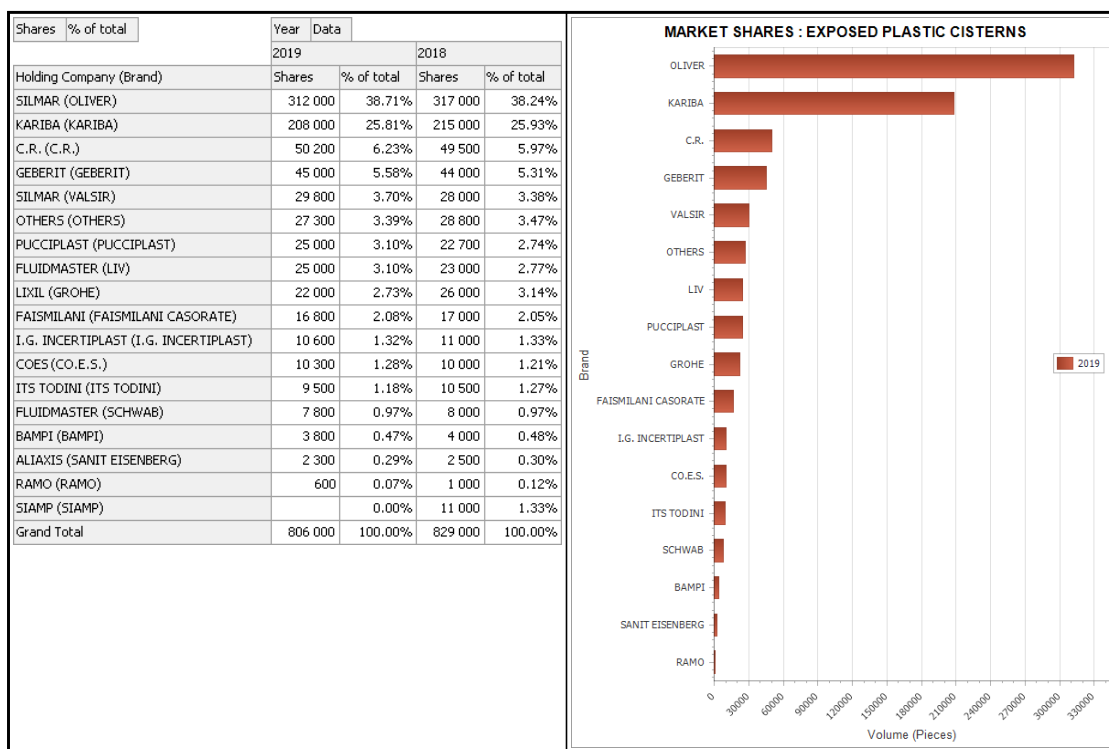
IT - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

IT - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 IT - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	16 716	22.7%	23 360	18.7%	15 152	20.2%	20 262	16.1%
Turkey	13 178	17.9%	17 543	14.1%	13 711	18.3%	18 336	14.6%
Bulgaria	11 263	15.3%	19 086	15.3%	12 773	17.0%	20 368	16.2%
United Arab Emirates	5 890	8.0%	7 390	5.9%	4 921	6.6%	6 361	5.1%
Egypt	5 080	6.9%	4 893	3.9%	3 511	4.7%	3 560	2.8%
Poland	4 107	5.6%	6 728	5.4%	4 655	6.2%	7 159	5.7%
Portugal	3 854	5.2%	7 322	5.9%	4 512	6.0%	7 615	6.1%
Czech Republic	2 848	3.9%	8 082	6.5%	2 871	3.8%	7 206	5.7%
Germany	2 688	3.6%	13 106	10.5%	3 313	4.4%	15 150	12.0%
Romania	1 785	2.4%	2 732	2.2%	1 946	2.6%	3 173	2.5%
Tunisia	1 471	2.0%	1 668	1.3%	2 150	2.9%	1 983	1.6%
OTHERS	4 774	6.5%	12 732	10.2%	5 582	7.4%	14 688	11.7%
Total	73 656	100.0%	124 642	100.0%	75 097	100.0%	125 861	100.0%

Source : Trademap

2.6.2 IT - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
United Kingdom	7 721	15.5%	52 346	21.1%	7 359	14.4%	49 696	19.4%
Germany	7 637	15.3%	29 611	11.9%	8 044	15.7%	31 551	12.3%
France	6 758	13.6%	23 273	9.4%	5 352	10.4%	17 556	6.8%
Spain	2 934	5.9%	10 920	4.4%	3 534	6.9%	12 192	4.8%
United States of Amer	2 530	5.1%	12 728	5.1%	2 809	5.5%	14 519	5.7%
Austria	1 705	3.4%	9 453	3.8%	1 558	3.0%	8 689	3.4%
Bulgaria	1 693	3.4%	5 242	2.1%	1 795	3.5%	5 220	2.0%
Poland	1 674	3.4%	7 373	3.0%	1 036	2.0%	6 437	2.5%
Sweden	1 581	3.2%	6 071	2.4%	1 402	2.7%	5 674	2.2%
Switzerland	1 574	3.2%	13 200	5.3%	1 469	2.9%	12 984	5.1%
Netherlands	1 476	3.0%	8 030	3.2%	1 580	3.1%	9 148	3.6%
OTHERS	12 510	25.1%	69 885	28.2%	15 326	29.9%	82 816	32.3%
Total	49 792	100.0%	248 132	100.0%	51 265	100.0%	256 482	100.0%

Source : Trademap

2.6.3 IT - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 121	59.0%	62 806	72.5%	5 204	60.5%	62 061	73.0%
China	911	10.5%	5 243	6.0%	1 081	12.6%	5 666	6.7%
Portugal	863	9.9%	3 915	4.5%	866	10.1%	3 819	4.5%
Slovenia	400	4.6%	2 556	2.9%	236	2.8%	1 482	1.7%
Romania	288	3.3%	1 156	1.3%	203	2.4%	948	1.1%
Netherlands	286	3.3%	4 136	4.8%	288	3.4%	4 144	4.9%
Turkey	197	2.3%	1 018	1.2%	207	2.4%	1 014	1.2%
France	177	2.0%	1 058	1.2%	123	1.4%	1 006	1.2%
Spain	92	1.1%	805	0.9%	102	1.2%	736	0.9%
OTHERS	341	3.9%	3 978	4.6%	286	3.3%	4 143	4.9%
Total	8 677	100.0%	86 671	100.0%	8 595	100.0%	85 019	100.0%

Source : Trademap

2.6.4 IT - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 215	17.2%	10 725	20.1%	1 076	14.7%	9 558	18.2%
France	624	8.8%	4 206	7.9%	716	9.8%	4 941	9.4%
Romania	466	6.6%	2 155	4.0%	455	6.2%	2 211	4.2%
Spain	322	4.6%	2 485	4.7%	325	4.5%	2 580	4.9%
Egypt	293	4.2%	1 395	2.6%	167	2.3%	979	1.9%
Austria	290	4.1%	3 301	6.2%	278	3.8%	3 084	5.9%
United Kingdom	222	3.1%	1 709	3.2%	227	3.1%	1 867	3.6%
United Arab Emirates	202	2.9%	1 234	2.3%	280	3.8%	1 779	3.4%
Algeria	195	2.8%	891	1.7%	175	2.4%	827	1.6%
Greece	189	2.7%	1 246	2.3%	306	4.2%	2 068	3.9%
India	160	2.3%	2 371	4.5%	73	1.0%	1 036	2.0%
OTHERS	2 881	40.8%	21 522	40.4%	3 223	44.1%	21 575	41.1%
Total	7 056	100.0%	53 240	100.0%	7 300	100.0%	52 505	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.6%
	Wholesalers / Merchants
	71.6%

Retail Level	Manufacturer 1.5%	Wholesaler 2.6%	Manufacturer 10.7%	Wholesaler 8.5%	Manufacturer 10.1%	Wholesaler 11.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.1%		19.2%		21.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.1%	35.8%	0.7%	4.8%	4.6%
Installers				
50.1%				

End Use Level	Manufacturer 1.0%	Wholesaler 13.1%	Internet 3.3%	DIY 13.6%	Specialist 15.9%	Installer 44.3%	Manufacturer 1.1%	Wholesaler 0.4%	Internet 0.0%	DIY 0.8%	Specialist 0.7%	Installer 5.8%
	Residential						Non-Residential					
	91.2%						8.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.9%			81.3%			6.3%			2.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	5.6%		4.3%	3.7%		77.6%	4.5%		1.8%	0.8%		1.7%

2.7.2

Route to Market: Ceramic Sanitary Ware
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.9%
	Wholesalers / Merchants
	70.9%

Retail Level	Manufacturer 2.1%	Wholesaler 4.1%	Manufacturer 10.4%	Wholesaler 8.3%	Manufacturer 10.1%	Wholesaler 10.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.2%		18.7%		20.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.2%	35.5%	1.1%	4.7%	4.6%
Installers				
50.0%				

End Use Level	Manufacturer 1.2%	Wholesaler 12.2%	Internet 5.1%	DIY 13.4%	Specialist 15.5%	Installer 44.5%	Manufacturer 1.1%	Wholesaler 0.3%	Internet 0.0%	DIY 0.6%	Specialist 0.6%	Installer 5.5%
	Residential						Non-Residential					
	91.8%						8.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.1%			81.7%			6.0%			2.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.0%		4.1%	3.7%		78.1%	4.3%		1.7%	0.7%		1.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

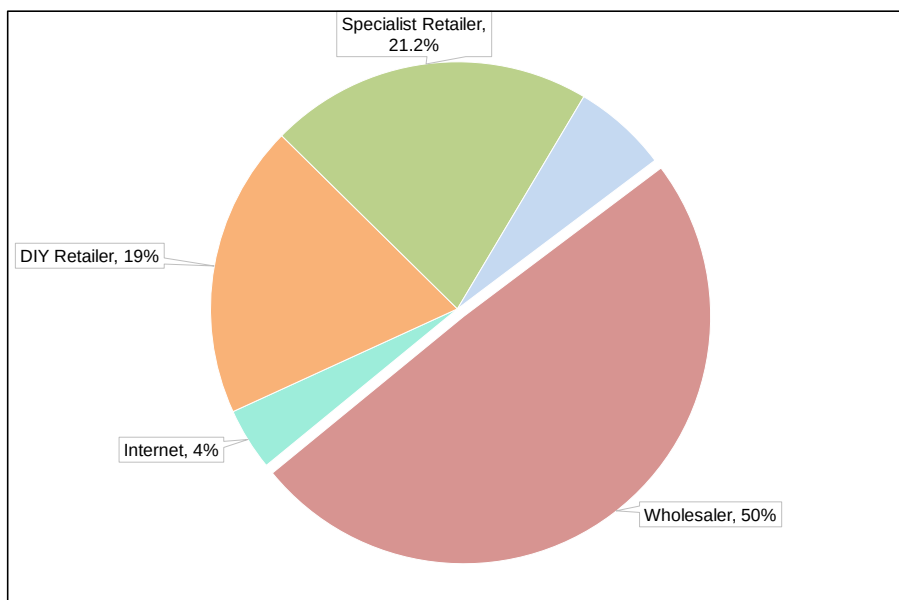
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.4%	4.1%	19.2%	21.2%	6.2%	9.3%	5.3%	81.9%	3.5%
100%					14.6%		85.4%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

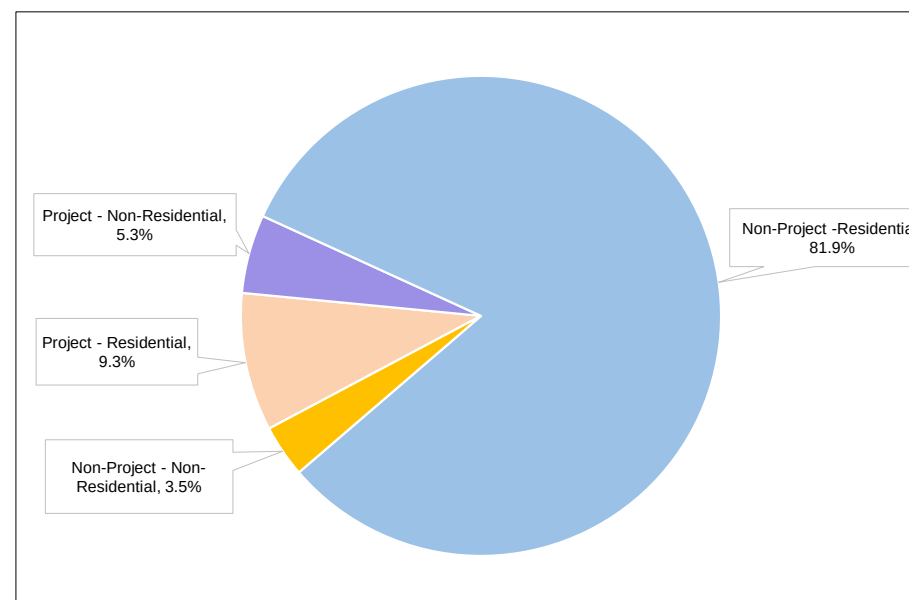
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.9%	6.2%	18.7%	20.7%	6.5%	9.7%	5.0%	82.1%	3.2%
100%					14.7%		85.3%	

IT - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5

Route to Market: Plastic Cisterns
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	84.1%
	Wholesalers / Merchants
	84.1%

Retail Level	Manufacturer 0.0%	Wholesaler 1.3%	Manufacturer 3.1%	Wholesaler 0.2%	Manufacturer 6.5%	Wholesaler 21.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.3%		3.3%		28.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.5%	42.0%	0.3%	2.2%	17.3%
Installers				
65.4%				

End Use Level	Manufacturer 1.8%	Wholesaler 16.6%	Internet 1.0%	DIY 0.9%	Specialist 10.7%	Installer 53.5%	Manufacturer 1.1%	Wholesaler 2.3%	Internet 0.0%	DIY 0.2%	Specialist 0.1%	Installer 11.9%
	Residential						Non-Residential					
	84.4%						15.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.9%			75.6%			11.1%			4.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	5.0%		3.8%	3.4%		72.2%	8.0%		3.1%	1.4%		3.1%

2.7.6

Route to Market: Plastic Cisterns
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	84.6%
	Wholesalers / Merchants
	84.6%

Retail Level	Manufacturer 0.0%	Wholesaler 2.3%	Manufacturer 2.9%	Wholesaler 0.2%	Manufacturer 6.4%	Wholesaler 21.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.3%		3.1%		27.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.6%	42.3%	0.6%	2.1%	17.1%
Installers				
65.7%				

End Use Level	Manufacturer 1.6%	Wholesaler 16.3%	Internet 1.7%	DIY 0.8%	Specialist 10.6%	Installer 55.0%	Manufacturer 0.9%	Wholesaler 2.1%	Internet 0.0%	DIY 0.2%	Specialist 0.1%	Installer 10.7%
	Residential						Non-Residential					
	85.9%						14.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.0%			77.0%			10.3%			3.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	5.3%		3.6%	3.5%		73.5%	7.4%		2.9%	1.2%		2.6%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

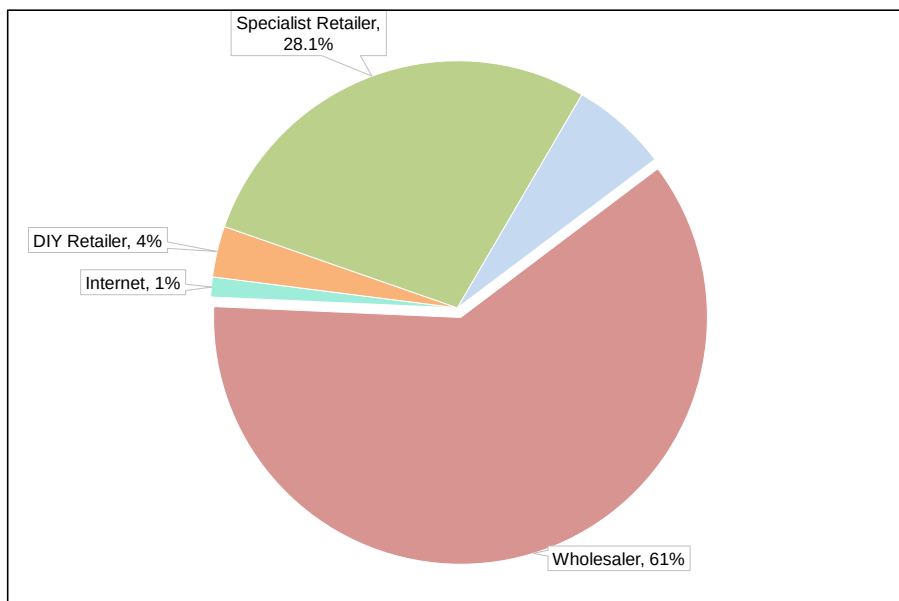
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
61.0%	1.3%	3.3%	28.1%	6.3%	8.4%	9.4%	76.0%	6.2%
100%					17.8%		82.2%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

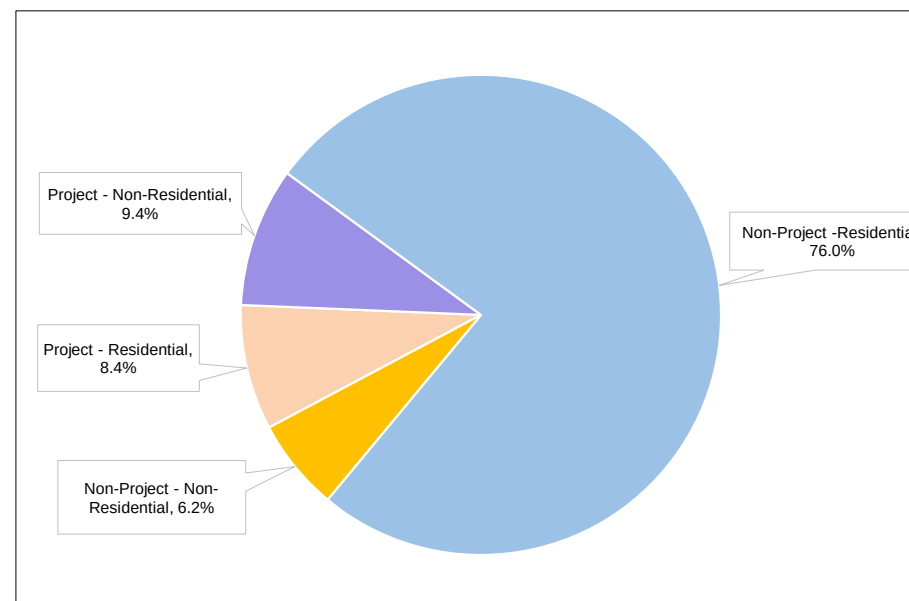
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
60.7%	2.3%	3.1%	27.8%	6.1%	8.8%	8.6%	77.1%	5.5%
100%					17.4%		82.6%	

IT - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



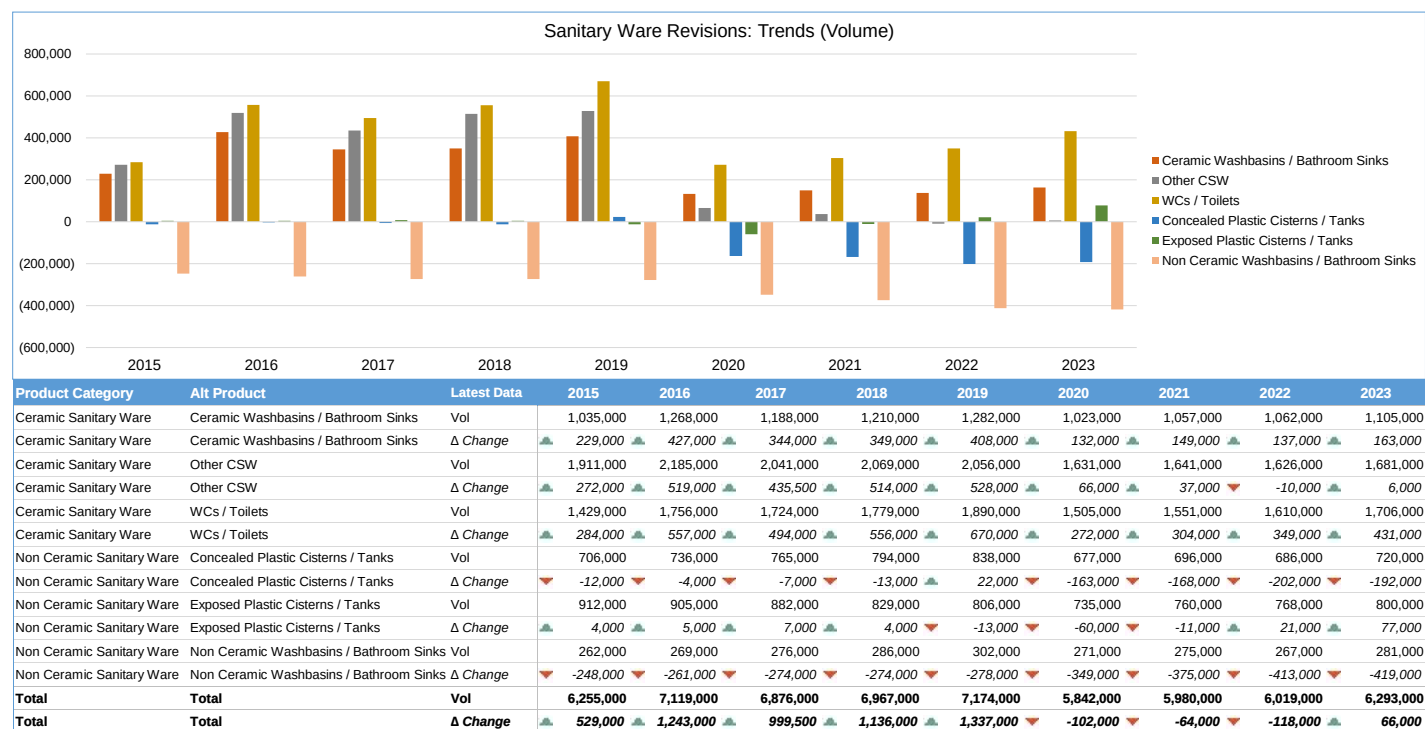
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Italian Sanitary Ware Market (April 2020)

IT - REVISIONS IN THE ITALIAN SANITARY WARE MARKET

Data Comparison: April 2019



BRG has made significant revisions to the historical market size for ceramic sanitary ware, including all different types. The market size was revised down for 2005 to 2012, as domestic sales was overestimated, but upwards from 2013 onwards, mostly because the share of imports from China and other European countries had been previously underestimated.

The Italian ceramic sanitary ware market has suffered dramatic losses since the offset of the 2008/2009 crisis, with both annual production and annual sales having contracted dramatically over a 12-year lifespan. For example, Italian manufacturers produced around 9.8 million pieces of CSW in 2006, by 2011 this had declined to 5.2 million pieces, indicating a decline of 50.2%, which continued to fall further, to around 3.7 million pieces in 2015 representing a decline of 18% compared to 2010 (and 62% compared to 2006) and production only started to increase again from 2015 onwards. At the same time the number of companies manufacturing ceramic products in Italy has also decreased considerably; for example, in 2010 43 companies were still manufacturing ceramics in Italy, with a workforce of 4,400 employees, by 2015 this had dropped to 30 companies, together employing 3,200 people, indicating a decline of 27% in the number of employees and a decline of 30% in the number of companies.

The reason behind the strong decline in annual sales is twofold, one is related to the struggling real estate market in Italy and the second is related to the strong rise in imports, especially those from the cheap labour countries, including those from the Far East and Eastern Europe. According to industry sources, Italian manufacturers have faced serious difficulties due to the fact that Italian CSW manufacturers have predominantly focused on the middle price segment, but the middle price segment has become of less importance since 2010. Indeed, sales to the economy and lower price segments have gained importance, dominated by cheaper imports, whereas sales to the upper and luxury price segments have remained stable, mostly in the hands of German and Swiss imports. This, in turn, has had a dramatic impact on sales of Italian manufacturers.

Due to the strong increase in imports, the importance of domestic manufacturers has weakened at a relatively rapid rate, year-by-year, since 2006. Whereas domestic supply, excluding exports, accounted for around 68.0% of domestic sales in 2006, its share had fallen to 41.7% by 2011, to 39.6% by 2015 and stood at 37.5% at the end of 2019. Total imports accounted for 2.6 million pieces in 2006, 3.0 million pieces in 2011, 2.6 million pieces in 2015 and rose further to 3.4 million pieces at the end of 2019. Imports, especially those of cheaper imports from Turkey and China.

ITALY

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian tap and mixer market may be defined as mature, after sustaining a strong expansion since the early 1990s. It is the largest bathroom product market in terms of volumes of sales, comparable only to ceramic sanitary ware due to the more discretionary nature of tap and mixer replacement. Housing RMI is the main end use source of demand, following the strong contraction of new housing construction over the past decade. The economic cycle highly affects the evolution of domestic demand. Elements such as disposable income, the unemployment rate and increases in wages, as well as the growth of disposable revenues, are the key decision-making variables behind discretionary replacements.

The one-head mixer is the preferred product type and still enjoys constant growth, representing the cheapest option on the market in terms of average price (excluding pillar taps). Thermostatic mixers, a relatively new category, has been growing mainly in the new housing market, with its development being affected in different parts of the country by the hardness of tap water. In particular, areas close to the coast are known to have particularly sandy water, which deteriorates the thermostatic models much faster than others, making them an unpopular choice in homes where a water filtration system is not present.

The newest categories on the market, self-closing and electronic taps, have enjoyed almost continuous growth in share since their introduction (primarily through non-housing), and have increased their penetration in residential dwellings as a result of a greater focus on water-saving considerations.

Flushing valves are directly connected to the water pipes and demand a certain pressure in pipe work, which cannot be reached across all dwellings. This system also uses more water than the cistern. As a result, over the years, cisterns have been growing at the expense of flushing valves in residential buildings. Commercial and public buildings tend to have this type of system more often because it is less likely to be subject to wear, results in lower water wastage, and requires no waiting time between uses. Public urinals are often equipped with flushing valves. The Italian market remains dominated by manual flushing valves.

Outside of the product family, substitutions are minimal in the tap and mixer market. In the past, there was a trend of choosing a hydrotherapy shower panels rather than thermostatic mixers; however, this was seen mostly in new housing, and the trend has since lost pace considerably.

Recent Market Trends

The taps and mixers market declined in 2019, as a result of a decline in demand from the renovation segment, which represents the majority of sales. The non-housing market continued to increase, although at a slower pace compared to recent years.

The product mix between sanitary and kitchen taps remains relatively stable, with both types having become essential elements in the replacement and upgrade segments. Most consumers – when they choose to renovate – are likely to do so in both the bathroom and the kitchen. More specifically within the sanitary tap models, a shift away from two-head in favour of one-head mixers continues. One-head mixers are favoured for kitchen applications.

Moreover, the shift towards concealed taps remained unchallenged last year, driven by the higher penetration in the shower market – as end-use consumers become increasingly aware of the aesthetic and functionality variables of their shower taps.

The market development of WC flushing valves has followed the WC trend quite closely, although there is a slightly higher replacement rate in favour of the electric product type in non-housing applications, with SOEMA (SOEMA) increasing its presence.

Prices and Market Values

Taps and mixer prices have been generally stable in 2019, with a moderately stronger growth for the one-head variety largely found in washbasin and bidet applications, due to a continuing shift towards the upper and luxury price segments. This marginal increase in list prices reveals the growing intention of manufacturers to remain competitive in the higher priced segment also, so as to further increase their appeal to end-use consumers.

This move towards the higher price segment has also been reflected in the product diversification available through the DIY distribution channel, where taps and mixers are by far the biggest market. Moreover, the strengthening of the e-commerce platform is leading to an important change in the interaction between manufacturers and end-use customers, paving the way for higher price transparency at all levels of the distribution chain, and increasing the ability to both adapt prices based on the buyer's expectations and increase the degree of personalisation.

However, the considerable appeal of the low-cost category is confirmed also by the appearance of products in the showroom/specialist channel, which had previously only been distributed through the wholesaler channel. This is a clear indication that distributors within the showroom channel are attempting to offer a wider range of price choices to accommodate consumers who want more diversified price ranges.

New Housing

The continuation of the recovery of new construction output has sustained sales to this end-use segment, which however remains the smallest one within the overall tap and mixer market. One-head mixers clearly dominate the new housing market, although thermostatic models are gaining share – especially for showers. Sales of

two-head mixers increased slightly in 2019 compared to the previous year, confirming a renewed vogue for the product – particularly within the upper and luxury price segments. The latest trend supporting the popularity of such products is their capacity to combine functionality (in terms of water saving and temperature regulation) with design.

Housing RMI

As the Italian taps and mixer market is mature, like-for-like demand from the renovation segment is the primary driver of one-head mixers demand, as they have the largest presence in existing dwellings, with two-head mixers coming a distant second. Thermostatic mixers in showers have increased their penetration in upgrade-type renovations, since their integration of technological innovation in terms of temperature regulation, water-saving and energy efficiency is gaining further recognition among consumers. To this extent, all major manufacturers have created various thermostatic models for all price segment ranges.

Non-Housing

Non-housing sales tend to be much more diversified compared to the other end-use segments, since the applications span across different types of buildings, ranging from hotels and offices to hospitals. Non-housing is also the segment more prone to invest in technologically-advanced product types such as electronic and self-closing, in order to minimise water waste and reduce costs.

Automatic flushing valves can mainly be found in public places such as airports, stadiums, etc., due to their high frequency of usage. As a result, the market for flushing valves is mainly driven by replacement sales in the commercial sector. Furthermore, in the case of extraordinary repair of existing residential dwellings, the Italian homeowner is usually likely to replace the flushing valve with a cistern.

Supply Structure

The Italian tap and mixer market is highly fragmented, with ongoing fierce competition between foreign players, such as GROHE and IDEAL STANDARD, and Italian players. In response to the transformation of the market, where brand visibility and efficient distribution play a vital role, several manufacturers have exited the market and competition is shifting away from product diversification to product specialisation, particularly in the upper and luxury price segments. Among strategies adopted to enhance growth, a careful selection of the distribution channels has become increasingly important, with an eye to the credit repayment ability and liquidity availability.

2019 saw no major mergers among players, but the previous year was characterised by the buyout of CRISTINA by CALEFFI. The latter, market leader in components for conditioning systems, heating and hydronic solutions, with a wide product portfolio, has relaunched the CRISTINA brand, with a higher degree of visibility in the domestic market and investment in product development. Similarly,

the joint acquisition of MAMOLI, by PAINI and FRANKE, has proved to be a success story – with an increased presence on the Italian market and a relaunch of several product lines.

The leading players in the WC and urinal flushing valve market are foreign companies such as GROHE and FRANKE, but historical domestic manufacturers such as SOEMA and ITS TODINI continue to retain considerable market shares.

Although many Italian manufacturers have focused increasingly on exports in order to maintain revenues and compensate the past decline in demand, such a trend is being to some extent reverted through a greater attention to product development, resulting in a higher turnover derived from the domestic market.

The higher relevance acquired by DIY and e-commerce has had a major impact on the price development of tap and mixers, with these channels becoming focal points in shaping consumer choice of economy and lower-price products. The DIY channel is widening its product offering, as well as offering greater choice of brands and number of outlets. Meanwhile the number of players distributing through internet specialists such as AMAZON, DESIVERO, and MANOMANO continues to grow. The expansion of e-commerce sales is further enhanced by the trend set by some manufacturers, which have begun to introduce their own online platforms, although these are primarily aimed at selling components without cannibalising their existing internet sales through online distributors.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The taps and mixers market is mature, and rapid growth usually is difficult to achieve. While only a partial recovery is expected in 2021, this should continue over the forecasting period, driven by demand from the renovation segment, while the new-housing and non-housing segments are expected to remain depressed in 2021 and possibly 2022. From 2023 onwards, all market segments should experience stronger growth in line with increasing investment in both residential and non-housing renovation, and renewed growth within the new housing sector.

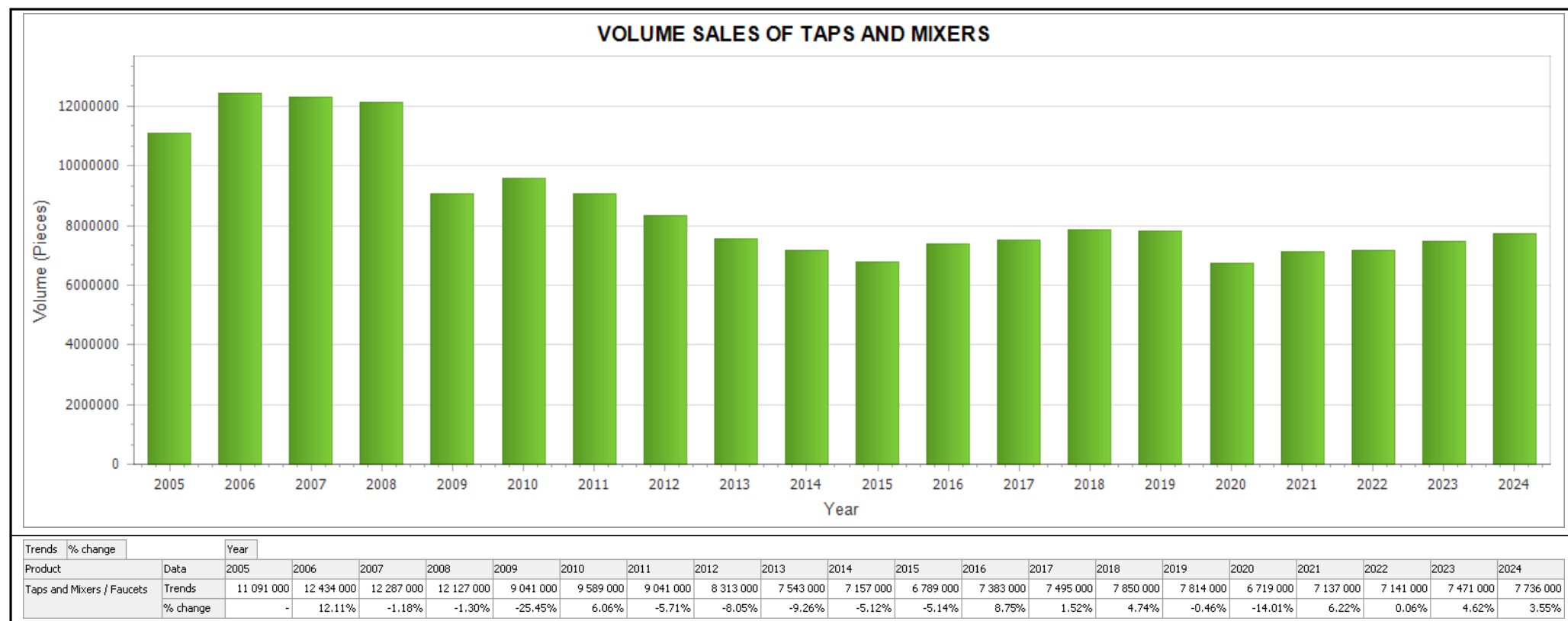
Within the product mix, the share of one-head mixers is expected to increase marginally, while the trend of newer technologies should be in line with the fluctuation of non-housing and new-housing demand. The taps and mixers market is more sensitive to technological developments than those of other bathroom products, due to the recent influx of modern products that are slowly shifting

consumer attitudes

The distribution structure for taps and mixers is likely to be shifting further towards internet and DIY channels, and the relevance of e-commerce is already being noticed by most manufacturers, with the expansion of their partnerships with online retailers and the creation of their own e-shopping platforms. Therefore, the above-mentioned trends is expected to follow the increased attention given to product functionality and design with an effect on prices, further polarising the lowest and highest price ranges.

3.2 Historical Trends and Forecasts : Taps and Mixers

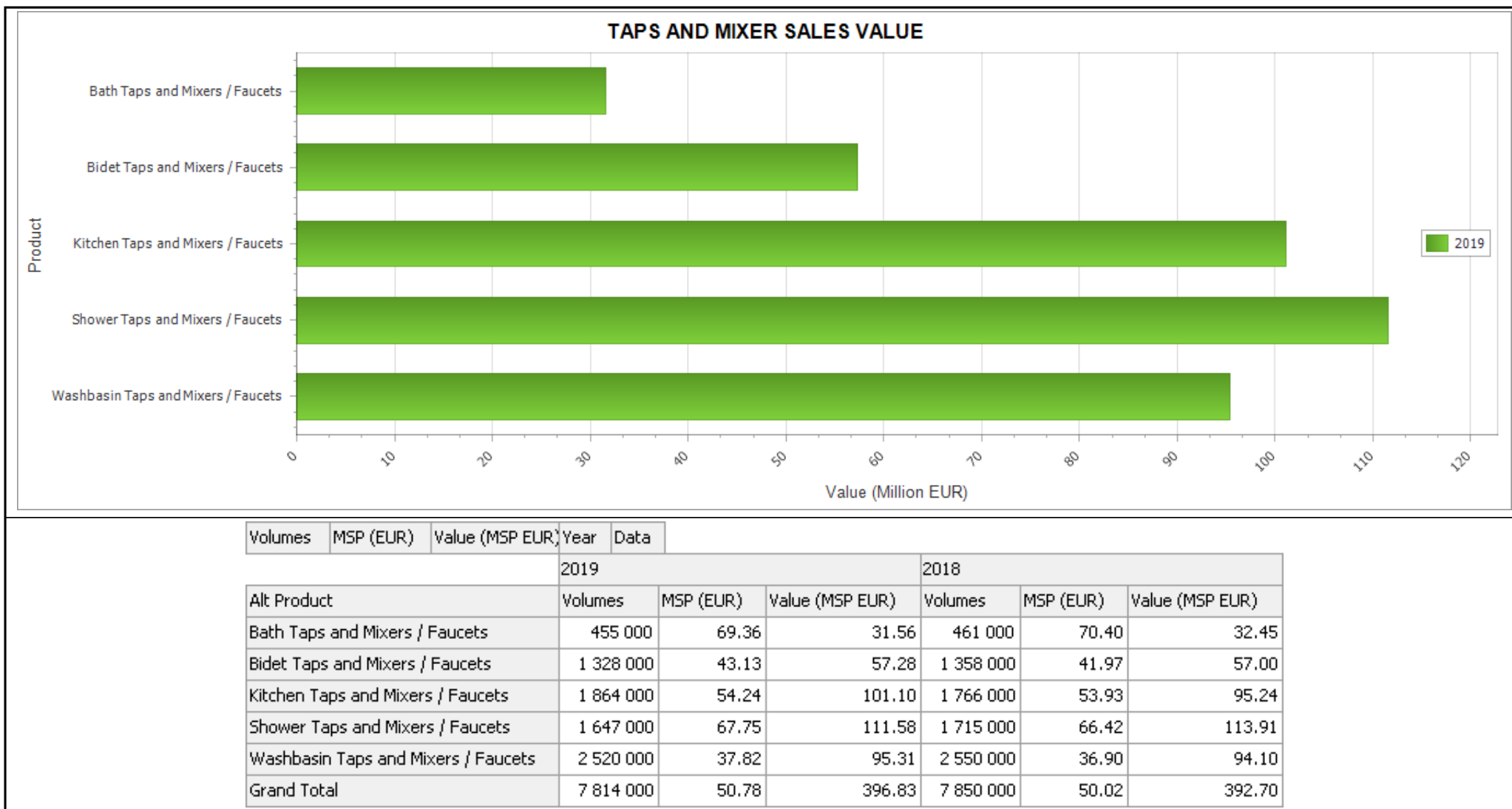
IT - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

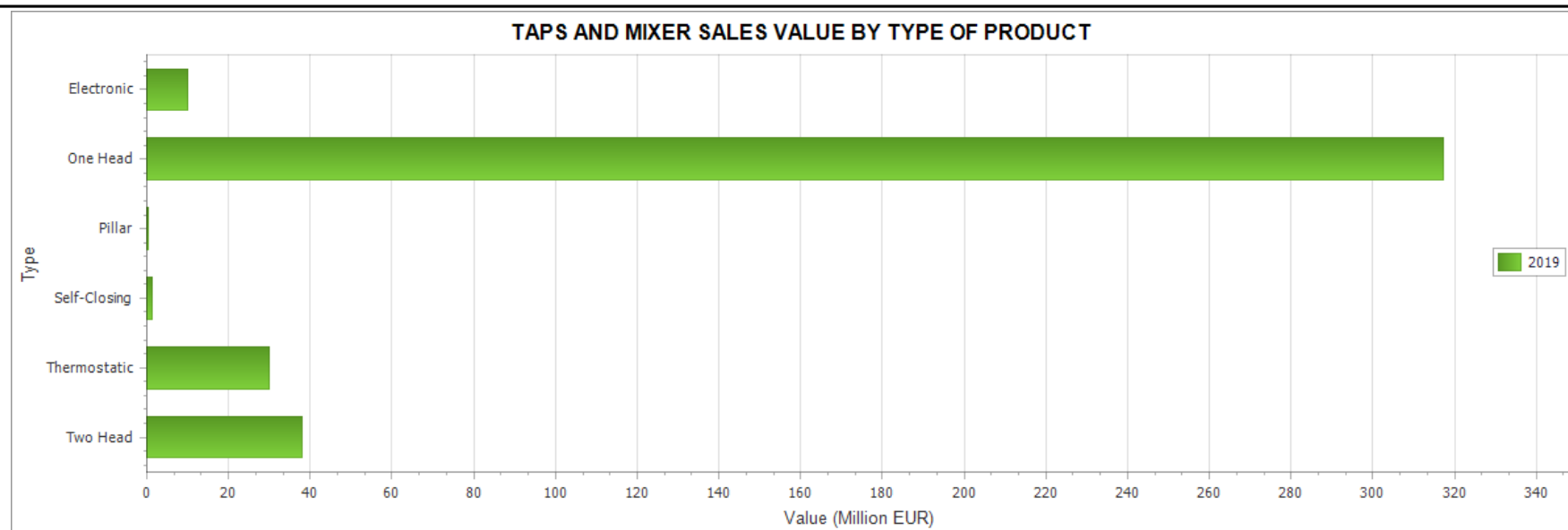
IT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

IT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

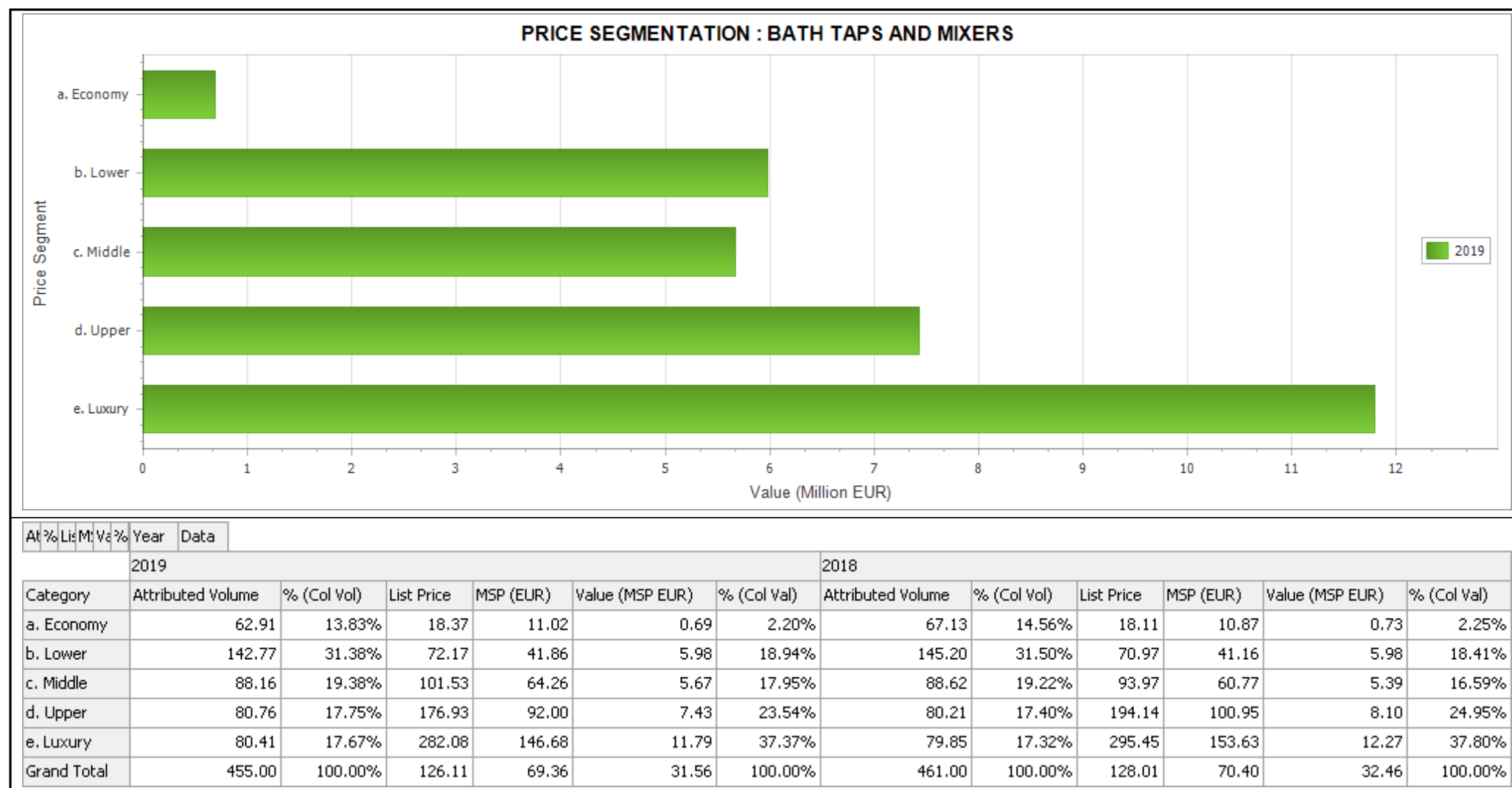


At	%	MS	Val	%	Year	Data					
					2019				2018		
Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Electronic	104.70	1.34%	96.20	10.07	2.54%	101.45	1.29%	96.78	9.82	2.50%	
One Head	6 515.83	83.39%	48.71	317.37	79.99%	6 508.08	83.00%	47.87	311.52	79.45%	
Pillar	13.09	0.17%	26.30	0.34	0.09%	13.04	0.17%	26.77	0.35	0.09%	
Self-Closing	25.22	0.32%	48.96	1.23	0.31%	24.41	0.31%	48.15	1.18	0.30%	
Thermostatic	363.15	4.65%	82.29	29.88	7.53%	370.40	4.72%	80.17	29.69	7.57%	
Two Head	791.64	10.13%	47.84	37.87	9.54%	823.72	10.51%	48.01	39.55	10.09%	
Grand Total	7 813.63	100.00%	50.78	396.78	100.00%	7 841.11	100.00%	50.01	392.10	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

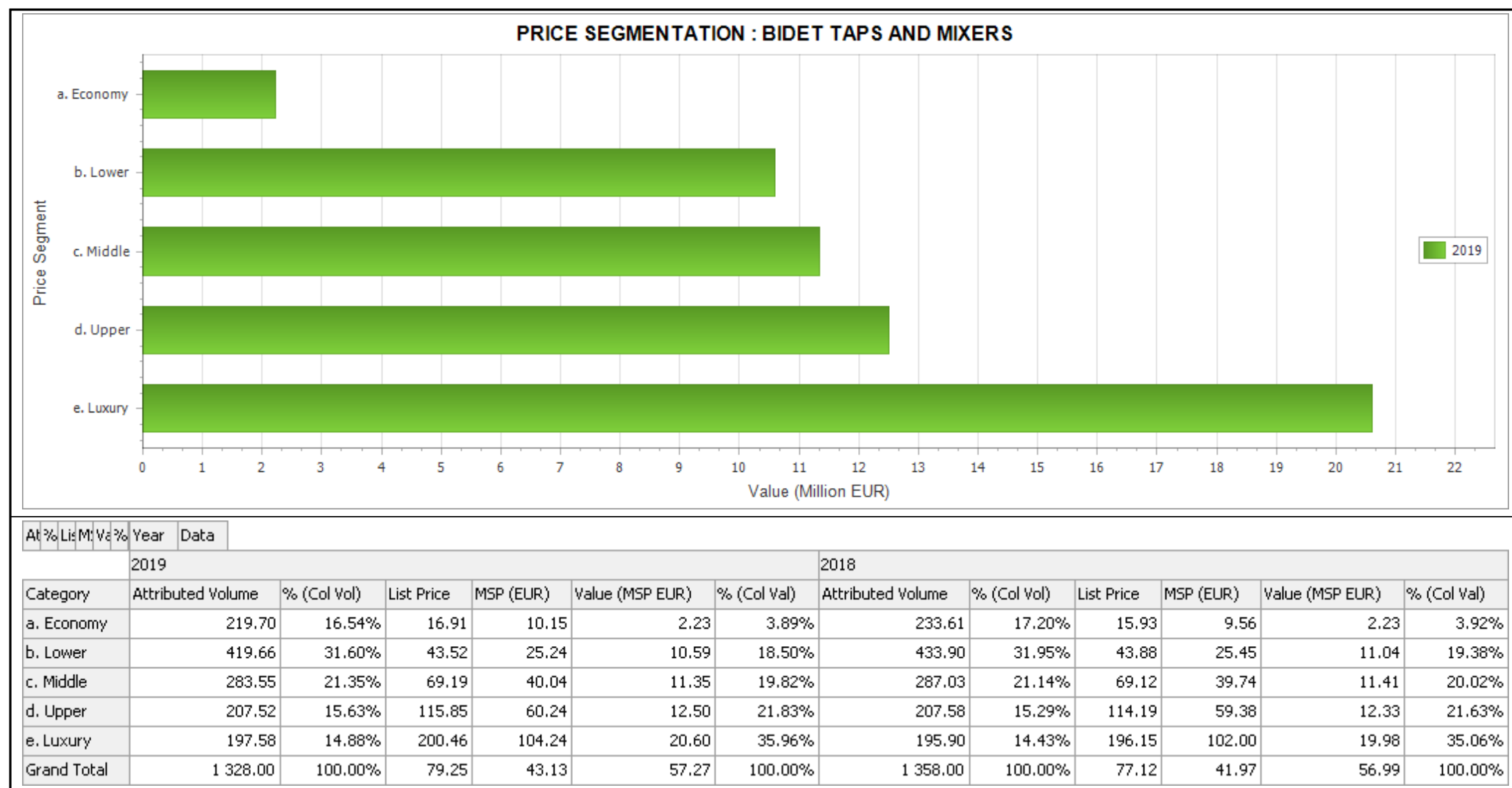
IT - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.4 Price Segmentation : Bidet Taps and Mixers

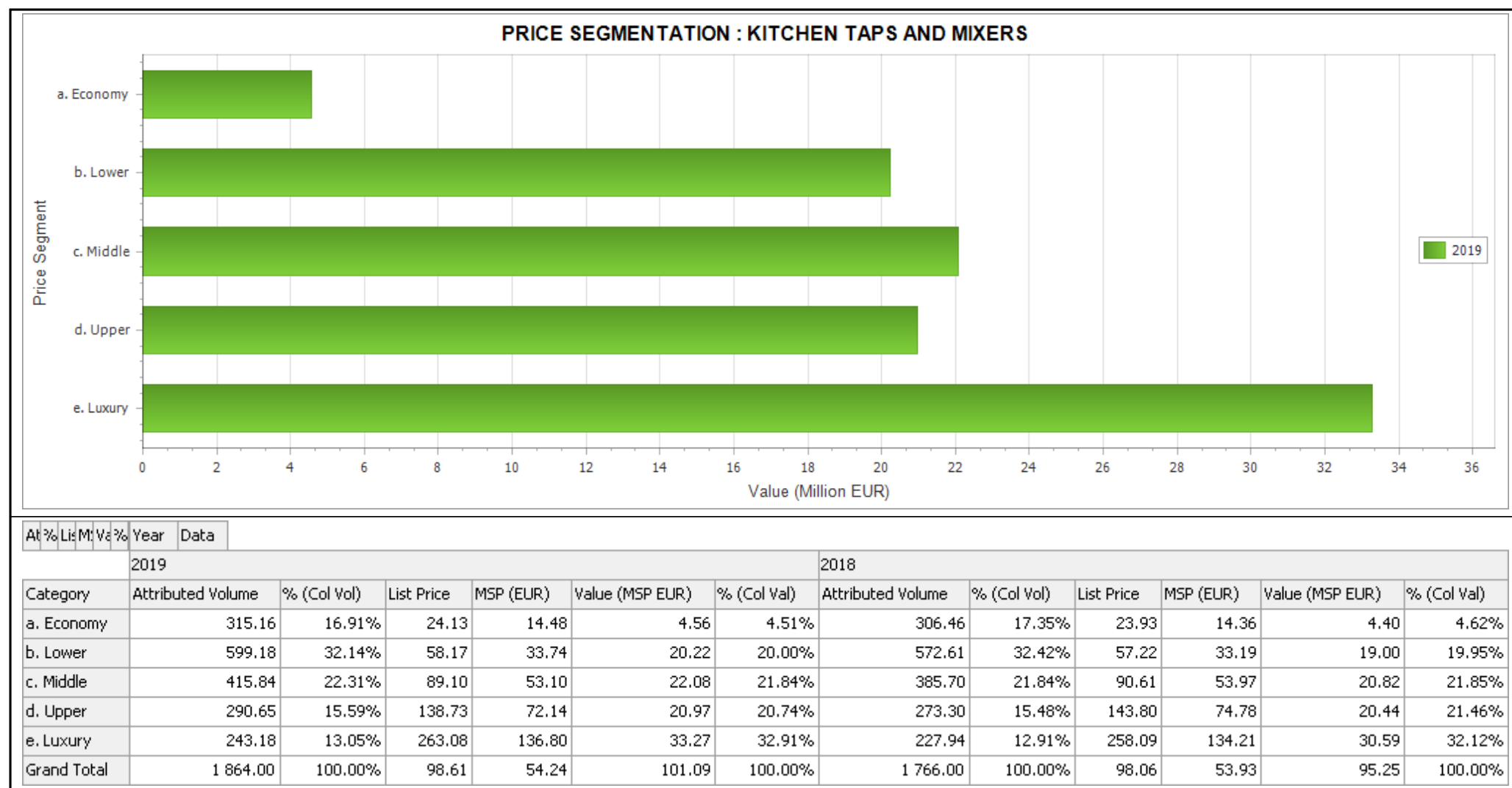
IT - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

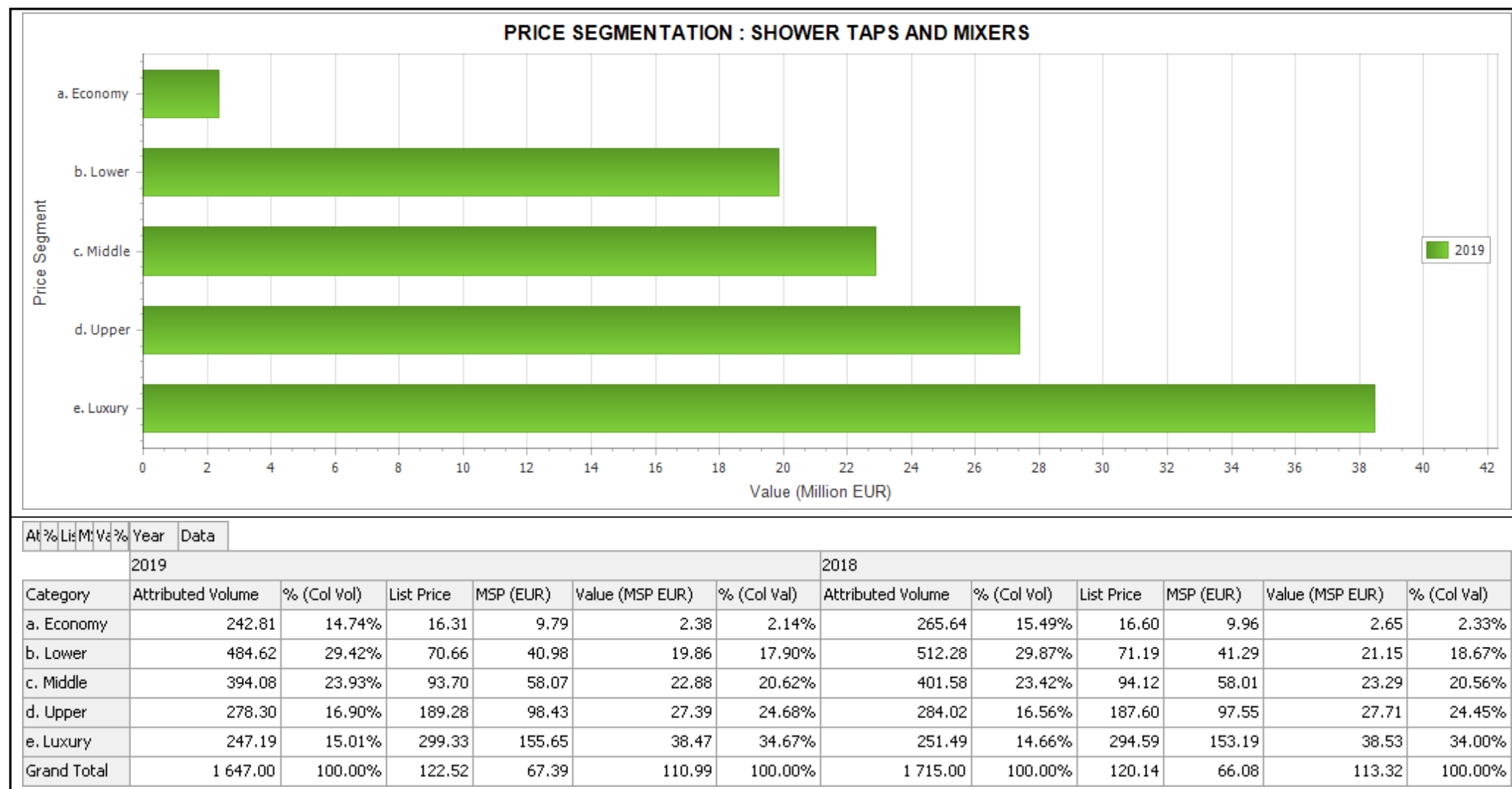
IT - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Shower Taps and Mixers

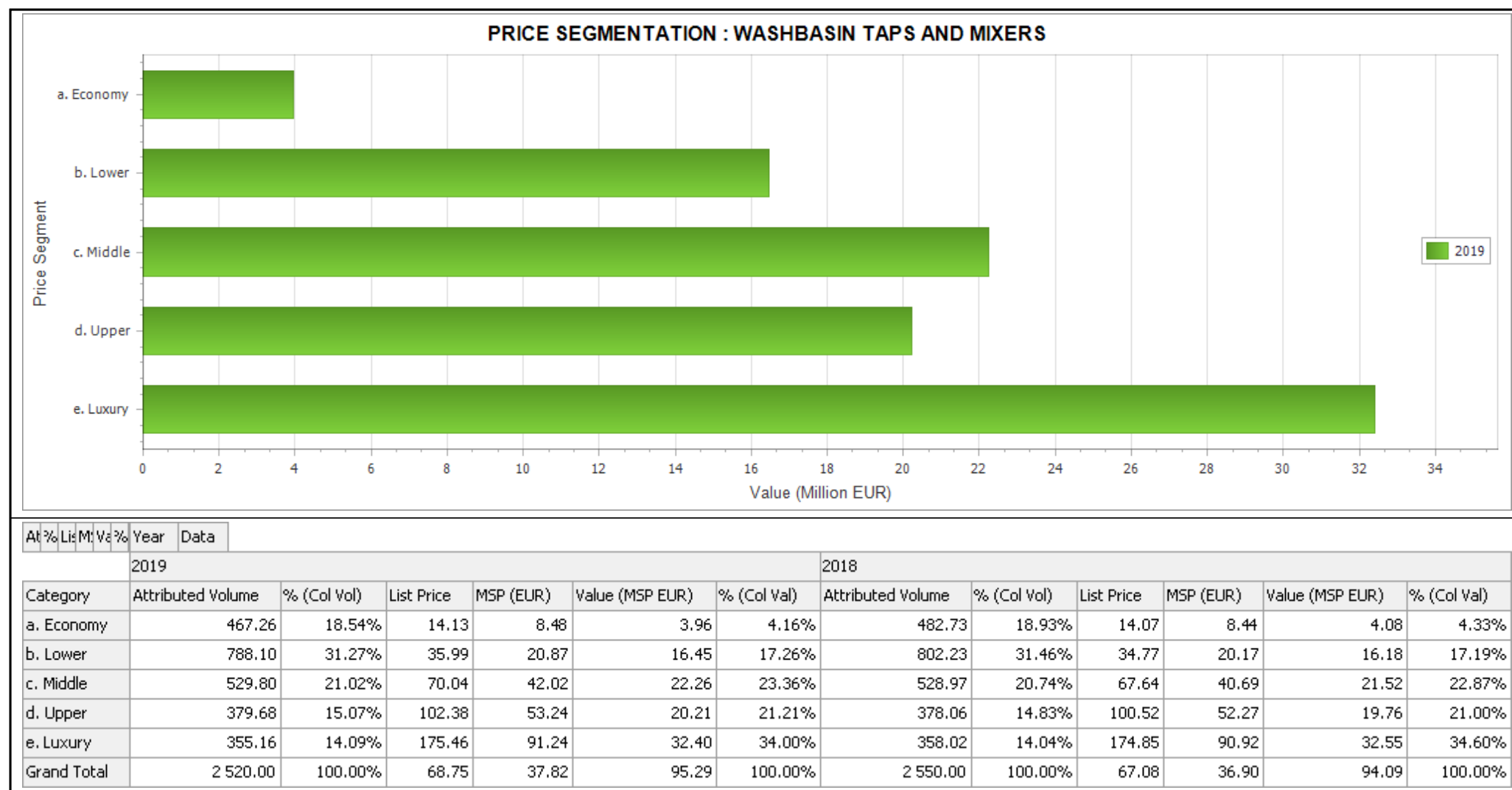
IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.7 Price Segmentation : Washbasin Taps and Mixers

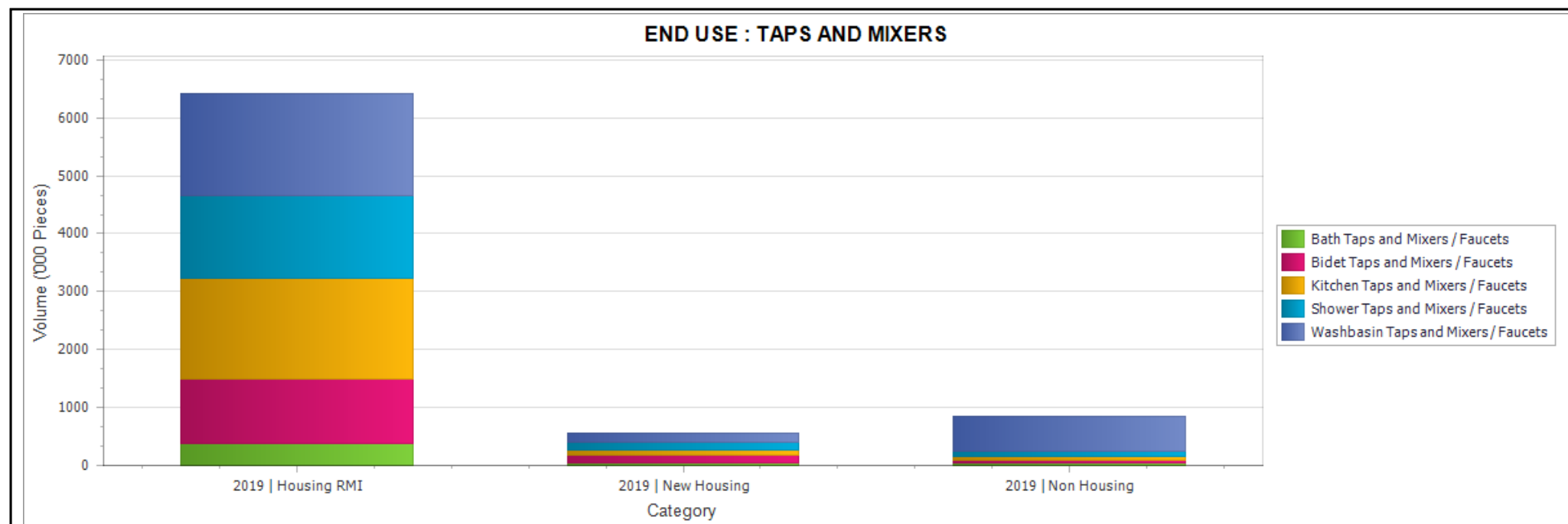
IT - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

IT - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)

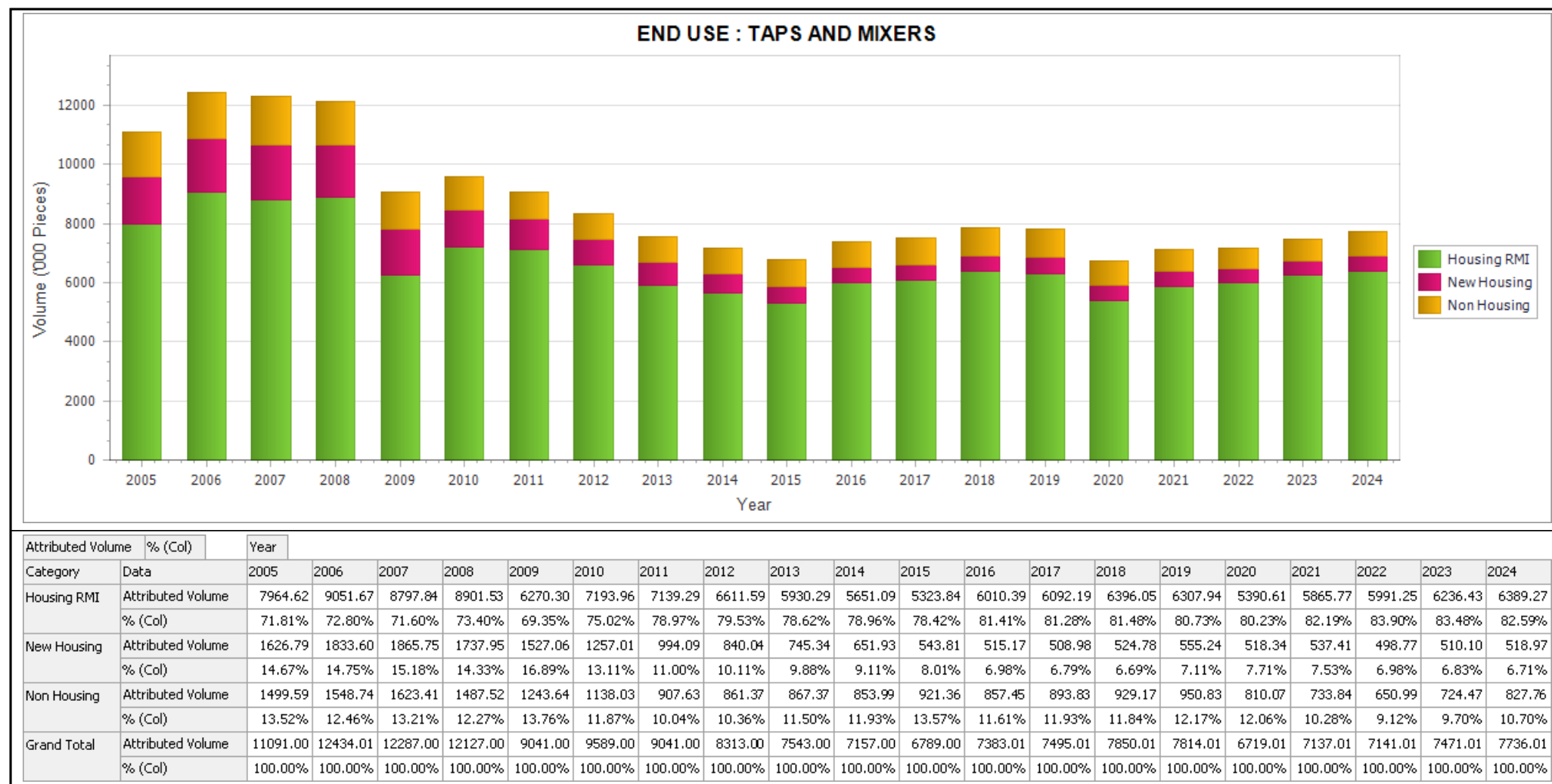


Attributed Volume	% (Col)	% (Row)	Year	Category	Data											
						2019					2019 Total					
						Housing RMI			New Housing			Non Housing				
Alt Product	Attributed Volume		% (Col)	% (Row)	Attributed Volume		% (Col)	% (Row)	Attributed Volume		% (Col)	% (Row)	Attributed Volume		% (Col)	% (Row)
Bath Taps and Mixers / Faucets	372.00		5.79%	81.76%	47.51		8.56%	10.44%	35.50		4.24%	7.80%	455.00		5.82%	100.00%
Bidet Taps and Mixers / Faucets	1127.45		17.56%	84.90%	138.55		24.95%	10.43%	62.00		7.40%	4.67%	1328.00		17.00%	100.00%
Kitchen Taps and Mixers / Faucets	1720.58		26.80%	92.31%	88.32		15.91%	4.74%	55.09		6.58%	2.96%	1864.00		23.85%	100.00%
Shower Taps and Mixers / Faucets	1437.45		22.39%	87.28%	116.68		21.01%	7.08%	92.88		11.09%	5.64%	1647.00		21.08%	100.00%
Washbasin Taps and Mixers / Faucets	1763.49		27.46%	69.98%	164.18		29.57%	6.52%	592.33		70.70%	23.51%	2520.00		32.25%	100.00%
Grand Total	6420.97		100.00%	82.17%	555.24		100.00%	7.11%	837.80		100.00%	10.72%	7814.01		100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

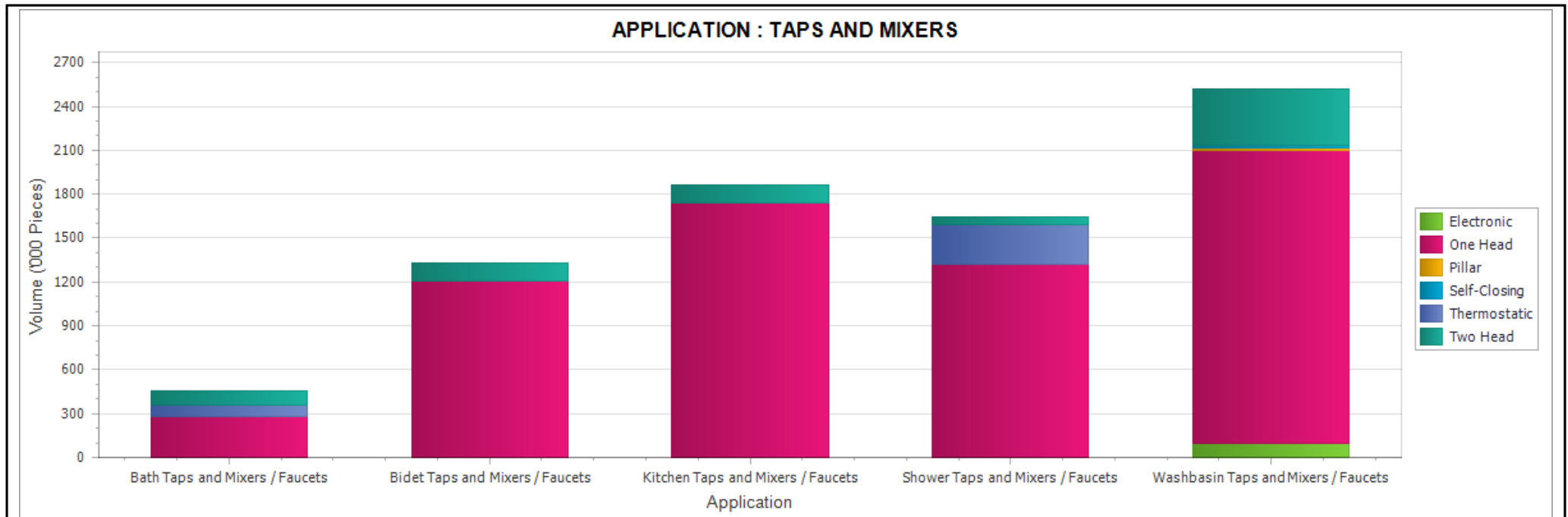
IT - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

IT - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)

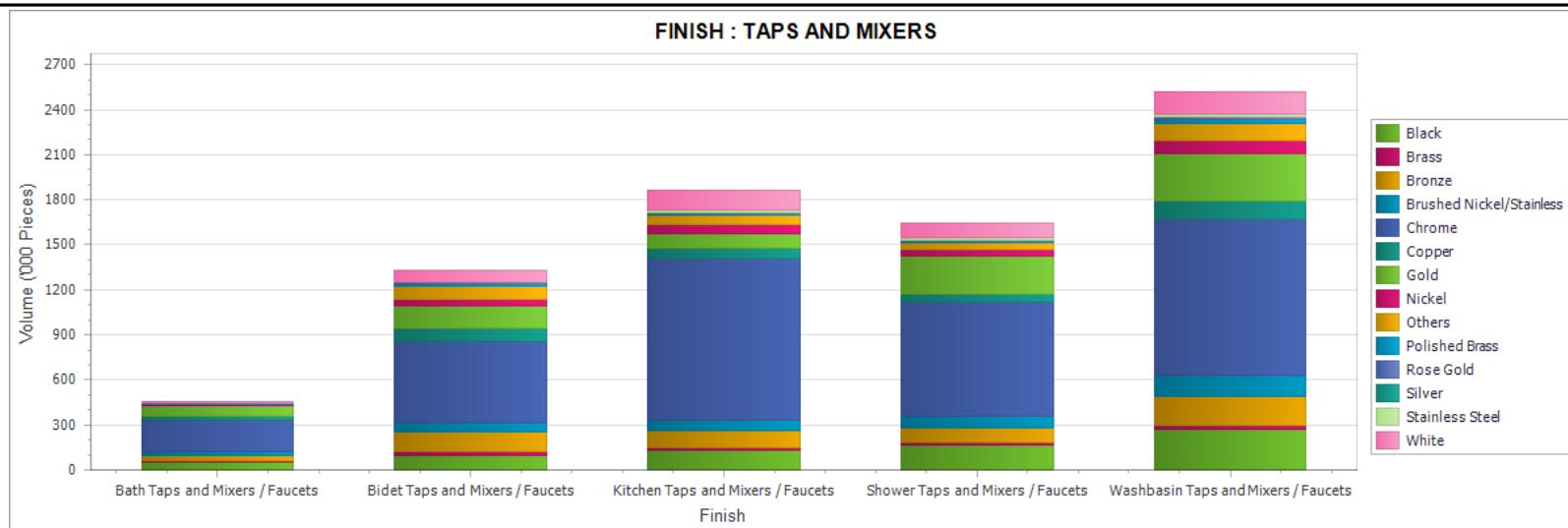


Attritl % (C % R)	Year	Alt Product	Data															
	2019															2019 Total		
	Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets					
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Electronic	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	3.90	0.24%	3.90%	96.06	3.81%	96.10%	99.96	1.28%	100.00%
One Head	282.57	62.10%	4.32%	1 204.95	90.73%	18.42%	1 735.91	93.13%	26.53%	1 316.96	79.96%	20.13%	2 002.66	79.47%	30.61%	6 543.05	83.73%	100.00%
Pillar	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	13.09	0.52%	100.00%	13.09	0.17%	100.00%
Self-Closing	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.25	0.08%	5.26%	22.45	0.89%	94.74%	23.70	0.30%	100.00%
Thermostatic	75.12	16.51%	21.93%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	267.44	16.24%	78.07%	0.00	0.00%	0.00%	342.56	4.38%	100.00%
Two Head	97.31	21.39%	12.29%	123.05	9.27%	15.54%	128.09	6.87%	16.18%	57.46	3.49%	7.26%	385.74	15.31%	48.73%	791.66	10.13%	100.00%
Grand Total	455.00	100.00%	5.82%	1 328.00	100.00%	17.00%	1 864.00	100.00%	23.85%	1 647.00	100.00%	21.08%	2 520.00	100.00%	32.25%	7 814.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

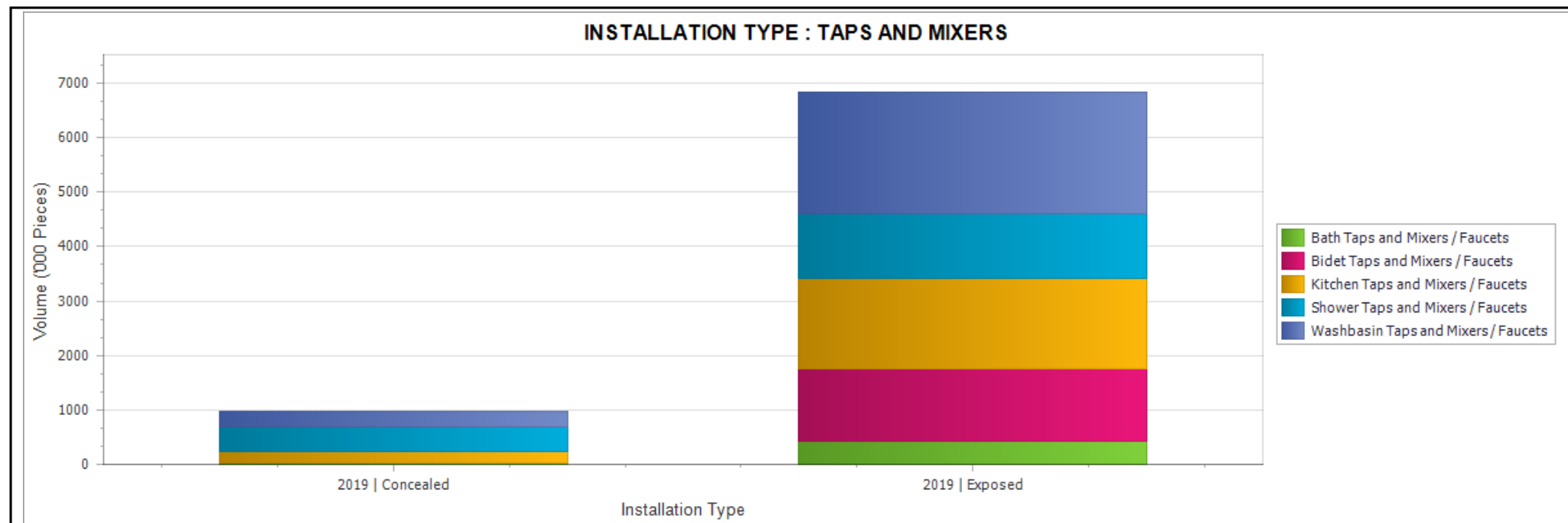
IT - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)



Attributed Vo	% (Col Vol)	Year	Alt Product	Data									
		2019										2019 Total	
		Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucet			
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	
Black	51.18	11.25%	93.52	7.04%	128.55	6.90%	168.03	10.20%	272.75	10.82%	714.03	9.14%	
Brass	6.40	1.41%	27.02	2.03%	20.30	1.09%	15.75	0.96%	23.72	0.94%	93.18	1.19%	
Bronze	40.78	8.96%	135.09	10.17%	111.64	5.99%	99.77	6.06%	189.74	7.53%	577.01	7.38%	
Brushed Nickel/Stainless	21.59	4.75%	56.11	4.23%	71.04	3.81%	78.76	4.78%	140.33	5.57%	367.84	4.71%	
Chrome	215.91	47.45%	546.58	41.16%	1 072.39	57.53%	759.62	46.12%	1 045.55	41.49%	3 640.05	46.58%	
Copper	20.79	4.57%	83.13	6.26%	77.81	4.17%	49.01	2.98%	120.57	4.78%	351.30	4.50%	
Gold	70.37	15.47%	155.87	11.74%	94.72	5.08%	253.79	15.41%	318.21	12.63%	892.96	11.43%	
Nickel	12.00	2.64%	43.64	3.29%	60.89	3.27%	42.01	2.55%	81.04	3.22%	239.58	3.07%	
Others	0.00	0.00%	87.29	6.57%	60.89	3.27%	47.26	2.87%	120.57	4.78%	316.00	4.04%	
Polished Brass	3.20	0.70%	12.47	0.94%		0.00%		0.00%	19.77	0.78%	35.43	0.45%	
Rose Gold	5.60	1.23%	6.24	0.47%	10.15	0.54%	10.50	0.64%	17.79	0.71%	50.27	0.64%	
Silver	0.80	0.18%	0.00	0.00%	3.38	0.18%	1.75	0.11%	0.00	0.00%	5.94	0.08%	
Stainless Steel	1.60	0.35%	6.24	0.47%	20.30	1.09%	17.50	1.06%	15.81	0.63%	61.45	0.79%	
White	4.80	1.05%	74.82	5.63%	131.93	7.08%	103.27	6.27%	154.16	6.12%	468.98	6.00%	
Grand Total	455.01	100.00%	1 328.01	100.00%	1 864.01	100.00%	1 647.01	100.00%	2 520.01	100.00%	7 814.03	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

IT - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)

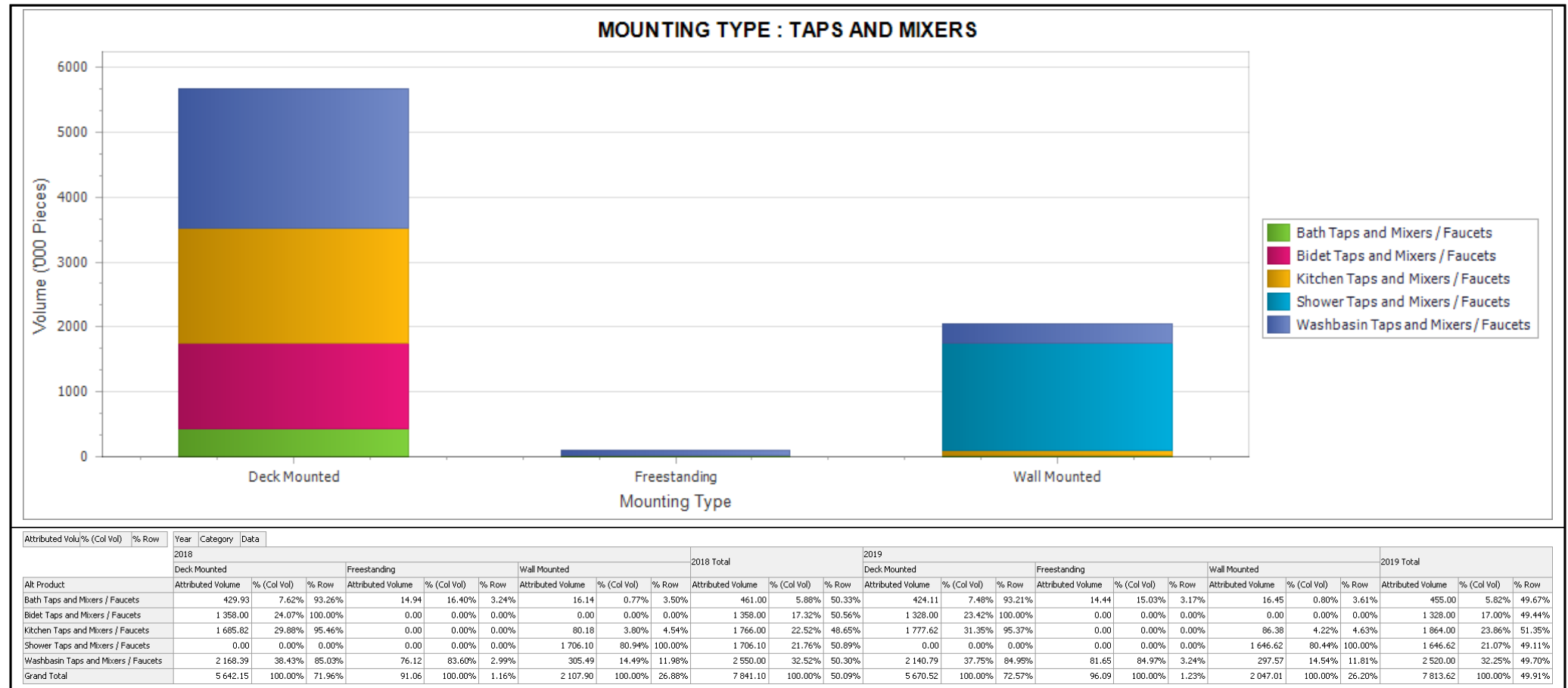


Alt Product	Attributed Volu% (Col Vol) % Row			Year Category Data														
	2019						2019 Total			2018						2018 Total		
	Concealed			Exposed						Concealed			Exposed					
	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Bath Taps and Mixers / Faucets	16.55	1.70%	3.64%	438.45	6.41%	96.36%	455.00	5.82%	49.67%	13.40	1.49%	2.91%	447.60	6.45%	97.09%	461.00	5.88%	50.33%
Bidet Taps and Mixers / Faucets	0.00	0.00%	0.00%	1 328.00	19.42%	100.00%	1 328.00	17.00%	49.44%	0.00	0.00%	0.00%	1 358.00	19.57%	100.00%	1 358.00	17.32%	50.56%
Kitchen Taps and Mixers / Faucets	219.39	22.48%	11.77%	1 644.61	24.05%	88.23%	1 864.00	23.86%	51.35%	179.26	19.90%	10.15%	1 586.74	22.86%	89.85%	1 766.00	22.52%	48.65%
Shower Taps and Mixers / Faucets	455.97	46.73%	27.69%	1 190.66	17.41%	72.31%	1 646.62	21.07%	49.11%	454.97	50.52%	26.67%	1 251.14	18.03%	73.33%	1 706.10	21.76%	50.89%
Washbasin Taps and Mixers / Faucets	283.91	29.09%	11.27%	2 236.09	32.70%	88.73%	2 520.00	32.25%	49.70%	252.96	28.09%	9.92%	2 297.05	33.10%	90.08%	2 550.00	32.52%	50.30%
Grand Total	975.82	100.00%	12.49%	6 837.81	100.00%	87.51%	7 813.62	100.00%	49.91%	900.58	100.00%	11.49%	6 940.53	100.00%	88.51%	7 841.10	100.00%	50.09%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

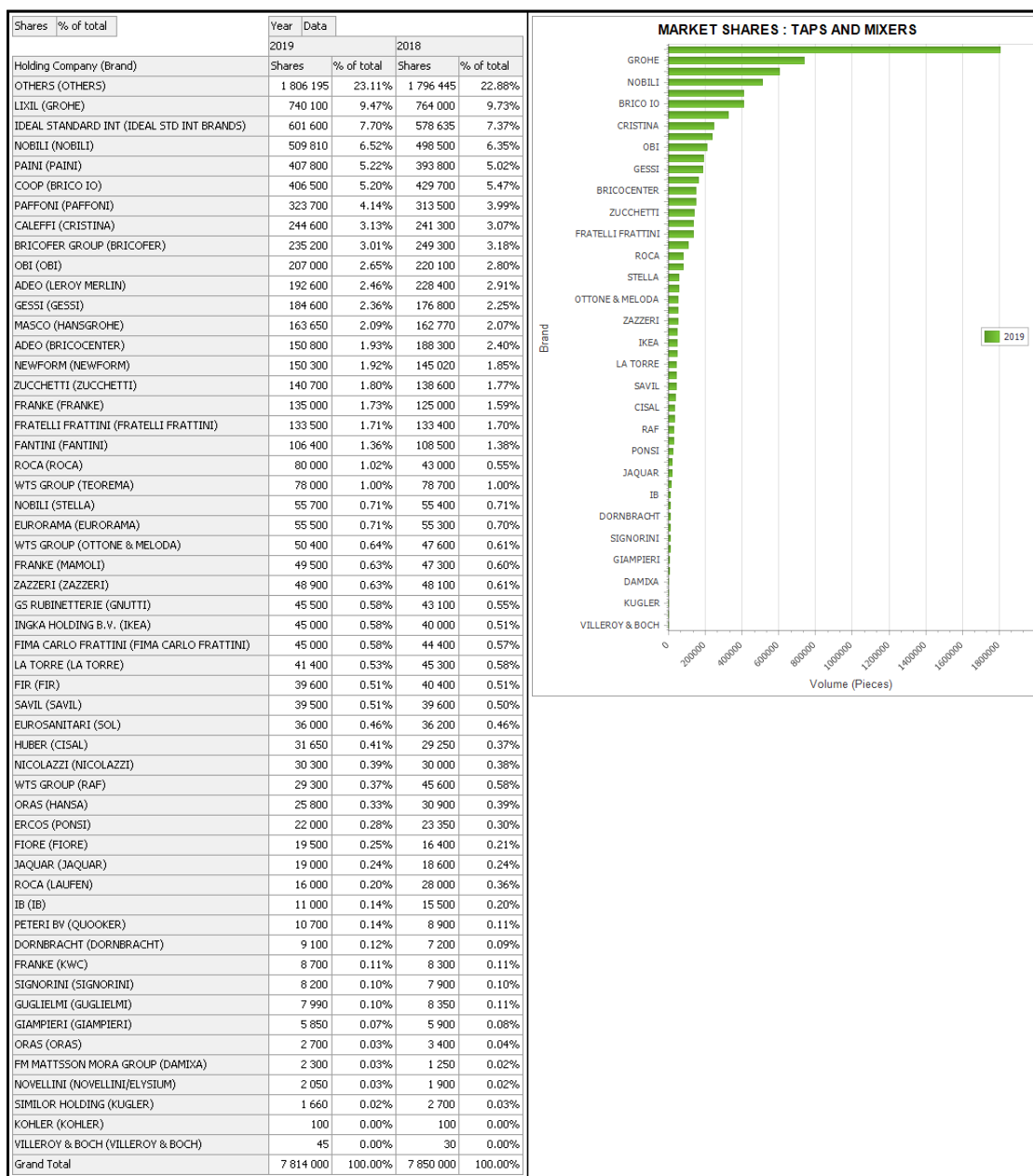
IT - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

IT - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 IT - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	6 724	57.7%	68 412	38.3%	6 963	58.7%	69 430	38.7%
Germany	2 926	25.1%	72 880	40.8%	3 104	26.2%	73 954	41.2%
Bulgaria	1 123	9.6%	16 987	9.5%	962	8.1%	14 248	7.9%
Spain	154	1.3%	2 805	1.6%	83	0.7%	2 339	1.3%
OTHERS	724	6.2%	17 520	9.8%	742	6.3%	19 648	10.9%
Total	11 651	100.0%	178 604	100.0%	11 854	100.0%	179 619	100.0%

Source : Trademap

3.6.2 IT - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	7 492	21.9%	107 169	15.6%	7 628	21.9%	104 931	15.2%
France	4 752	13.9%	110 072	16.0%	5 439	15.6%	116 831	16.9%
United Kingdom	2 058	6.0%	47 813	6.9%	2 109	6.1%	50 398	7.3%
Spain	1 503	4.4%	33 187	4.8%	1 574	4.5%	32 632	4.7%
Libya, State of	1 023	3.0%	13 608	2.0%	261	0.8%	2 887	0.4%
Saudi Arabia	1 005	2.9%	16 332	2.4%	818	2.3%	13 950	2.0%
Greece	880	2.6%	16 377	2.4%	853	2.5%	17 051	2.5%
Switzerland	859	2.5%	24 755	3.6%	973	2.8%	26 631	3.9%
Belgium	859	2.5%	24 214	3.5%	803	2.3%	20 705	3.0%
Netherlands	852	2.5%	24 311	3.5%	841	2.4%	24 328	3.5%
Portugal	812	2.4%	6 557	1.0%	796	2.3%	6 977	1.0%
OTHERS	12 134	35.4%	264 479	38.4%	12 721	36.5%	273 124	39.6%
Total	34 230	100.0%	688 874	100.0%	34 815	100.0%	690 445	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

67.3%
Wholesalers / Merchants
67.3%

Retail Level

Manufacturer	Wholesaler
2.4%	4.3%
Internet Retailers	
6.7%	

Manufacturer	Wholesaler
15.0%	6.4%
DIY Retailers	
21.5%	

Manufacturer	Wholesaler
11.9%	31.2%
Specialist Retailers	
43.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	10.8%	1.3%	5.4%	10.4%
Installers				
28.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.9%	14.2%	5.4%	15.8%	32.8%	27.0%
Residential					
97.0%					
New Build			Residential RMI		
4.7%			92.3%		
Project	Non-Project		Project	Non-Project	
2.7%	2.0%		4.2%	88.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.9%	0.4%	0.0%	0.3%	0.0%	1.4%
Non-Residential					
3.0%					
New Build			Non-Residential RMI		
1.1%			1.9%		
Project	Non-Project		Project	Non-Project	
0.8%	0.3%		0.5%	1.4%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

68.8%
Wholesalers / Merchants
68.8%

Retail Level

Manufacturer	Wholesaler
2.8%	5.1%
Internet Retailers	
7.9%	

Manufacturer	Wholesaler
14.8%	6.2%
DIY Retailers	
21.0%	

Manufacturer	Wholesaler
10.8%	31.4%
Specialist Retailers	
42.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.4%	11.0%	1.6%	5.3%	10.1%
Installers				
28.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.5%	14.7%	6.3%	15.5%	32.1%	27.4%
Residential					
97.6%					
New Build			Residential RMI		
4.4%			93.2%		
Project	Non-Project		Project	Non-Project	
2.6%	1.7%		4.2%	89.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.9%	0.4%	0.0%	0.3%	0.0%	0.9%
Non-Residential					
2.4%					
New Build			Non-Residential RMI		
0.9%			1.5%		
Project	Non-Project		Project	Non-Project	
0.7%	0.2%		0.4%	1.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

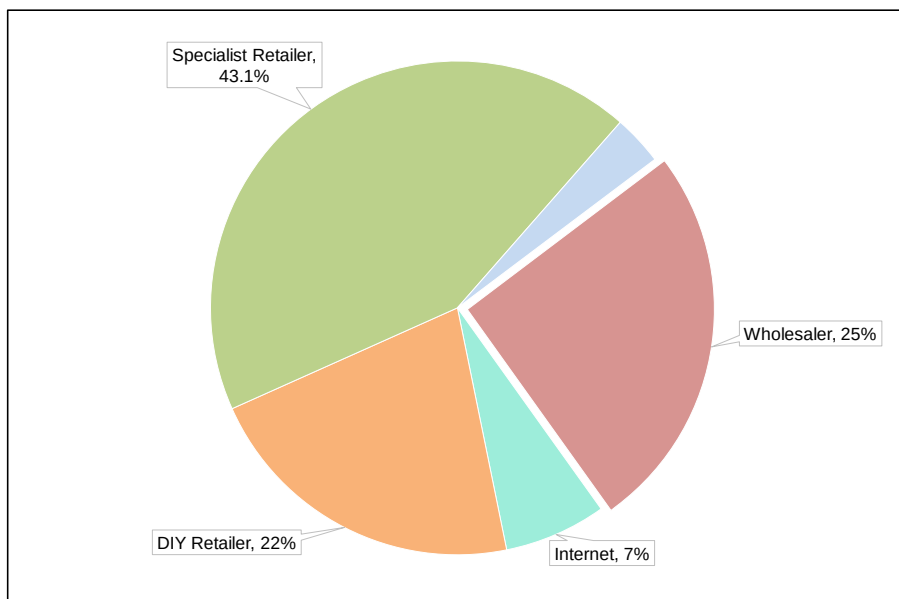
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.4%	6.7%	21.5%	43.1%	3.3%	6.9%	1.3%	90.2%	1.7%
100%					8.1%		91.9%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

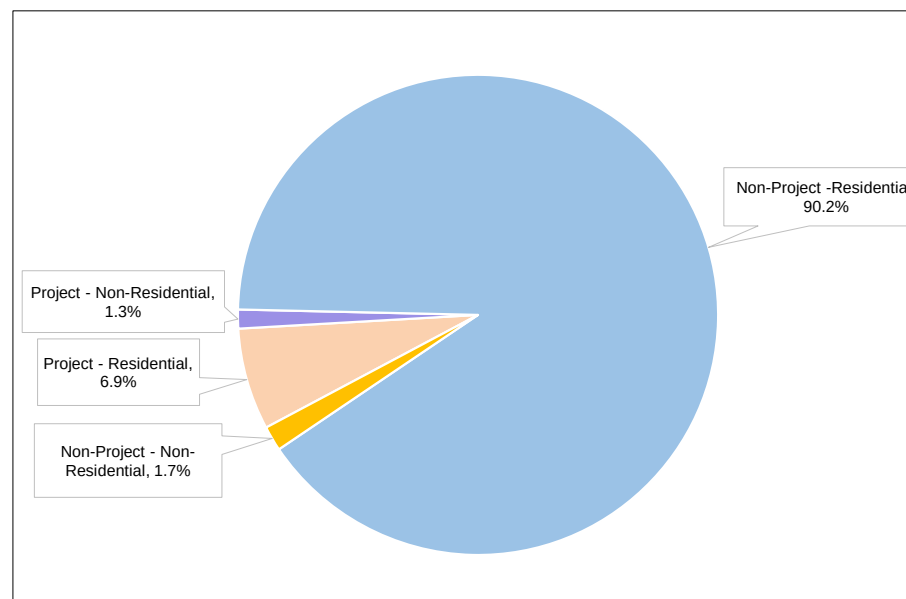
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.1%	7.9%	21.0%	42.2%	2.8%	6.8%	1.0%	90.8%	1.4%
100%					7.8%		92.2%	

IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.8%
	Wholesalers / Merchants
	60.8%

Retail Level	Manufacturer 2.3%	Wholesaler 4.2%	Manufacturer 21.6%	Wholesaler 9.3%	Manufacturer 10.3%	Wholesaler 12.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.5%		30.9%		23.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	20.7%	1.3%	7.7%	4.4%
Installers				
36.8%				

End Use Level	Manufacturer 1.5%	Wholesaler 13.4%	Internet 5.2%	DIY 21.5%	Specialist 17.6%	Installer 25.8%	Manufacturer 0.8%	Wholesaler 0.4%	Internet 0.0%	DIY 1.7%	Specialist 1.2%	Installer 10.9%
	Residential						Non-Residential					
	84.9%						15.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	7.8%			77.1%			4.9%			10.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	4.5%		3.4%	3.5%		73.6%	3.7%		1.2%	2.5%		7.7%

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.9%
	Wholesalers / Merchants
	60.9%

Retail Level	Manufacturer 2.9%	Wholesaler 5.1%	Manufacturer 22.1%	Wholesaler 9.5%	Manufacturer 9.8%	Wholesaler 12.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		31.6%		22.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.4%	20.7%	1.6%	7.9%	4.4%
Installers				
37.0%				

End Use Level	Manufacturer 1.3%	Wholesaler 12.9%	Internet 6.4%	DIY 22.3%	Specialist 16.9%	Installer 26.8%	Manufacturer 0.6%	Wholesaler 0.3%	Internet 0.0%	DIY 1.4%	Specialist 0.9%	Installer 10.2%
	Residential						Non-Residential					
	86.6%						13.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	7.5%			79.1%			4.5%			8.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	4.5%		3.0%	3.6%		75.6%	3.4%		1.1%	2.2%		6.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

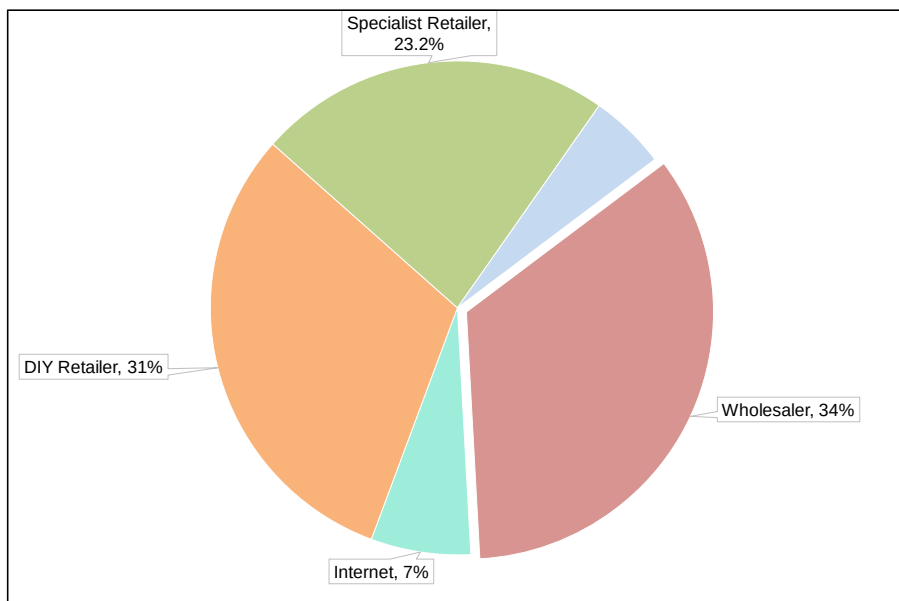
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.4%	6.5%	30.9%	23.2%	5.0%	7.9%	6.2%	77.0%	8.9%
100%					14.1%		85.9%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

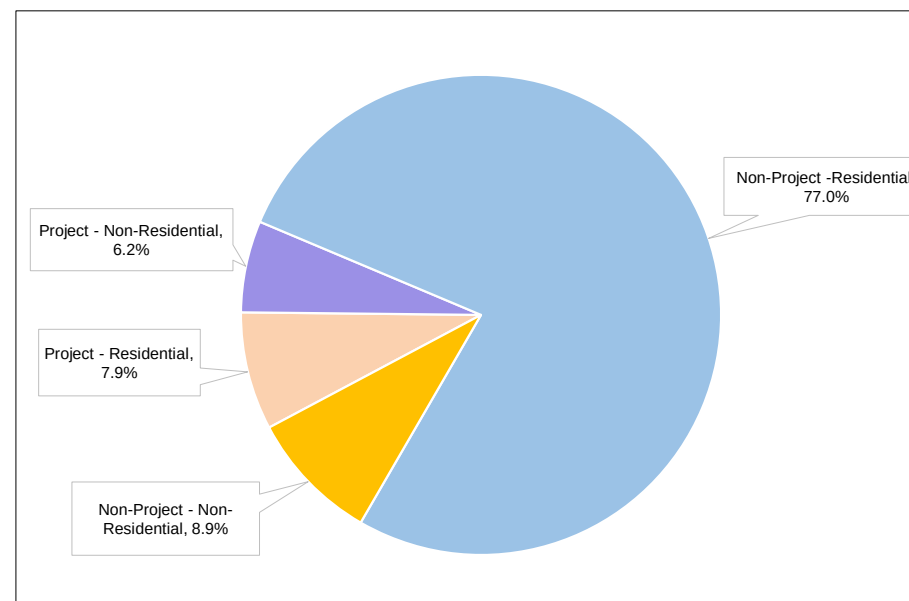
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.9%	8.0%	31.6%	22.2%	4.3%	8.0%	5.6%	78.6%	7.8%
100%					13.6%		86.4%	

IT - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



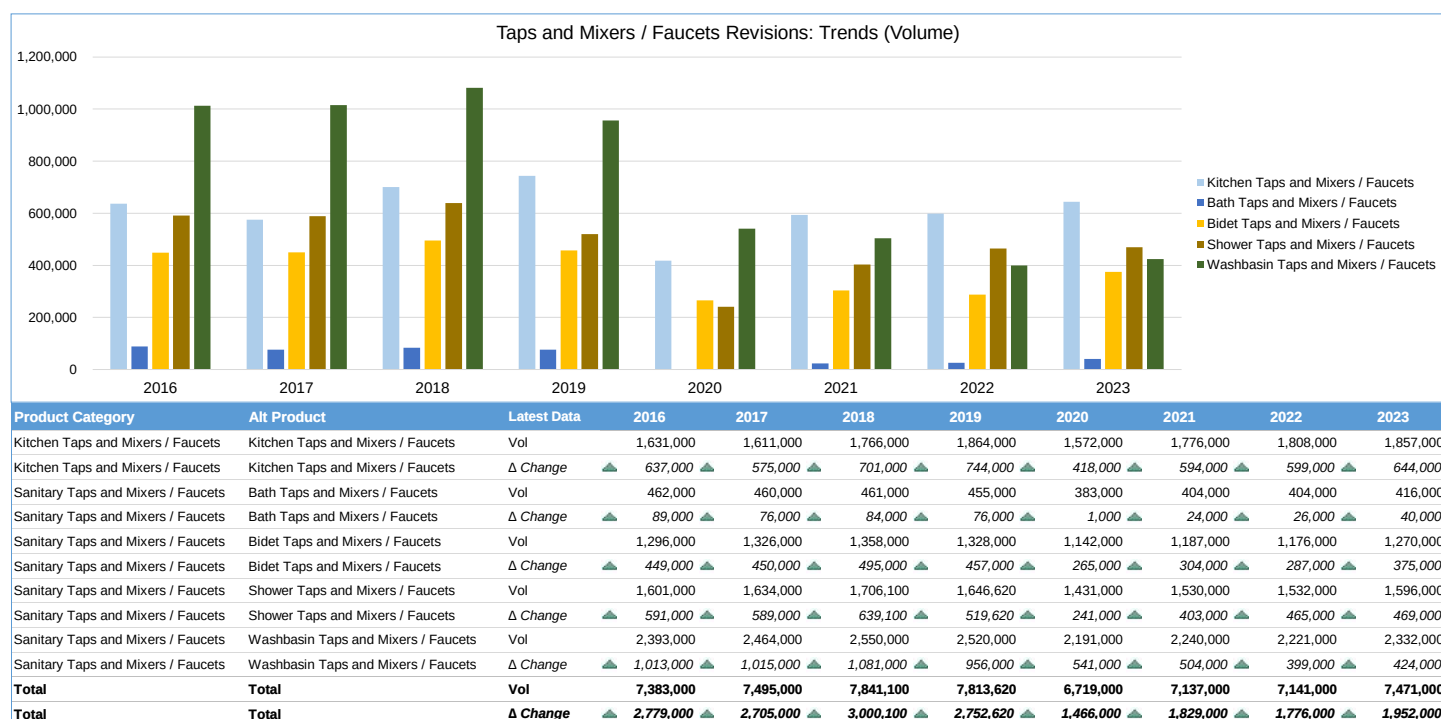
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Italian Taps and Mixers / Faucets Market (April 2020)

IT - REVISIONS IN THE ITALIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2019



BRG has made significant revision to the market size for taps and mixers, including all types, in Italy due a number of reasons:

- As with ceramic sanitary ware, the Italian tap and mixer market has seen an influx of cheaper imports from China, which has had a strong impact on the sales of domestic manufacturers. These imports, together with imports from other European countries such as Spain, France, Poland and Portugal, had previously been underestimated. That being said, unlike ceramic sanitary ware, the share of domestic manufacturers has not declined that strongly over the last decade since the Italian tap and mixer market has always relied more on imports than that of ceramic.

- According to industry sources, Chinese sourced products had also been underestimated in previous years. These are largely sold through DIY stores, as well as other type of smaller format hardware stores. Many of the DIY retailers are increasingly offering their own brands ('private label'), including OBI, LEROY MERLIN, BRICOCENTER and BRICO OI. For example, around 35% of OBI's taps and mixer offer consists of its own OBI range and 26% of LEROY MERLIN's product range (the SENSEA range of bathroom fittings) and the other DIY stores are also believed to have a wide range of private label. Many well-known Italian fitting brands, such as PAFFONI, ZUCHETTI and PAINI, are not even available to purchase in most Italian DIY stores.

- The growing importance of cheaper imports can also be linked to the fact that the Italian DIY market developed at a significant later stage when compared to other European markets. According to industry experts this is linked to geographical characteristics of Italy, with its long and narrow shape, combined with the economic difference between the north and the south of the country. As previously mentioned, DIY stores account for the sale of the vast majority of Chinese imported products in Italy. The expansion of the Italian DIY sector accelerated in the 2000s many international chains opened stores in the Italian peninsula. The rapid growth of DIY in recent times, and therefore sales of taps and mixers, comes as a direct result of consumer demand to have a greater choice of products within a wider price range, particularly as the financial crisis has encouraged many consumers to minimise budgets by choosing more low-end products and possibly install the products themselves, whereas previously they would have relied on an installer.

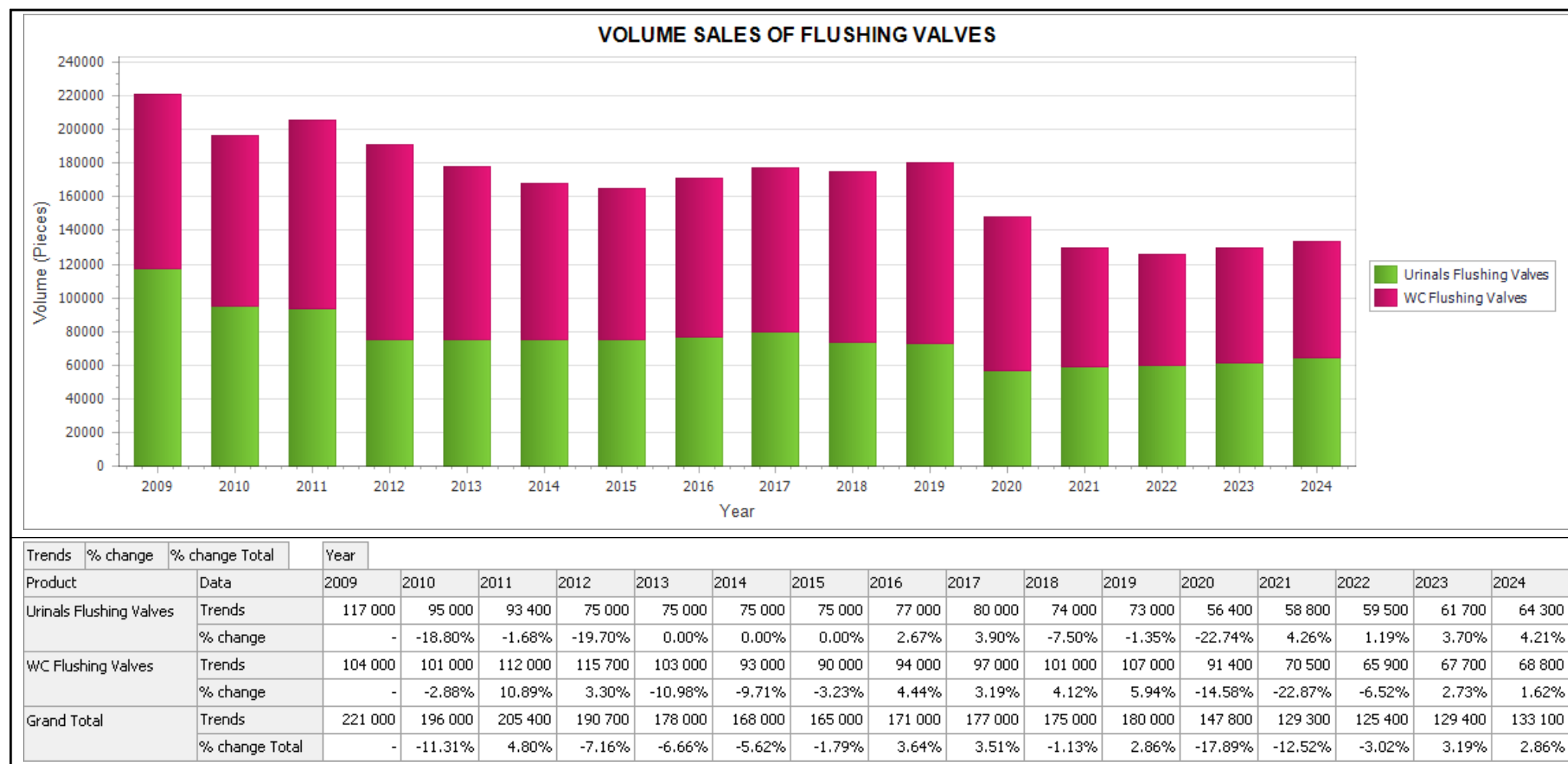
- The replacement ratio of taps and mixers when compared to sales of the actual application (e.g. baths, basins or kitchens) was also previously too low in Italy, meaning that the estimate of like-for-like replacement sales was not high enough. The lifespan of the actual application can vary quite a bit, from 15-20 years for a washbasin and/ or bidet and from 20-30 years for a bath and/or a kitchen sink, whereas the lifespan of a mixer is a lot shorter. During the lifespan of the application, the mixer is probably replaced between two to four times depending on the product involved.

- It is also important to point out that the in European comparison the Italian market will always be higher relative to the size of the population or to the dwellings stock, since bidets are a key product, found in every Italian home, which do not feature, to the same extent, on the other European markets. Bidet mixers can be quite often replaced due to its heavy usage and BRG has now assumed that bidet mixers are replaced at once or twice during its lifespan. Bidet mixers account for around 16% of total tap and mixer sales in 2019.

Following revisions made to the supply structure by adding a number of new players including DIY's private label brands, minor upward revisions were made to the MSP for all types of taps and mixers sold on the Italian market.

3.9.1 Historical Trends and Forecasts : Flushing Valves

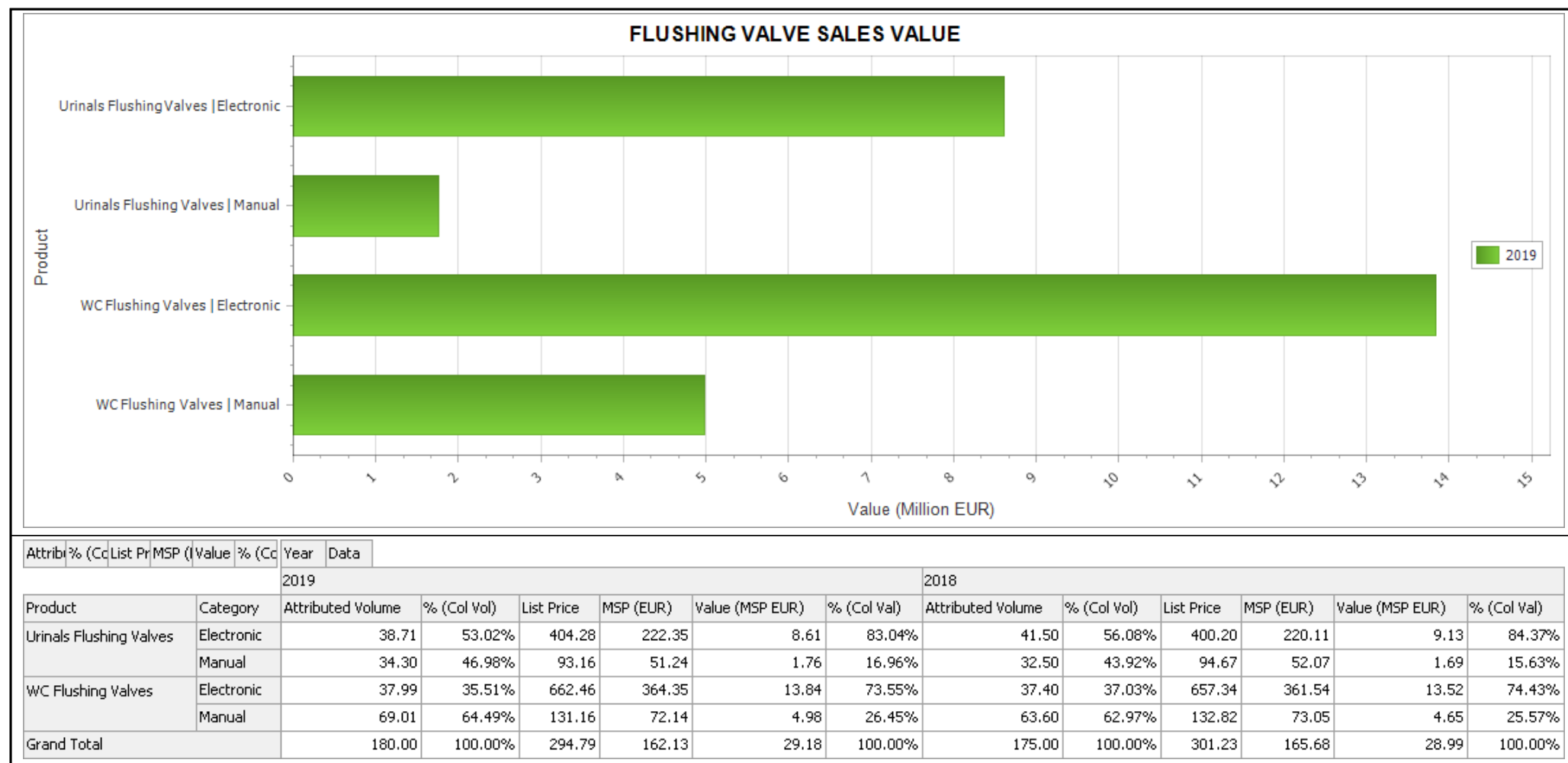
IT - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

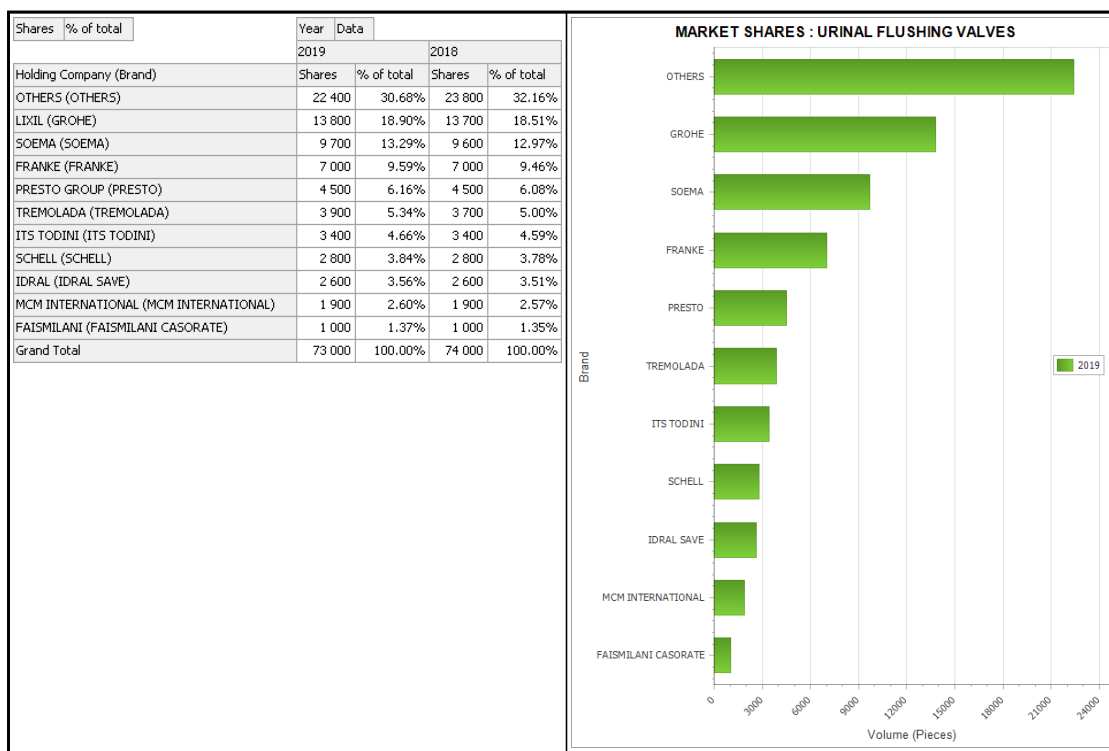
IT - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

3.9.3 Market Shares : Urinal Flushing Valves

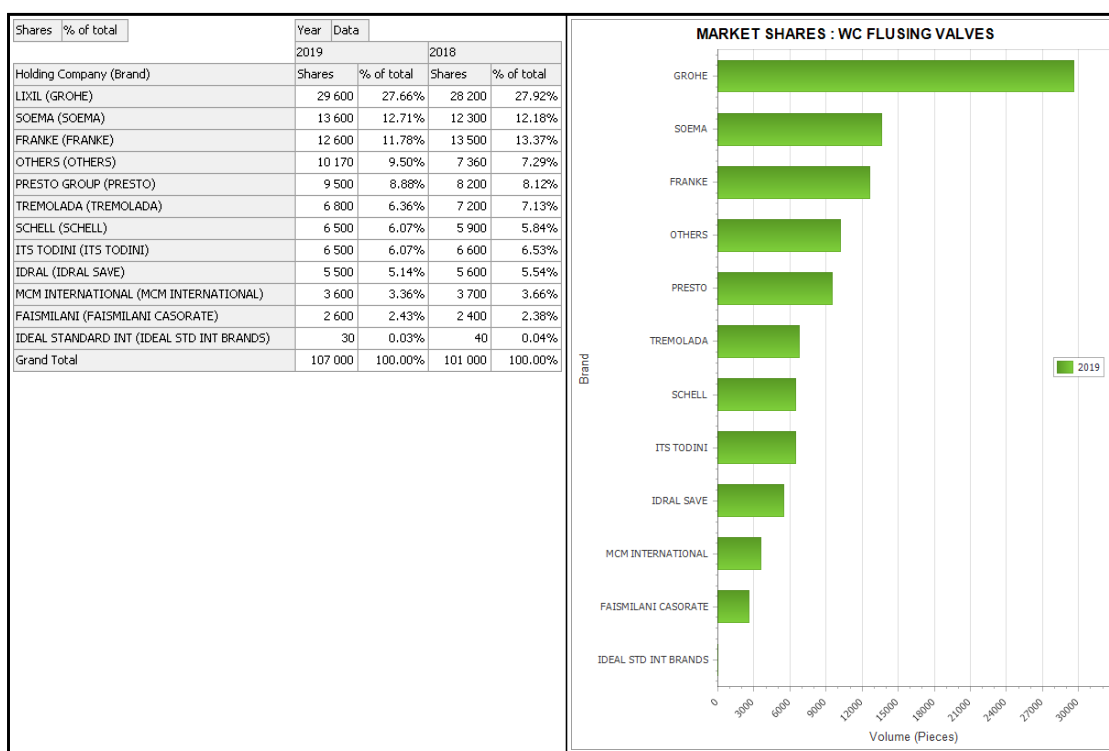
IT - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

IT - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

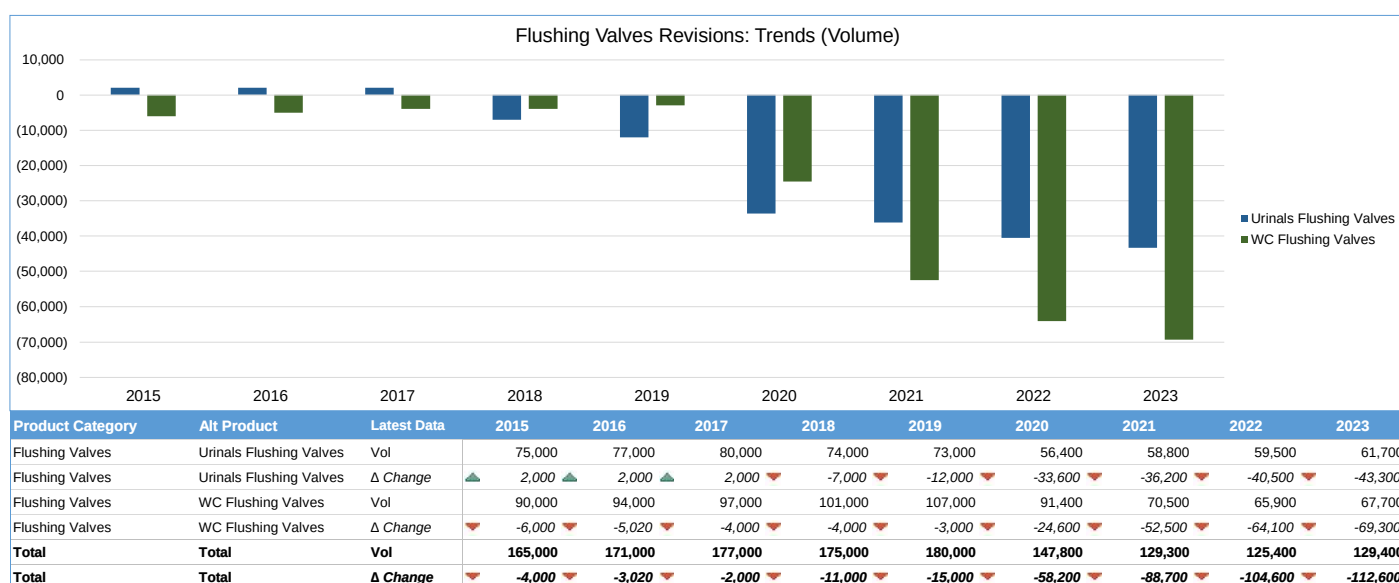


Source: BRG based on industry interviews.

3.10 Revisions in the Italian Flushing Valves Market (April 2020)

IT - REVISIONS IN THE ITALIAN FLUSHING VALVES MARKET

Data Comparison: April 2019



The overall market sizes of WC flushing valves were revised downwards, both historically and during base year. These changes were made after further research and inspection of the import numbers as well as newly received data on this segment, which unearthed that the overall market was previously overestimated.

The changes made to the urinals flushing valves market volumes are two-fold. While volumes between 2014-2017 were revised slightly up, volumes between 2018 and 2019 were brought down. This decline was mainly caused by the increasing penetration of waterless urinals in the country.

ITALY

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall has been the product that, together with shower trays, has epitomised the advent of the bathroom as a space where safety and accessibility can be achieved. To this extent, shower wall sales are linked strongly to those of shower trays and, but to a lesser extent, walk-in showers; however, the link has gained further strength with the improvement of the expenditure for current and extraordinary repair and installations in new housing, after a decade of decline.

A further trend connected with the rise of the shower wall is the reduction of the space dedicated to the bathroom in new housing, so as to double its number per each household. With the reduction of the space available, the optimisation of this space has led to the creation of an environment where function and comfort have become fundamental. The round entry with a hinged door, along with the corner entry with a sliding door, remain the most popular types of shower enclosure due to their space-saving nature and relatively cheap prices. The thickness of the glass has also recently become of interest to the consumer, with thicknesses ranging from the budget three-millimetre-thick glass to the luxury eight-millimetre-thick models.

The demand for bath screens has been subject to a high variability in recent years, because of the intense competition from product alternatives to curtains at the lower price ranges, and the substitution trend from baths to shower trays has reached a peak in the last few years. Conventional shower cubicles have certainly suffered the worst over recent years, and represent a marginal share of the total market. However, given that the main application for a full four-wall solution is to be installed in the bedroom, space-saving considerations have pushed bathrooms into having fully-equipped solutions.

The market is on its way to maturity, helped along by the substitution trend of baths to showers, pushed by the need to save space, water and money, and thus most sales come from the RMI segment. The main drivers for a housing RMI-focused market have often been housing transactions and consumer disposable income. Therefore, the recovery from the economic crisis did not impact the sales of shower walls significantly, confirming the moderate development of the expenditure for extraordinary repair of existing residential dwellings as well as the weak performance of new housing.

Another impact worth mentioning is Italy's ageing population, which prompts higher sales of showers than baths because they are safer and easier to get in and out of. Since birth rates are relatively static at the moment, this trend is set to continue. Similarly, hydrotherapy cubicles have performed better than baths given the overall substitution trend between the two, despite the market of such products being subject to major fluctuations in recent years.

Recent Market Trends

The demand for shower enclosures in 2019 has been characterised by an ongoing recovery, driven by the concurrent trend of transition towards high-end models in terms of quality and prices. The expansion in volumes corroborates the constant interest in shower walls, in a context where the ageing population and water/space-saving reasoning are gaining further weight in orienting the choices of the end-use consumer. The expansion of demand was noted across all end use segments, although to a greater extent in the new housing segment, due to the good levels of housing completions in 2019, especially apartment completions.

Most shower wall products have experienced growth within the non-housing market, due to positive investment in the hospitality segment and renovation, sustaining also the conventional shower cubicle product segment, the expansion of which has not hindered the higher demand for hydrotherapy cubicles.

Within the hydrotherapy segment, hydrotherapy cubicles saw a slight return to decline 2019, continuing the past pattern of constant drops in demand, with renovation being the primary driver.

On the other hand, bath screens have faced declines in RMI demand as they continue to face displacement towards shower trays as considerations of space, time saving and budget gain further ground in orienting the purchasing behaviour of the end-use consumer.

At the level of technical product preferences, minor shifts for door types were noted, particularly the ongoing movement towards side wall and pivoting doors, which are regarded as more aesthetically appealing and modern than the folding, hinged and sliding alternatives. The shift towards glass enclosures also continued, as glass prices have now practically equalled plastic due to the higher availability of cheap imports of glass enclosures and bath screens. Concerning the bath screen market, single door continued to dominate the market in 2019, while double door are increasing as well, at the expense of sliding ones.

The penetration of walk-in showers as an outside-of-product-family substitution was noted to have gained further traction in 2019, primarily as an aesthetic choice on the part of the consumer, and shower enclosure manufacturers are adapting the development of products to further accommodate such demand, with the clear expectation that the trend will not lose pace in the foreseeable future.

Prices and Market Values

The average prices for shower wall products increased in 2019, even though there was a concurrent movement towards the higher range, as well as the active marginal increase of catalogue prices, which will be then rebated in the purchasing phase. The attempt to increase the price leverage by the manufacturer is supported by the shift of sales in the showroom, where the bargaining process increasingly involves the end-use customer and to a lesser extent the installer.

Overall it seems that the DIY channel is consistently gaining a leading position in commercialising economy lines with Chinese imports, while the middle price segment is characterised by the presence of wholesalers that are supplied by manufacturers that also use imported materials in an effort to remain competitive. The luxury segment continues to be supplied by the specialist retailer and showroom segment, wherein companies such as VISMARAVETRO, SAMO, and BOX DOCCE 2B are investing in aesthetics and quality so as to carve out a high-value niche market.

New Housing

If it has become clear in recent years that most of new houses have at least one type of shower wall. This evolution was driven by sales of shower enclosures as it represented the biggest market with the highest growth rate.

Sales of hydrotherapy cubicles in the new housing segment increased sharply, corroborating the growth of interest towards such products in a context where also the slight improvement of new dwelling output might be argued to contribute to a positive performance of products within the hydrotherapy range.

Housing RMI

The incidence of the replacement of shower enclosures compared to shower trays, as well as walk-in showers, saw a considerable expansion in 2019. This trend is sustained by the fact that the lifespan of around 10 years (compared to around 15 for shower trays) has meant that replacement continues to be, by far, the largest segment for shower enclosure sales.

The replacement rate is different for bath screens, as the replacement of bath screens with curtains has meant a stable trend of around half a bath screen for every bath sold in the last few years.

Non-Housing

Shower enclosures remain the most popular in the hospitality sector. This is partly due to the general popularity of the product, but also because hotels rely more on clientele who are away on business rather than holiday. This means that clients spend less time at the hotel and have a preference for showers over baths, because they are quicker and easier to use.

Supply Structure

The Italian shower wall market is characterised by a high degree of fragmentation, with many small regional companies making up a large part of the 'others' category. Despite holding positions of leadership, both NOVELLINI and SAMO, with the latter having acquired INDA in mid-2013, have suffered huge contractions due to major changes of product lines and sales distribution. Most manufacturers

are Italian companies, although there is a presence of foreign players as DUSCHOLUX, which have struggled to penetrate the market in a meaningful way, owing to the importance placed on the Italian brand in the shower wall market.

The performance of market players has varied greatly, with GLASS, DUKA, and ARBLU continuing to gain share from players that have led the development of their industrial strategy away from the domestic market towards the foreign ones, such as TDA, SAMO, and MEGIUS. Many manufacturers are facing the dilemma of either to opt for larger distributors, which have more liquidity and stability but represent a higher risk if they fail, or to choose smaller wholesalers or installer companies with low liquidity and stability – but which would be a smaller risk to take on. In general, the first option is chosen by many companies, opting for stability and large size rather than for smaller, more flexible channels.

As in previous years, in terms of distribution the Italian shower wall market has been slow to move away from the traditional wholesaler and specialist retailer/showroom channel towards the growing DIY channel, where consumers are increasingly looking for cheaper products. Many local manufacturers are even exiting the DIY channel, as the competition from Chinese imports is too strong and they have struggled to maintain their revenues. Previously the price and installation complexity, particularly for shower cubicles and enclosures, has meant limited growth in this channel; however, DIY stores are noticeably improving their product knowledge, after-sales service and installation, which is likely to lead to increasing growth in this channel in the coming years.

It has been noted that there are an increasing number of local manufacturers that are importing Chinese products in order to reduce costs (among them is TAMANACO), but these are struggling to gain popularity as consumers remain highly quality-conscious.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

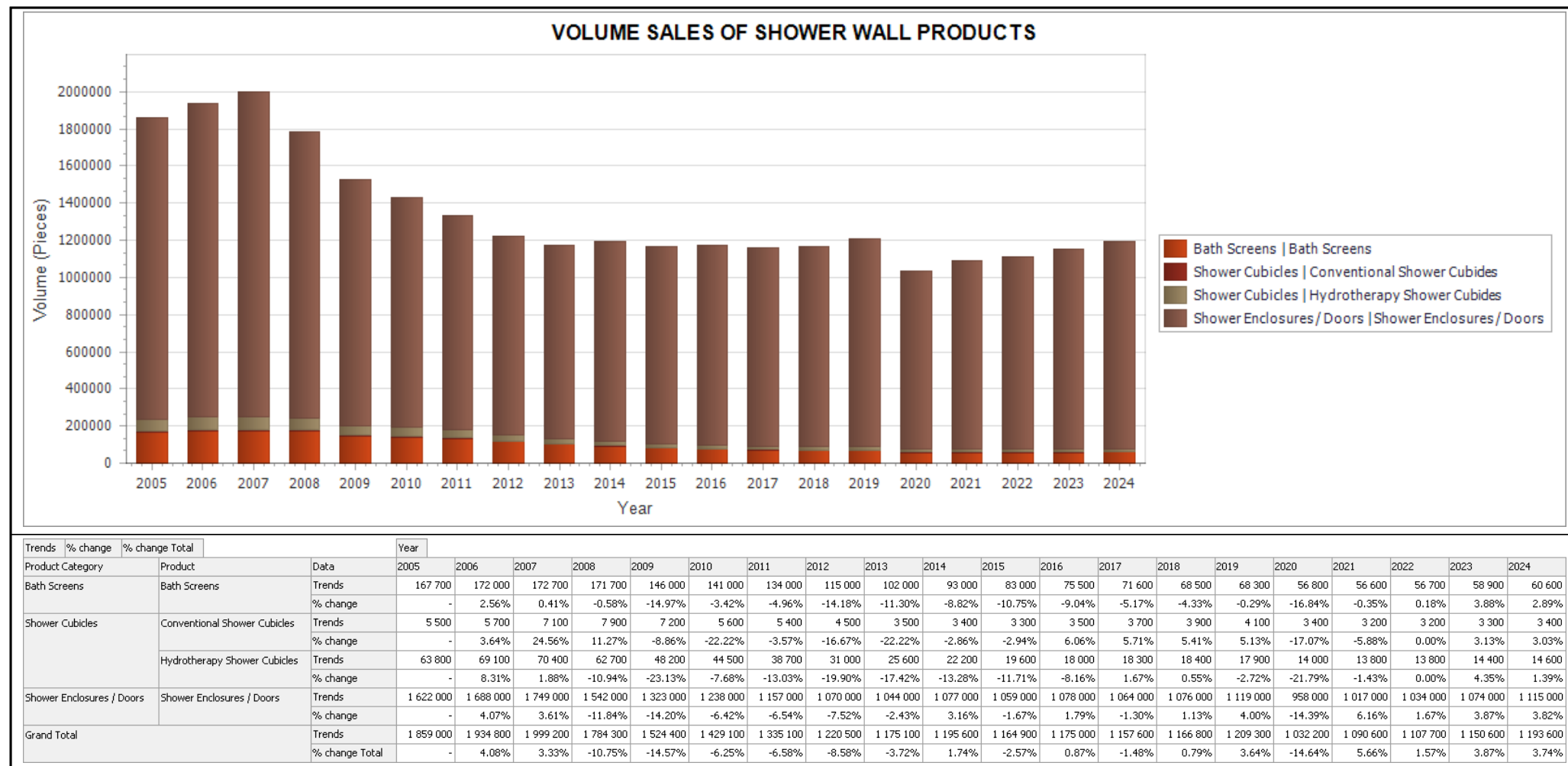
With the impact of the crisis in 2020, the accumulated number new housing projects increased. It is difficult to predict how the slowdown of the economic will impact the new housing in the short term. It is expected that new housing will decline significantly in 2020 and that the effects of the crisis will still be carried over into 2021 and 2022. However, from 2023 onwards a rebound in new housing completions is expected, which should boost demand for shower walls.

In terms of product mix, shower enclosure should continue to gain share over bath screens, which reflect a shift towards showering in the Italian market. Hydrotherapy product sales should remain fairly stable over the forecast period, after losing share in 2020, due to the lack of investment for expensive product during the crisis period.

As with most bathroom products, distribution during the forecast period is expected to shift increasingly towards a polarisation of price segments, whereby showrooms and internet distribution will gain relevance, as more and more manufacturers choose e-commerce platforms as distributors do, thus widening the online product range and availability. DIY sales will adapt to the increased competition of e-commerce with an improvement of products.

4.2 Historical Trends and Forecasts : Shower Wall

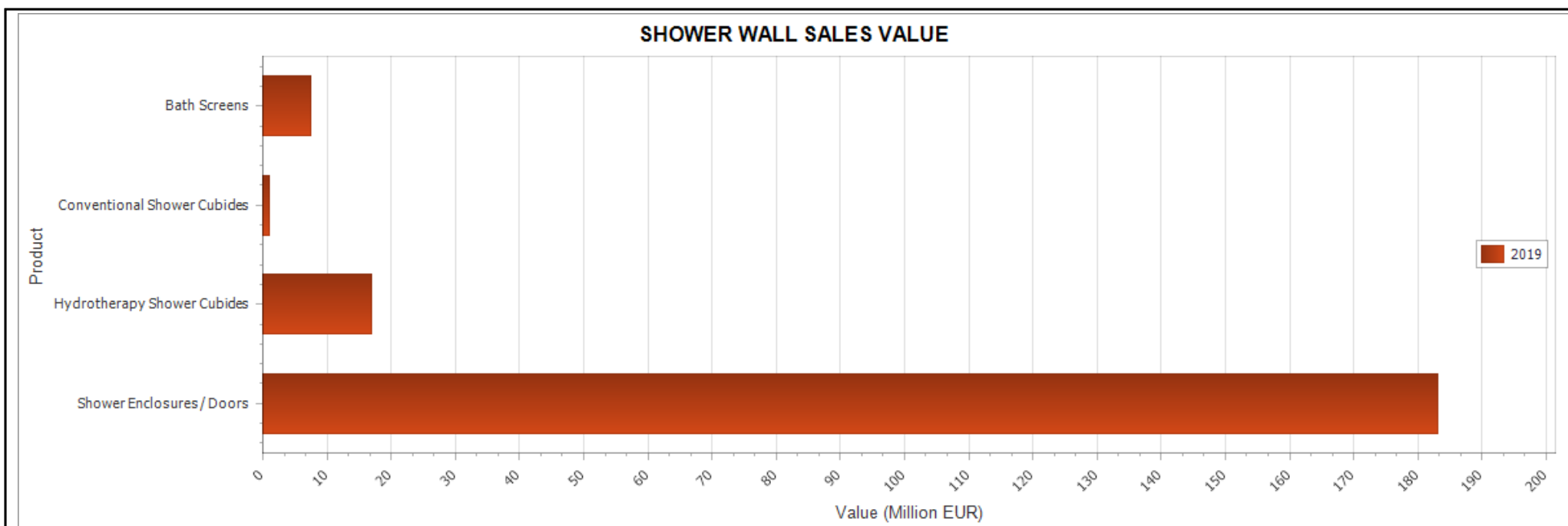
IT - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

IT - ESTIMATED VALUES OF THE SHOWER WALL MARKET

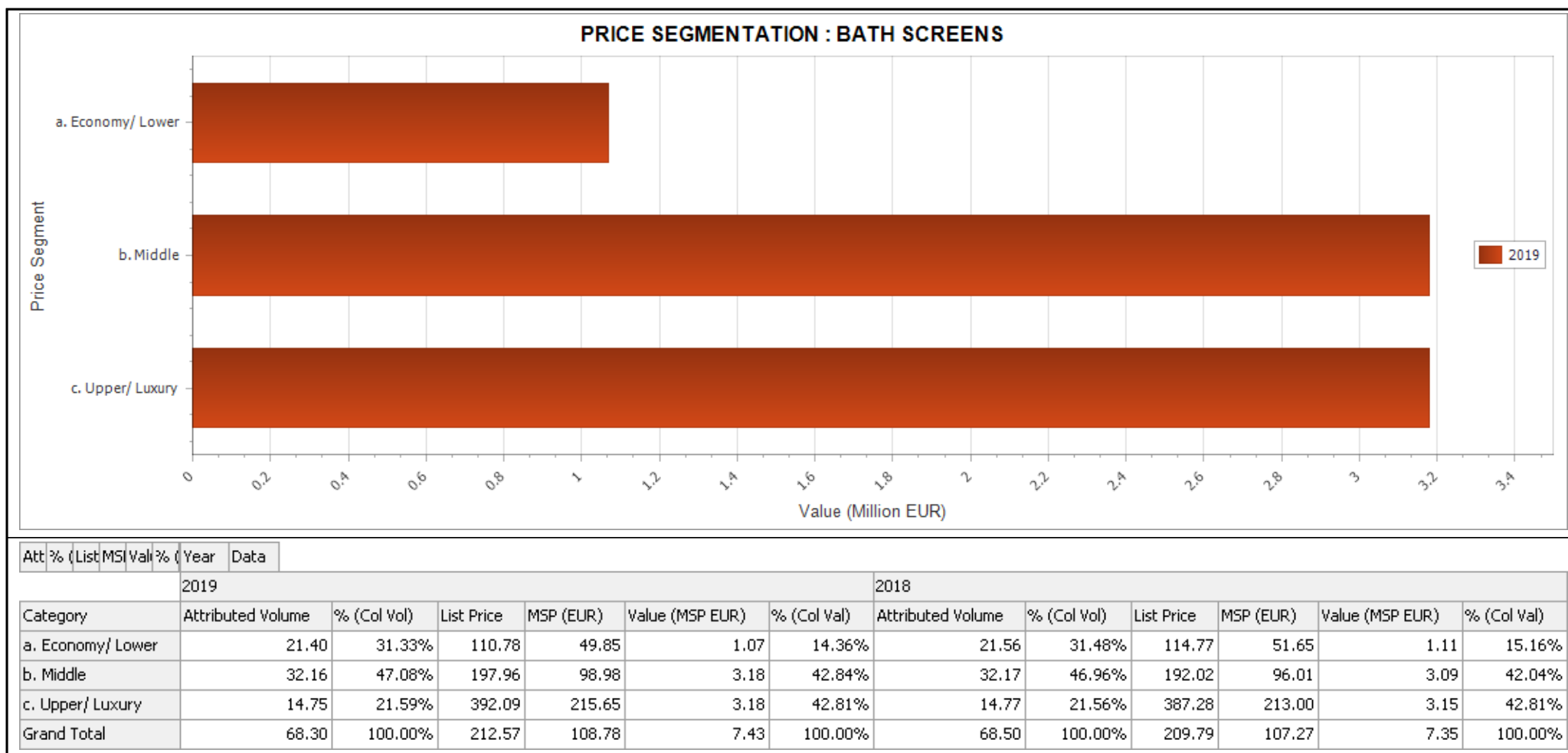


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2019			2018			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	68 300	108.78	7.43	68 500	107.26	7.35	
Shower Cubicles	Conventional Shower Cubicles	4 100	256.47	1.05	3 900	251.66	0.98	
	Hydrotherapy Shower Cubicles	17 900	946.77	16.95	18 400	940.65	17.31	
Shower Enclosures / Doors	Shower Enclosures / Doors	1 119 000	163.65	183.12	1 076 000	156.39	168.28	
Grand Total		1 209 300	172.46	208.55	1 166 800	166.19	193.91	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

IT - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

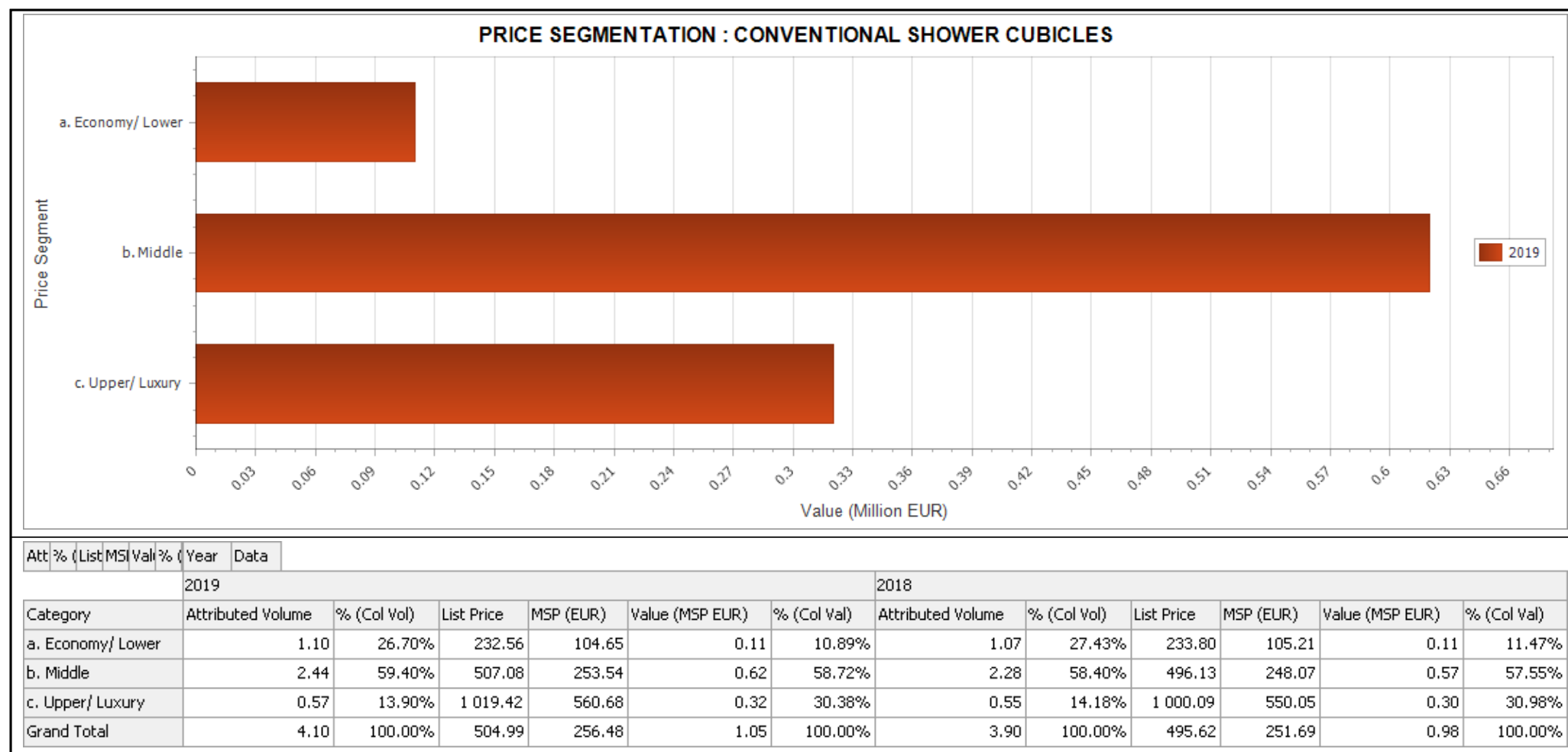


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €81-€150, Upper/ Luxury >€150

4.3.3 Price Segmentation : Conventional Shower Cubicles

IT - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

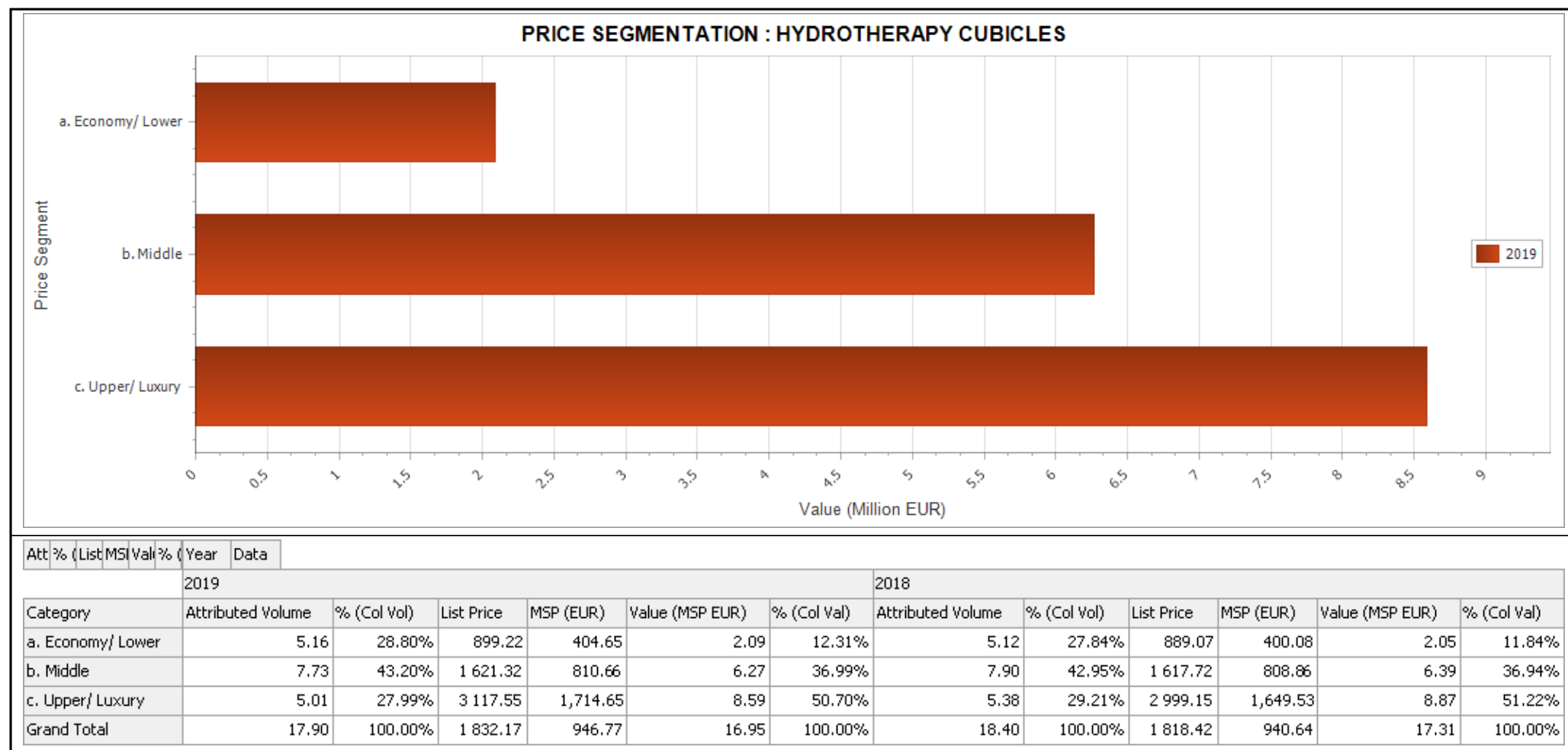


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

IT - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

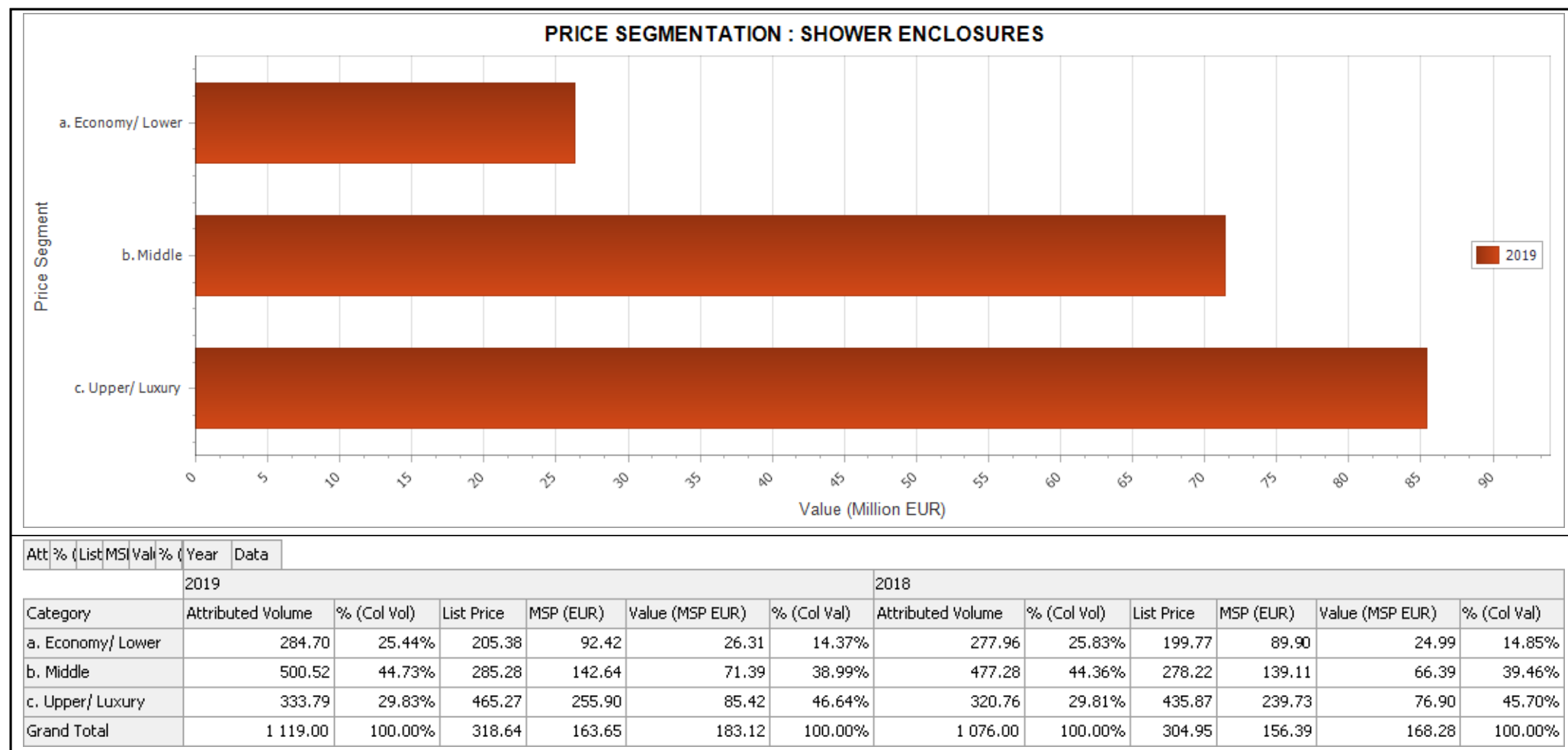


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1200, Middle€1200-€1600, Upper/ Luxury >€1600

4.3.5 Price Segmentation : Shower Enclosures

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

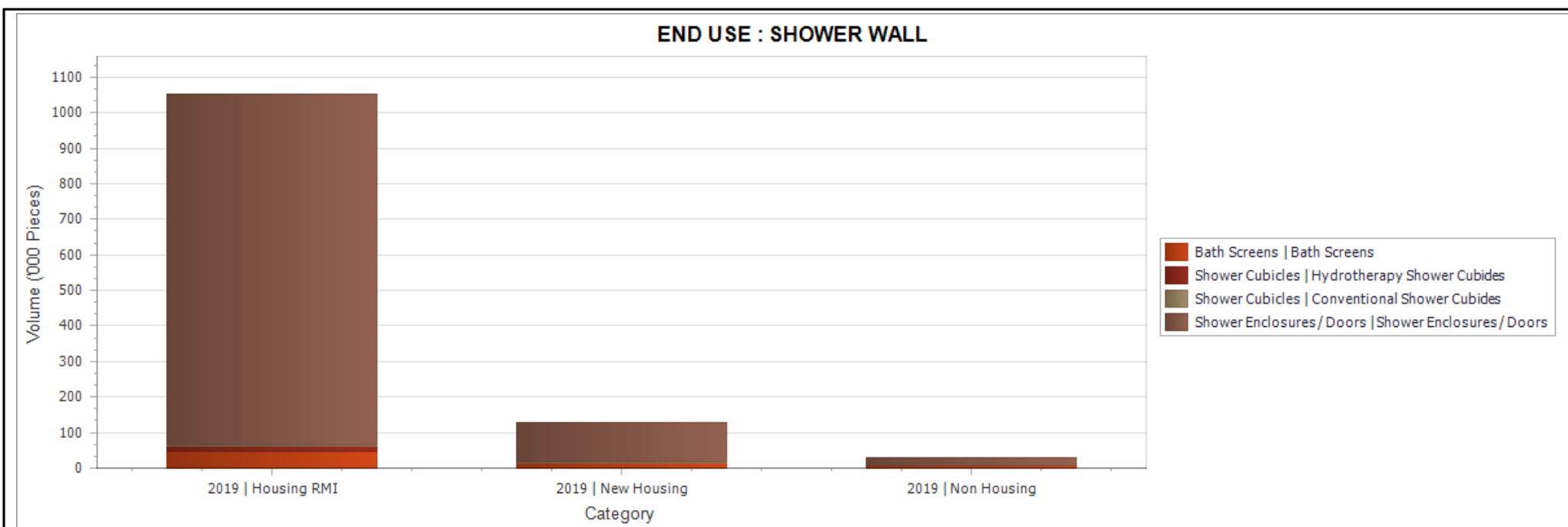


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€220, Upper/ Luxury >€220

4.4.1 End Use : Base Year

IT - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)

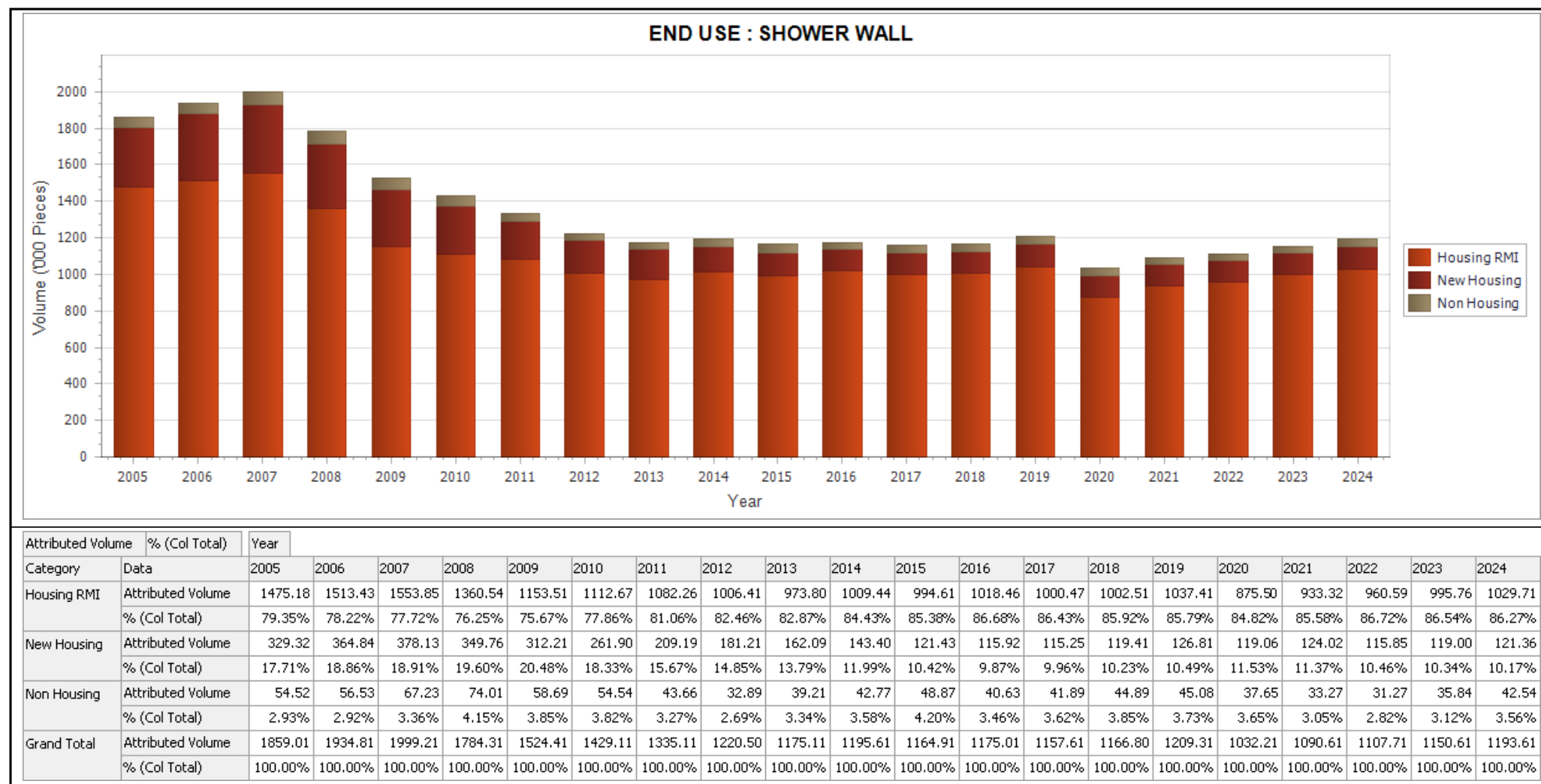


Attributed Volume		% (Col Total)	% (Row)	Year	Category	Data								
		2019									2019 Total			
		Housing RMI			New Housing			Non Housing						
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Bath Screens	Bath Screens	47.47	4.51%	69.50%	13.54	10.68%	19.82%	7.29	24.47%	10.68%	68.30	5.65%	100.00%	
Shower Cubicles	Conventional Shower Cubicles	3.46	0.33%	84.32%	0.44	0.34%	10.66%	0.21	0.69%	5.02%	4.10	0.34%	100.00%	
	Hydrotherapy Shower Cubicles	14.94	1.42%	83.43%	2.76	2.18%	15.43%	0.20	0.68%	1.14%	17.90	1.48%	100.00%	
Shower Enclosures / Doors	Shower Enclosures / Doors	986.83	93.74%	88.19%	110.07	86.80%	9.84%	22.10	74.15%	1.98%	1119.00	92.53%	100.00%	
Grand Total		1052.69	100.00%	87.05%	126.81	100.00%	10.49%	29.81	100.00%	2.46%	1209.31	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

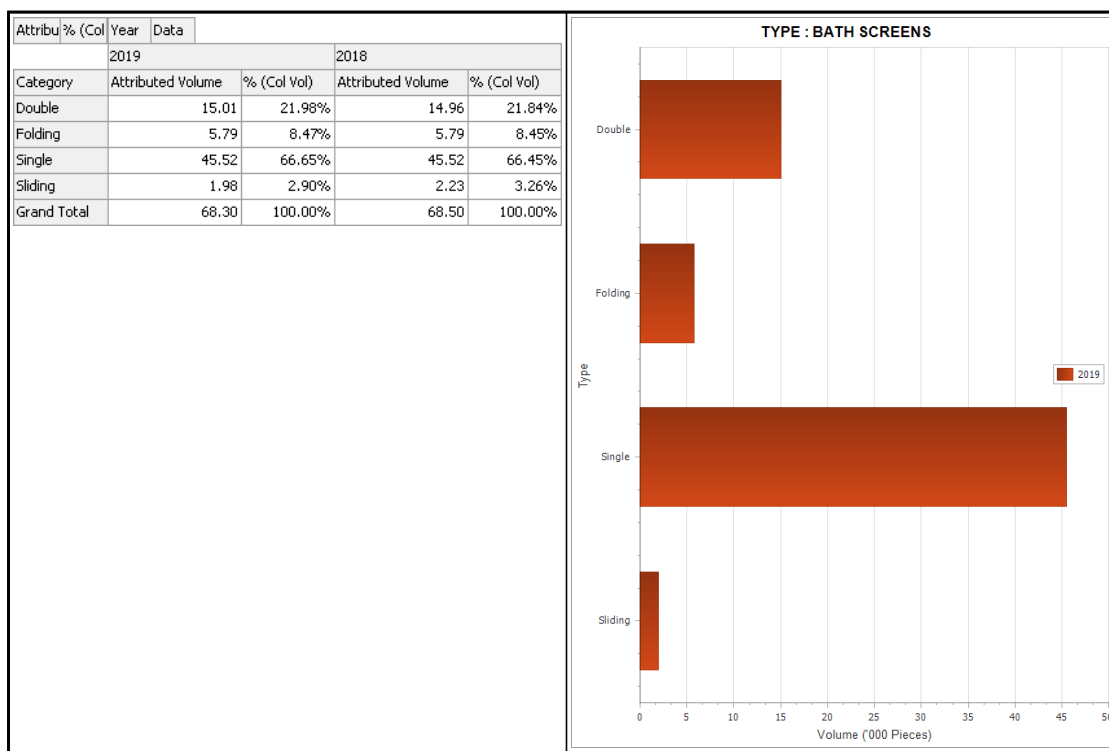
IT - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

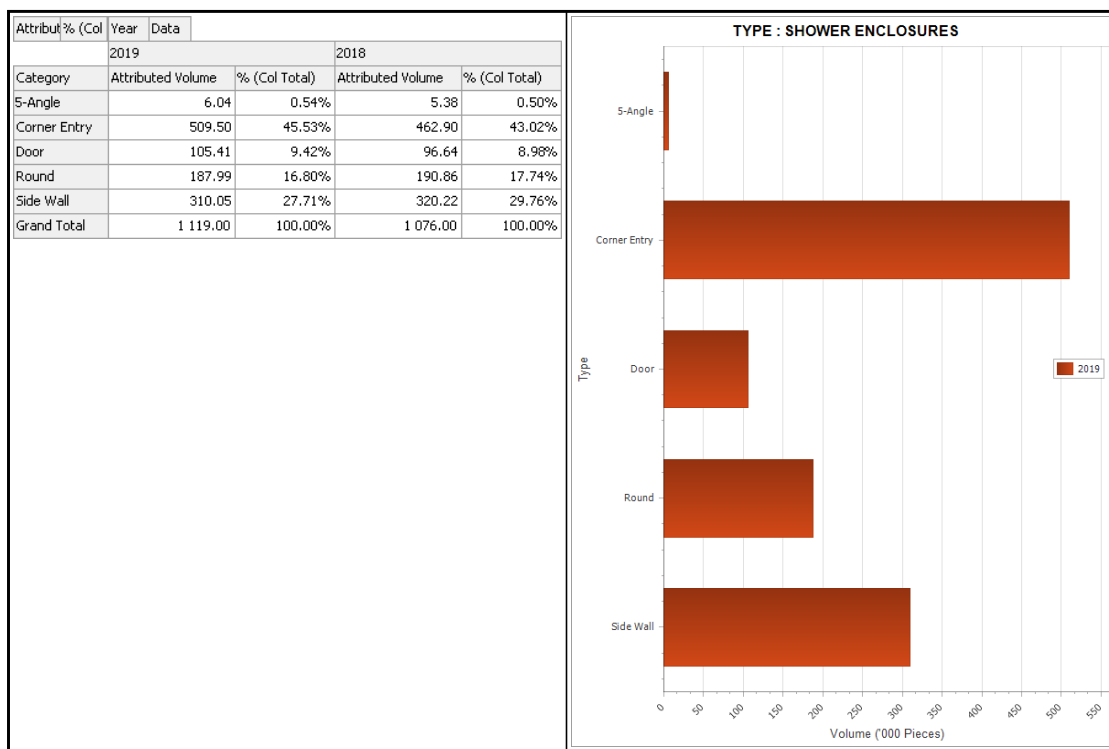
IT - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

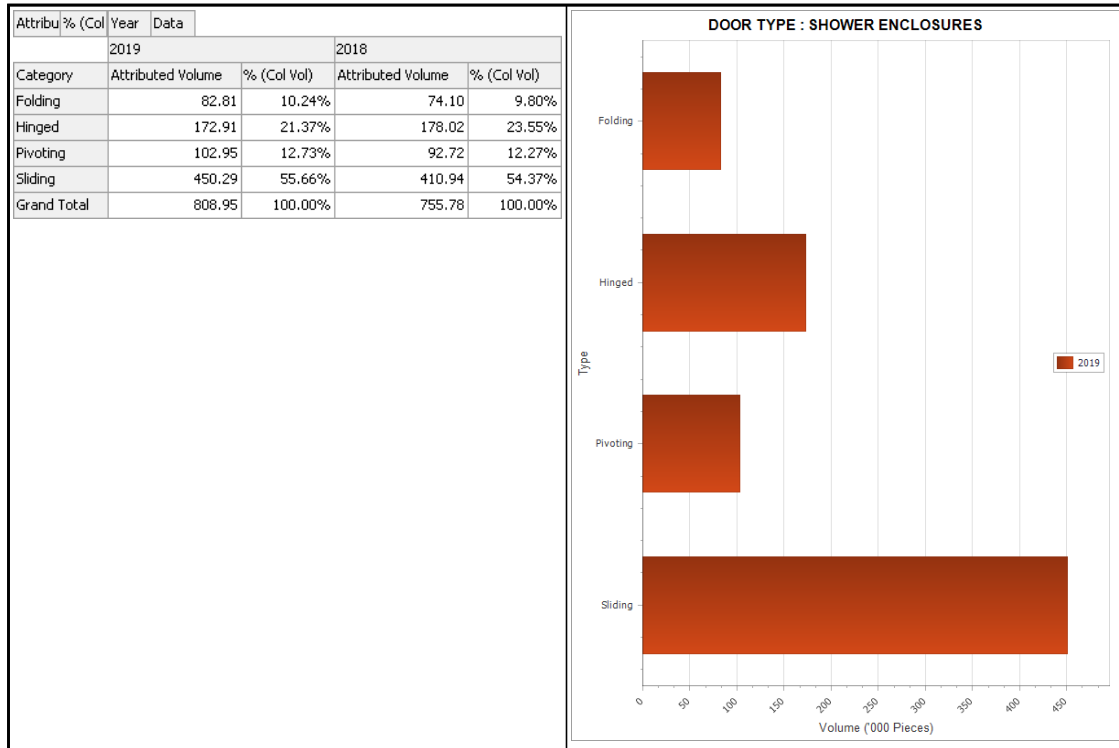
IT - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

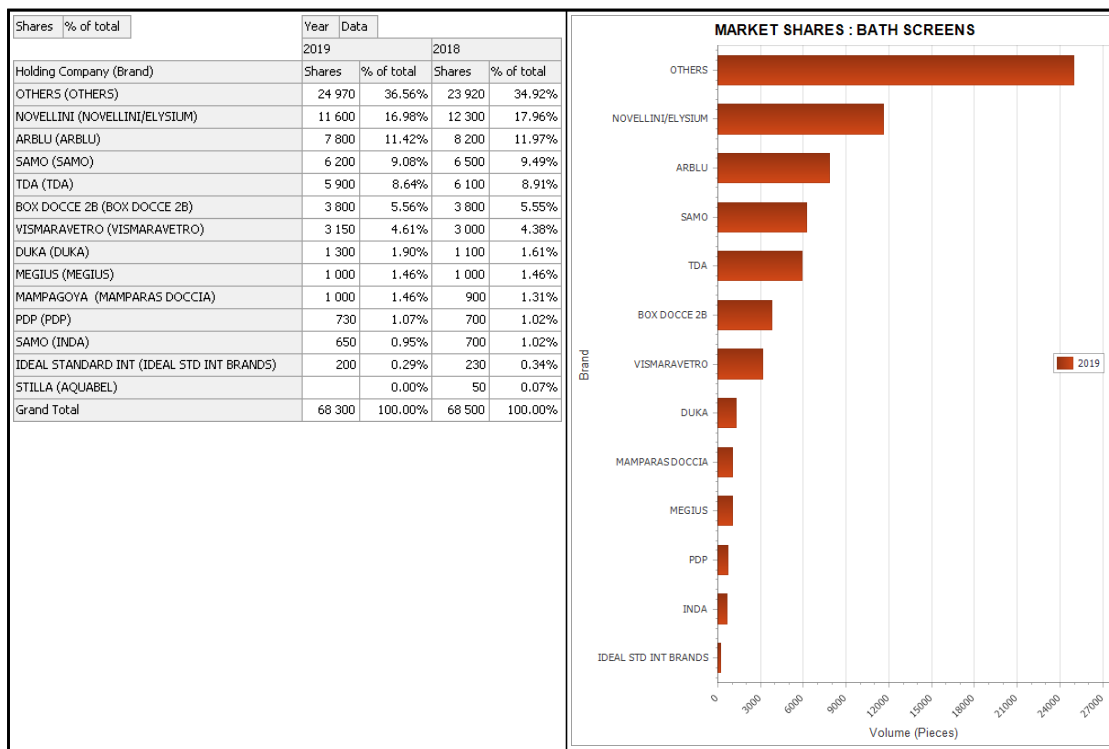
IT - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

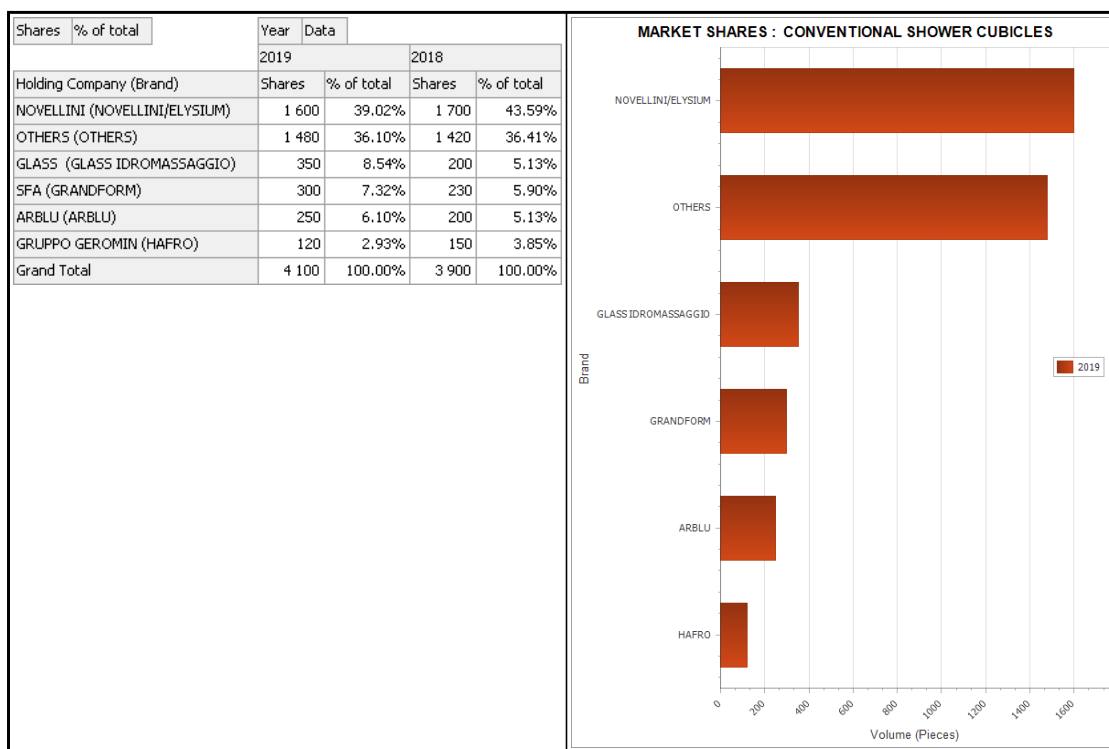
IT - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

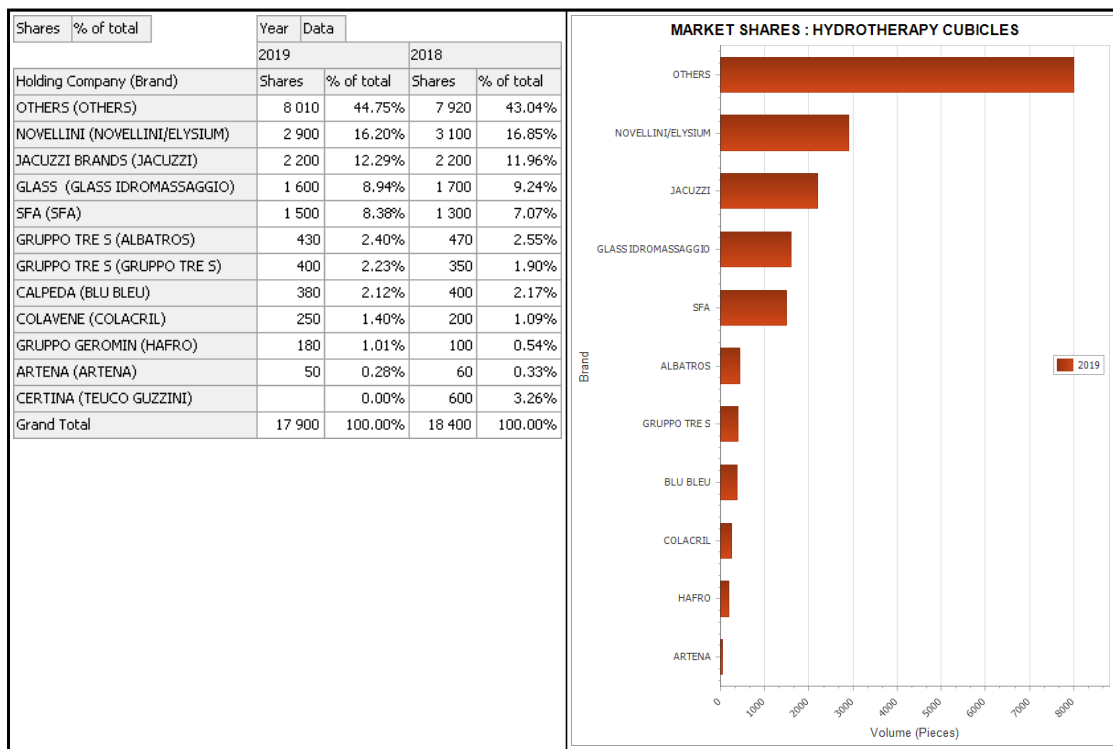
IT - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

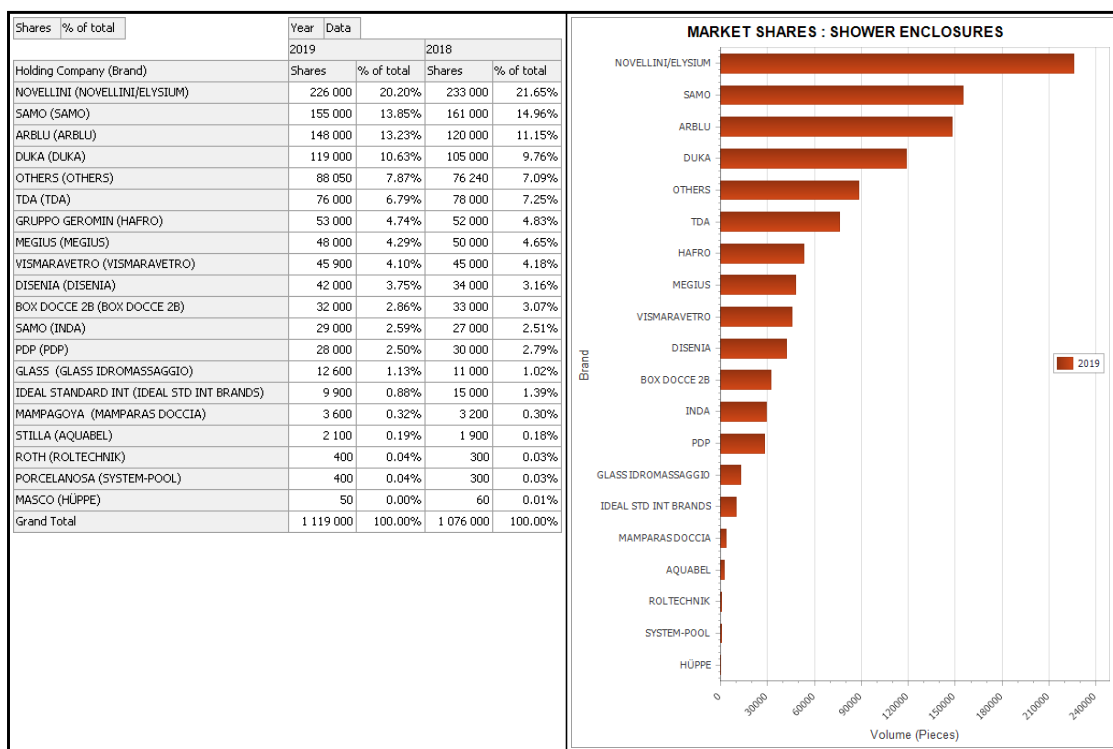
IT - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

IT - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1

Route to Market: Shower Wall
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.0%
	Wholesalers / Merchants
	66.0%

Retail Level	Manufacturer 0.5%	Wholesaler 3.3%	Manufacturer 8.5%	Wholesaler 2.4%	Manufacturer 8.6%	Wholesaler 12.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.8%		10.9%		21.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.7%	33.0%	0.6%	3.3%	14.3%
Installers				
64.7%				

End Use Level	Manufacturer 1.2%	Wholesaler 14.5%	Internet 3.2%	DIY 7.6%	Specialist 6.7%	Installer 63.0%	Manufacturer 1.6%	Wholesaler 0.4%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 1.7%
	Residential						Non-Residential					
	96.3%						3.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.5%			85.8%			1.6%			2.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.0%		4.5%	3.9%		81.9%	1.2%		0.4%	1.2%		0.9%

4.6.2

Route to Market: Shower Wall
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.3%
	Wholesalers / Merchants
	66.3%

Retail Level	Manufacturer 0.7%	Wholesaler 3.6%	Manufacturer 8.9%	Wholesaler 2.6%	Manufacturer 8.4%	Wholesaler 12.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.3%		11.5%		20.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.2%	33.2%	0.6%	3.5%	13.9%
Installers				
64.4%				

End Use Level	Manufacturer 1.1%	Wholesaler 14.6%	Internet 3.7%	DIY 8.1%	Specialist 6.6%	Installer 62.5%	Manufacturer 1.4%	Wholesaler 0.3%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 1.9%
	Residential						Non-Residential					
	96.4%						3.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.2%			86.3%			2.1%			1.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.1%		4.1%	3.9%		82.4%	1.6%		0.5%	0.8%		0.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

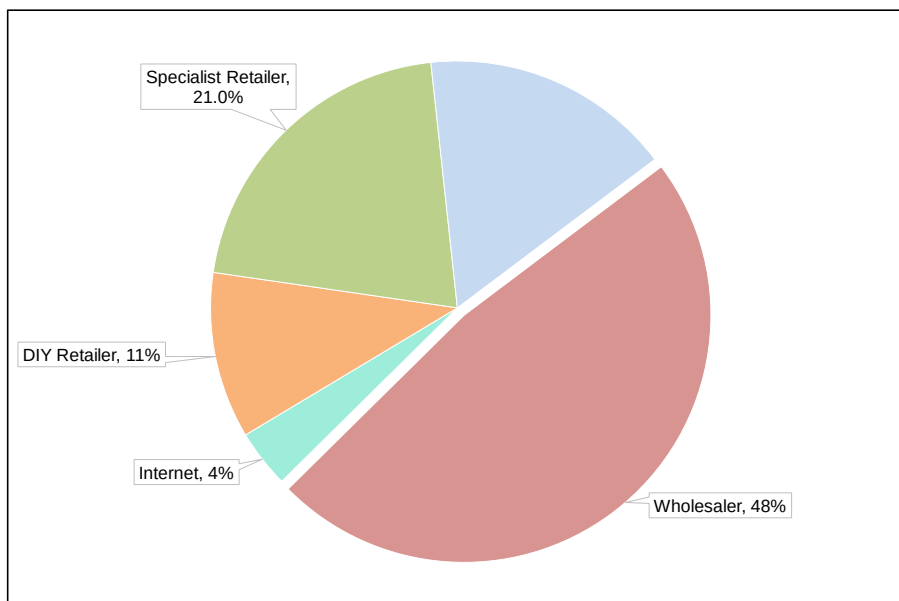
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.9%	3.8%	10.9%	21.0%	16.4%	9.8%	2.4%	86.4%	1.3%
100%					12.2%		87.8%	

4.6.4 Route to Market - Consolidated View : Shower Wall

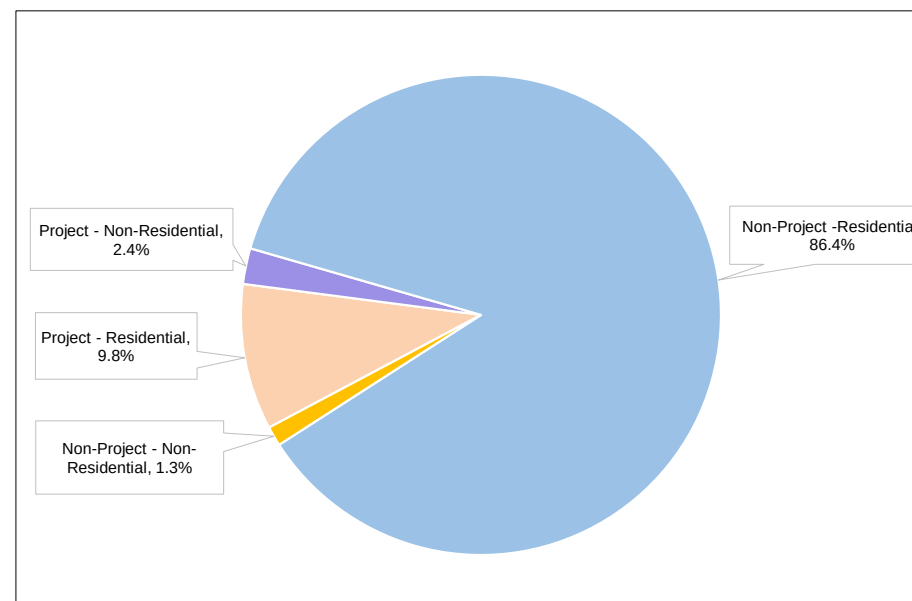
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.0%	4.3%	11.5%	20.5%	15.7%	10.0%	2.4%	86.5%	1.2%
100%					12.4%		87.6%	

IT - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



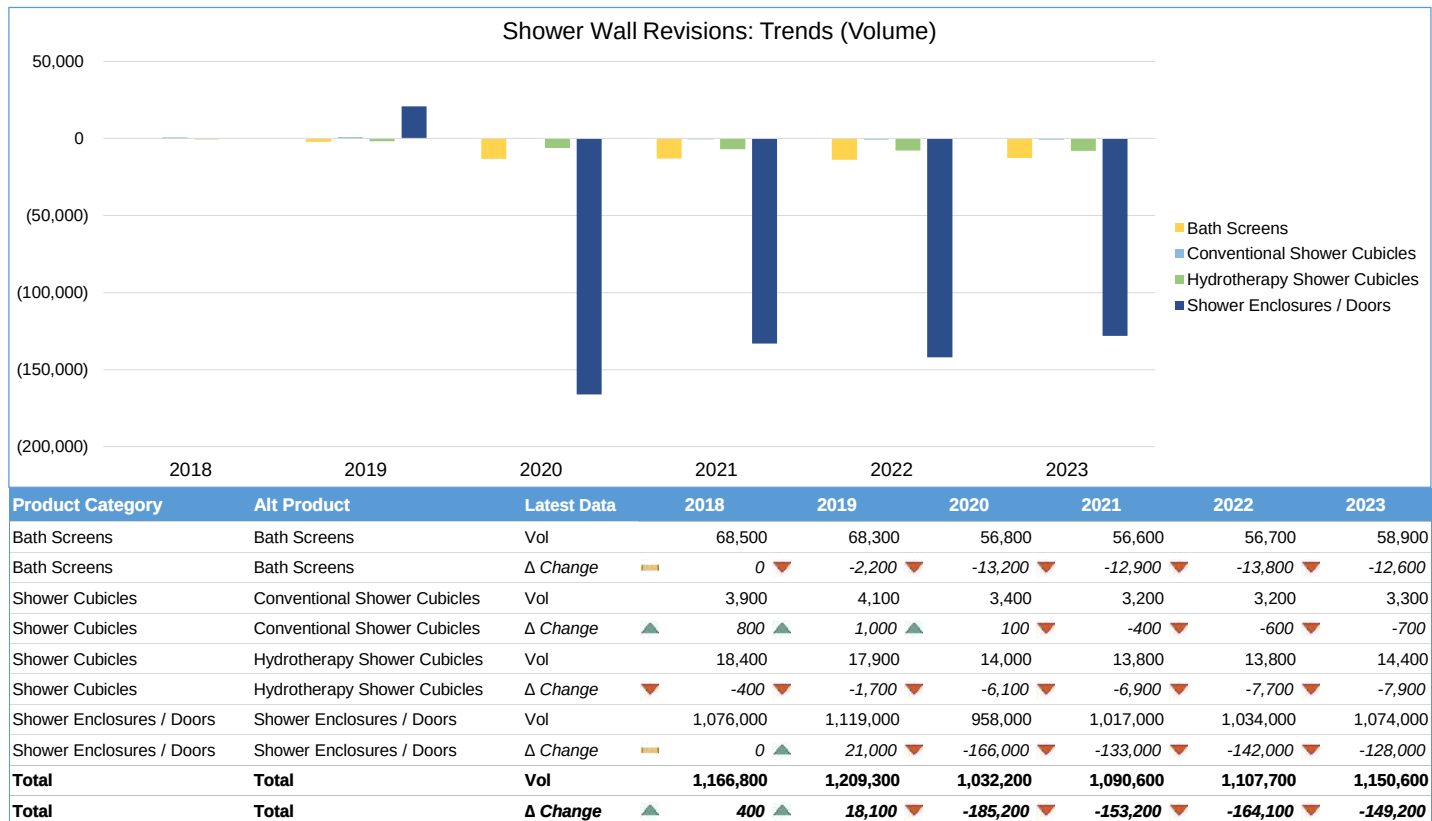
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Italian Shower Wall Market (April 2020)

IT - REVISIONS IN THE ITALIAN SHOWER WALL MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

ITALY

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian bathroom furniture market is known to be a mature one, which grew consistently from the 1980s to the early 2000s. Due to the maturity of the market, underlying growth is relatively marginal, as most existing houses already have some kind of bathroom furniture installed. However, there have been changes to the product mix in recent years, due to the insurgence of several concurring causes.

In the past, the base unit was the product most associated with new housing and has often followed the general declines of the sanitary ware market, due to a trend of inclusion of washbasins in all base units. Popular options of base units were those with a countertop basin in either glass, marble or synthetic material, whereas the monobloc has been less popular because of its link to ceramic and synthetic materials, which were less fashionable. Both mirror cabinets and separate cupboard units were popular in wood derivatives such as MDF and chipboard, with mirror cabinets being much more affected by the fluctuations of new housing construction output than separate cupboards, which have relied more on ordinary and extraordinary replacement and upgrade activity.

An increased competition between traditional bathroom channels and more specialised furniture distribution has been noted at the level of commercialising bathroom furniture sets apart from other bathroom products. However, specialist retailers still play a considerable role, but this role has been decreasing in the distribution chain because they are uniformly widespread throughout Italy and, therefore, there is no territorial variability in the visibility among the final clients. Moreover, due to the high relevance of the middle to high-price ranges, within the specialist channel of distribution, sales are more exposed to the variations of wage development and the household purchasing power.

Even though sales through DIY stores traditionally accounted for only a fraction of the total sales, in the recent past the weight of such stores has increased, in the light of the shift of consumer preference towards cheaper products. Such a shift is likely to have been influenced by the structural development of expenditure for current and extraordinary renovation of the existing building stock, a reduction of unemployment, and real salaries allowing for a higher budget to be allocated from households. The improvement of such indicators, with the exception of 2020 and 2021, should cause the increase of the bathroom furniture market size in terms of volumes traded through the distribution chain.

Wholesalers are the main distribution channel for furniture manufacturers, because the Italian building material market is traditionally structured in a two-step chain (manufacturer to wholesalers, which in turn distribute to retailers). This chain is starting to see changes, however, as more and more wholesalers are beginning to manage their own showrooms in a bid to sell directly to contractors and installers to avoid the further purchasing passage through the retailer.

Recent Market Trends

The Italian bathroom furniture market experienced another year of growth in sales in 2019, sustained mainly by strong increases in replacement demand. This positive scenario was favoured by several concurring economic indicators, such as increased housing transfers and the renovation tax relief, called *Bonus Mobili*, which has been confirmed up to 2020 at a rate of 50% with a maximum spending of €96,000. Notably, the fiscal deductibility was much more publicised by specialist furniture distributors than it was by bathroom specialists and, as a result, bathroom furniture benefitted much more from the rebate than other bathroom products.

Besides the significance of the above-mentioned factors, it was replacement sales that carried the growth of the market, while sales within new housing witnessed a significant degree of growth. Sales into the non-housing sector in 2019 were quite in line with the volumes of 2018, when non-housing construction and renovation within the hospitality industry performed well. The rather meagre demand from non-housing for bathroom furniture further confirms that new non-residential production and non-residential real-estate have stabilised on a moderate path of growth.

The shifts towards more versatile and space-saving solutions, with a renewed popularity of the more traditional material solid wood, continued to gain market shares in 2019. Base units saw an increase in the shift towards countertop basins, stealing shares mostly from monobloc models, which are popular due to space saving. The most popular countertop material continued to be mineral cast, which has stolen the top place from ceramic in recent years due to its flexible nature and durability.

For the base unit casing, MDF (medium density fibreboard) continued to be the most popular material due to its low cost but, interestingly, there has been a resurgence in the popularity of solid wood in the upper price segments, a trend which was present in mirror cabinets and separate cupboard materials as well. Separate cabinets saw the continued growth of wall-hung solutions as opposed to floor standing, again a space-saving solution.

Prices and Market Values

The price development of the bathroom furniture market saw some minor increases in 2019, as the effects of the increased preference accorded by manufacturers to DIY and wholesaler channels, where the price competitiveness is higher compared to the specialist retailer channel, would have worn out.

However, recent feedback from the industry shows that the upper price segment is once again gaining ground over the economy and lower price brackets, indicating a future shift back to specialist showrooms at the expense of the wholesaler channel as disposable income and private consumption begin to rise, prompting potential slow increases in prices in the foreseeable future. 2020 will be decisive to see if those long term trends can still be witnessed in the coming years.

New Housing

Despite the high level of penetration of separate cabinets in new housing, the base unit market has the highest percentage of sales within the product mix going into new housing. As most existing dwellings have a base unit and the need for replacement does not emerge as soon as for other products, the replacement market for base units is less significant. Medicine cabinets are the least reliant on new housing, partly because of a higher preference for more space-saving solutions than the base units and (to a lesser extent) separate cabinets, due to the reduction of the available space of each bathroom in new dwellings.

Housing RMI

Replacement sales continue to be the catalyst of the market development of the bathroom furniture segment, with separate cabinets being by far the most popular product, as they have benefitted from the substitution trend of baths towards showers, freeing up both floor and wall space. Base units, as stated above, benefitted considerably from the RMI 50% rebate as they are the most expensive product category and, therefore, more likely to be included when considering an application for a rebate of extraordinary repair in an existing residential dwelling.

Non-Housing

The non-housing segment is a relatively small market for bathroom furniture, due to the penetration of luxury and non-essential products in hotel rooms that might prefer a pedestal to a base unit, and shower storage as opposed to wall hung cupboards. Bathroom furniture tends to be more prevalent in upper/luxury priced hotels, which saw minimal fluctuation in 2019 due to a continuous influx of tourism and consumer purchasing power, which benefitted the hospitality industry.

Supply Structure

The Italian bathroom furniture market is extremely fragmented, with much competition from suppliers manufacturing products in countries such as China and those in Latin America, producing at low cost and competing on the price front. An increase in OEM manufacturing within base units was first noted in 2018, particularly from Poland and Romania, which had an impact on the drop of MSPs during that year..

The market leaders across all categories remain BADEN HAUS, the ATMA GROUP, and the IDEA GROUP, which collectively have further aggregated market shares of roughly one third. The manufacturers that have widened their distribution towards the DIY and wholesaler channels, BADEN HOUSE and ATMA GROUP, have seen a greater propensity to growth, with further consolidation and expansion of shares in the market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales in 2020 are expected to be negatively affected by the drop in housing construction. The replacement market is set to register the strongest decrease, owing to the impact of the crisis on consumer spending. The non-housing market should also experience a decrease in sales in 2020, even though the past recovery of the hospitality industry and a renewed consumer interest in quality hotels, has recently driven up the replacement sales.

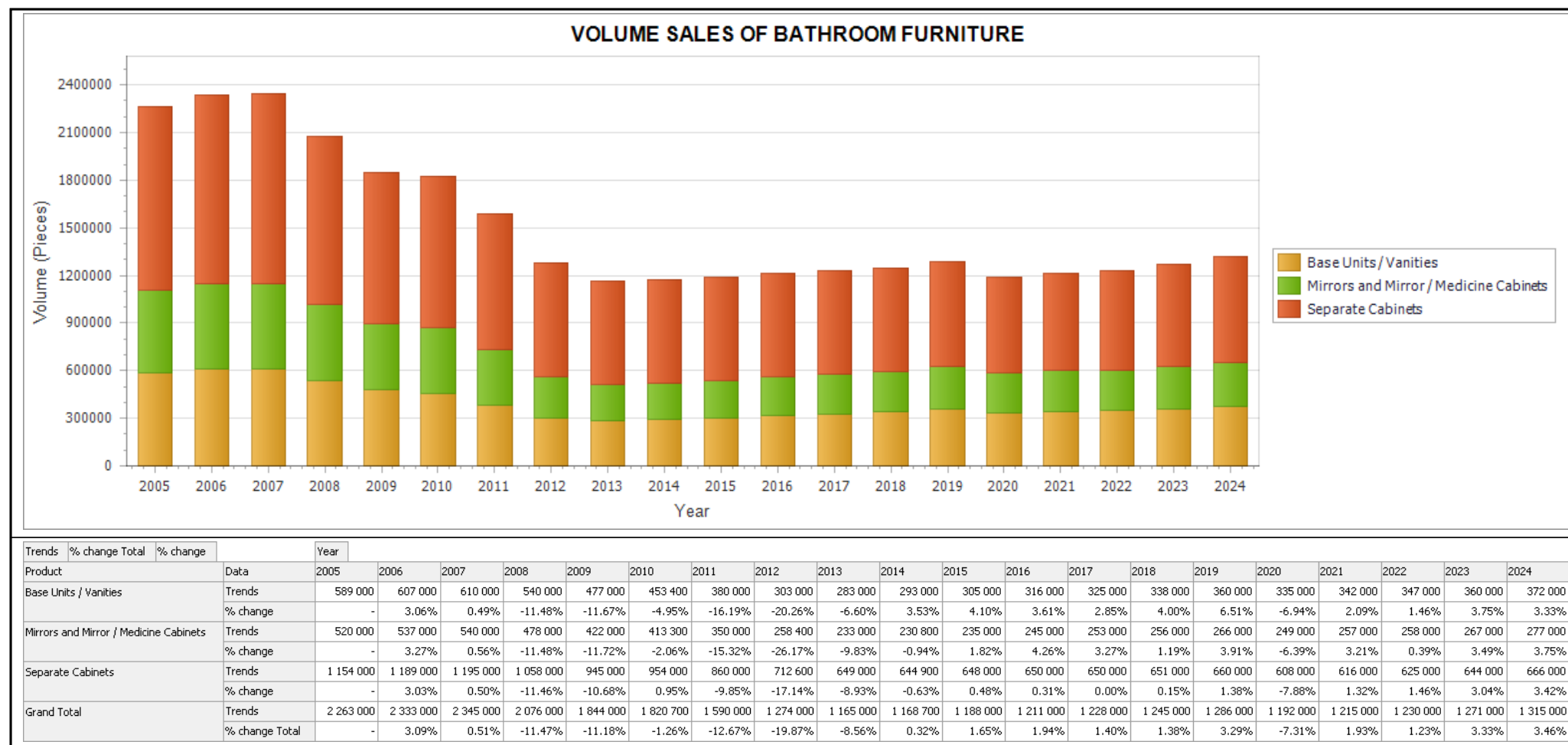
The bathroom furniture market is however expected to resume growth in 2021, supported by expected increasing housing completions. Also, replacement sales should resume when household investment levels begin to recover. Non-housing sales are expected to see a slight expansion of demand from 2021, supported by improved levels of domestic and foreign tourism, and occupancy levels in hotels should finance ongoing completions and renovations in the hospitality sector.

The forecast product mix shifts for bathroom furniture should be relatively stable, with base units stealing some share from separate cabinets and mirror/mirror cabinets, primarily due to competition from shelves and plain mirrors respectively.

Technical characteristic shifts should continue with movements towards more expensive materials, such as solid wood, and the deceleration of the countertop shift from synthetic to ceramic, mirroring increased focus by manufacturers to make ceramic a highly customisable product. With regards to distribution, it seems clear that DIY will continue to steal share predominantly from wholesalers and specialist retailers, as consumers prefer to buy products themselves from outlets with large variety and delivery service, and even an increase in internet sales is likely as consumers become more accustomed to, and reliant on, e-commerce.

5.2 Historical Trends & Forecasts : Bathroom Furniture

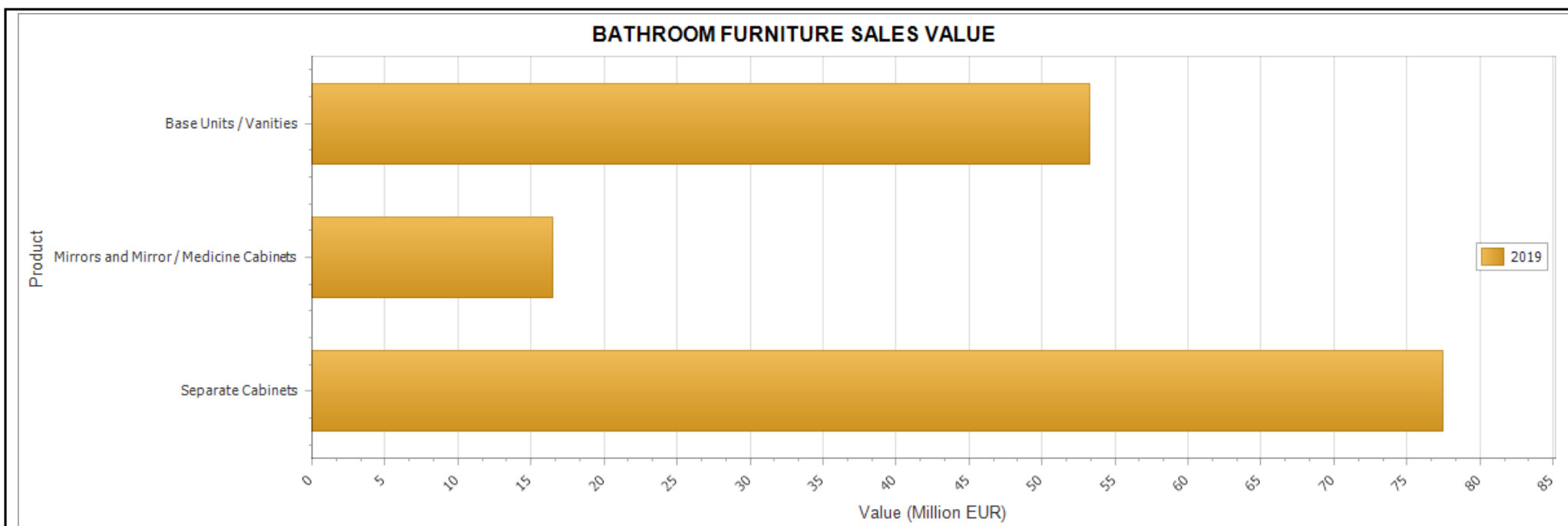
IT - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

IT - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET

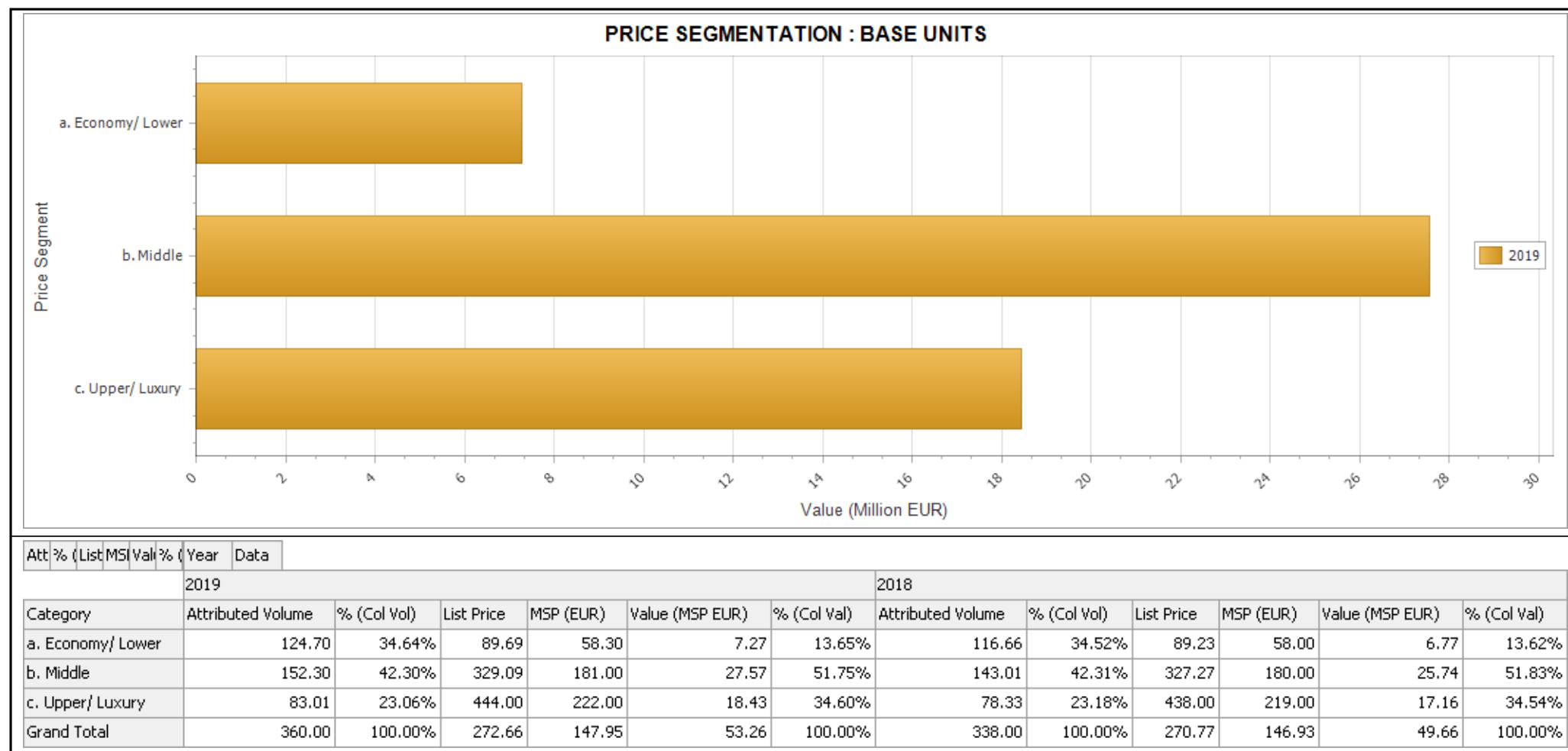


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2019		2018	
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Base Units / Vanities	360 000	147.95	53.26	338 000	146.93	49.66
Mirrors and Mirror / Medicine Cabinets	266 000	61.81	16.44	256 000	61.38	15.71
Separate Cabinets	660 000	117.31	77.42	651 000	116.26	75.69
Grand Total	1 286 000	114.41	147.13	1 245 000	113.30	141.06

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

IT - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

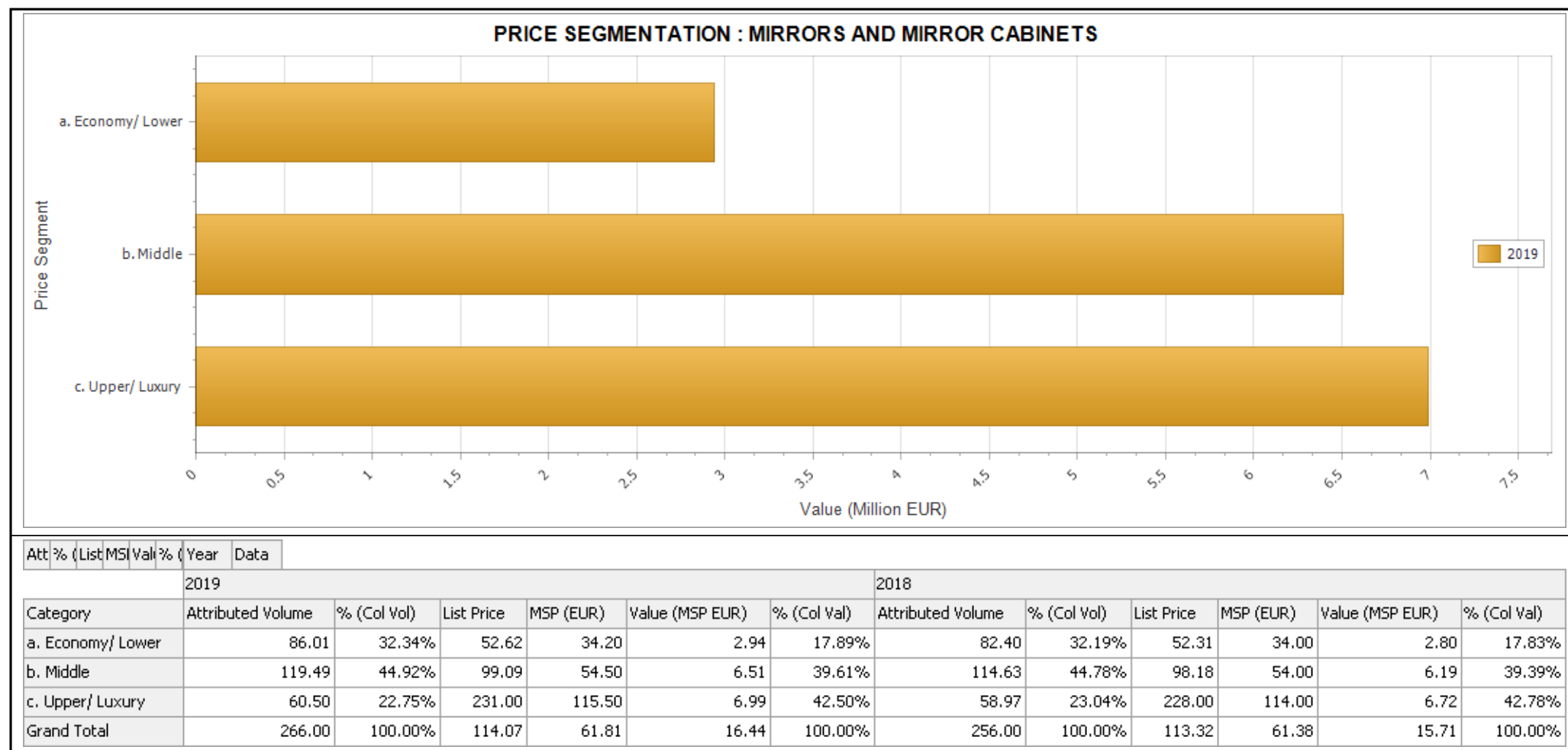


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

IT - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

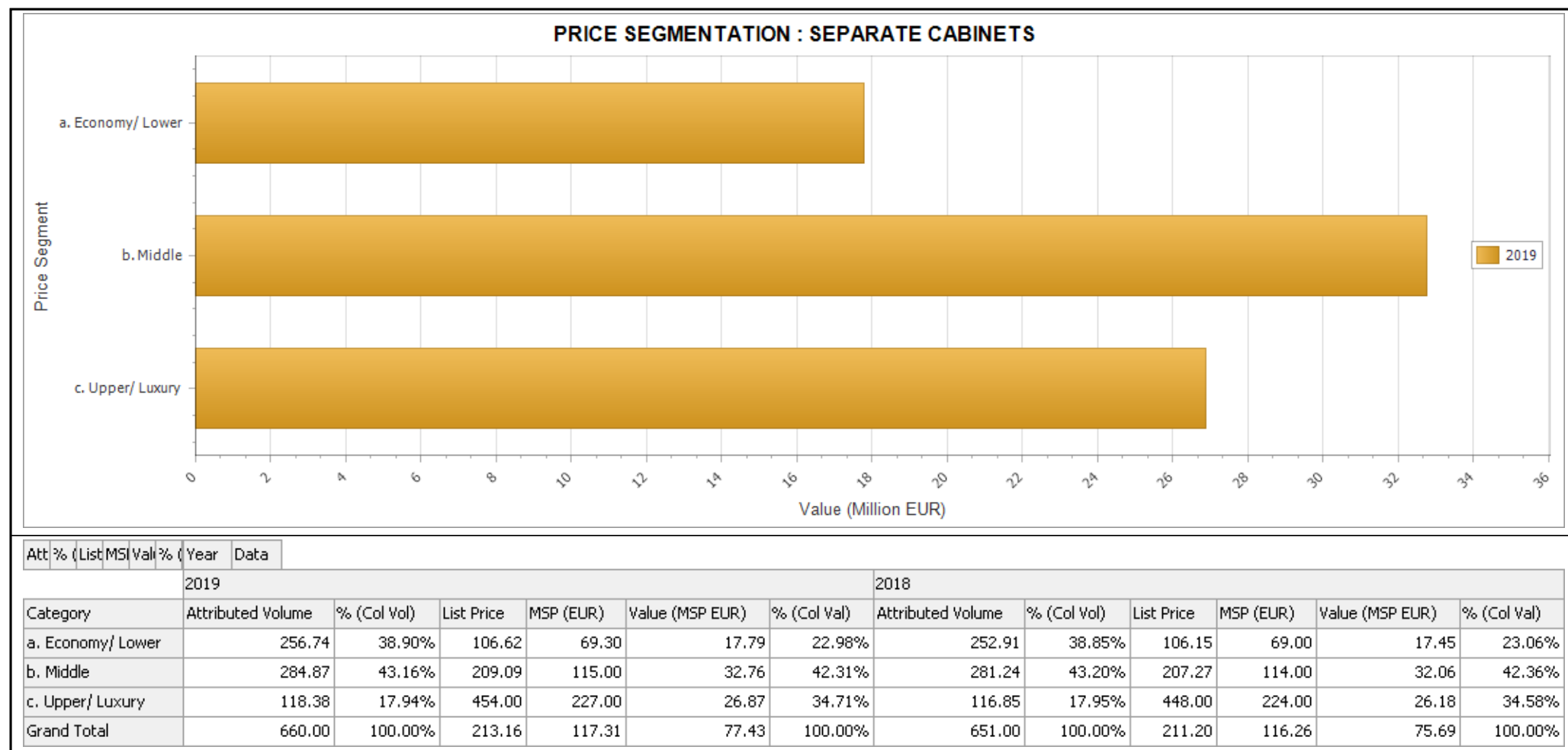


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

5.3.4 Price Segmentation : Separate Cabinets

IT - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

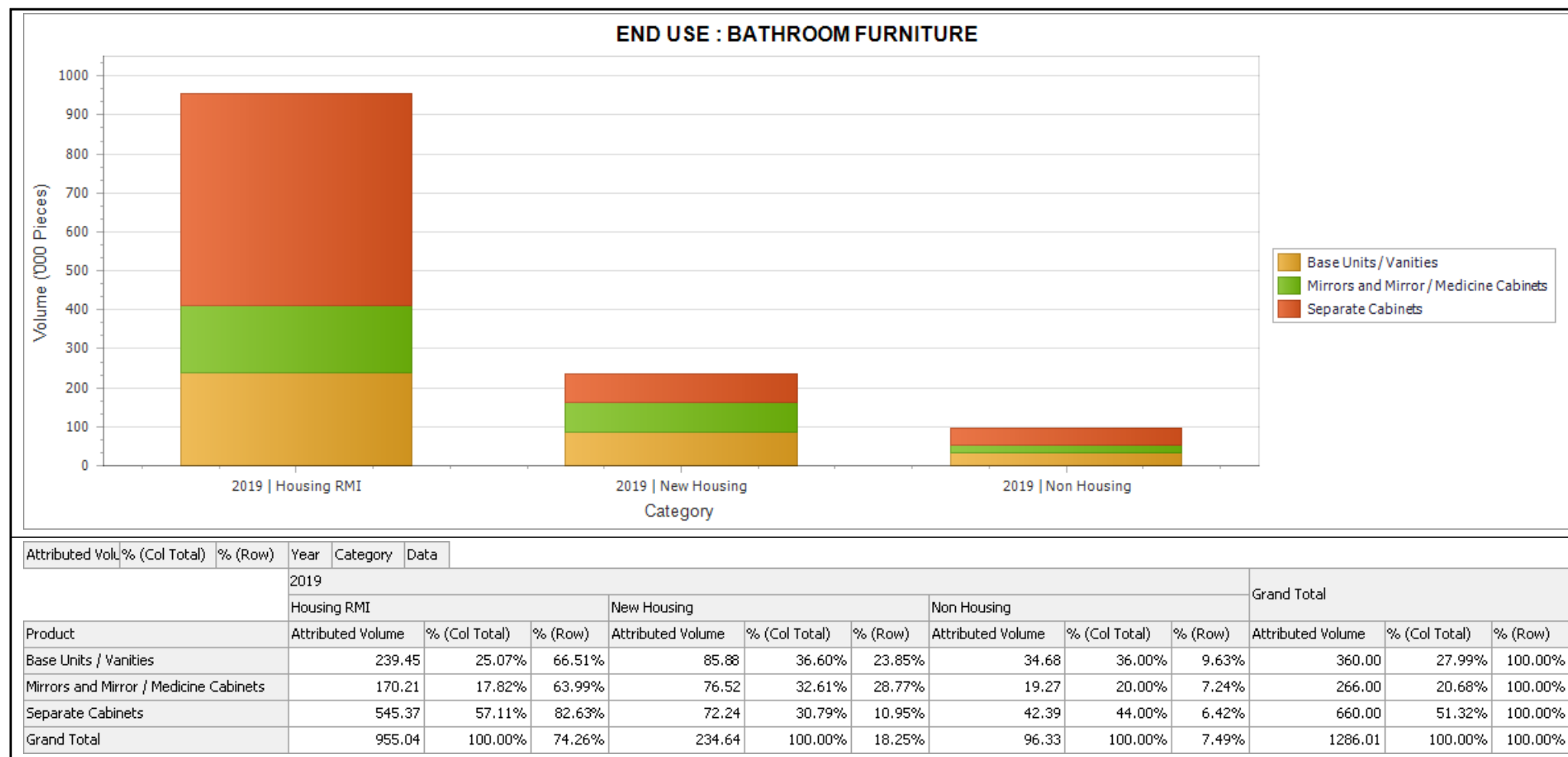


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

5.4.1 End Use : Base Year

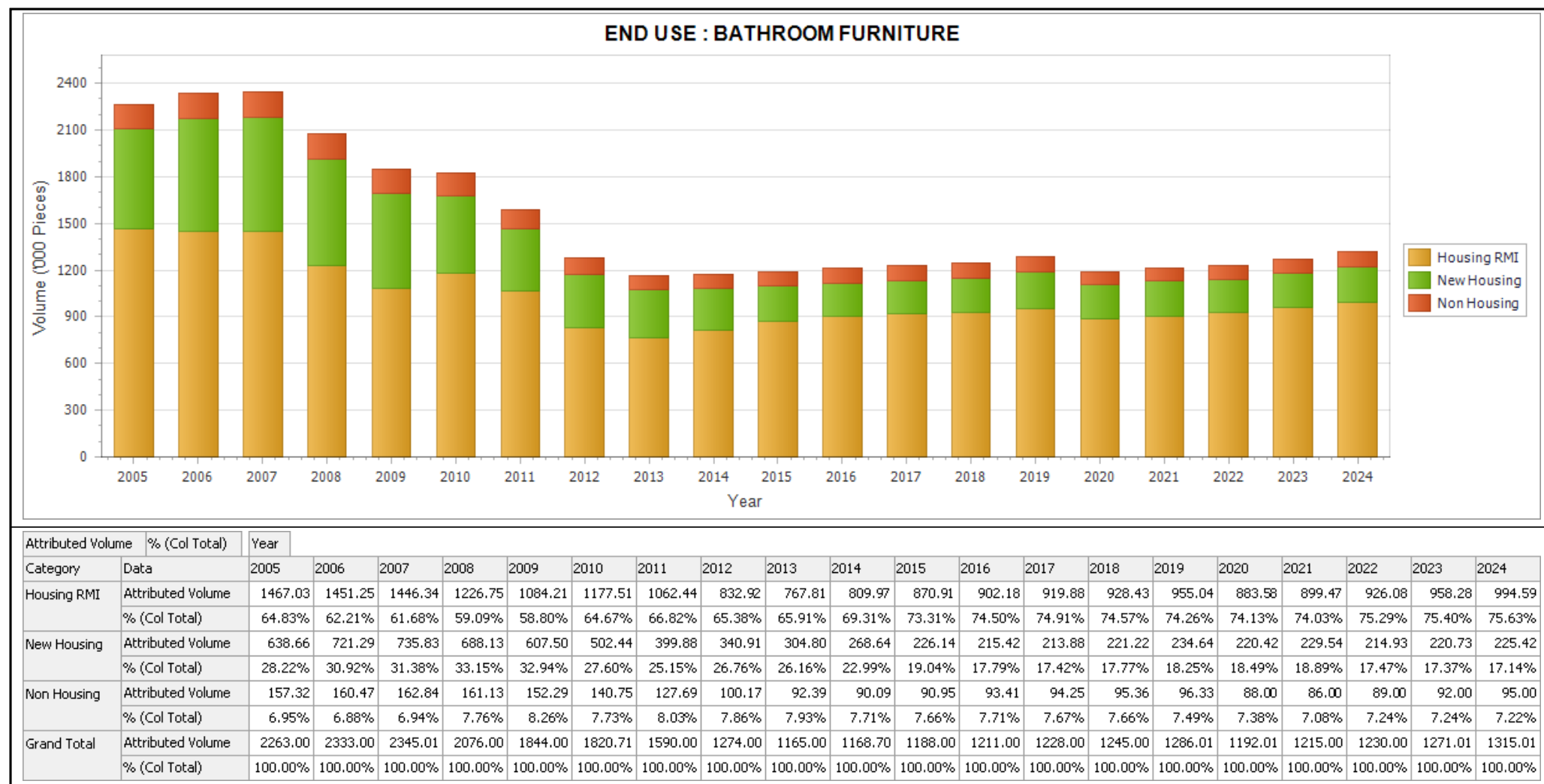
IT - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

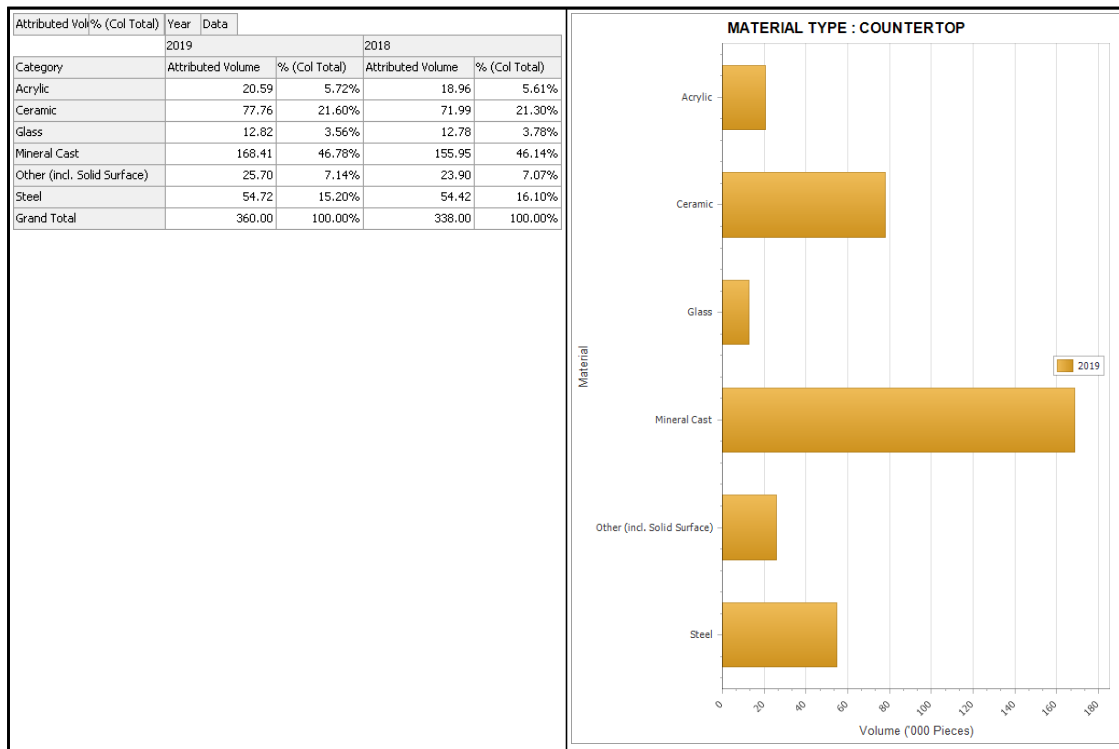
IT - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

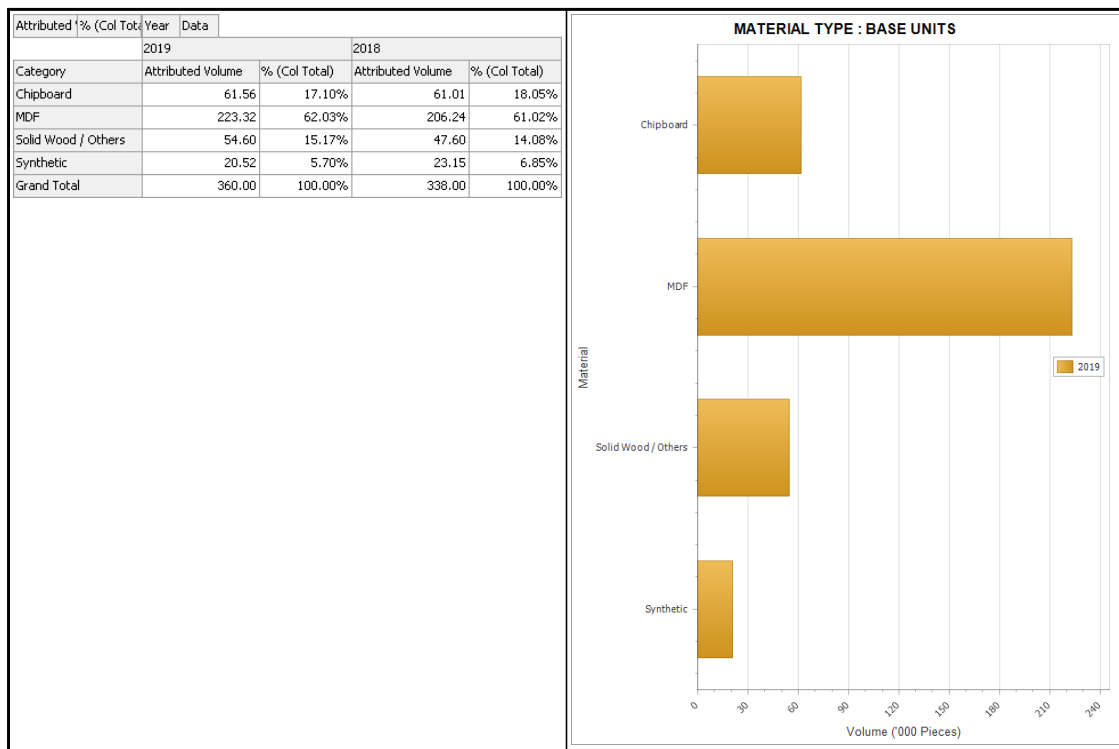
IT - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

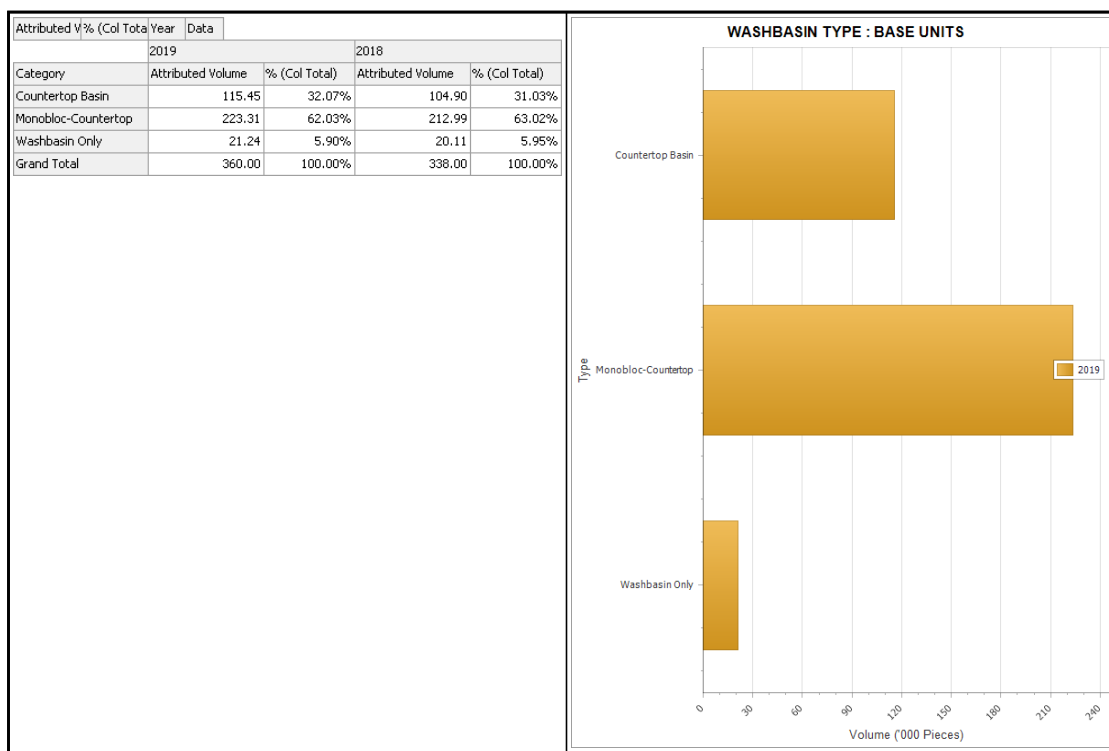
IT - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

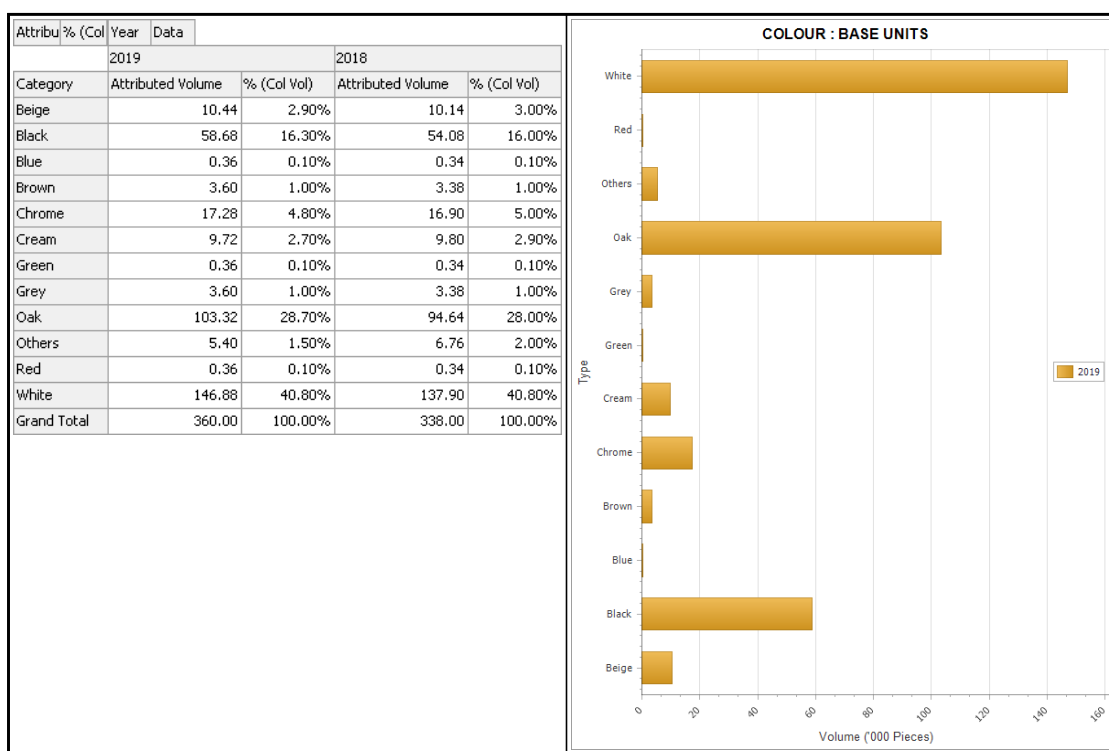
IT - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

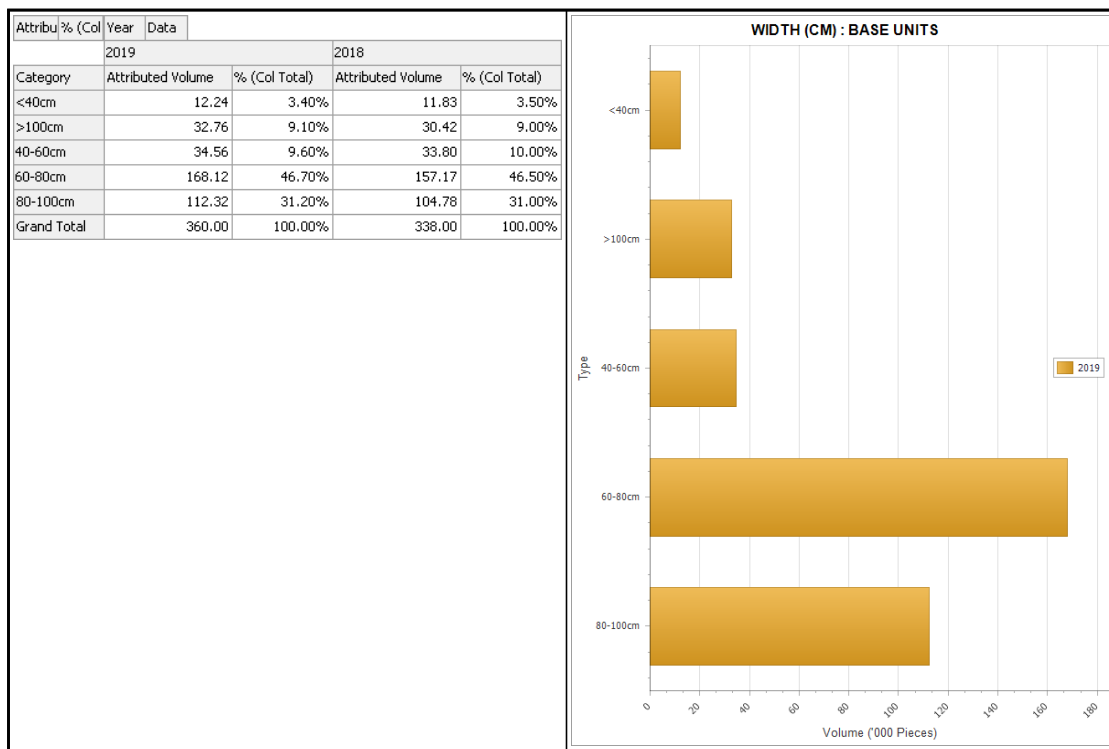
IT - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

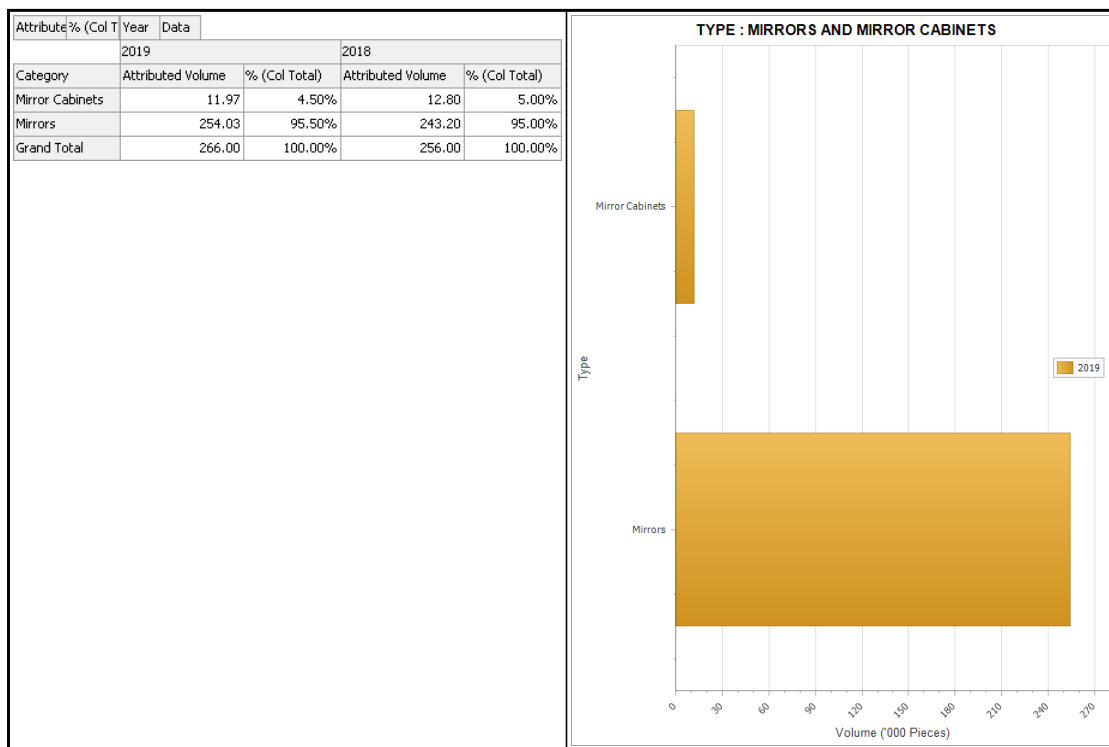
5.4.7 Sales by Width : Base Units

IT - BASE UNIT SALES BY WIDTH ('000 PIECES)



5.4.8 Sales by Type : Mirror and Mirror Cabinets

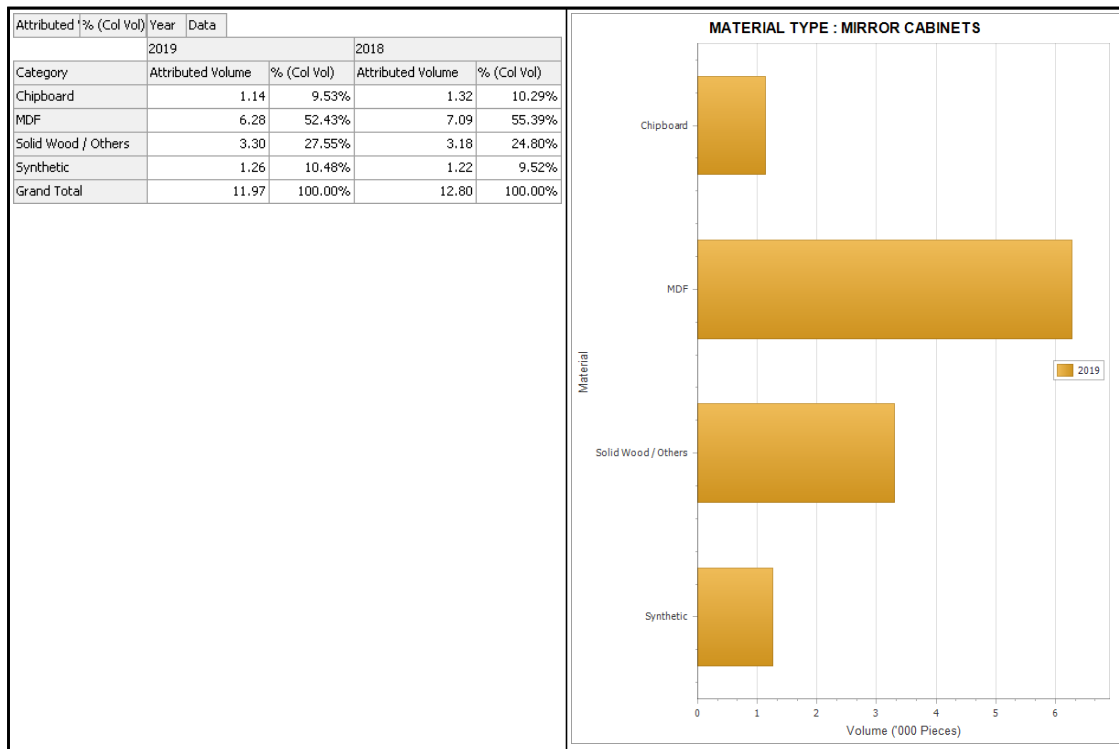
IT - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

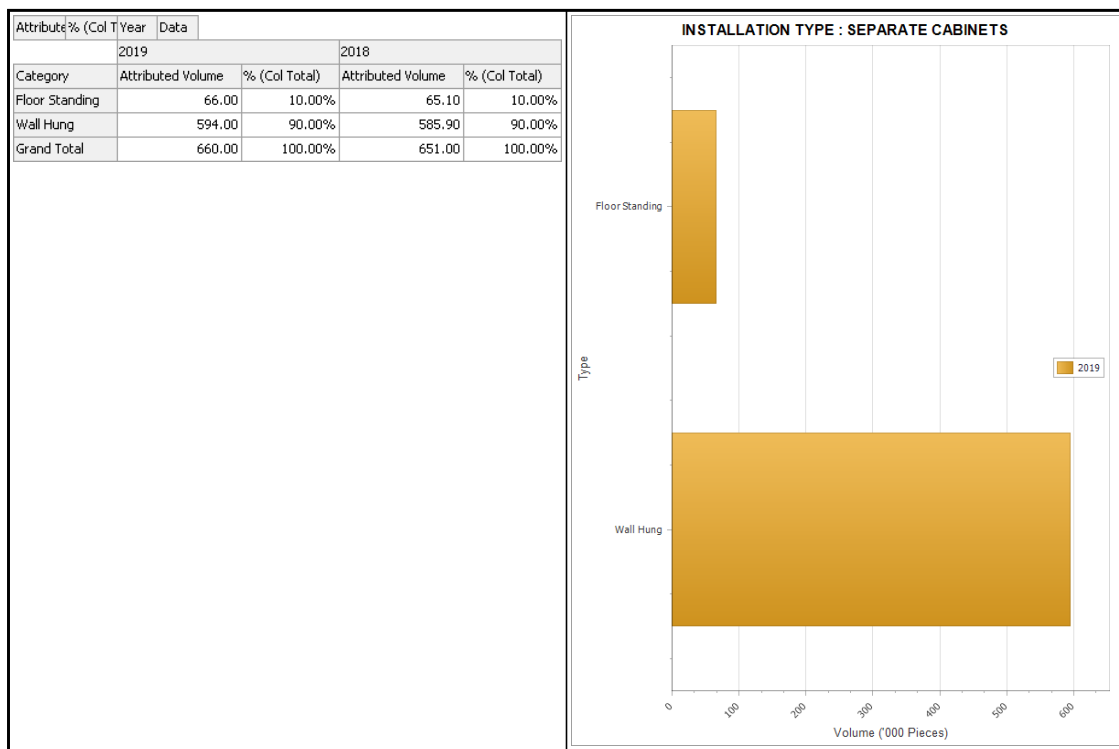
5.4.9 Sales by Type of Material : Mirror Cabinets

IT - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.10 Sales by Type of Installation : Separate Cabinets

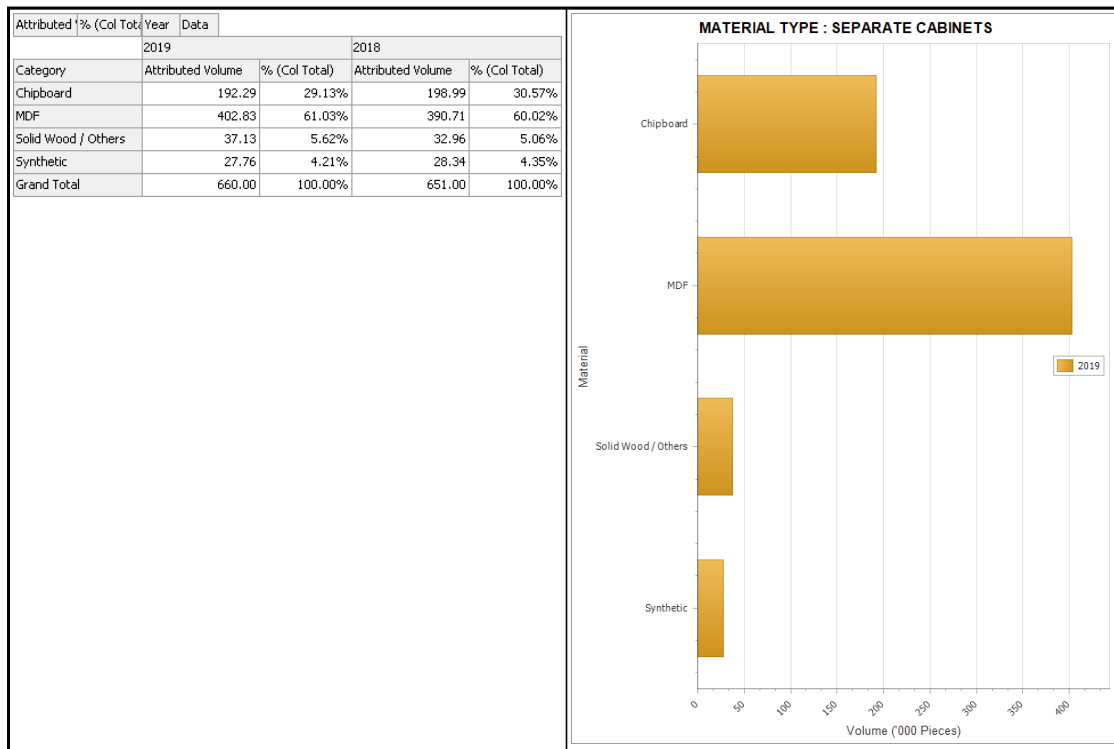
IT - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

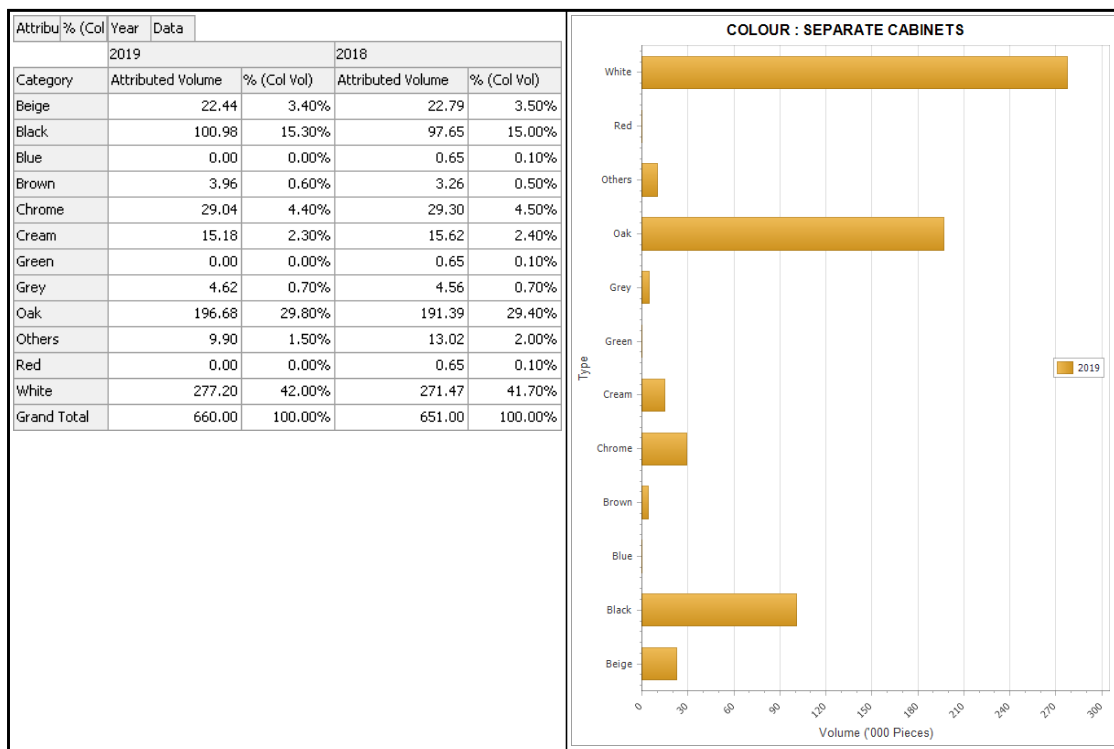
5.4.11 Sales by Type of Material : Separate Cabinets

IT - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.12 Sales by Type of Colour : Separate Cabinets

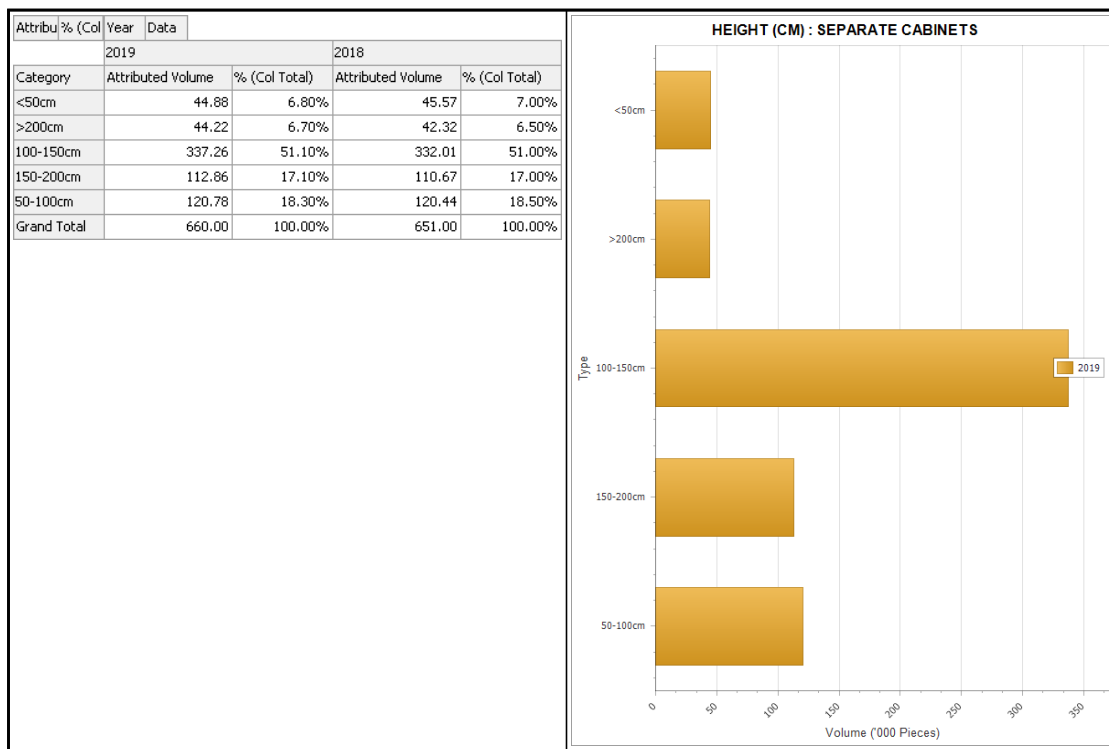
IT - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

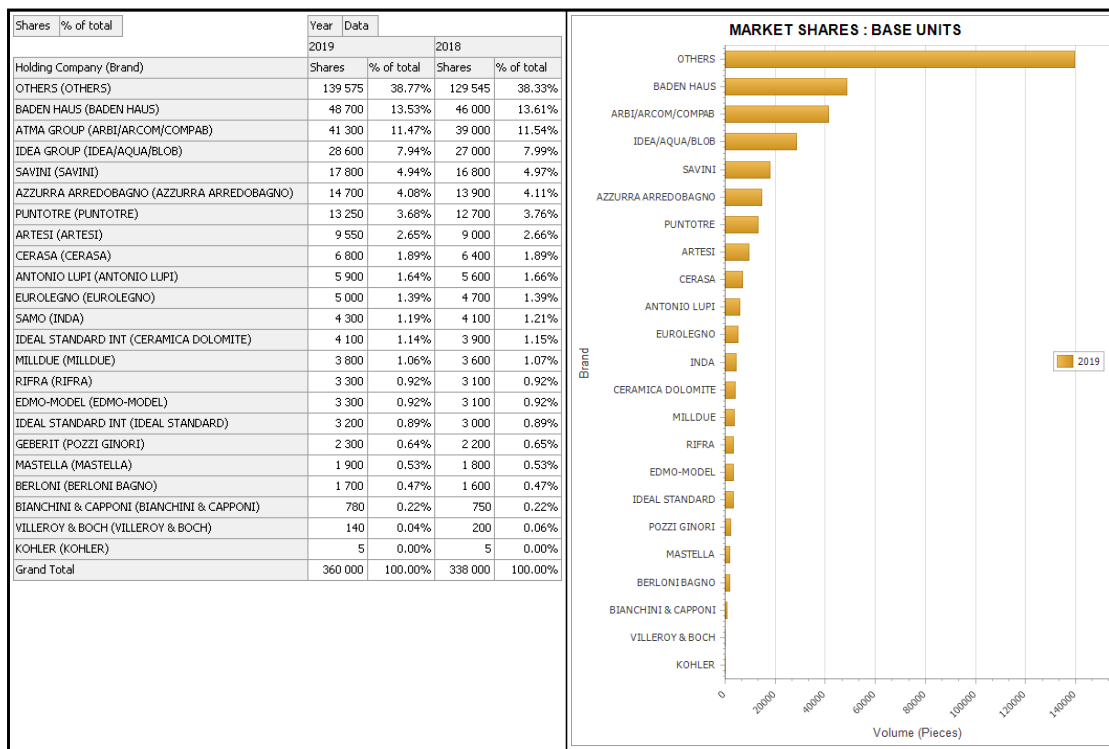
IT - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

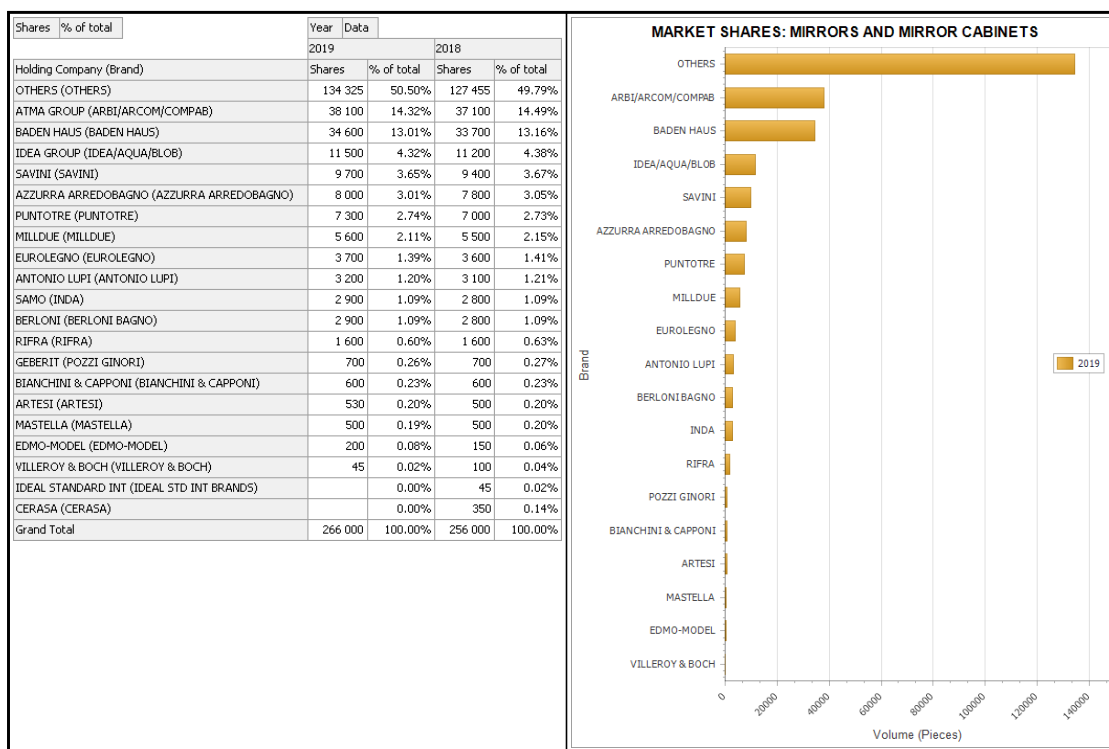
IT - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

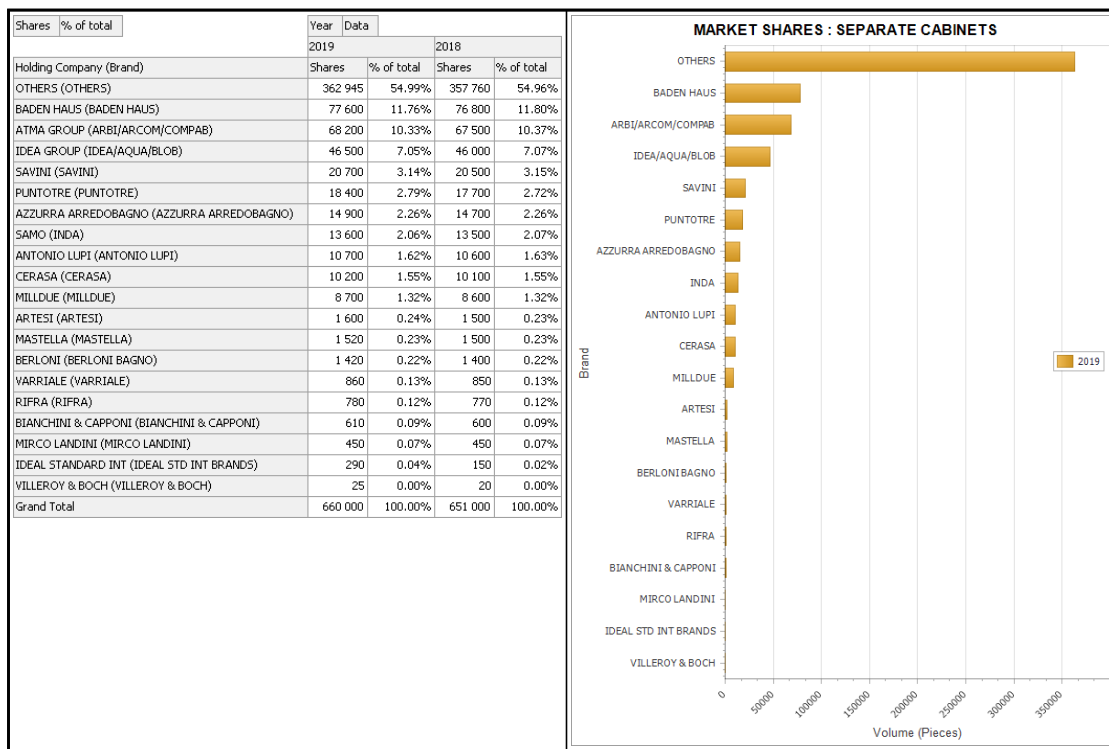
IT - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

IT - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	40.3%
	Wholesalers / Merchants
	40.3%

Retail Level	Manufacturer 1.0%	Wholesaler 3.7%	Manufacturer 13.7%	Wholesaler 9.1%	Manufacturer 42.9%	Wholesaler 14.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.7%		22.8%		57.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	8.1%	0.7%	6.8%	16.1%
Installers				
33.7%				

End Use Level	Manufacturer 0.0%	Wholesaler 3.0%	Internet 4.0%	DIY 16.0%	Specialist 41.4%	Installer 28.1%	Manufacturer 0.0%	Wholesaler 1.9%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 5.6%
	Residential						Non-Residential					
	92.5%						7.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.2%			74.3%			3.1%			4.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	10.2%		8.1%	1.7%		72.6%	2.4%		0.8%	2.5%		1.9%

5.6.2 Route to Market: Bathroom Furniture
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	41.4%
	Wholesalers / Merchants
	41.4%

Retail Level	Manufacturer 1.4%	Wholesaler 6.2%	Manufacturer 13.9%	Wholesaler 8.8%	Manufacturer 41.4%	Wholesaler 14.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.6%		22.7%		55.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.9%	7.9%	1.1%	6.8%	15.7%
Installers				
33.4%				

End Use Level	Manufacturer 0.0%	Wholesaler 2.2%	Internet 6.4%	DIY 15.9%	Specialist 40.3%	Installer 28.0%	Manufacturer 0.0%	Wholesaler 1.8%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 5.4%
	Residential						Non-Residential					
	92.8%						7.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.1%			75.6%			4.3%			3.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.7%		7.4%	1.7%		73.9%	3.2%		1.1%	1.7%		1.3%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

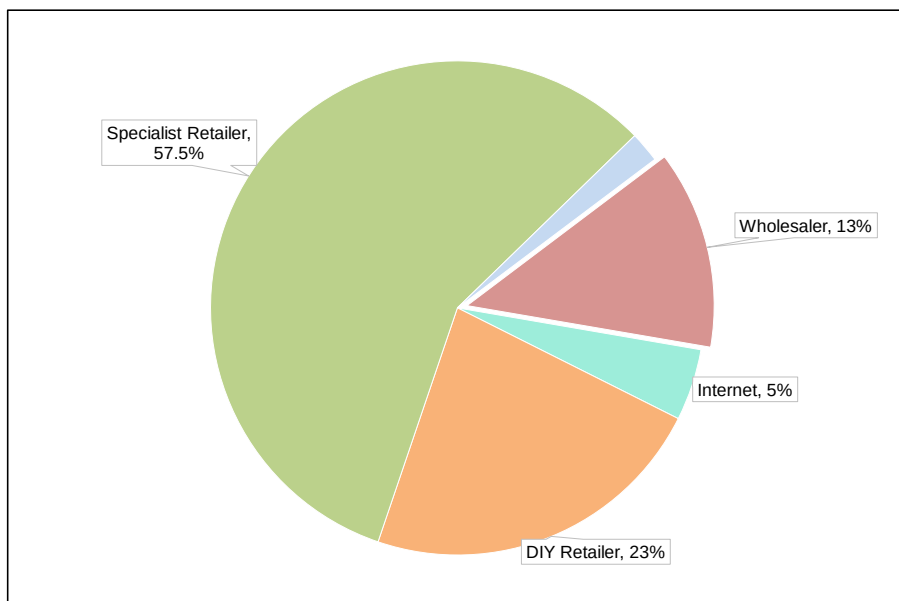
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.0%	4.7%	22.8%	57.5%	2.0%	11.8%	4.8%	80.7%	2.7%
100%					16.7%		83.3%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

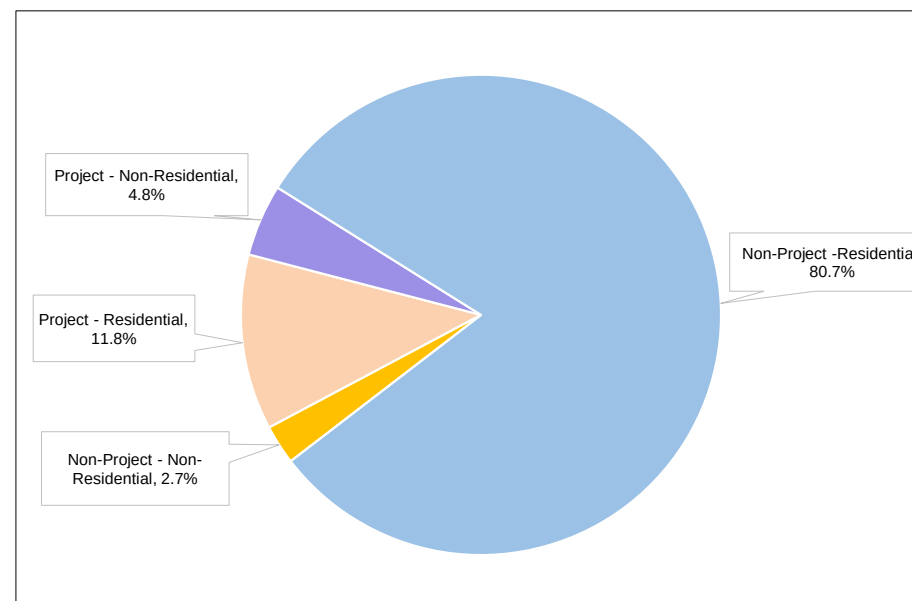
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.9%	7.6%	22.7%	55.9%	1.9%	11.4%	4.9%	81.4%	2.3%
100%					16.3%		83.7%	

IT - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



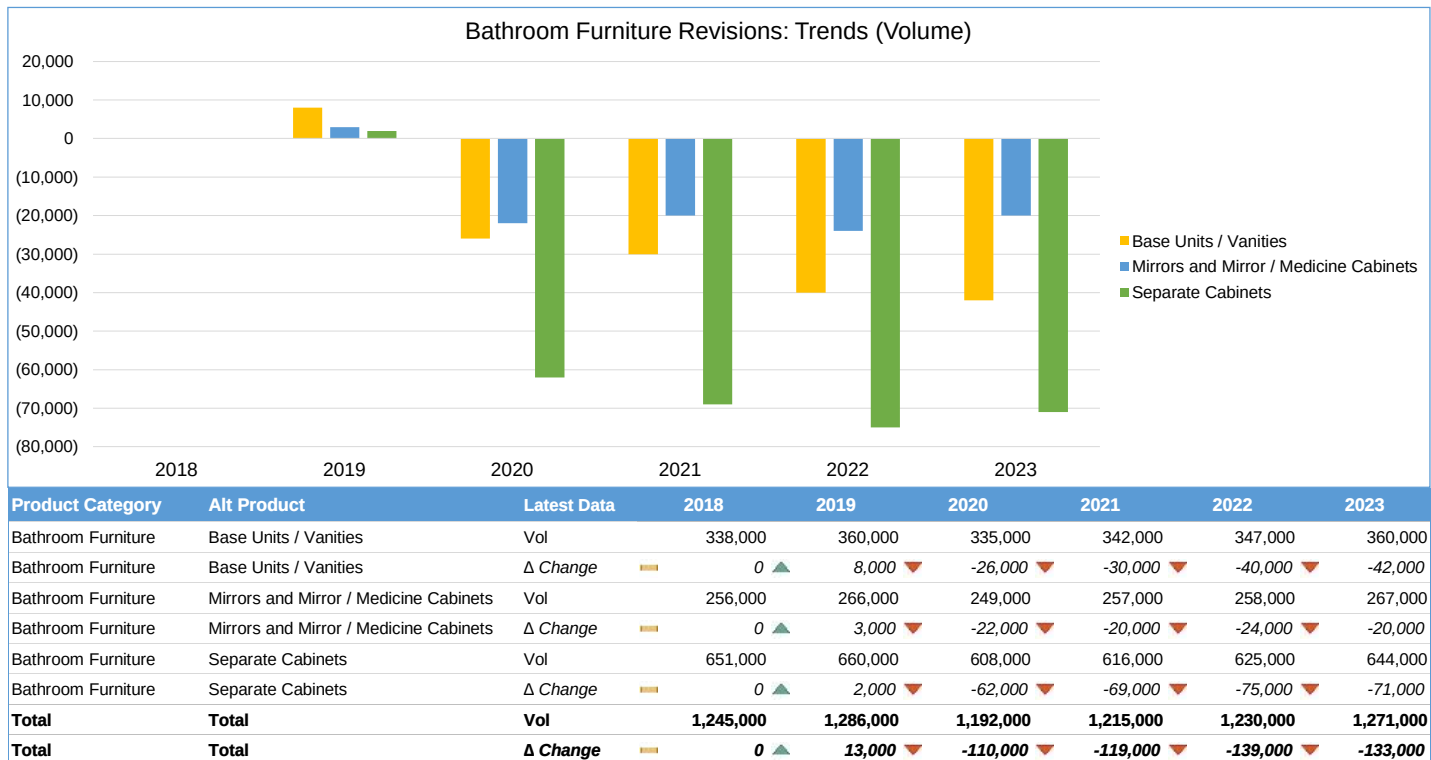
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Italian Bathroom Furniture Market (April 2020)

IT - REVISIONS IN THE ITALIAN BATHROOM FURNITURE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

ITALY

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The demand for bathroom accessories has witnessed one of the most noticeable fluctuations in terms of volumes, closely following the private consumption trend as part of the general recovery of the structural economic indicators. The past decade has witnessed a shift within the product mix, away from products that are easily substituted with everyday household items such as soap holders, toothbrush holders and waste paper bins, as well as a movement towards cheaper materials such as synthetic.

This process has been further propelled by a proliferation of DIY stores and supermarkets selling own-brand bathroom accessories purchased through private labels, which has increased dramatically over the last 10 years. This has been a defining character of the bathroom accessories market in Italy, as consumer focus on low-end, cheap imports has left many bathroom manufacturers struggling to compete with such low prices and margins. This trend has resulted in the increasing share of economy and lower price products segments over the past few years, at the expense of the middle to luxury price segments.

According to a study on the generational differences of spending within the bathroom accessories segment, the recent recovery of private consumption is widening the differences in terms of choice between the millennials and older end-use consumers. In fact, while the former are more interested in the design aspect and uniqueness of the bathroom accessories, the latter are more orientated by the cost of the product.

Recent Market Trends

Building on the positive return to growth of the previous year that was witnessed since 2016, the market of bathroom accessories grew at a significant rate in 2019, with demand being strongly dependant on the replacement segment. Despite the general increases of average prices, which have had a minimal impact on the actual volume of bathroom accessories, volumes grew at a steady rate. The market expansion of bathroom accessories has mainly been driven by ease of purchasing and the increased housing transfers that have encouraged consumers to replace even articles, subject to wear and tear as the accessories.

The accentuation of the shift towards more functional bathroom products, such as toilet paper holders, soap dispensers, toilet brushes and towel holders, as well as space-saving options such as towel and bathrobe hooks, continued in 2019. Most bathroom accessories are products that are not easily replaced by other household items, due to higher attention being placed on products able to withstand heavy use. To this extent, the move in materials towards synthetic product variants, which was further accentuated in 2019, is increasingly counterbalanced by the ceramic alternatives, hence denoting a high degree of polarisation between money-saving considerations and quality/aesthetic-oriented reasoning.

According to IDEALO, the consolidation of internet sales across the bathroom accessory market in 2018 confirmed that e-commerce for this segment has reached a high level of confidence and familiarity, sustained by the ease of acquisition and delivery along with fast price comparison. Despite the expected growth of e-commerce, the platform continues to suffer from a potential growth gap when compared to other major European markets, given that internet usage in Italy is among the lowest in Western Europe and online retail is a resource of which the main aim, still, is to inform about the qualitative availability of products rather than channel the whole purchasing phase. Nonetheless, platforms as JO-BAGNO.IT and FACTORY SHOP have shortened the link between end-use consumer and manufacturer, with the launch of respective portals for online purchases of bathroom accessories.

Prices and Market Values

An overall increase in the average MSP for most bathroom accessories was reported, due to the higher attention to product development in the DIY and internet distribution channels. A further differentiation of the range of products to meet the demand for products that can combine aesthetic characteristics and durability – confirmed by the increasingly accentuated shifts in the product mix towards more minimalist and expensive products, such as toilet brushes and towel holders, continues to be the main market trend. However, with the increase of e-commerce and the evolution of the bathroom as a space that can be subject to change in terms of design, the end-use customer is more inclined to mix cheap and expensive products in the selection of the bathroom accessories.

New Housing

The penetration of bathroom accessories in new homes decreased slowly over the past years, and remained among the lowest of all bathroom markets, primarily because of current weak but however improving construction output.. A further reason for such a scenario may be linked to the fact that new houses are not furnished with bathroom accessories and, as a result, the consumer will purchase them when and if they are needed, once they have purchased the house. This can mean that the bathroom accessories' new housing sales do not follow housing completion activity as closely as other markets.

Housing RMI

As the wide variety of lifespans compared with that of the majority of bathroom products means that some accessories require replacing sometimes on a yearly basis, particularly hygiene products, the demand from the housing RMI segment increased slowly over the past years. A further driver for replacement is the oxidation and corrosion of the materials, particularly the metal parts of the cheaper products, after prolonged contact with humidity and water.

Non-Housing

Replacement rates in non-housing appear to be lower than in the residential segment, as the restaurant and hospitality sectors prefer to invest in larger products such as bathroom furniture, which has a larger impact on the value of the business. Nonetheless, this segment experienced some growth in sales in 2019.

Supply Structure

The most important players in the market have remained GEDY (GEDY), SAMO (INDA), and METAFORM, all of which have followed with a different degree of growth the general market expansion. The importance of traditional bathroom manufacturers, such as IDEAL STANDARD and GEBERIT, is rather low and sales tend to greatly fluctuate per annum.

The market appears to be highly fragmented at the level of supply, with the main driver of segmentation being linked to the price and, to a lesser extent, the design or the degree of product specialisation. There has been a growing price polarisation between the high-end ranges and the lower ones. In this sense, the main driver of such differentiation is not the reciprocal market cannibalisation but the increase of market presence in the middle price range. To this extent, several retail chains have expanded their product offerings in bathroom accessories, such as IKEA, MAISON DU MONDE, ZARA HOME, H&M HOME, and COS, to mention just a few. The presence of such chains has not affected the sales through wholesalers that distribute upper-luxury products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales in 2020 are expected to be negatively affected by the drop in housing construction. The replacement market is set to register the strongest decrease, owing to the impact of the crisis on consumer spending. The non-housing market should also experience a decrease in sales in 2020, even though the past recovery of the hospitality industry and a renewed consumer interest in quality hotels, has recently driven up the replacement sales.

Also it is still unclear how the increased competition between the above mentioned retail chains and the DIY stores, which are increasingly diversifying their offering to not be solely associated with cheap foreign imports, will impact the market.

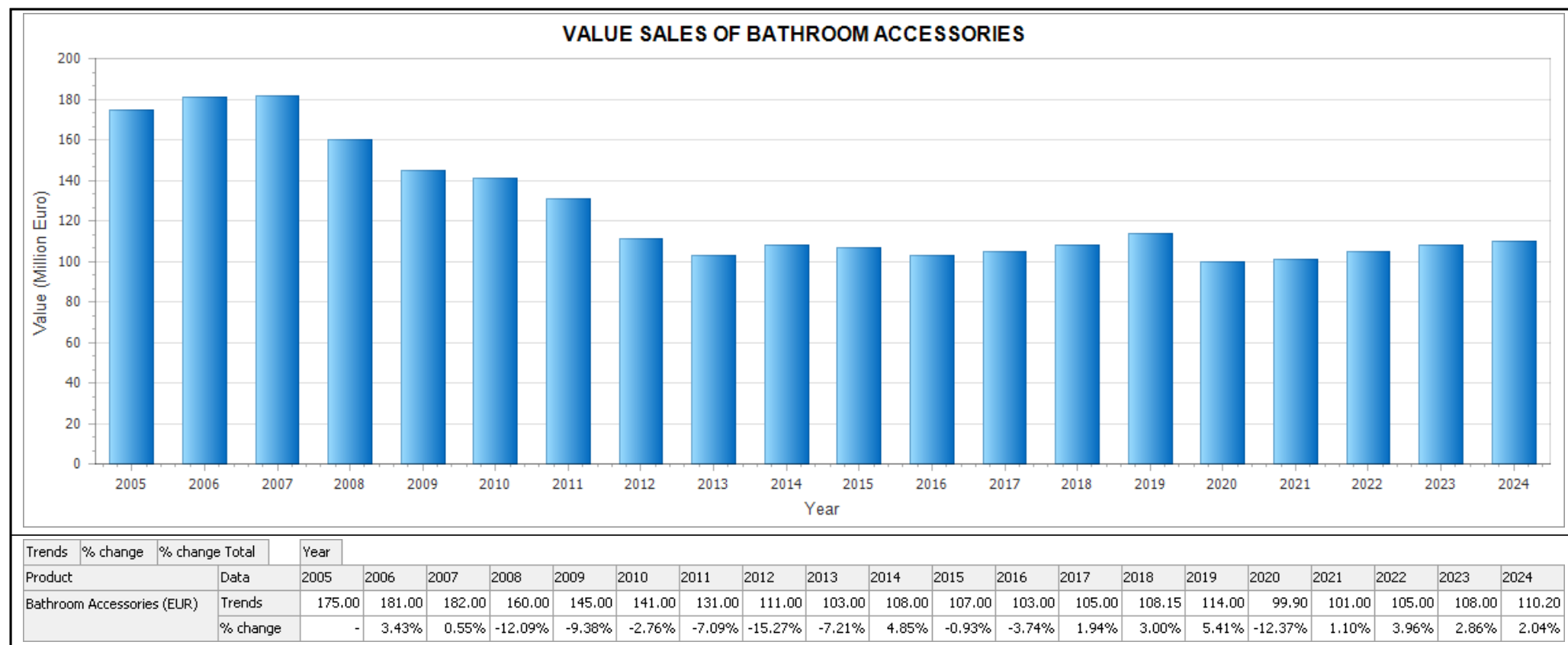
As it stands at the time of publication, sales of bathroom accessories should resume growth from 2022 onwards. Both the replacement segment and the new housing market – under the push of higher completions – should grow steadily, along with increased renovation and new construction activity within the non-housing market. From this point on, the rate of increasing volume sales should overtake the drop in average prices, which will result in a growth of the market value.

The product mix is expected to reflect these trends, with metal and ceramic products continuing to gain market relevance at the expense of glass and wood, and there should be an increase of polarisation between economy price ranges and the more expensive ones. It is also worth noting that a growing trend with large department stores (a large chunk of the DIY segment) is to purchase bathroom accessories primarily from generalists that can offer a complete bathroom set to be displayed in-store. This means it is likely in the future that bathroom accessory specialists will have more difficulty within the DIY channel, as B2C players will favour manufacturers that can provide an entire bathroom catalogue as opposed to mixing and matching brands, also within the e-commerce platforms.

A further trend that is expected to further consolidate in the coming years is the increased diversification of product brands present in a household, with an eye to avoiding homologation (total look). Thus, the brand and the product design will become the two guiding variables in the choice of bathroom accessories.

6.2 Historical Trends and Forecasts

IT - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

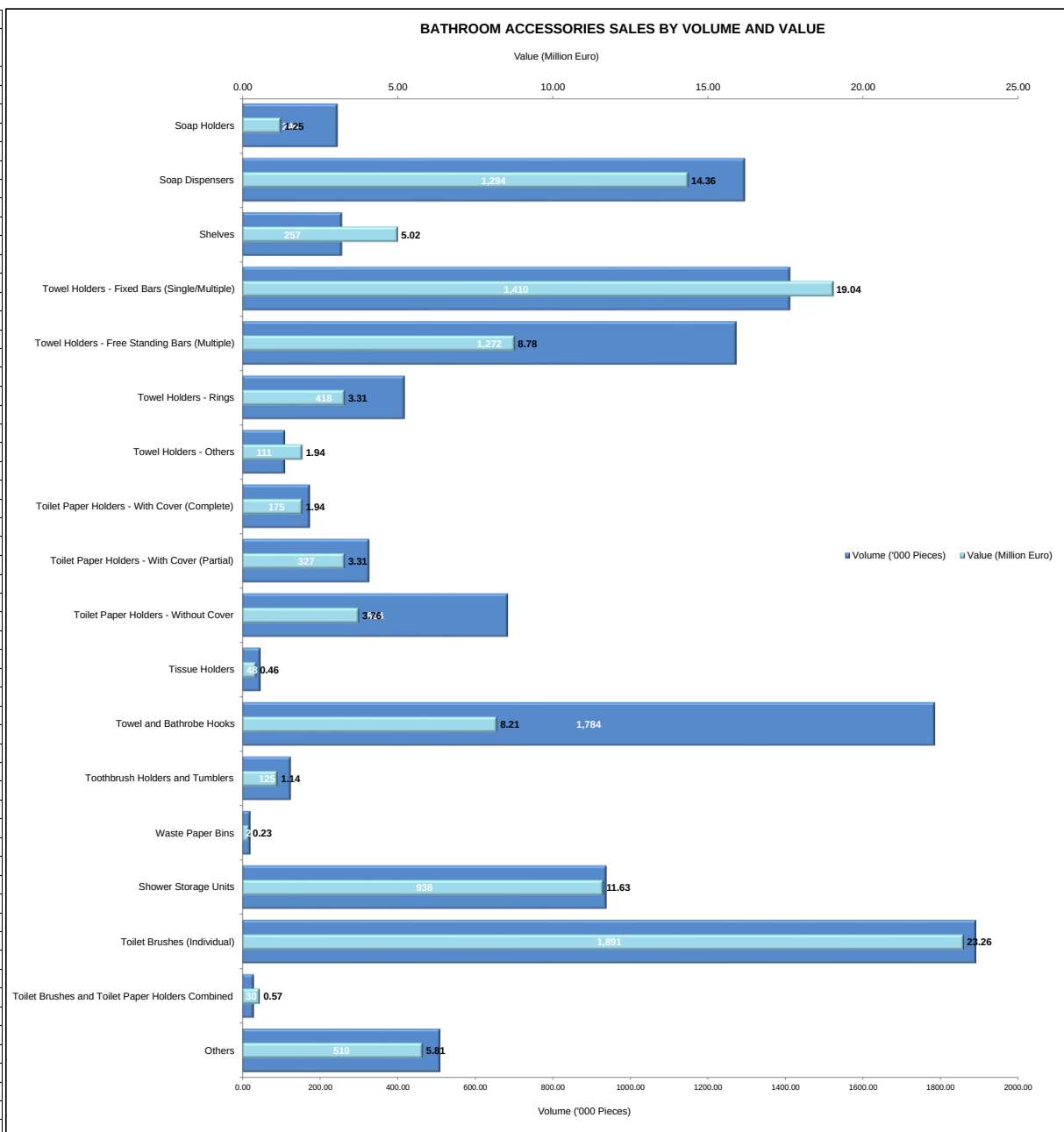
6.3 Detailed Prices and Market Values : Bathroom Accessories

IT - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

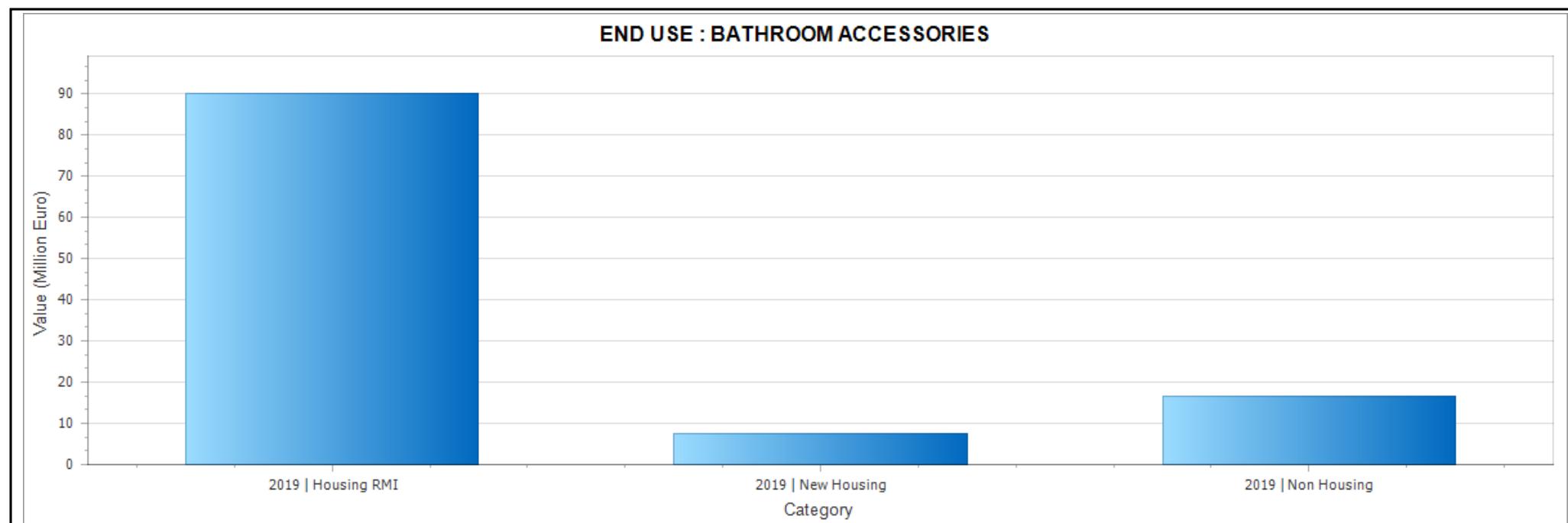
Market Value		2019	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	245.9	1.3
	Share	2.1%	1.1%
	Average Price (EUR)		5.1
Soap Dispensers	Volume / Value	1 294.1	14.4
	Share	11.2%	12.6%
	Average Price (EUR)		11.1
Shelves	Volume / Value	257.2	5.0
	Share	2.2%	4.4%
	Average Price (EUR)		19.5
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	1 410.2	19.0
	Share	12.2%	16.7%
	Average Price (EUR)		13.5
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	1 272.2	8.8
	Share	11.0%	7.7%
	Average Price (EUR)		6.9
Towel Holders: Rings	Volume / Value	418.5	3.3
	Share	3.6%	2.9%
	Average Price (EUR)		7.9
Towel Holders: Others	Volume / Value	110.7	1.9
	Share	1.0%	1.7%
	Average Price (EUR)		17.5
Toilet Paper Holders: With Cover (Complete)	Volume / Value	174.6	1.9
	Share	1.5%	1.7%
	Average Price (EUR)		11.1
Toilet Paper Holders: With Cover (Partial)	Volume / Value	327.3	3.3
	Share	2.8%	2.9%
	Average Price (EUR)		10.1
Toilet Paper Holders: Without Cover	Volume / Value	684.0	3.8
	Share	5.9%	3.3%
	Average Price (EUR)		5.5
Tissue Holders	Volume / Value	47.5	0.5
	Share	0.4%	0.4%
	Average Price (EUR)		9.6
Towel and Bathrobe Hooks	Volume / Value	1 784.3	8.2
	Share	15.5%	7.2%
	Average Price (EUR)		4.6
Toothbrush Holders and Tumblers	Volume / Value	125.3	1.1
	Share	1.1%	1.0%
	Average Price (EUR)		9.1
Waste Paper Bins	Volume / Value	21.5	0.2
	Share	0.2%	0.2%
	Average Price (EUR)		10.6
Shower Storage Units	Volume / Value	937.7	11.6
	Share	8.1%	10.2%
	Average Price (EUR)		12.4
Toilet Brushes (Individual)	Volume / Value	1 890.7	23.3
	Share	16.4%	20.4%
	Average Price (EUR)		12.3
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	30.3	0.6
	Share	0.3%	0.5%
	Average Price (EUR)		18.8
Others	Volume / Value	510.0	5.8
	Share	4.4%	5.1%
	Average Price (EUR)		11.4
TOTAL	Volume in '000/Value in Million	11 542.1	114.0
	Share	100.0%	100.0%
	Average Price (EUR)		9.9

Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



IT - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)

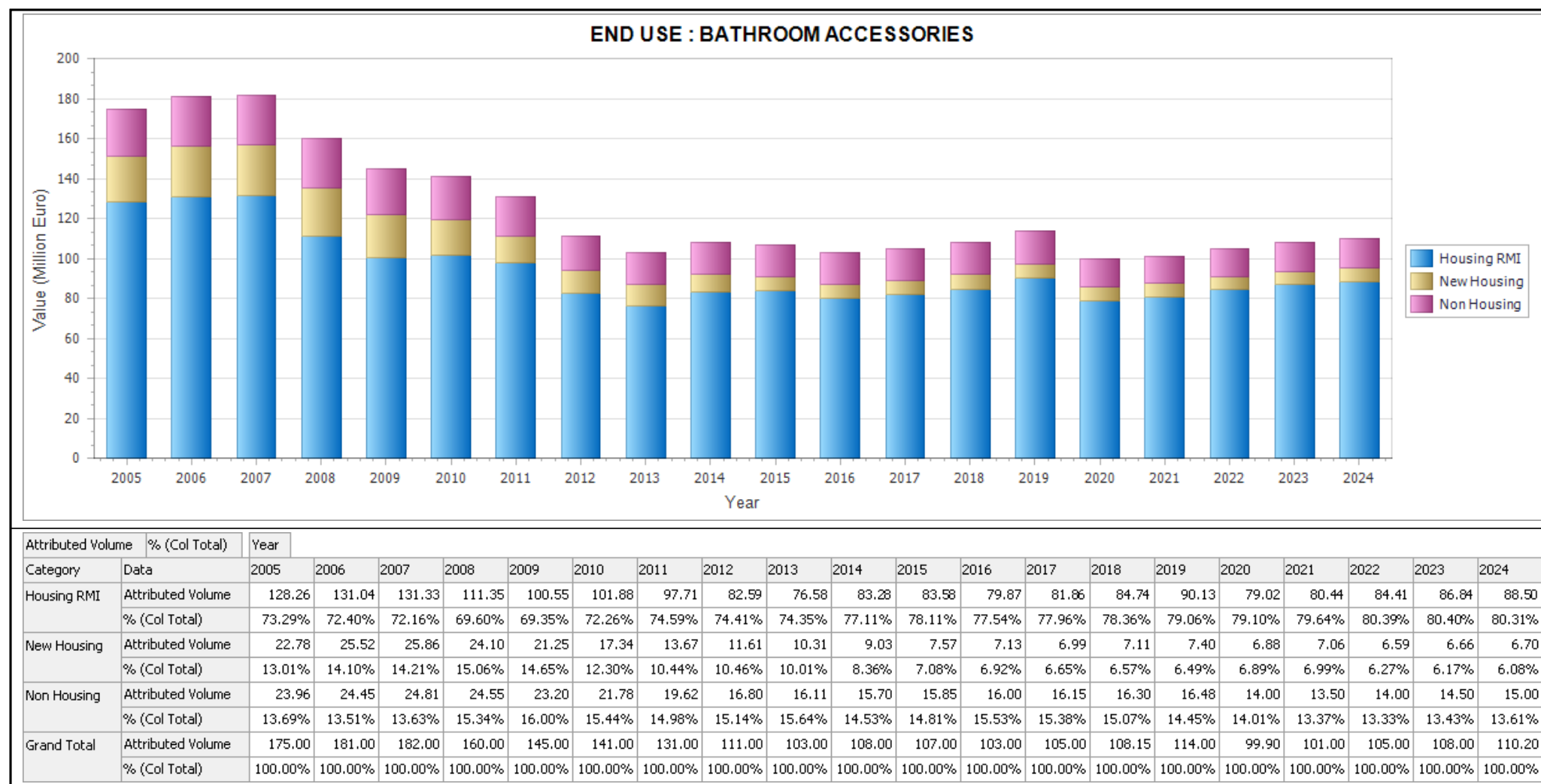


Attributed Volume	% (Row)	Year	Category	Data					
		2019					Grand Total		
		Housing RMI		New Housing		Non Housing			
Product	Attributed Volume		% (Row)	Attributed Volume		% (Row)	Attributed Volume		% (Row)
Bathroom Accessories (EUR)	90.13		79.06%	7.40		6.49%	16.48		14.45%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

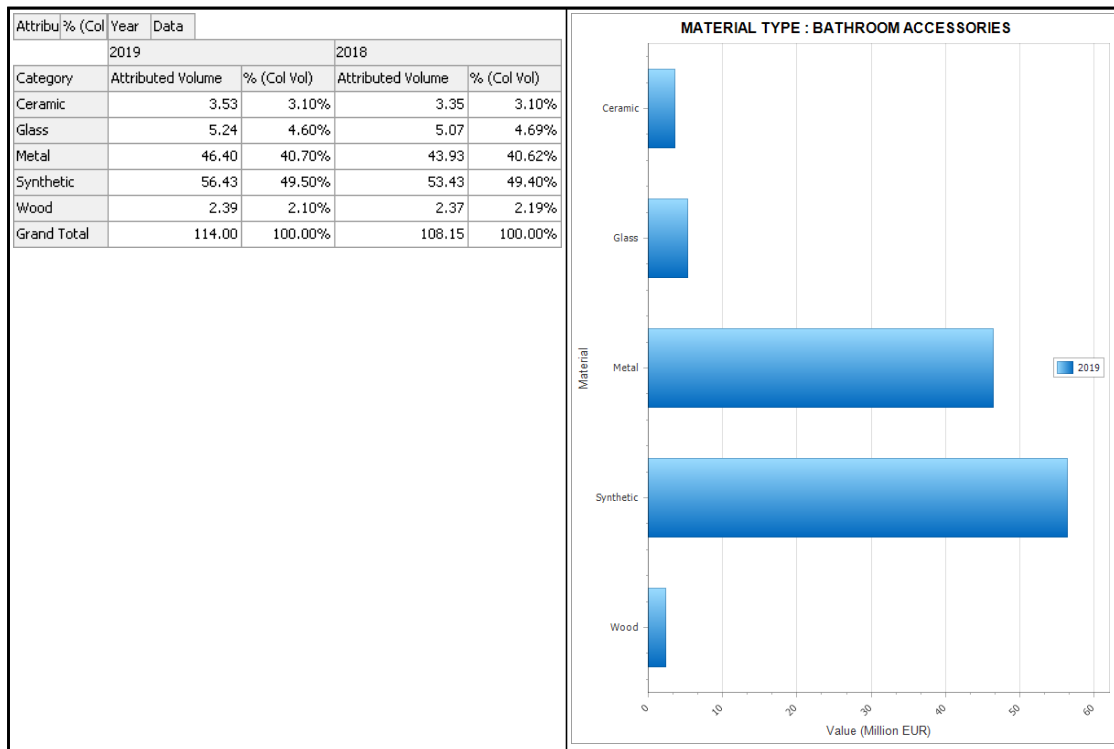
IT - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

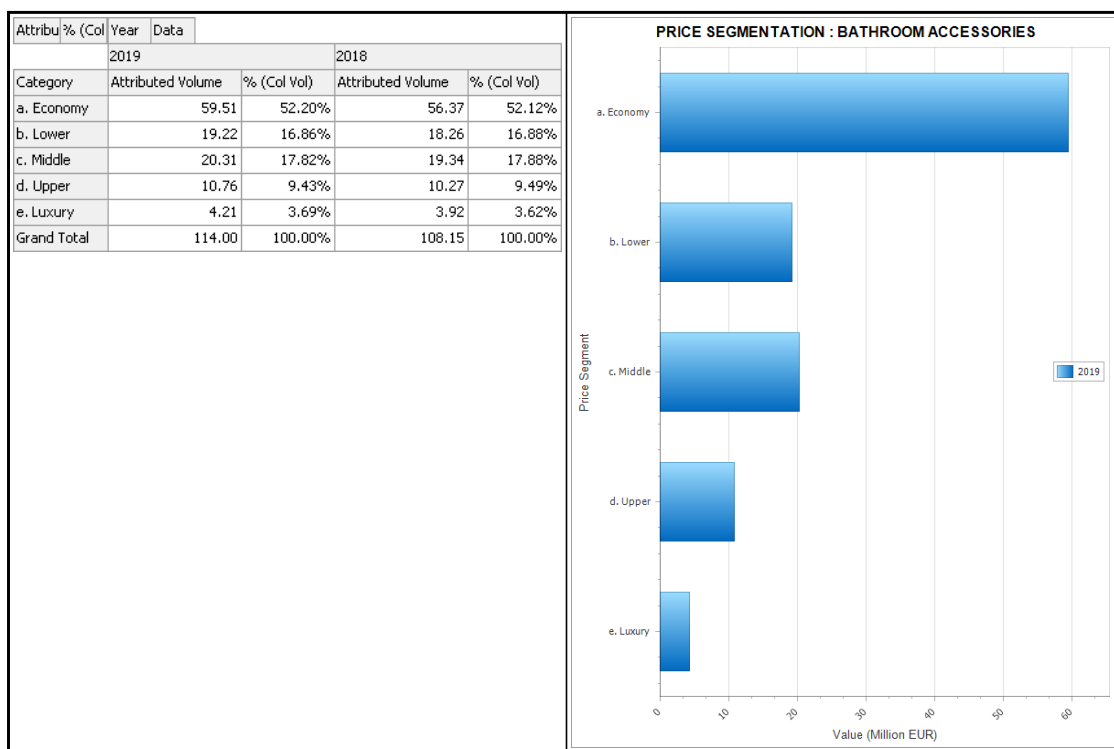
IT - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

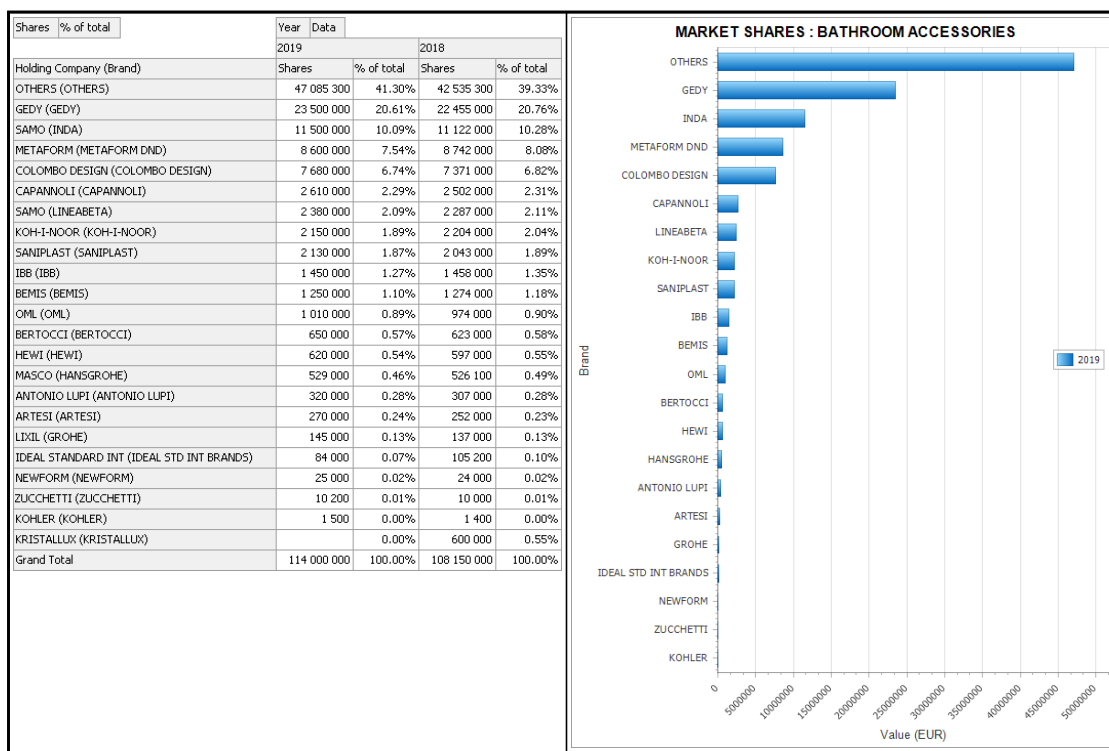
IT - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

IT - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	36.8%
	Wholesalers / Merchants
	36.8%

Retail Level	<table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>1.7%</td><td>5.9%</td></tr> <tr> <td colspan="2">Internet Retailers</td></tr> <tr> <td colspan="2">7.6%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>31.1%</td><td>5.5%</td></tr> <tr> <td colspan="2">DIY Retailers</td></tr> <tr> <td colspan="2">36.6%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>27.6%</td><td>14.7%</td></tr> <tr> <td colspan="2">Specialist Retailers</td></tr> <tr> <td colspan="2">42.3%</td></tr> </table>	Manufacturer	Wholesaler	1.7%	5.9%	Internet Retailers		7.6%		Manufacturer	Wholesaler	31.1%	5.5%	DIY Retailers		36.6%		Manufacturer	Wholesaler	27.6%	14.7%	Specialist Retailers		42.3%	
Manufacturer	Wholesaler																								
1.7%	5.9%																								
Internet Retailers																									
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Manufacturer	Wholesaler																								
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36.6%																									
Manufacturer	Wholesaler																								
27.6%	14.7%																								
Specialist Retailers																									
42.3%																									

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	8.4%	0.4%	2.9%	1.2%
Installers				
13.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.5%	7.2%	31.1%	40.2%	5.5%
	Residential					
	85.5%					

6.6.2 Route to Market: Bathroom Accessories (EUR)
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	36.9%
	Wholesalers / Merchants
	36.9%

Retail Level	<table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>2.3%</td><td>9.6%</td></tr> <tr> <td colspan="2">Internet Retailers</td></tr> <tr> <td colspan="2">11.9%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>31.3%</td><td>5.1%</td></tr> <tr> <td colspan="2">DIY Retailers</td></tr> <tr> <td colspan="2">36.4%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>26.9%</td><td>13.1%</td></tr> <tr> <td colspan="2">Specialist Retailers</td></tr> <tr> <td colspan="2">40.0%</td></tr> </table>	Manufacturer	Wholesaler	2.3%	9.6%	Internet Retailers		11.9%		Manufacturer	Wholesaler	31.3%	5.1%	DIY Retailers		36.4%		Manufacturer	Wholesaler	26.9%	13.1%	Specialist Retailers		40.0%	
Manufacturer	Wholesaler																								
2.3%	9.6%																								
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36.4%																									
Manufacturer	Wholesaler																								
26.9%	13.1%																								
Specialist Retailers																									
40.0%																									

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	7.4%	0.6%	2.9%	1.3%
Installers				
13.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.1%	11.3%	31.3%	38.0%	4.7%
	Residential					
	86.4%					
	New Build			Residential RMI		
	6.1%			80.3%		
	Project	Non-Project		Project	Non-Project	
	0.8%	5.3%		4.8%	75.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
1.8%	0.6%	0.0%	2.2%	0.7%	8.3%	
Non-Residential						
13.6%						
	New Build			Non-Residential RMI		
	8.0%			5.6%		
	Project	Non-Project		Project	Non-Project	
	6.0%	2.0%		3.2%	2.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

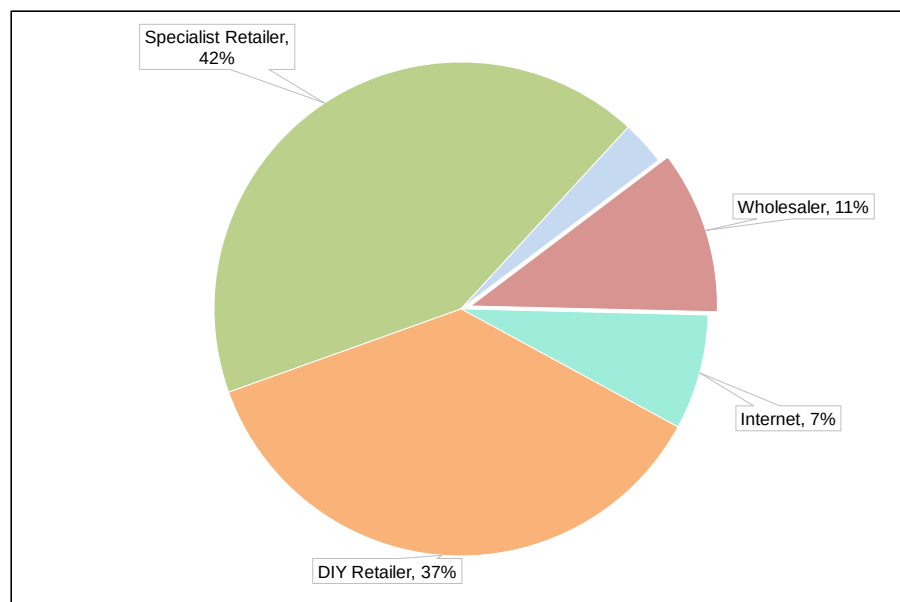
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
10.7%	7.6%	36.6%	42.3%	2.9%	5.6%	9.3%	80.0%	5.1%
100%					14.9%		85.1%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

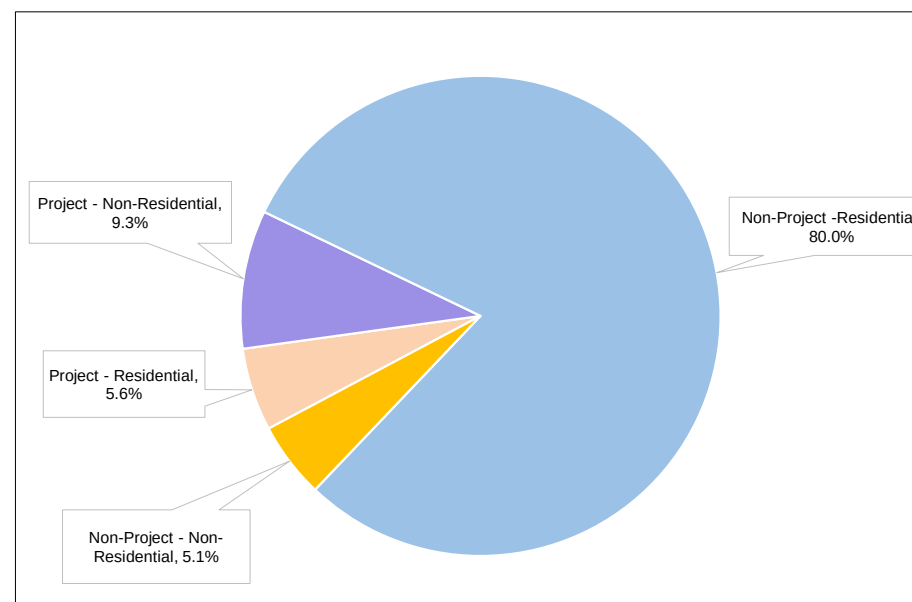
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
9.1%	11.9%	36.4%	40.0%	2.6%	5.6%	9.2%	80.8%	4.4%
100%					14.8%		85.2%	

IT - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



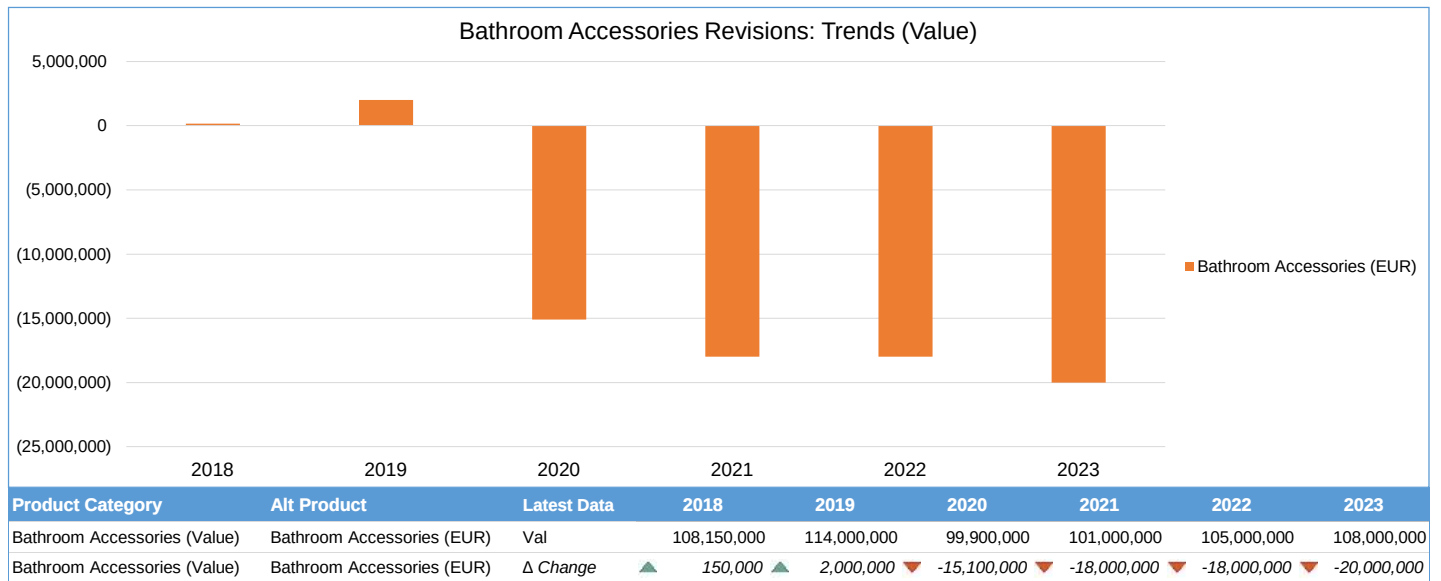
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Italian Bathroom Accessories Market (April 2020)

IT - REVISIONS IN THE ITALIAN BATHROOM ACCESSORIES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

ITALY

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The pattern of development of the shower accessory market has been closely following the general trend set out by taps and mixers, primarily because most shower accessories are often sold as a pack with mixers. Such correlation has continued to intensify throughout the years, as distributors and manufacturers alike attempted to widen their product offerings to consumers, encouraging the purchase of shower accessory sets with more items from the same manufacturer. The main market driver is consumer expenditure, which affects the rate of discretionary replacement, an important factor for a market such as shower accessories – which has among the highest reliance on RMI of all bathroom product categories.

The product mix has historically seen flexible hoses as the largest market, considering that this is the product that is most often replaced due to the limescale and salinity that affect the purity of Italian waters. Flexible hoses have, in recent years, seen competition from *Soffioni* (rain showers), which do not require a hose and have been targeted more towards the lower price segment. There is also a growing trend for shower pipes: a set of shower accessories with two-heads, one with a fixed pipe and one with a flexible hose. This latest trend has been driving up the share of shower heads within the product mix, at a significant rate.

Bars and supports have also come under threat in recent years from the growing popularity of rain showers, although they are still favoured in the new housing segment because of their durability, which also means a smaller reliance on RMI. Shower heads, on the other hand, have tended to diversify more in terms of product functionality and design, with strong marketing campaigns from manufacturers, which stress versatility as an asset.

The success of shower panels in the past may be attributed to the ability of the product to transform an ordinary shower into having hydrotherapy functionality, hence benefitting from the bath to shower substitution trend.

Recent Market Trends

After three years of sustained growth, making the shower accessories market one of the most dynamic of the bathroom products market, sales in 2019 declined. This decrease in sales is due to the good performance recorded during the previous years, fuelled by strong replacement sales resulting from the shortening of time of housing transfers, and good consumer confidence. Shower supports and hoses are closely linked to the taps and mixers market, as they are frequently sold as a set.

The growing relevance in the product mix of shower heads may be attributed also to the growing popularity of shower pipes, a set that contains two shower heads, which is currently being pushed by several manufacturers as an innovative alternative to the traditional hose. Overall, the sales and share of shower sets continued to grow in 2019, also supported by the growing interest of consumers to

purchase online and in the showroom in the search for more stylish and functional product alternatives. The most popular in terms of sales continued to be the set that is sold with mixers, as it provides a complete replacement solution, with a lower cost than purchasing the items separately.

The revitalisation of the new housing activity since 2017, in conjunction with minimal changes at the level of functionality of the product, has triggered positive development of sales of shower pipes, which have seen one of the most marked market expansions within the shower accessories product segment. On the other hand, the expected boom in sales of shower panels did not occur, and sales have not really taken off.

Prices and Market Values

The volatility of prices seen the previous year continued in 2019, although with less pronounced changes than recorded the previous year. There was some degree of decline of the costs of raw materials such as copper and nickel, which is subsequently reflected in the prices for customers. Only the shower panels segment recorded a slight average MSP decrease in 2019, as a result of strong competition on that small market.

Prices are also affected by the presence of two main types of distributors, DIY stores and specialist retailers. The importance of the brand as a guarantee that justifies the price varies depending on the age of the end-use customer. Moreover, the main variables for the development of the market have been the functionality and the quality of materials. The trend that was established several years ago, of the erosion of the middle price segment in favour of the lower and luxury segments, continued in 2019, highlighting price competitiveness and brand recognition as the main drivers for market positioning.

New Housing

Shower heads are the preferred solutions in new housing installations, followed by shower supports and flexible hoses. It may be argued that the demand from this segment tends to favour the metal product option and the fixed shower head models.

Sales to the new housing segment increased in 2019, in line with the continuing increase in housing completions.

The preference for shower pipes in new housing has resulted in substantially lower demand for shower supports and flexible hoses, due to the versatility to adapt to the installation of two-head showers.

Housing RMI

Housing RMI represents the largest end-use destination for all categories, with shower accessories having continued to be one of the markets that most rely on

this segment in the bathroom sector. The short lifespan of these products remains considerable given the often hardness of the water, which accelerates the deterioration, and hence increases replacement sales. In the case of shower hoses, purchases are often as a result of breakdown due to oxidation and limescale, but for shower heads there has been a continuing growth of discretionary replacement as manufacturers push ever more design-orientated products to differentiate the product variety.

Non-Housing

The hospitality segment remains the main source of demand for non-housing sales, which have a much higher share of showers compared to baths. The value of the shower accessory market within this industry has been consolidating in recent years, with a strong preference to buy new showers – resulting in the replacement of shower accessories to renew the look of the bathroom.

Supply Structure

The market is quite fragmented, but with a few notable leaders, namely BOSSINI, GROHE, and HANSGROHE. These companies have increased their market competitiveness by implementing competing strategies of product differentiation with a major emphasis on the DIY and department store distribution channels, coupled with a higher penetration within the specialist showroom segment. The leading position of such players and their increased market share has occurred at the expense of smaller players, hence leading the market to a high degree of differentiation in price segments. BOSSINI recentred its focus on the production of shower accessory sets at the expense of mixers in order to focus on its core business.

It should also be mentioned that on top of the many suppliers of shower accessories, the main DIY chains have developed private labels in order to increase the visibility and attractiveness of their products.

The relevance of the internet channel for shower accessories has grown considerably in the last few years, given the ease of replacement, their easily deliverable size and low average price. The expansion of the internet channel has pushed more players in the product segment to seek to specialise their offerings, through the launch of online shopping platforms and, also, through exclusive contracts with e-commerce distributors.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be

superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Projections for 2020 indicate a sharp drop in sales. The effects of the country lockdown due to the COVID-19 crisis were reported in April 2020 to have had a devastating impact on sales, as all shops were closed for about two months. This lockdown drove unemployment up, and people preferred to save money for necessary items, which is expected to strongly affect replacement sales until the end of 2020.

Sales in 2020 are therefore expected be negatively affected by the expected drop in new housing construction, and by householders postponing replacement sales. However, the relatively cheap price of shower accessories and the absolute need of functioning devices might prevent the market from dropping too much. Within all bathroom products, shower accessories should therefore record one of the smallest declines.

The new housing sector is expected to resume its positive trend a from 2021 onwards. This, combined with ongoing growth within the non-housing sector due to increased investment in renovation and construction, should guarantee continued sales growth for the market in the mid-long term.

Depending on the overall recovery of the Italian economy after the COVID-19 crisis, the market growth should be concentrated mostly within the RMI segment, and similarly non-housing should finally consolidate its trend of recovery with the hospitality segment being less hesitant to make investments in renovation. The new housing segment should register a relatively stable sales pattern, due to the prudent scenario of expected completions.

In the medium-term forecast, namely from 2022 onwards, all market segments should experience year-on-year growth in line with increasing investment in both residential and non-housing renovation, and renewed growth within the new housing sector. In conjunction with the overall market expansion, the product mix is expected to further accentuate its shift towards shower heads and away from hoses. It is also likely that shower supports will lose share because of the increasing number of fixed-head systems that do not require a support or hose. Both trends will be predominantly set within the new housing market, but also become more widespread as replacement options.

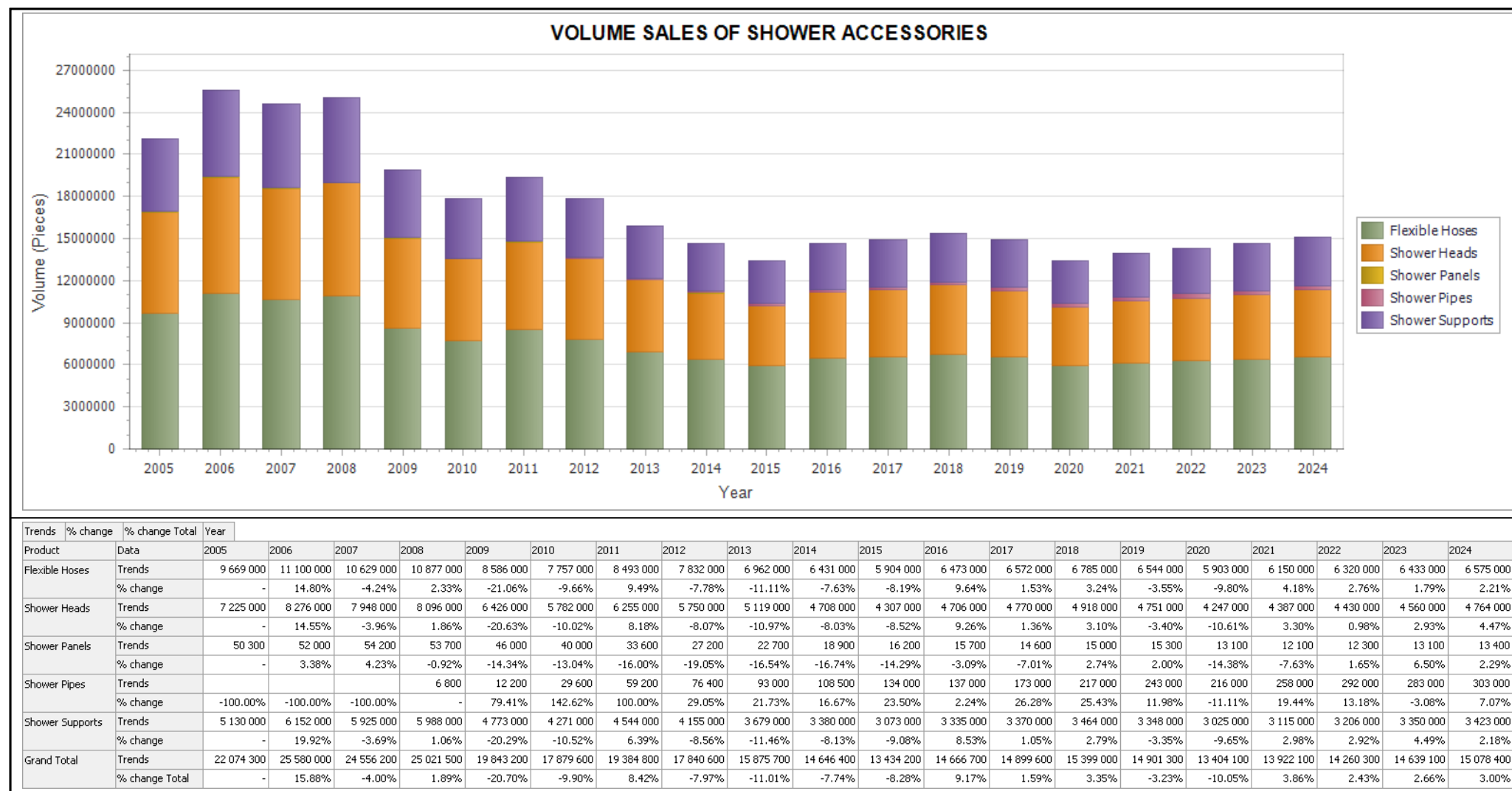
The price differences in the economy and luxury segments should see a slowdown, as the consumer propensity to spend stabilises and the improvement of the quality of products in the economy price segment is likely to appeal to the average customer. This trend, coupled with the growth of the housing RMI segment, is set to continue, enhancing the role of the low-cost segment and facilitating purchasing, both in store and online.

The concurrent nature of the above-mentioned trends, it is believed, should affect the wholesaler channel, which is expected to see its relevance further eroded in the

coming years, with only a few wholesalers diversifying into showroom-type activities. The wider availability of such products in the e-commerce channel is expected, together with DIY, to see the strongest development, and hence support sales of shower accessory sets.

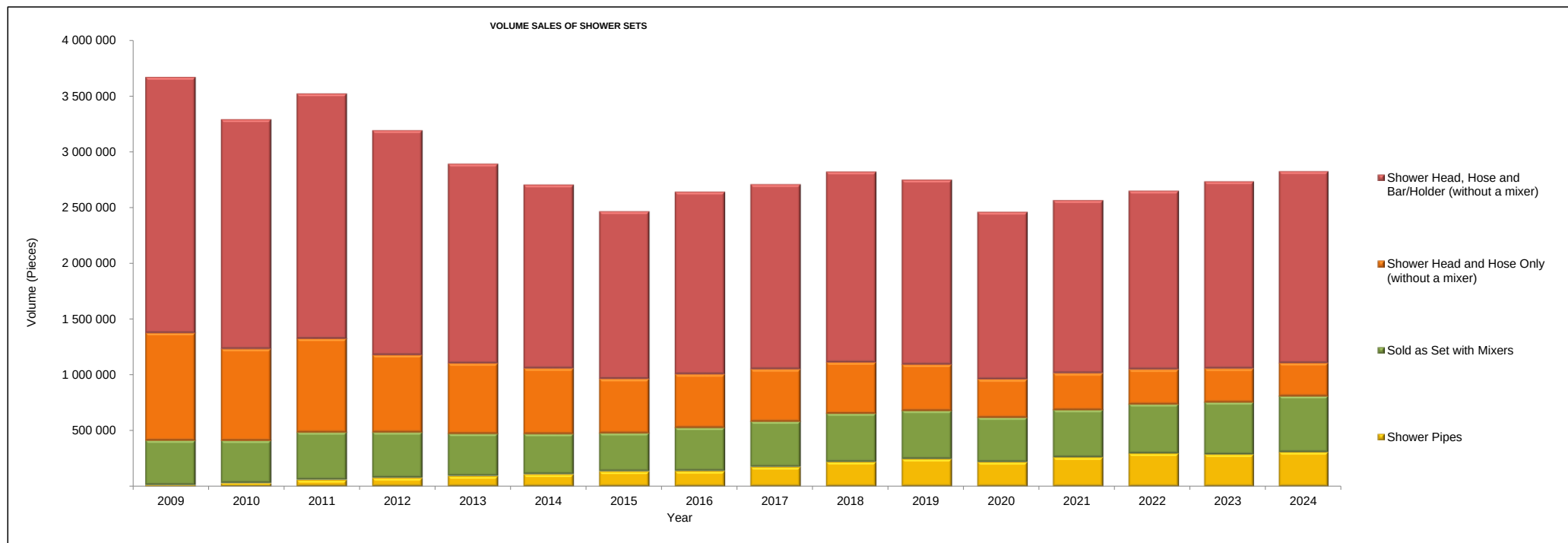
7.2.1 Historical Trends & Forecasts : Shower Accessories

IT - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets
IT - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

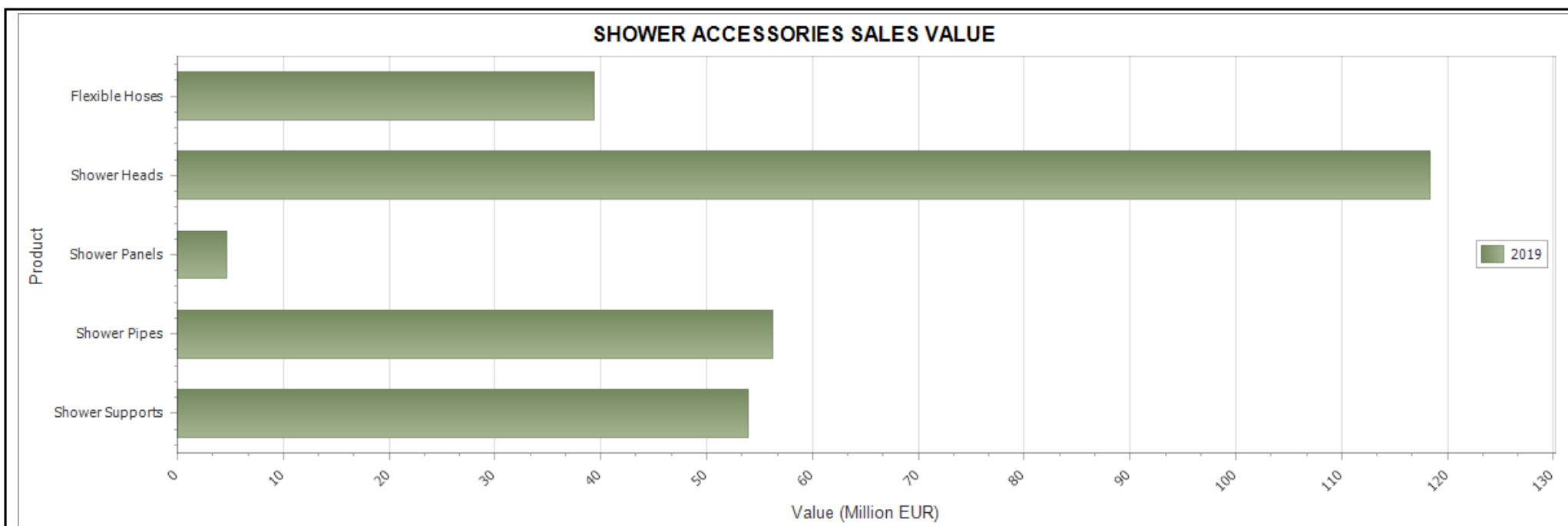


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	2 291 000	2 056 000	2 195 000	2 013 000	1 788 000	1 647 000	1 502 000	1 635 000	1 657 000	1 709 000	1 656 000	1 501 000	1 550 000	1 600 000	1 677 000	1 718 000
	% Change	-	-10.26%	6.76%	-8.29%	-11.18%	-7.89%	-8.80%	8.85%	1.35%	3.14%	-3.10%	-9.36%	3.26%	3.23%	4.81%	2.44%
	Shower Head and Hose Only (without a mixer)	964 200	823 400	840 600	693 400	633 200	589 500	488 600	481 700	472 100	462 100	417 800	346 600	333 800	316 900	307 100	301 700
	% Change	-	-14.60%	2.09%	-17.51%	-8.68%	-6.90%	-17.12%	-1.41%	-1.99%	-2.12%	-9.59%	-17.04%	-3.69%	-5.06%	-3.09%	-1.76%
	Sold as Set with Mixers	400 000	380 800	425 300	408 900	378 800	361 900	343 500	388 800	407 800	434 600	433 500	399 700	425 500	442 400	468 500	503 100
	% Change	-	-4.80%	11.69%	-3.86%	-7.36%	-4.46%	-5.08%	13.19%	4.89%	6.57%	-0.25%	-7.80%	6.45%	3.97%	5.90%	7.39%
	Shower Pipes	12 200	29 600	59 200	76 400	93 000	108 500	134 000	137 000	173 000	217 000	243 000	216 000	258 000	292 000	283 000	303 000
	% Change	-	142.62%	100.00%	29.05%	21.73%	16.67%	23.50%	2.24%	26.28%	25.43%	11.98%	-11.11%	19.44%	13.18%	-3.08%	7.07%
Grand Total		3 667 400	3 289 800	3 520 100	3 191 700	2 893 000	2 706 900	2 468 100	2 642 500	2 709 900	2 822 700	2 750 300	2 463 300	2 567 300	2 651 300	2 735 600	2 825 800
% Change Total		-	-10.30%	7.00%	-9.33%	-9.36%	-6.43%	-8.82%	7.07%	2.55%	4.16%	-2.56%	-10.44%	4.22%	3.27%	3.18%	3.30%

Source: BRG based on Industry Interviews

7.3.1 Prices and Market Values : Shower Accessories

IT - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET

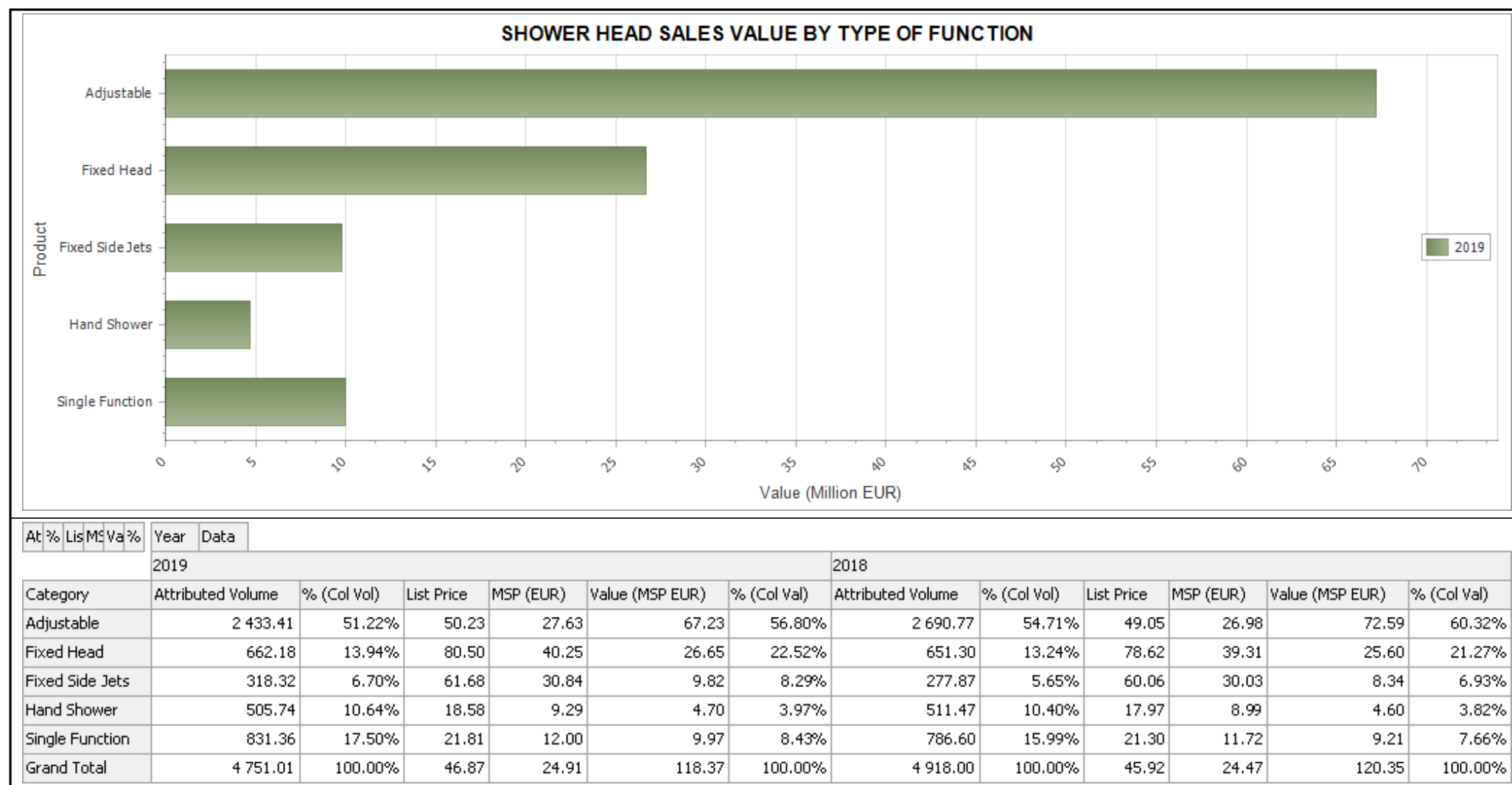


Volume	MSP (€)	Value	Year	Data			
			2019		2018		
Product	Volumes	MSP (EUR)	Value (MSP EUR)		Volumes	MSP (EUR)	Value (MSP EUR)
Flexible Hoses	6 544 000	6.01	39.33		6 785 000	5.82	39.49
Shower Heads	4 751 000	24.91	118.35		4 918 000	24.47	120.34
Shower Panels	15 300	300.22	4.59		15 000	307.06	4.61
Shower Pipes	243 000	231.55	56.27		217 000	223.68	48.54
Shower Supports	3 348 000	16.09	53.87		3 464 000	15.56	53.90
Grand Total	14 901 300	18.28	272.41		15 399 000	17.33	266.88

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

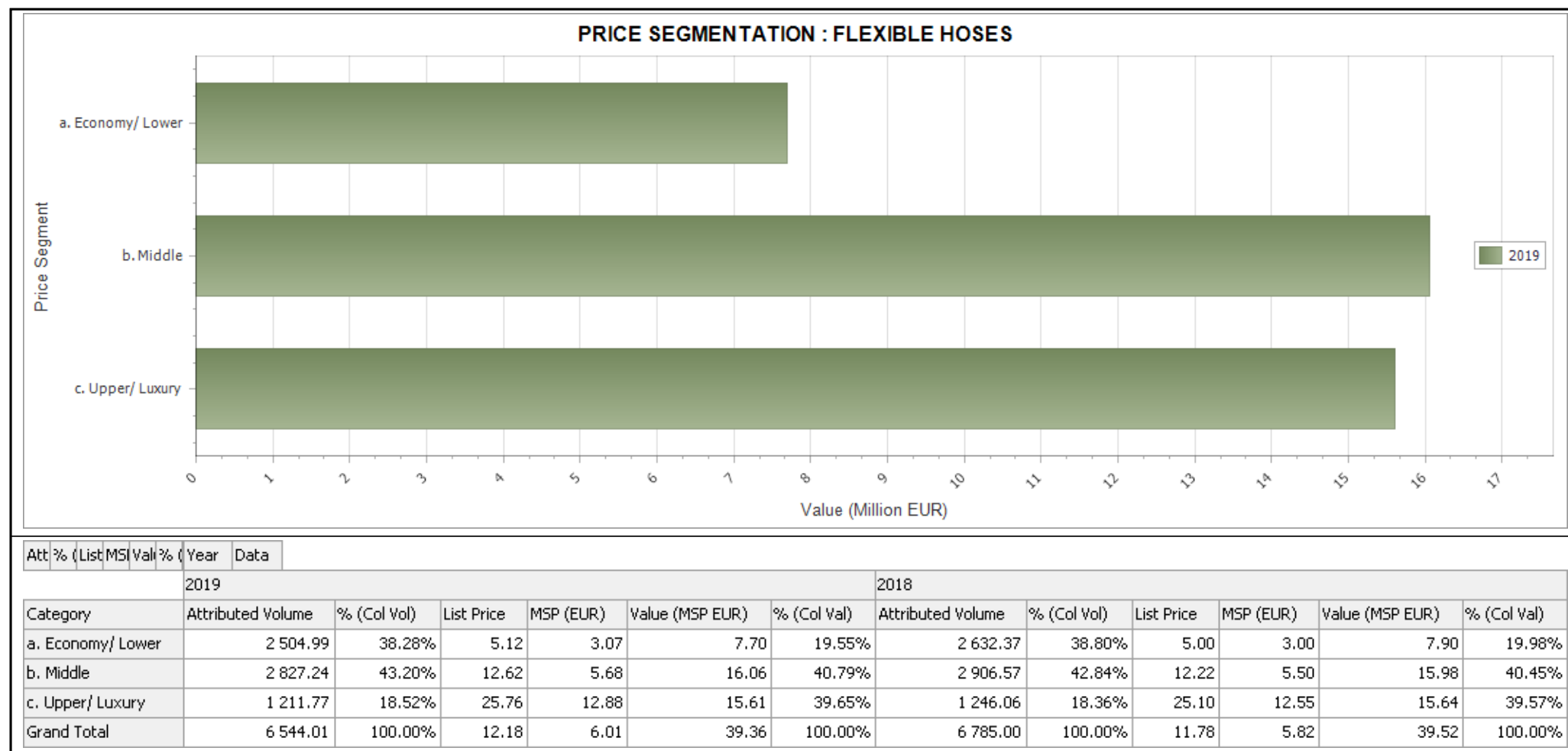
IT - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

IT - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

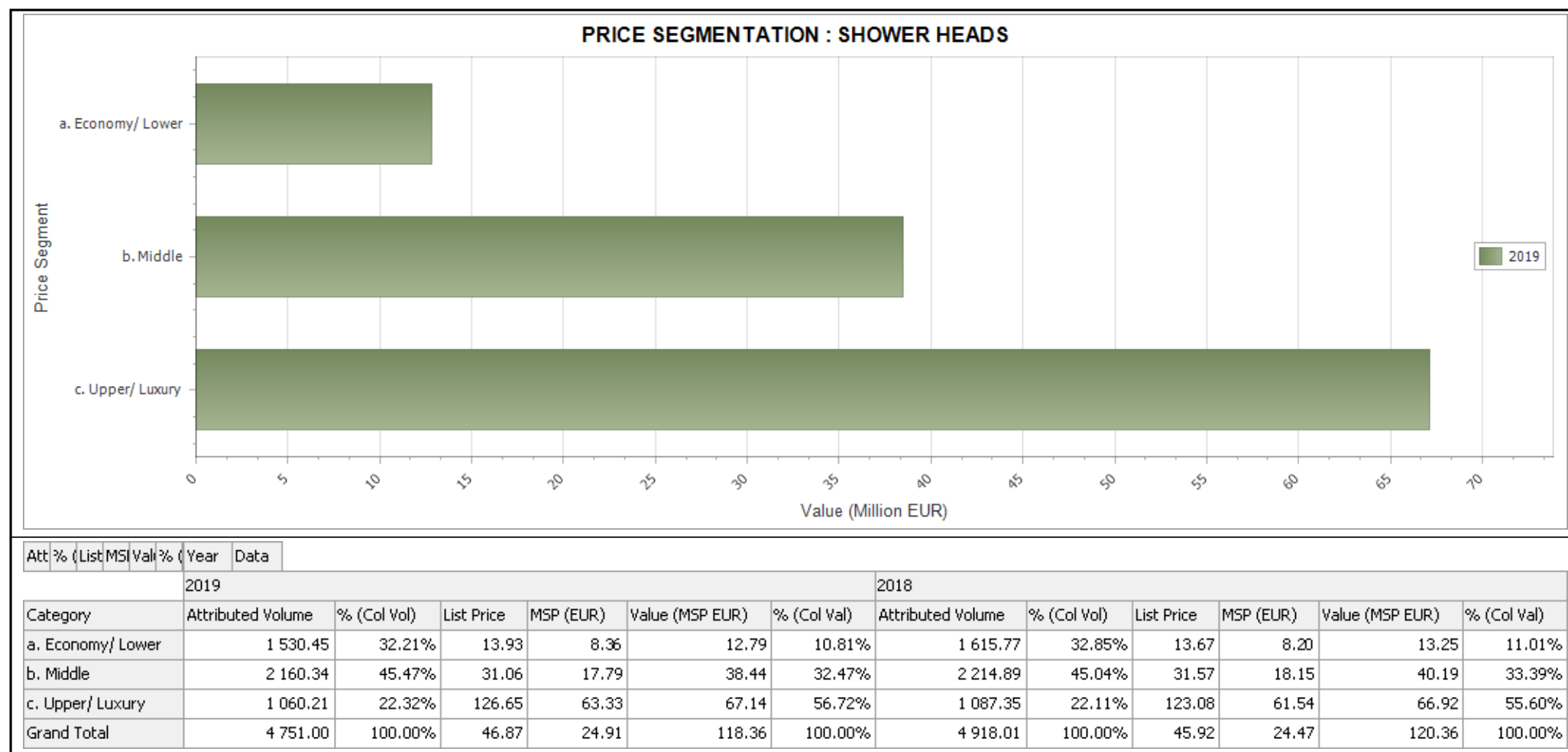


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€4, Middle €4-€8, Upper/ Luxury >€8

7.3.4 Price Segmentation : Shower Heads

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

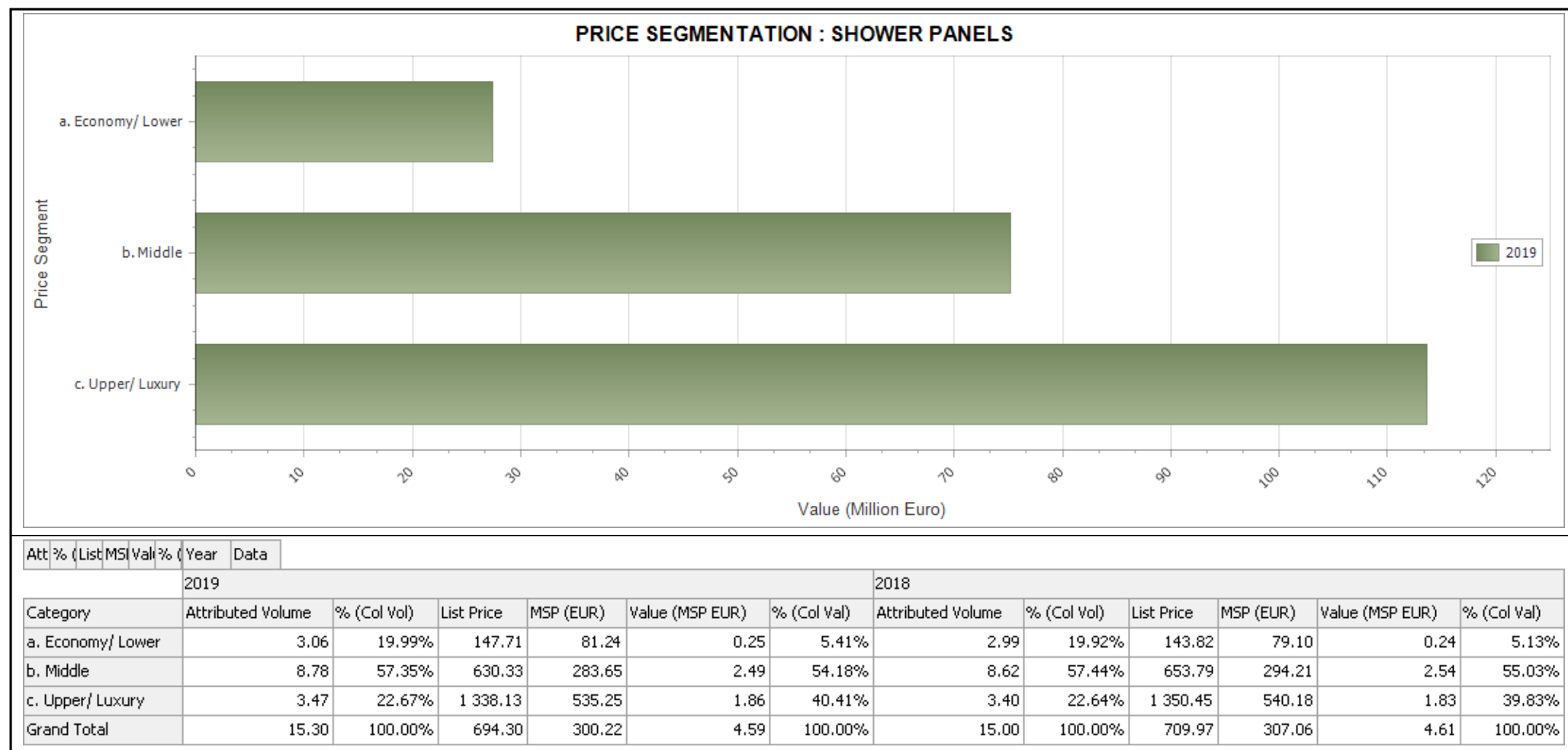


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€30, Upper/ Luxury >€30

7.3.5 Price Segmentation : Shower Panels

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

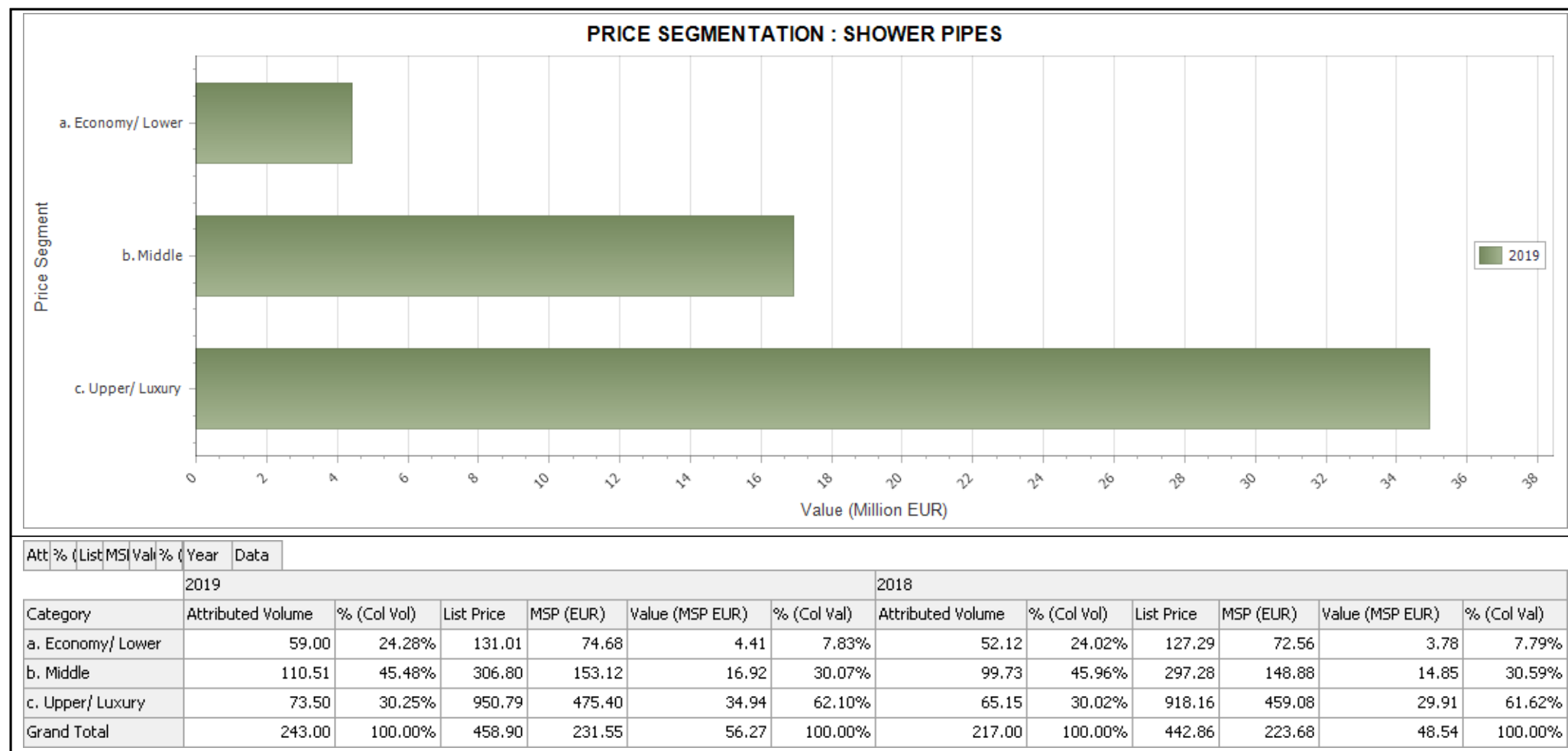


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.6 Price Segmentation : Shower Pipes

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

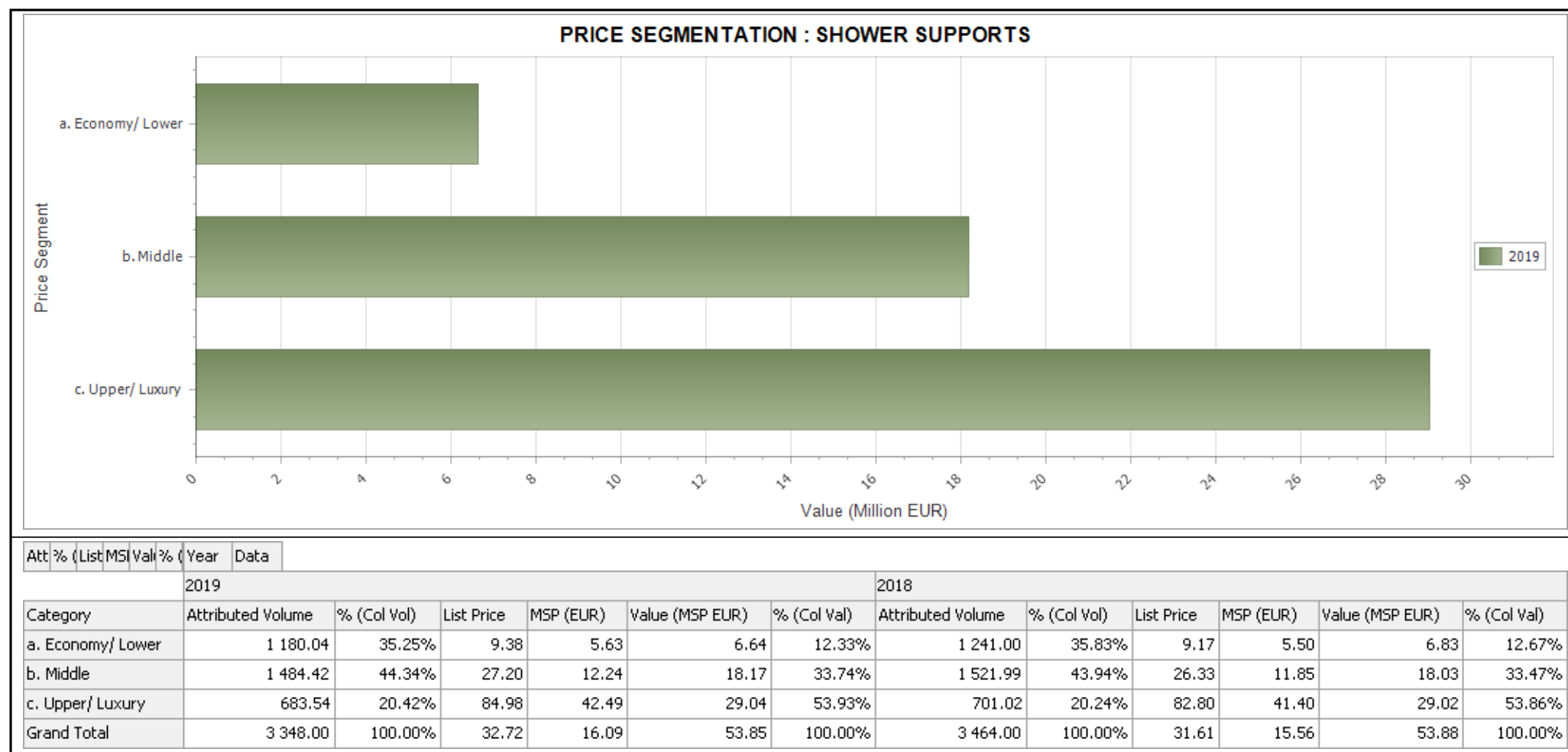


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.7 Price Segmentation : Shower Supports

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

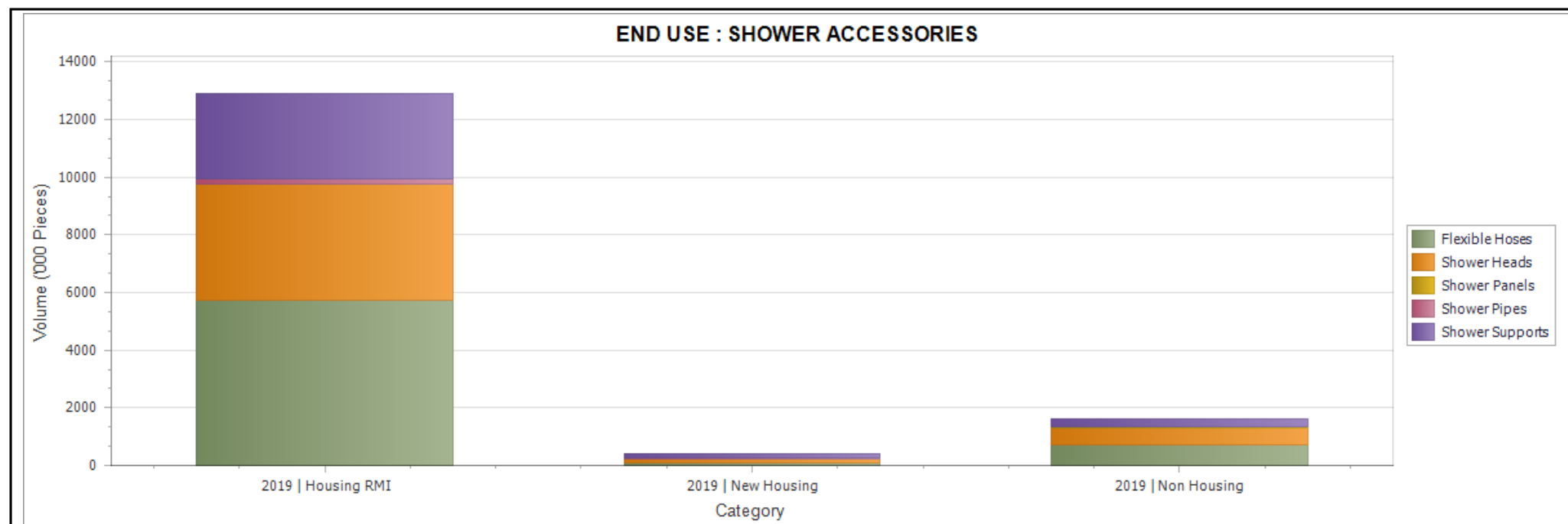


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.4.1 End Use : Base Year

IT - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

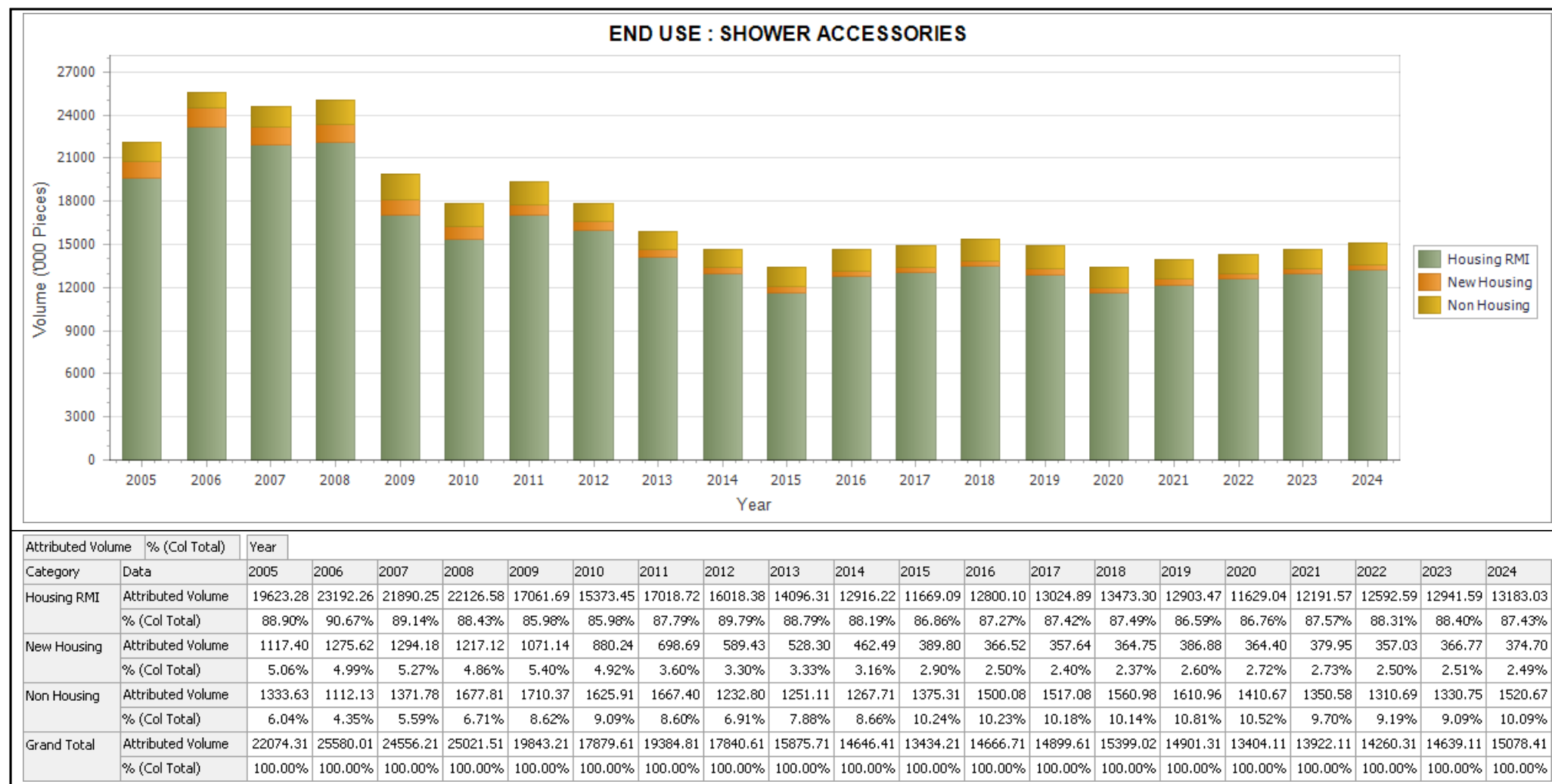


Attribu	% (Co	% (Ro	Year	Category	Data								
2019										Grand Total			
Housing RMI				New Housing			Non Housing						
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Flexible Hoses	5725.75	44.37%	87.50%	83.82	21.67%	1.28%	734.43	45.59%	11.22%	6544.00	43.92%	100.00%	
Shower Heads	4017.09	31.13%	84.55%	149.02	38.52%	3.14%	584.90	36.31%	12.31%	4751.00	31.88%	100.00%	
Shower Panels	10.91	0.08%	71.27%	1.93	0.50%	12.59%	2.47	0.15%	16.15%	15.30	0.10%	100.00%	
Shower Pipes	196.89	1.53%	81.02%	33.82	8.74%	13.92%	12.30	0.76%	5.06%	243.00	1.63%	100.00%	
Shower Supports	2952.84	22.88%	88.20%	118.29	30.58%	3.53%	276.87	17.19%	8.27%	3348.00	22.47%	100.00%	
Grand Total	12903.47	100.00%	86.59%	386.88	100.00%	2.60%	1610.96	100.00%	10.81%	14901.31	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

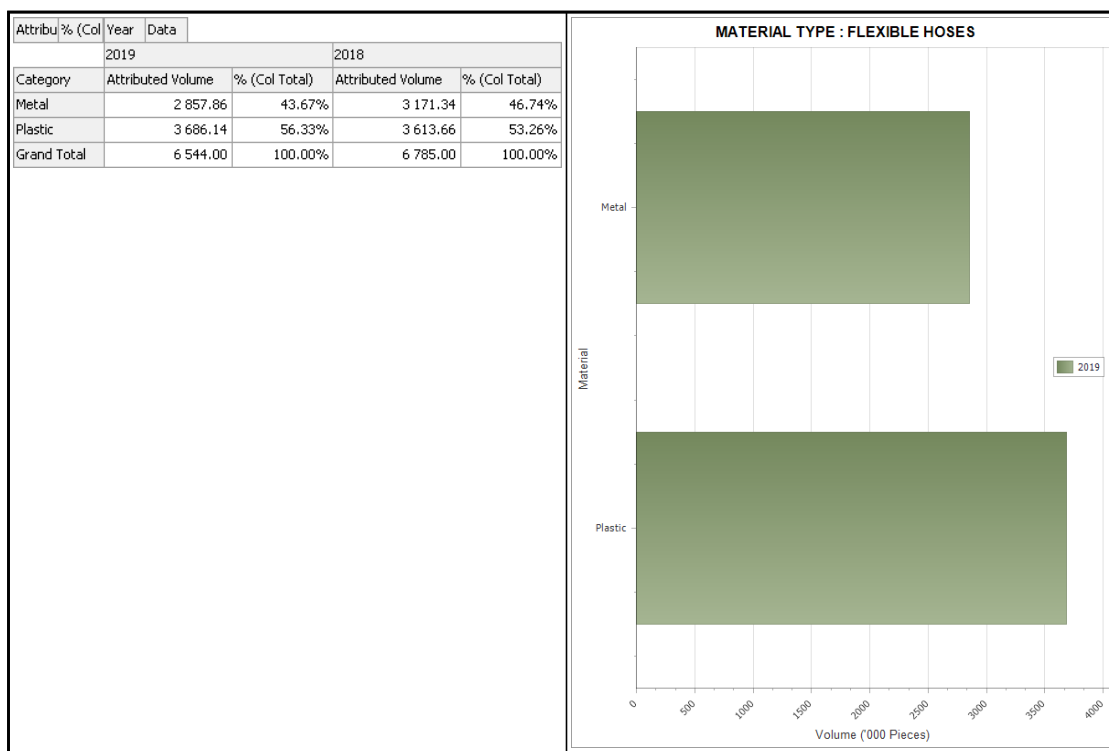
IT - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

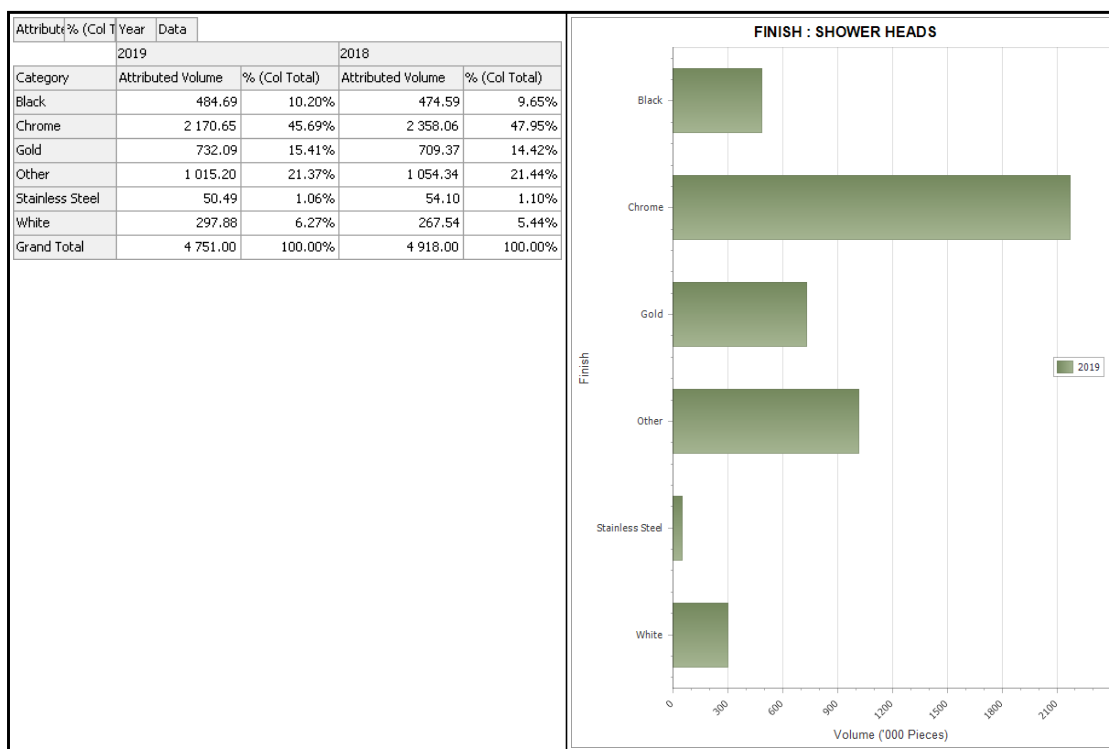
7.4.3 Sales By Type of Material : Flexible Hoses

IT - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



7.4.4 Sales by Type of Finish : Shower Heads

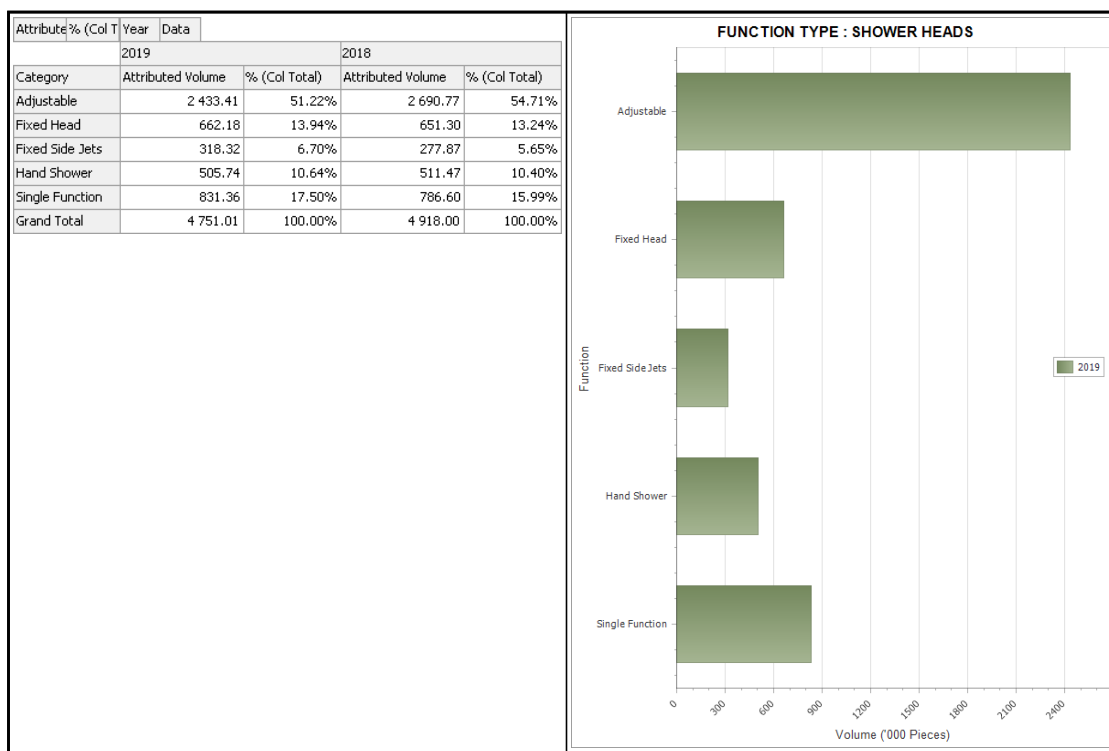
IT - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

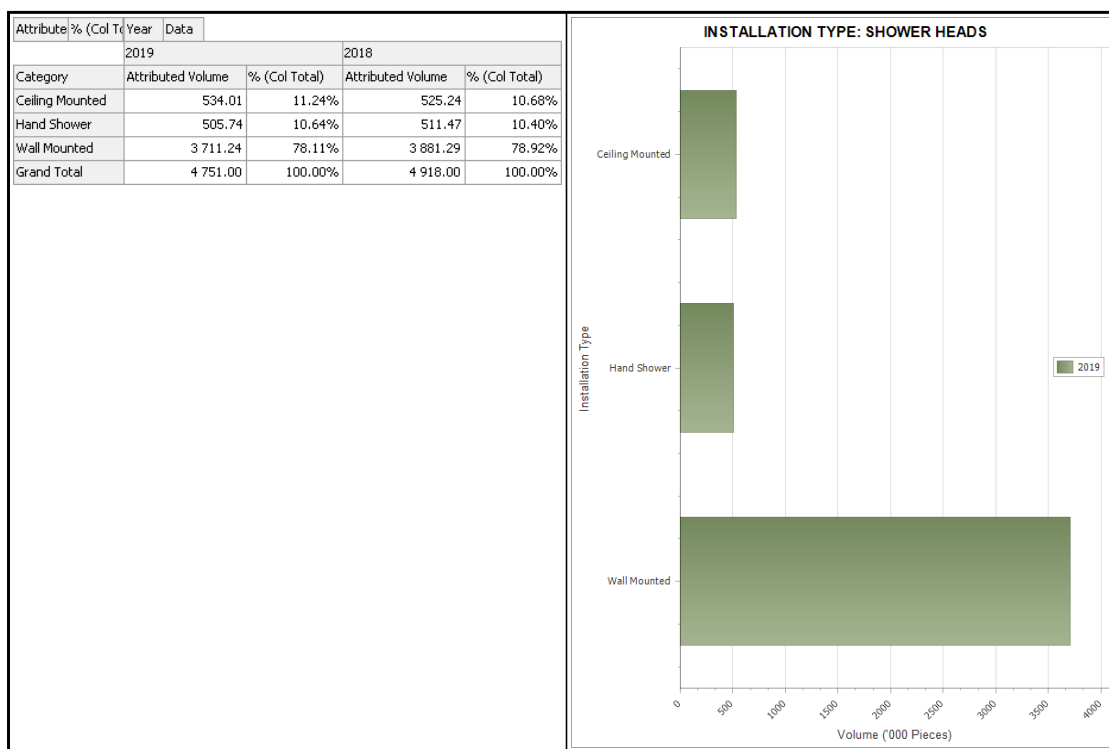
7.4.5 Sales By Type of Function : Shower Heads

IT - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



7.4.6 Sales by Type of Installation : Shower Heads

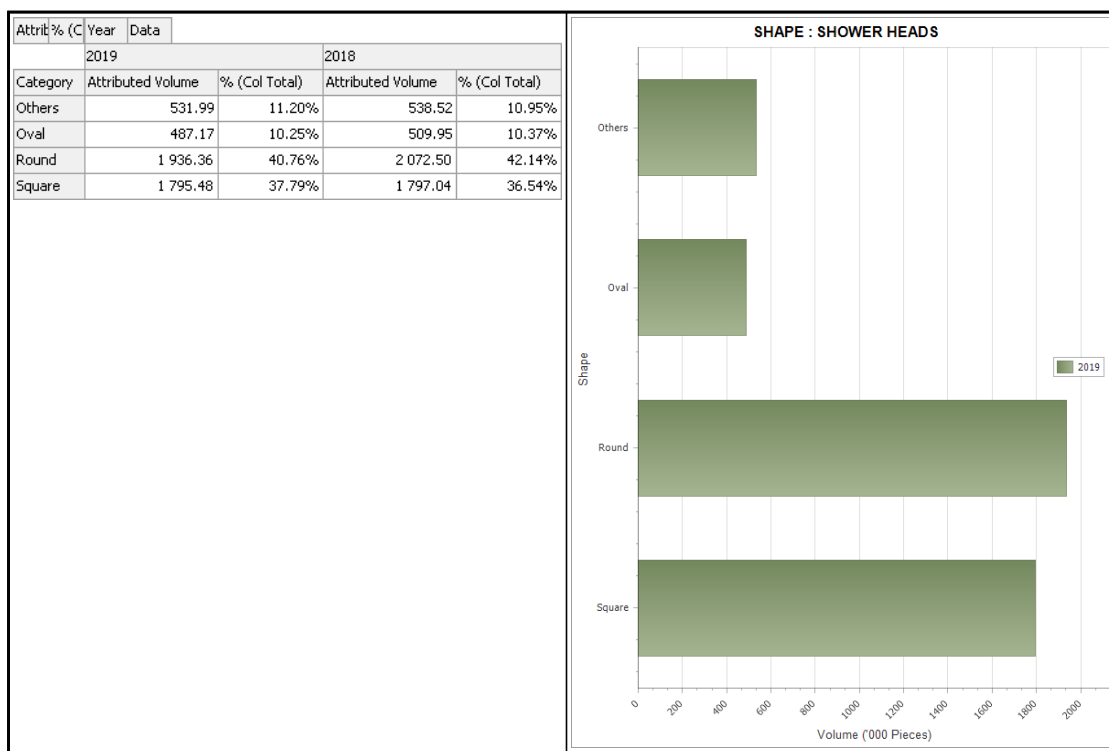
IT - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

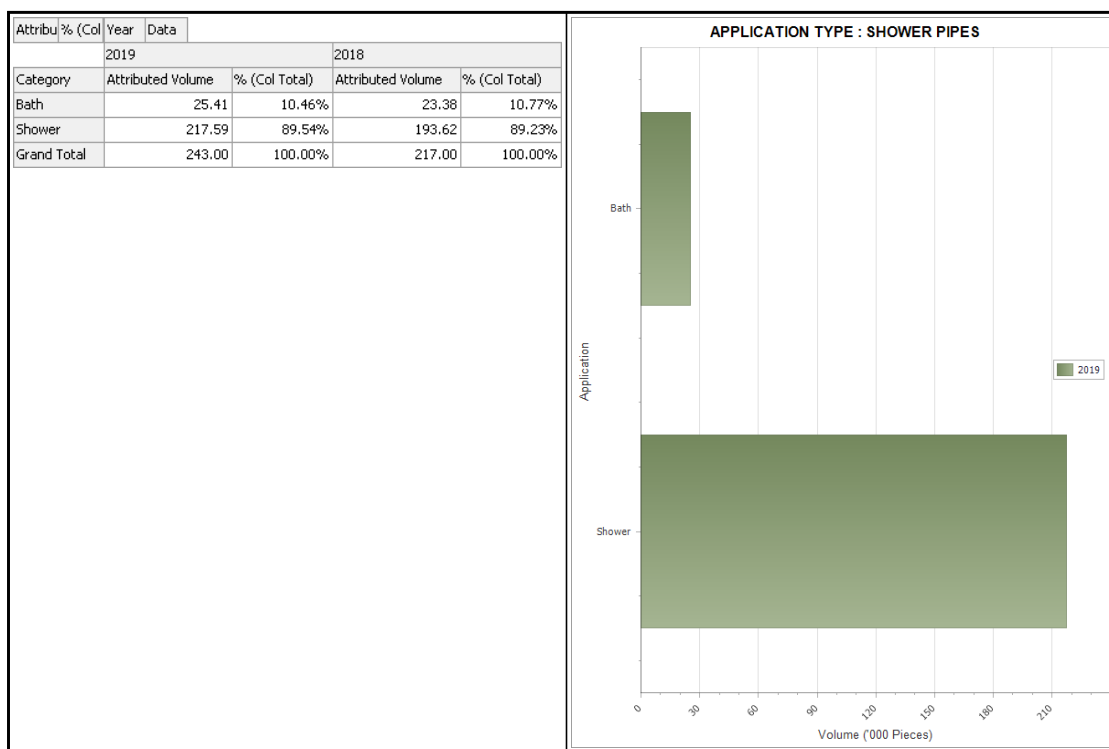
7.4.7 Sales By Type of Shape : Shower Heads

IT - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



7.4.8 Sales by Type of Application : Shower Pipes

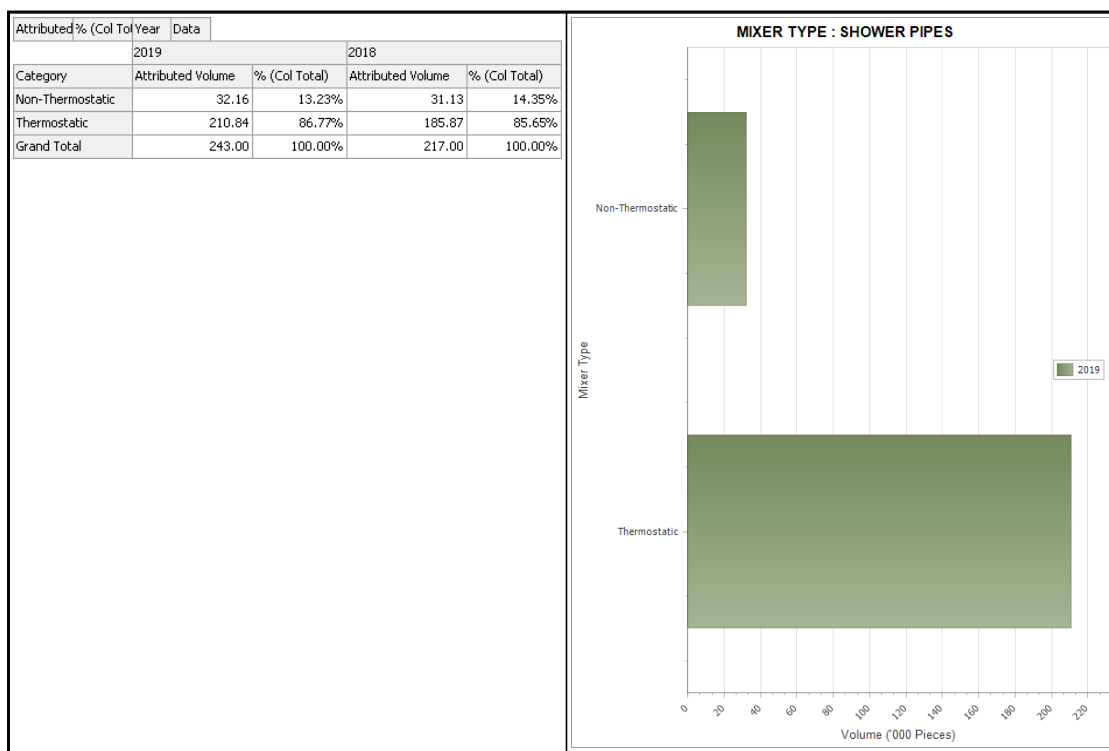
IT - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

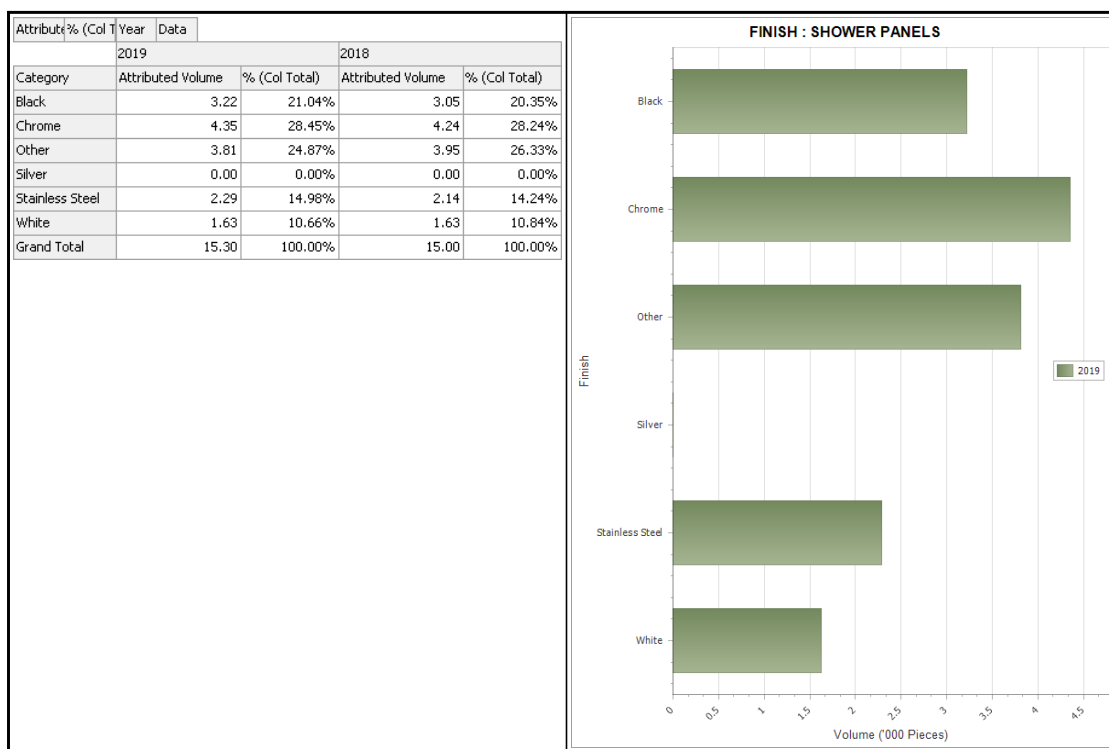
7.4.9 Sales by Type of Mixer : Shower Pipes

IT - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



7.4.10 Sales by Type of Finish : Shower Panels

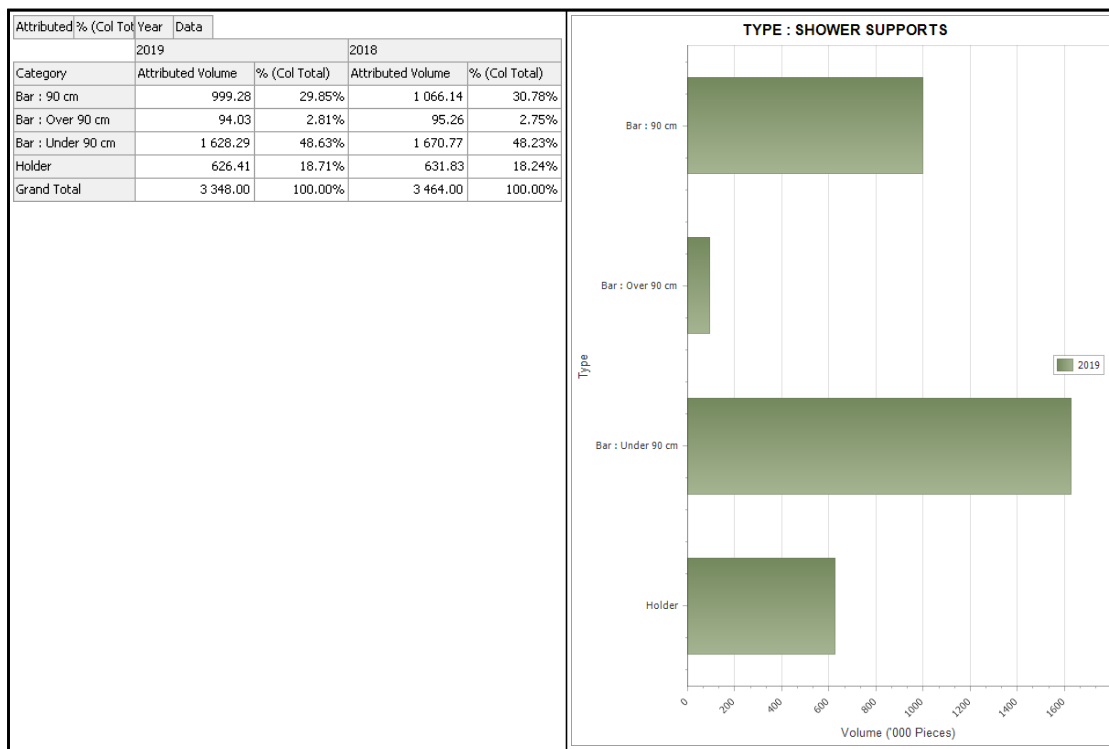
IT - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

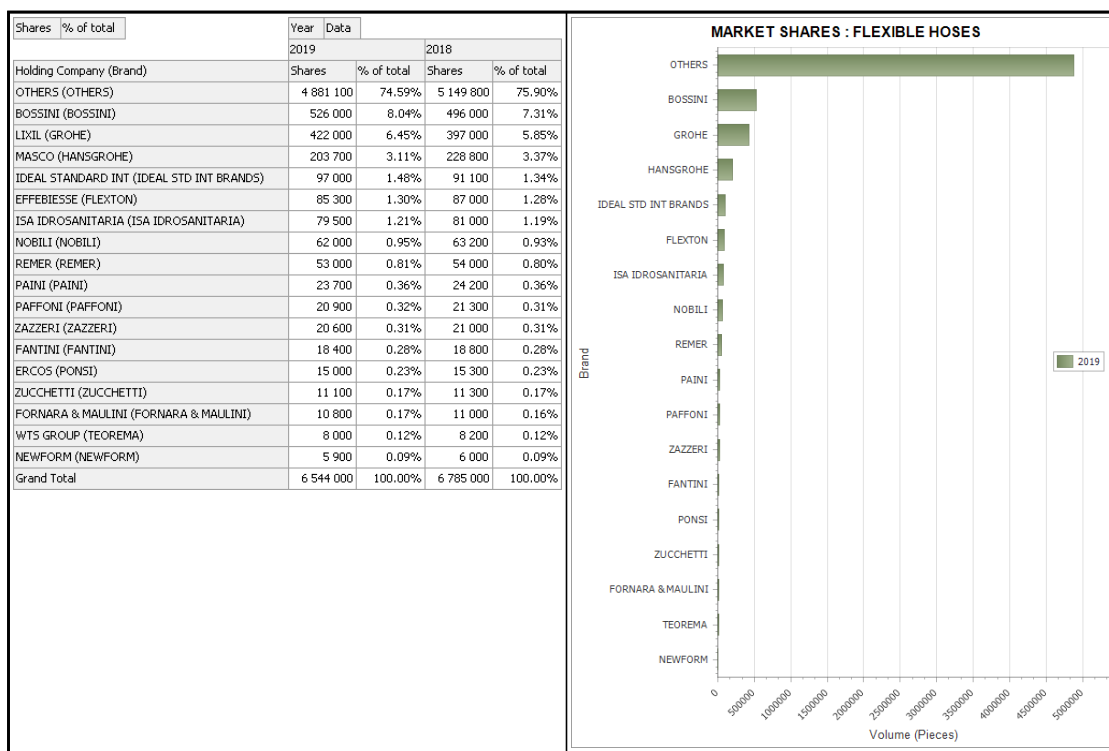
IT - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

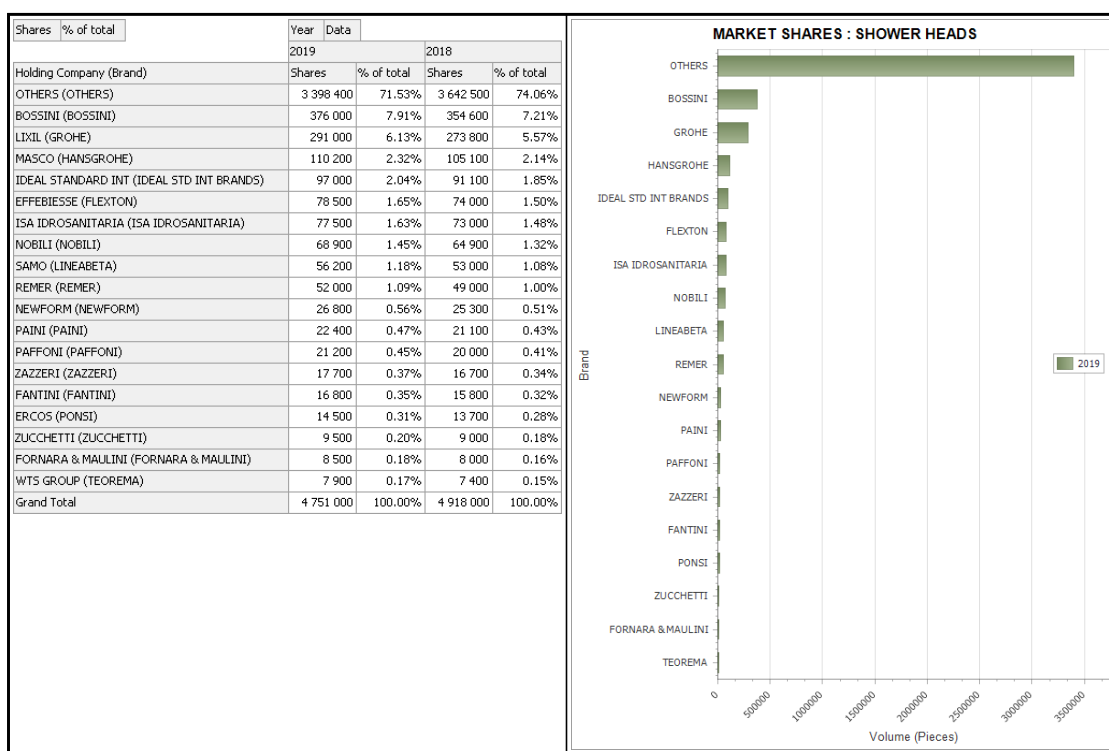
IT - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

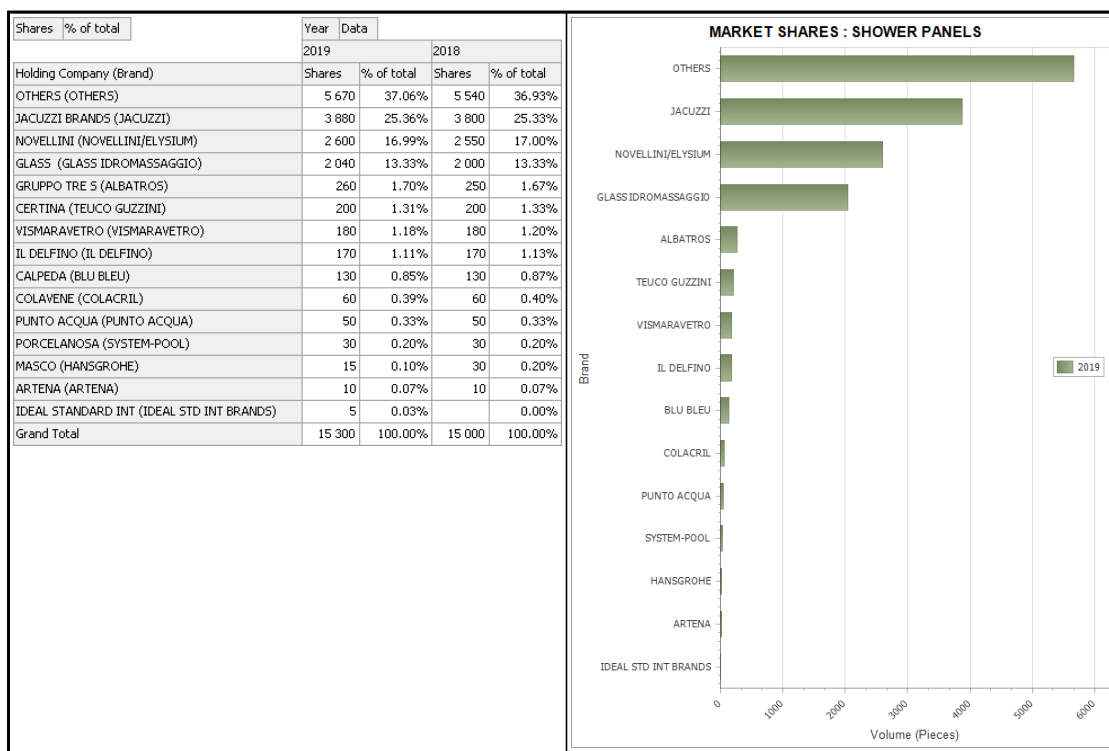
IT - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

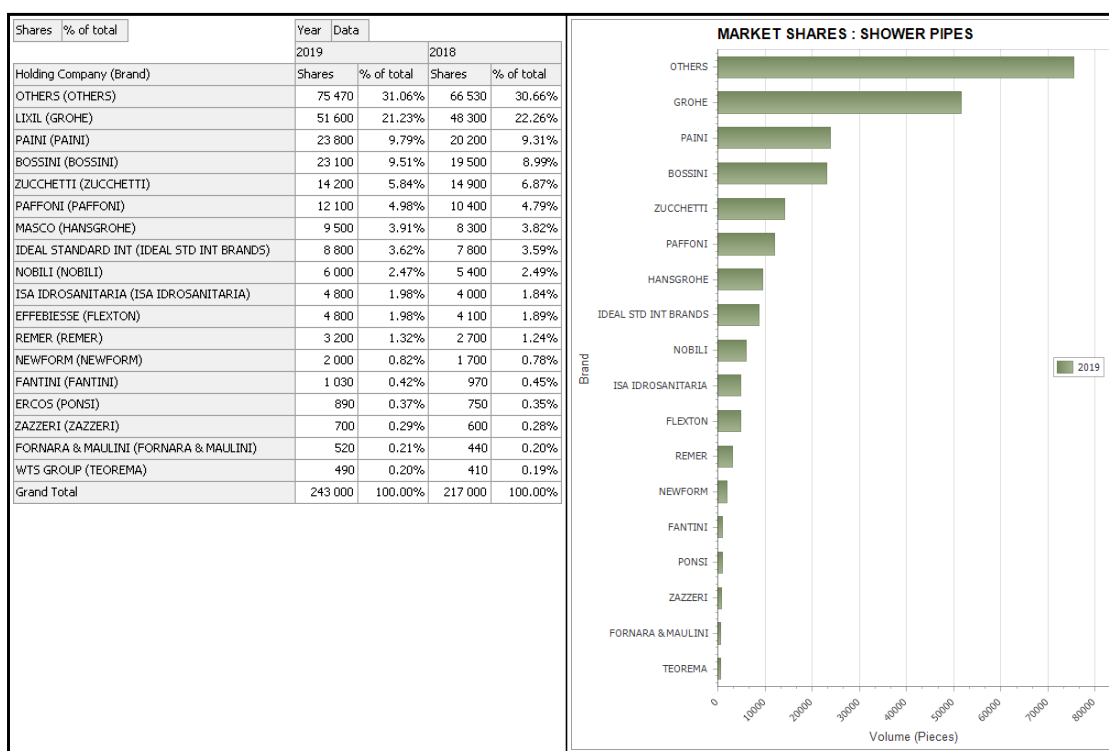
IT - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

IT - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	48.5%
	Wholesalers / Merchants
	48.5%

Retail Level	Manufacturer 3.1%	Wholesaler 5.7%	Manufacturer 25.5%	Wholesaler 11.0%	Manufacturer 15.1%	Wholesaler 10.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.8%		36.4%		26.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	15.5%	1.9%	9.5%	3.9%
Installers				
34.8%				

End Use Level	Manufacturer 2.3%	Wholesaler 5.2%	Internet 6.9%	DIY 25.1%	Specialist 19.5%	Installer 30.3%
	Residential					
	89.2%					
	New Build		Residential RMI			
	2.6%		86.6%			
	Project	Non-Project	Project	Non-Project		
	1.5%	1.1%	3.9%	82.7%		
	Non-Residential					
	10.8%					
	New Build		Non-Residential RMI			
	0.9%		9.9%			
	Project	Non-Project	Project	Non-Project		
	0.7%	0.2%	3.5%	6.4%		

7.6.2

Route to Market: Shower Accessories
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	49.4%
	Wholesalers / Merchants
	49.4%

Retail Level	Manufacturer 4.8%	Wholesaler 8.1%	Manufacturer 24.9%	Wholesaler 10.8%	Manufacturer 13.8%	Wholesaler 10.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.9%		35.7%		24.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.7%	15.2%	2.8%	9.3%	3.6%
Installers				
34.6%				

End Use Level	Manufacturer 2.1%	Wholesaler 4.8%	Internet 10.1%	DIY 24.6%	Specialist 18.0%	Installer 30.3%
	Residential					
	89.9%					
	New Build		Residential RMI			
	2.5%		87.4%			
	Project	Non-Project	Project	Non-Project		
	1.5%	1.0%	3.9%	83.5%		
	Non-Residential					
	10.1%					
	New Build		Non-Residential RMI			
	0.9%		9.2%			
	Project	Non-Project	Project	Non-Project		
	0.6%	0.2%	3.2%	6.0%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

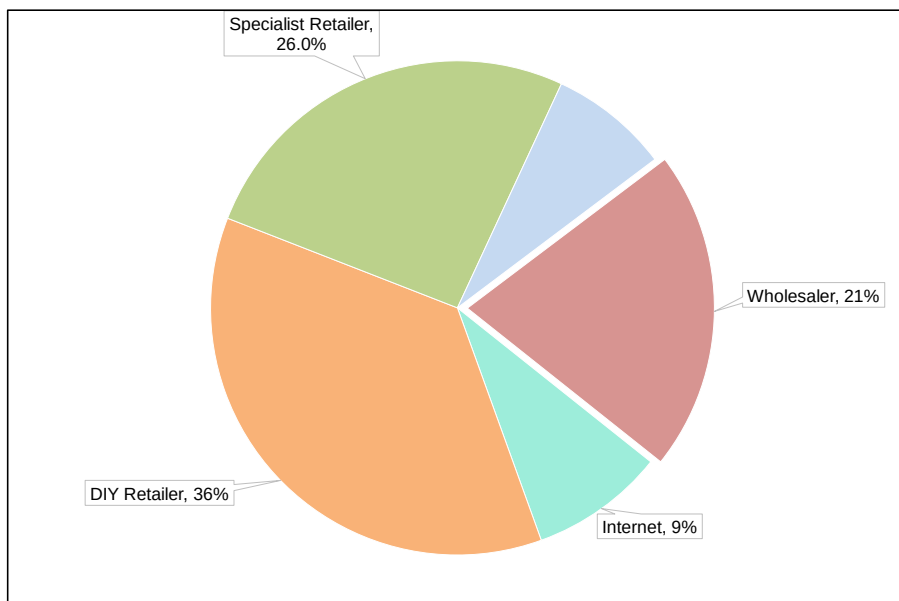
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.0%	8.8%	36.4%	26.0%	7.8%	5.4%	4.2%	83.8%	6.7%
100%					9.5%		90.5%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

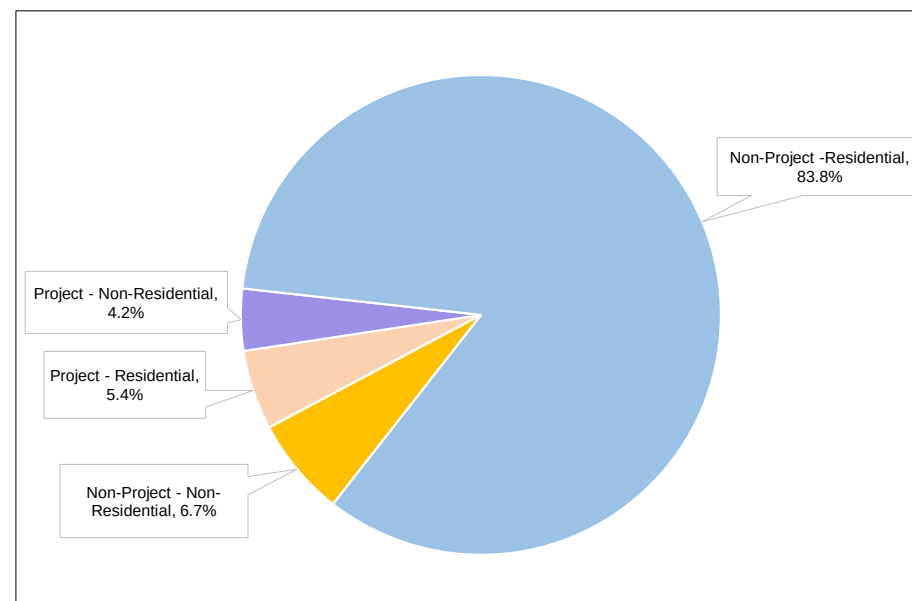
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.3%	12.9%	35.7%	24.0%	7.1%	5.4%	3.9%	84.5%	6.2%
100%					9.3%		90.7%	

IT - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



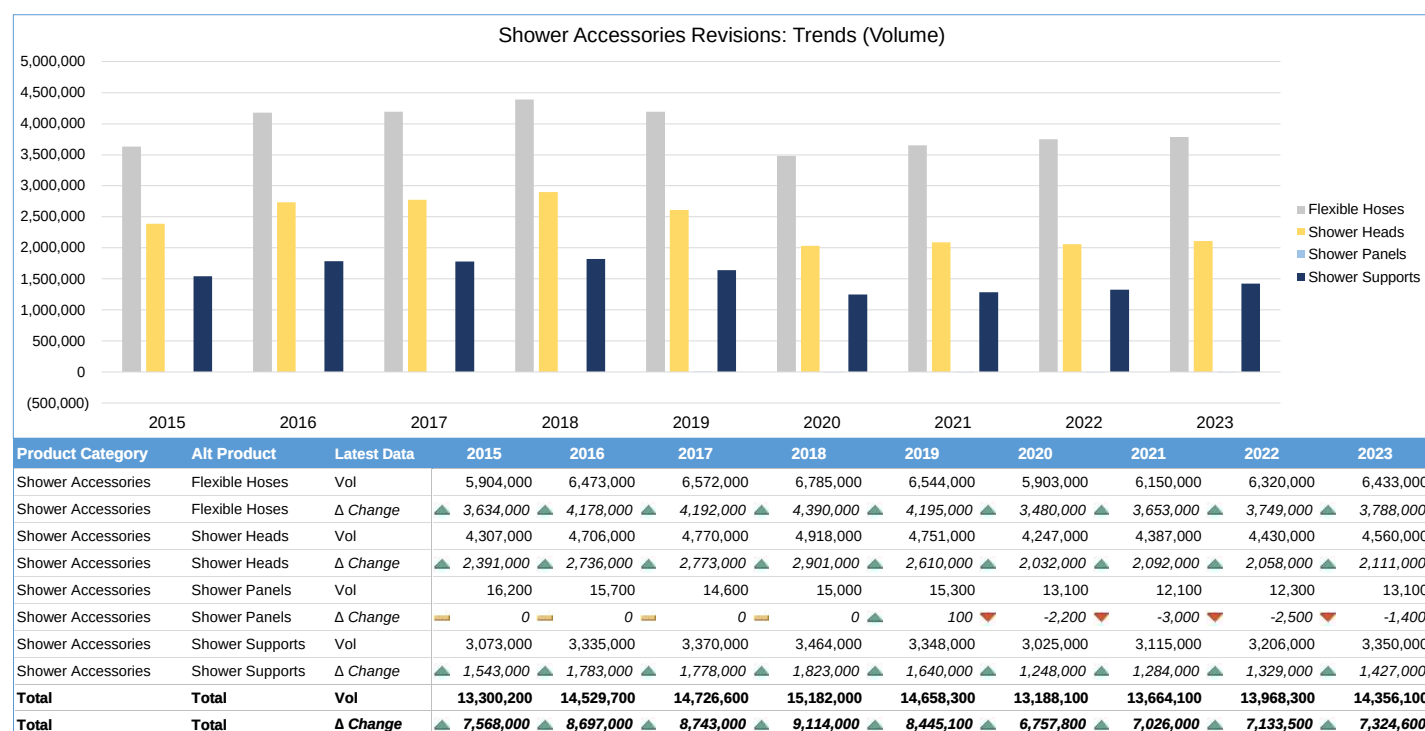
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Italian Shower Accessories Market (April 2020)

IT - REVISIONS IN THE ITALIAN SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



BRG has made significant revision – similar to the revisions made to taps and mixers – to the market size for all types of shower accessories, apart from shower panels, in Italy due a number of reasons:

- the overall replacement ratio of shower accessories was underestimated. Indeed, the replacement ratio of shower heads and flexible hoses when compared to sales of bath and/ or shower mixers, had previously too low in Italy, meaning that the estimate of like-for-like replacement sales was not high enough. Shower accessories are very often replaced since the lifespan of these products are significantly shorter than that of bath and/ or shower mixers. Whereas taps and mixers tends to be replaced every 8 to 12 years, shower heads tend to be replaced 4 to 6 years, in turn due to build-up of limescale in the shower head or hose, combined with the extensive use of these shower accessories. It is also believed that whenever a shower or bath mixer is replaced, the shower accessories will also always be replaced.
- the significant revisions made to the market volumes for bath mixers, but particularly, shower mixer had a direct impact on the market size for shower accessories since sales of these products are very closely linked as both are (often) replaced at the same time.
- the share of cheaper imports, especially from China, was clearly underestimated. These are largely sold through DIY stores, as well as other type of smaller format hardware stores. Many of the DIY retailers are increasingly offering their own brands ('private label'), including OBI, LEROY MERLIN, BRICOCENTER and BRICO OI. DIY stores in Italy have increasingly moved towards offering private label and/ or unbranded product instead of supplying leading brands (e.g. GROHE, PAINI or BOSSINI). As with shower mixers, many well-known Italian fitting brands, such as PAFFONI, ZUCHETTI and PAINI, are not even available to purchase in most Italian DIY stores.
- The growing importance of cheaper imports can also be linked to the fact that the Italian DIY market developed at a significant later stage when compared to other European markets. According to industry experts this is linked to geographical characteristics of Italy, with its long and narrow shape, combined with the economic difference between the north and the south of the country. As previously mentioned, DIY stores account for the sale of the vast majority of Chinese imported products in Italy. The expansion of the Italian DIY sector accelerated in the 2000s many international chains opened stores in the Italian peninsula. The rapid growth of DIY in recent times, and therefore sales of taps and mixers, comes as a direct result of consumer demand to have a greater choice of products within a wider price range, particularly as the financial crisis has encouraged many consumers to minimise budgets by choosing more low-end products and possibly install the products themselves, whereas previously they would have relied on an installer.

The overall MSPs for shower supports were revised upwards for all years, as further research and data revealed that prices within price segmentations and share of middle and upper/luxury price segment were previously underestimated.

ITALY

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The exponential growth of kitchen sinks was driven by the significant boost in the 1990s, when companies, to shake the market, launched new product ranges with new characteristics at the level of materials and resistance to use. The effect was twofold, not only temporarily helping sales but also significantly increasing product life and, as a result, lowering RMI sales. The result today is a market that continues to have relatively low RMI sales, compared to other bathroom and kitchen product categories. The market in recent years has been subject to deep fluctuations in terms of volume of sales, although it has been helped along by incentives permitting rebates of 36-41% on RMI expenditure, within the framework of the RMI rebate known as the *Detrazione per la Ristrutturazione* ('Restructuring Deduction'). This may have prevented further declines, but the industry opinion is that there has been a cumulative loss of sales volume, which the market is trying to absorb on its current path to growth.

The product mix has undergone multiple changes in recent years, driven by changing consumer aesthetics and economic attitudes; the most significant of these changes is synthetic sinks challenging the long-standing dominance of stainless steel. After the introduction of new materials such as granite, synthetic sinks have achieved a new standard for aesthetics, ease of maintenance and durability, with long-term guarantees generally offered as standard. Synthetic sinks are in the process of totally replacing ceramic in country and built-in kitchens. As mentioned, they are also posing a threat to the dominance of stainless steel at the top end of the market, thanks to their versatility and the considerable investment in design and quality.

The strength of synthetic sinks is linked to the ability to withstand high temperatures, chemical aggression, stains, scratches and chips, combined with the possibility of coming in as many colours as desired, and these qualities have transformed them into an optimal choice for any kitchen. Their adaptability can be noticed through their relatively dispersed sales in different types of installations, where their market shares in countertop and kitchenette sinks are higher than those of ceramic. However, in a market that has been price driven, cost has been a huge factor and their average price (the highest across the board) has prevented them from significantly increasing their share of the market in the last few years.

Nevertheless, stainless steel has remained the most popular product, principally because of price, ease to clean, resistance to wear and availability in a variety of models due to the simplicity and speed of the manufacturing process – with low production costs. Ceramic sinks, on the other hand, have seen in recent years a considerable contraction due to heaviness and fragility, and as a result have had shares further eroded, principally by synthetic sinks.

Recent Market Trends

The Italian kitchen sinks market further consolidated its trend of growth of the previous year in 2019, as a result of increasing RMI investment due to the positive trend of housing completions and thanks to the renewal of the *Bonus Mobili* incentive scheme.

Synthetic sinks saw a considerable increase in RMI demand and also strong growth within the non-housing market, due to increasing investment in commercial buildings. Stainless steel sinks sales continued to increase, but at a lower pace than during the previous year.

Synthetic sinks sales grew as a result of its greater versatility and degree of personalisation in length and shape, and for its relative lightness when compared to ceramic or steel product alternatives. This follows the latest trend for the kitchen being open to other spaces of the house, with modular solutions and materials being able to meet a higher degree of functionality and integration.

In line with trends seen in recent years, inset sinks, which are sinks inserted from above into a countertop, continued to lose ground in 2019 despite their consumer preference and affordability. Countertop sinks have seen rises in penetration in the southern parts of the peninsula. The slow resurgence of demand for the countertop and ceramic product alternatives confirms the widening of product characteristics in terms of technicality, colour and integrability with the increasingly modular-type conceptualisation of kitchens.

The distribution channel for kitchen sinks has been among the slowest to develop within the bathroom/kitchen market, with limited sales through internet specialists due to the complexity of kitchen installations and the cost of only being able to sell one piece per transaction. The DIY market is also struggling to gain a real foothold, although the developments made by large DIY distributors to improve their installation and after-sales service are continuing to prompt sales growth.

Prices and Market Values

A modest increase of the average prices in 2019 has been noticed across the ceramic sinks average MSPs, due to manufacturers' higher attention to product development by using materials that are more customisable, and finishes.

Prices for stainless steel sinks increased moderately, due to higher demand from the new housing sector, thanks to good construction outputs. Prices in the synthetic sinks segment increased slightly overall, but a small decrease was noted in the economy/lower part of the market, due to the tight competition between manufacturers in that growing market.

New Housing

The kitchen sink market maintains a relatively high reliance on the new housing segment, as almost every household requires at least one kitchen sink. Despite the high preference given to stainless steel sinks in new housing, given the low price and light weight, sales of synthetic sinks are by far the most reliant on the new housing market, as these products are often chosen as a sleek alternative to stainless steel.

Housing RMI

Replacement demand is recognised as the most significant for kitchen sinks, due to the maturity of the market and the relatively limited new dwelling activity, and there are few substitutions that can be made outside the product family. Housing RMI continued its strong expansion in 2019, especially in the synthetic kitchen sink segment. Stainless steel kitchen sinks have long dominated this segment, although as the park of synthetic sinks grows, a further consolidation of their position within the product mix is likely to further accelerate in the coming years.

Non-Housing

Kitchen products tend to have a smaller non-housing market, as not every commercial building requires a kitchen, unlike with bathrooms. The main non-housing markets for kitchen sinks are food processing businesses such as restaurants and bars, as well as structures like hospitals, schools, clinics, offices, campsites and hotels. In these segments, stainless steel is the dominant product sold – due to its higher resistance to wear and tear and hygiene.

Supply Structure

The supply of stainless steel and synthetic sinks sees the Swiss firm FRANKE in a position of leadership, which has succeeded in widening its product offering compatible with the taps and mixers of major Italian manufacturers. Notably MAMOLI, under the co-ownership of FRANKE, began the production of kitchen taps and mixers, with the clear intent to further strengthen the market positioning of the Swiss company in the Italian market of sinks. Despite several furniture and kitchen manufacturers relying on FRANKE products, this has exposed the manufacturer of sinks to the volatility of the new build market and the purchasing power of end-use consumers. FRANKE imports the totality of its synthetic sinks from the UK from FRANKE's CARRON PHOENIX, manufacturing under the subsidiary FRANKE ITALIA and commercialising the majority of its products abroad.

The Italian sinks market has been characterised by the entry of a new player into the stainless steel product segment, namely KWC, the Swiss brand leader in kitchen mixers and part of FRANKE since 2013.

The SMEG group, a specialist in white goods but also a main player in stainless steel sinks, remains the third-biggest player in the market. It sells its sinks through two main brands, APELL and SMEG, and concentrates production for domestic demand mainly in Italy (selling 25% abroad). FOSTER is a specialist in the commercial, industrial and institutional sectors, manufacturing products such as stainless steel worktops and sinks, mainly for restaurants. The PLADOS TELMA GROUP has also increased its attention on product development and innovation, with the launch in 2018 of several synthetic products that integrate sink and worktop in one piece.

Ceramic sinks are more dominated by ceramic specialists than kitchen product specialists, such as GEBERIT (POZZI GINORI), IDEAL STANDARD, and VILLEROY & BOCH. Manufacturers included in the 'others' category are, again, mostly ceramic specialists, and include DURAVIT, BLANCO, and GALASSIA.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

As in all kitchen and bathroom product markets, projections for 2020 indicate a sharp drop in sales. Sales prospects for 2021 are also negative, due to the ongoing effects of the COVID-19 crisis. Sales will be negatively affected by the expected drop in new housing construction, as well as by the delayed RMI works, with RMI sales expected to drop at a faster rate than new housing installations.

The development of the purchasing power and RMI activity remain the strongest variables to account for in analysing the forecast of the market for kitchen sinks for stainless steel and synthetic product variants. However, all growth should be dependant on a return to normal after the sanitary crisis.

Several manufacturers have expressed an interest in expanding their e-commerce platforms, with partnerships with specialist online shopping websites and even a specific online product range – so as not to cannibalise their existing product ranges in other distribution channels.

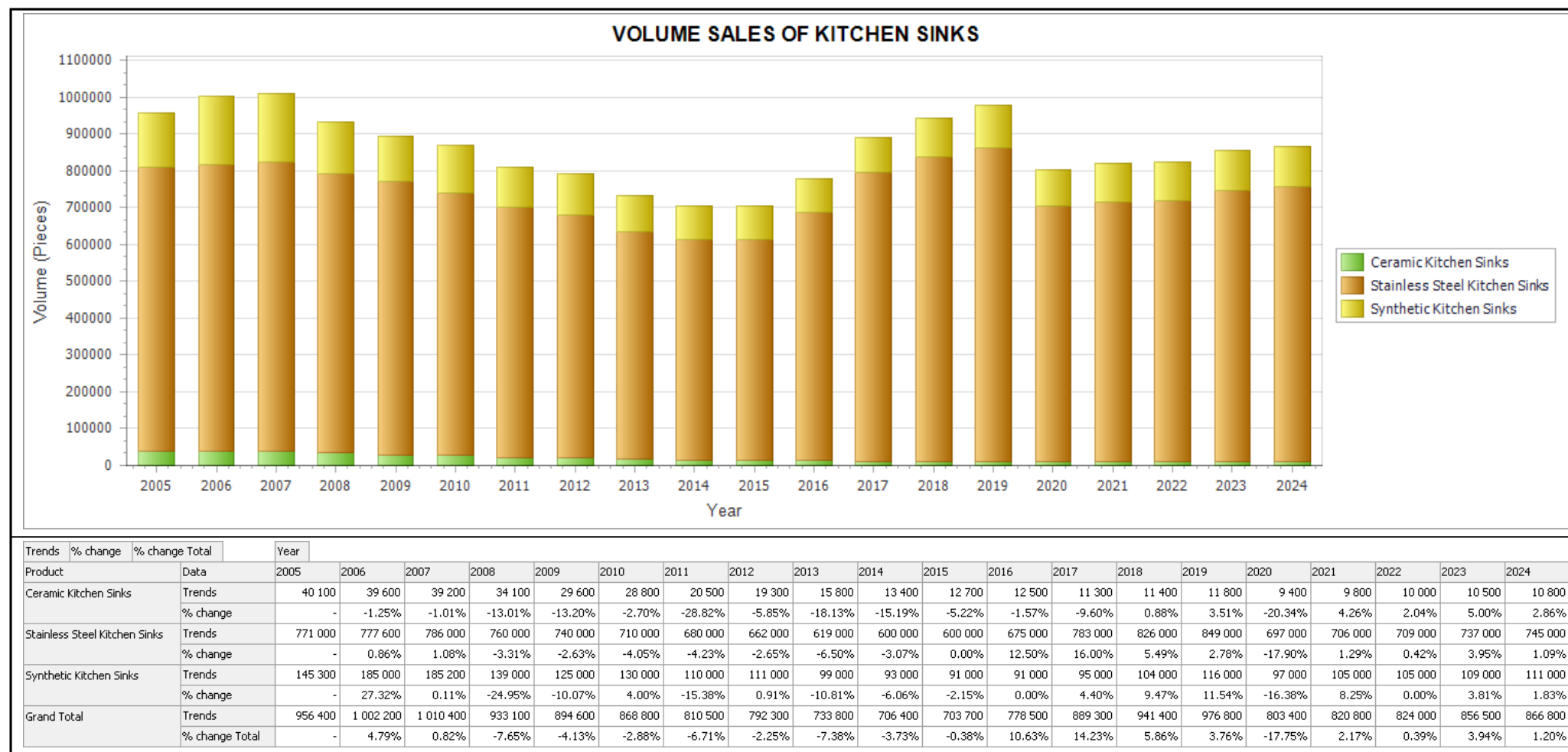
Within the product mix, most sinks' product alternatives will lose further share to stainless steel in the long term, as it remains more affordable than synthetic and ceramic models, and lighter than cast iron or enamelled steel. A further conditioning aspect concerns the distribution structure of manufacturers, whereby only a few kitchen sink players have the wide distribution network that FRANKE

has, and the ability to develop and maintain such variables may greatly affect the market development of one material eroding the share of another.

Furthermore, RMI sales could be dependant on the extension of the *Detrazione per la Ristrutturazione* ('Restructuring Deduction') financial rabate, which has so far supported the underlying market growth.

8.2 Historical Trends and Forecasts : Kitchen Sinks

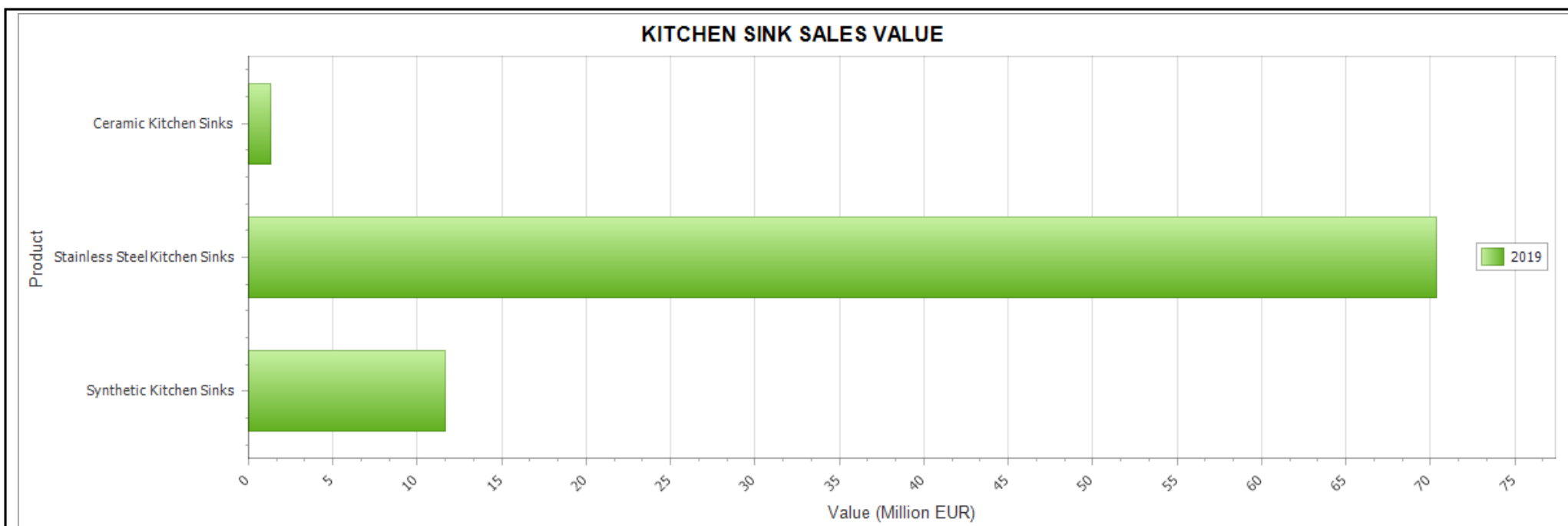
IT - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

IT - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

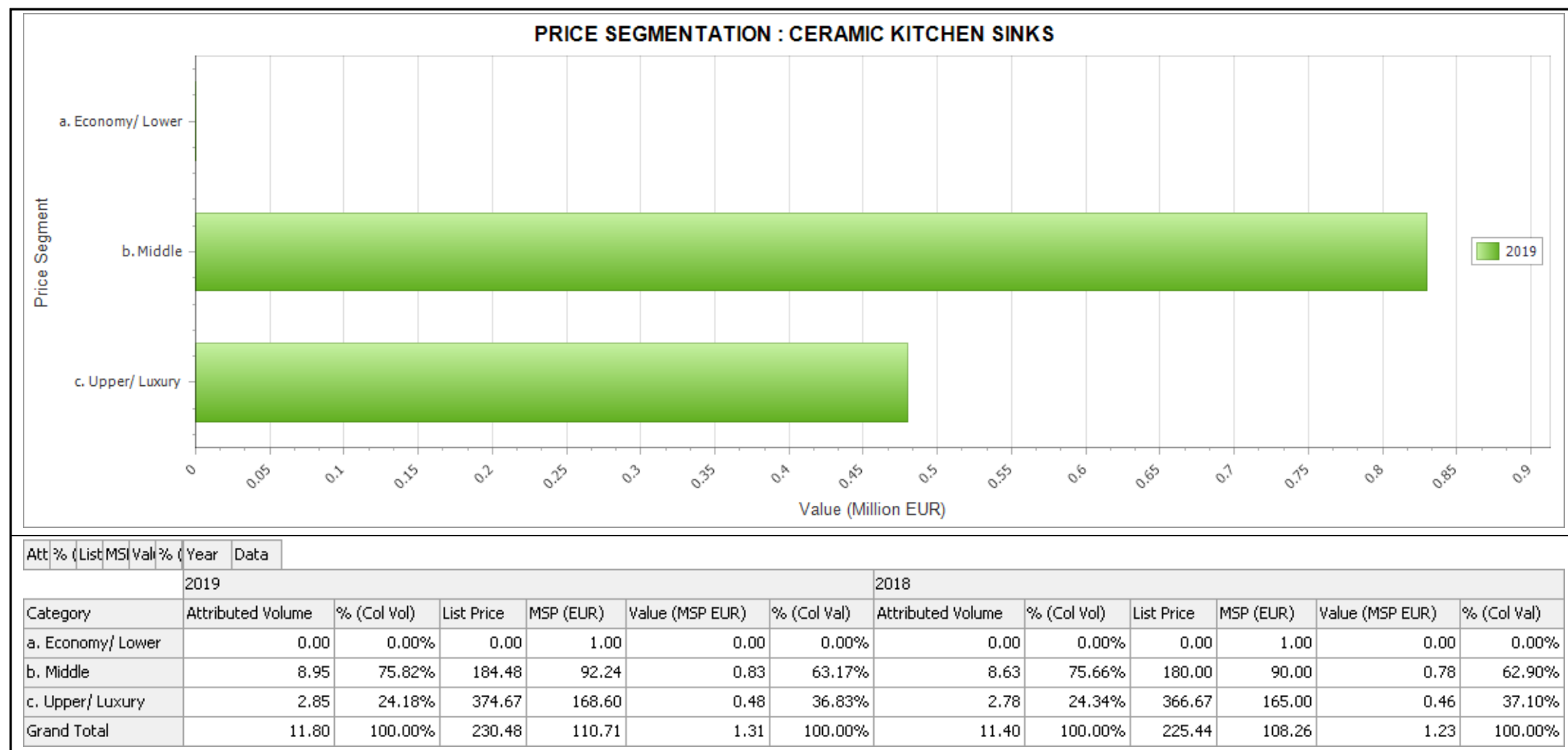


Volumes	MSP (EUR)	Value (MSP)	Year	Data		
			2019		2018	
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Ceramic Kitchen Sinks	11 800	110.71	1.31	11 400	108.26	1.23
Stainless Steel Kitchen Sinks	849 000	82.89	70.37	826 000	78.53	64.87
Synthetic Kitchen Sinks	116 000	100.35	11.64	104 000	99.43	10.34
Grand Total	976 800	85.30	83.32	941 400	81.20	76.44

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

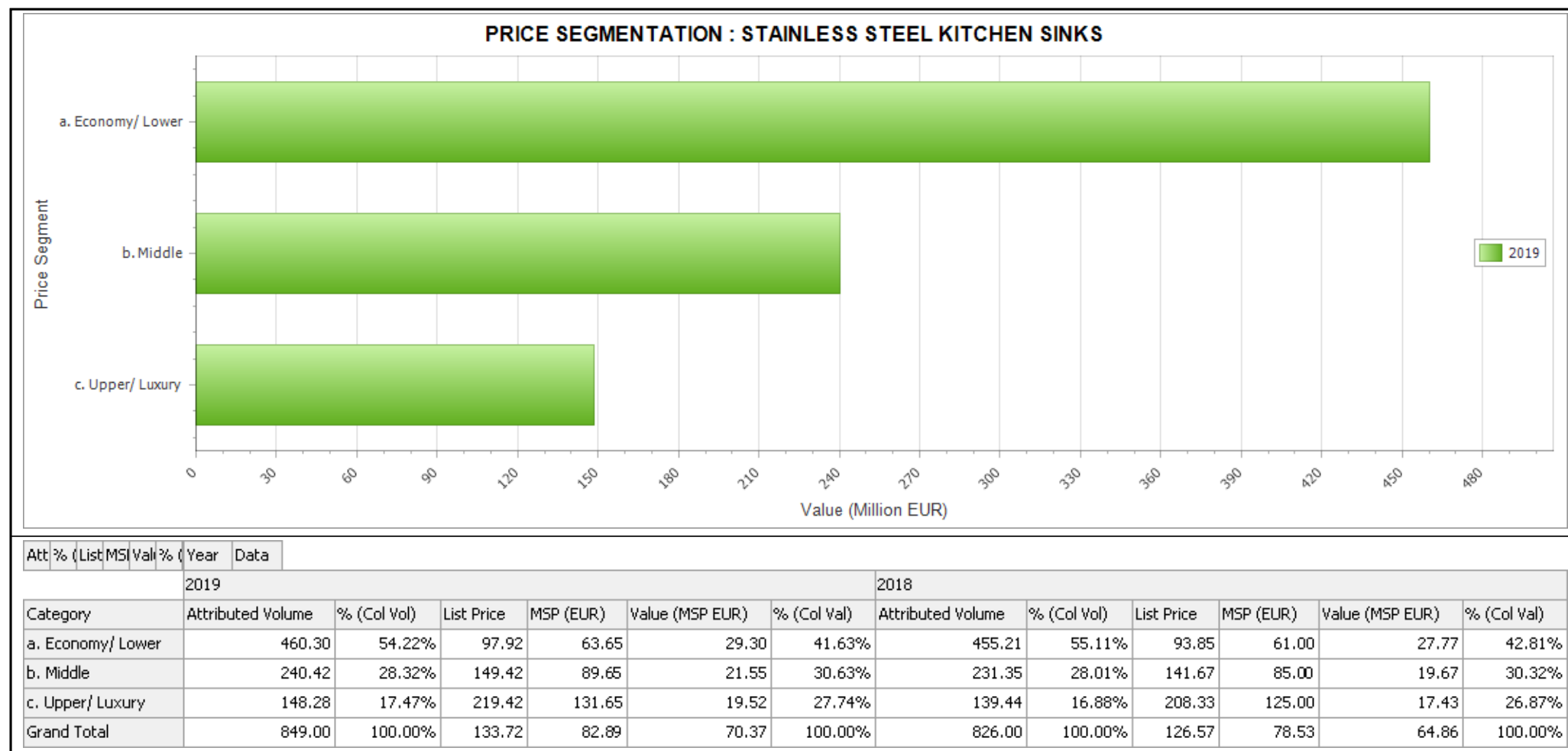


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

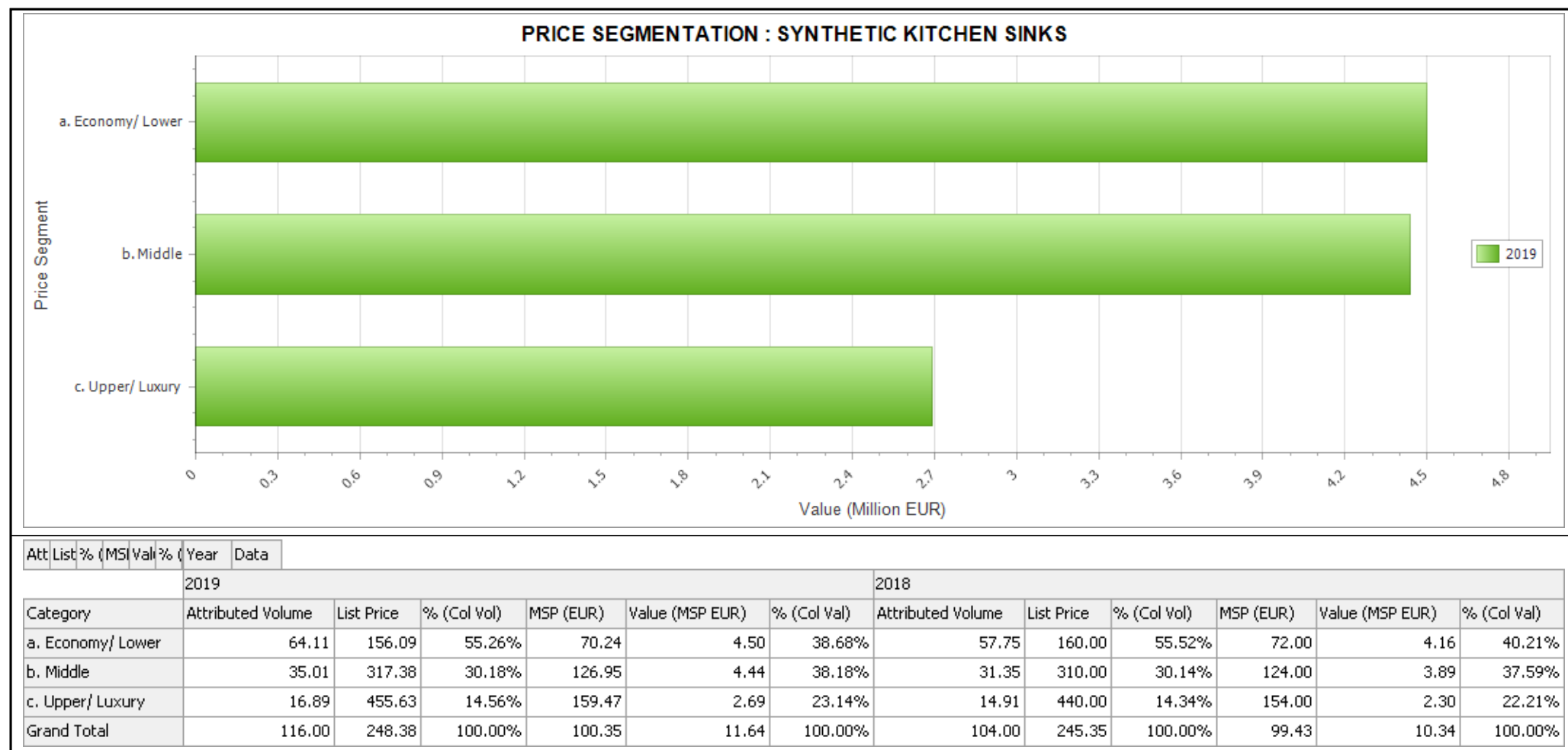


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

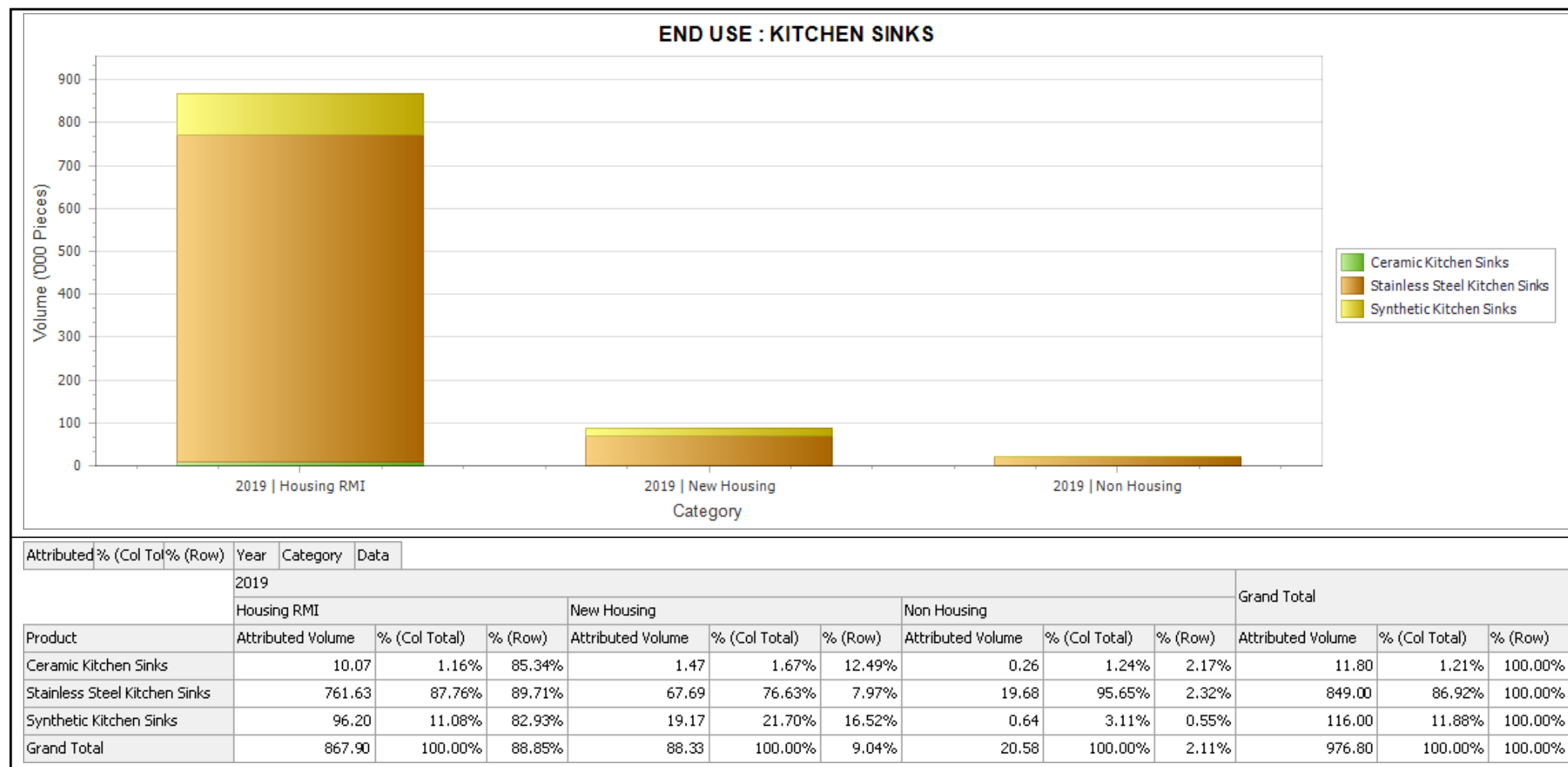


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€140, Upper/ Luxury >€140

8.4.1 End Use : Base Year

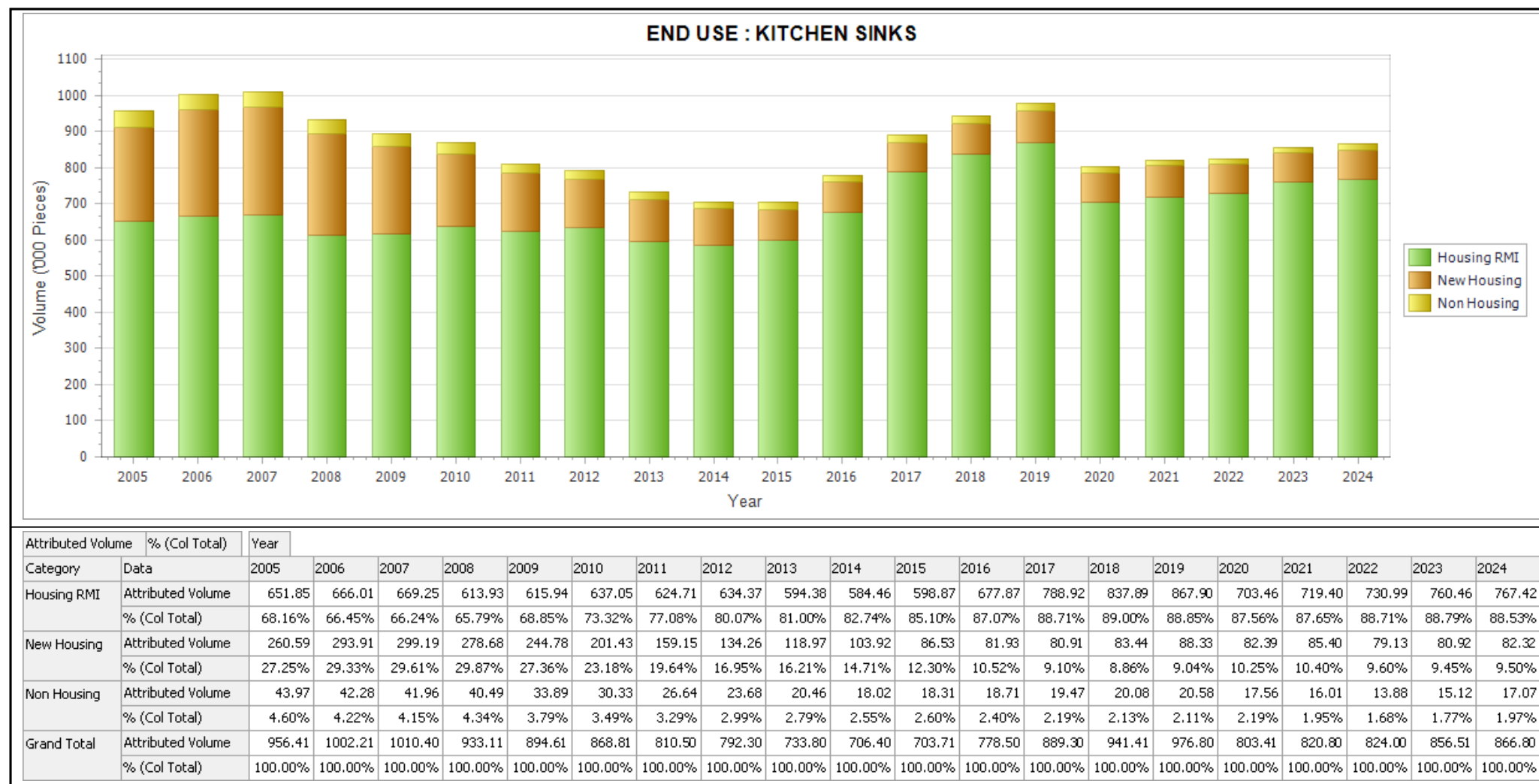
IT - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

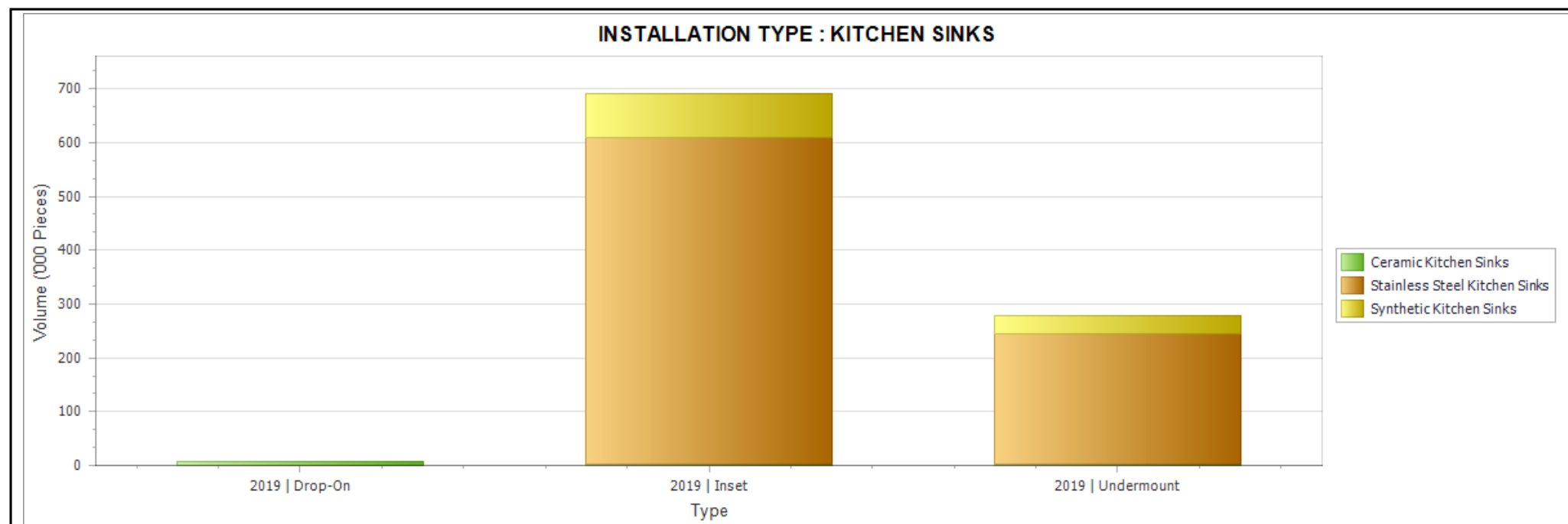
IT - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

IT - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)

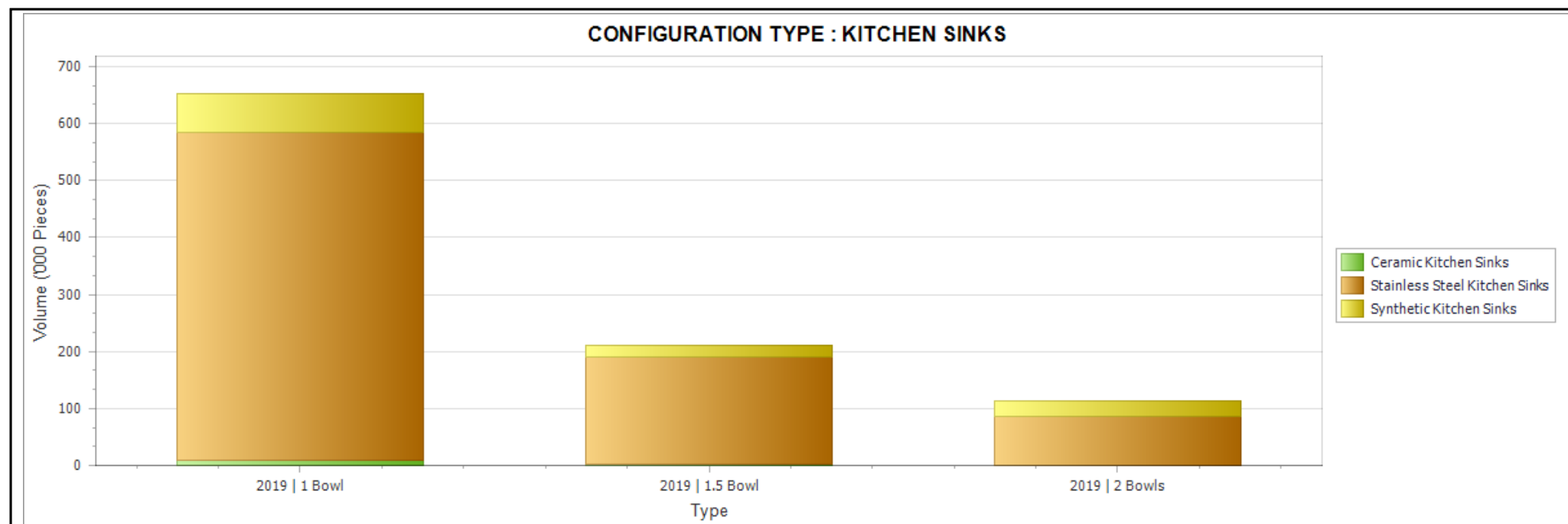


Attributed	% (Col Vol)	% Row	Year	Category	Data												
			2019							Grand Total							
			Drop-On			Inset			Undermount								
Product	Attributed Volume			% (Col Vol)	% Row	Attributed Volume			% (Col Vol)	% Row	Attributed Volume		% (Col Vol)				
Ceramic Kitchen Sinks	7.84			100.00%	66.45%	2.69			0.39%	22.80%	1.27			0.46%	10.75%	11.80	1.21%
Stainless Steel Kitchen Sinks	0.00			0.00%	0.00%	605.35			87.59%	71.30%	243.65			87.69%	28.70%	849.00	86.92%
Synthetic Kitchen Sinks	0.00			0.00%	0.00%	83.06			12.02%	71.60%	32.94			11.86%	28.40%	116.00	11.88%
Grand Total	7.84			100.00%	0.80%	691.10			100.00%	70.75%	277.86			100.00%	28.45%	976.80	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

IT - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)

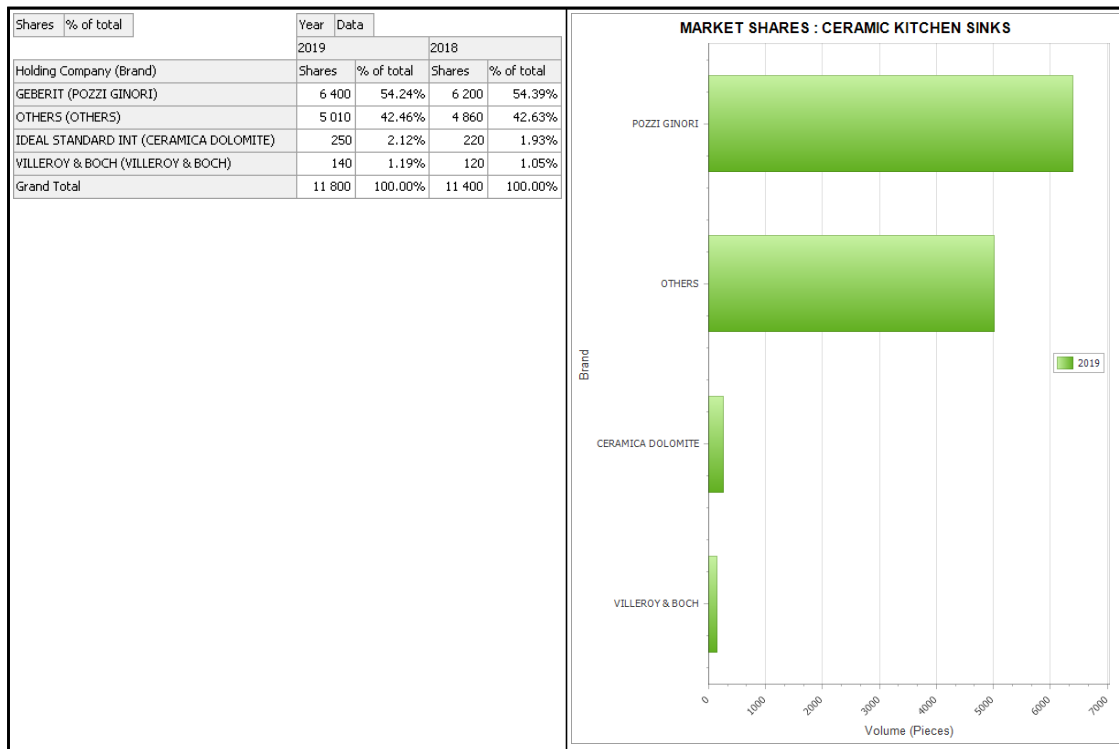


Attributed	% (Col Vol)	% Row	Year	Category	Data							
			2019								Grand Total	
			1 Bowl			1.5 Bowl			2 Bowls			
Product	Attributed Volume		% (Col Vol)	% Row	Attributed Volume		% (Col Vol)	% Row	Attributed Volume		% (Col Vol)	% Row
Ceramic Kitchen Sinks	8.12		1.24%	68.80%	2.62		1.24%	22.20%	1.06		0.94%	9.00%
Stainless Steel Kitchen Sinks	576.30		88.29%	67.88%	187.21		88.47%	22.05%	85.50		76.01%	10.07%
Synthetic Kitchen Sinks	68.30		10.46%	58.88%	21.77		10.29%	18.77%	25.93		23.05%	22.35%
Grand Total	652.72		100.00%	66.82%	211.60		100.00%	21.66%	112.48		100.00%	11.52%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

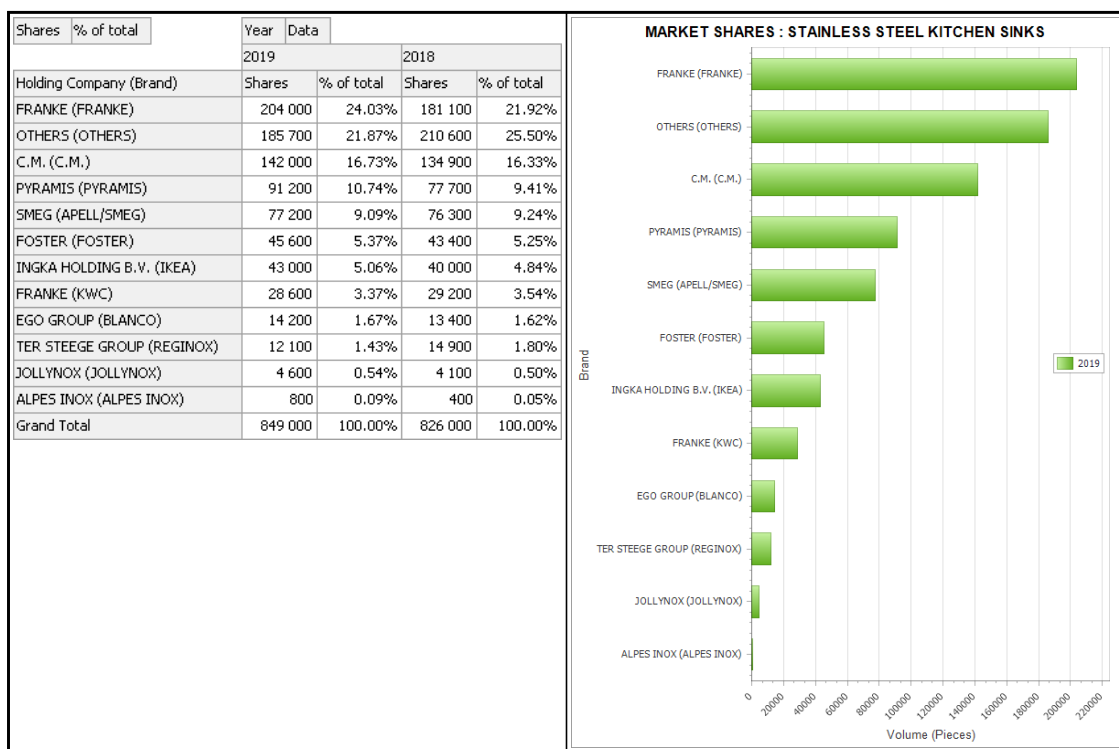
IT - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

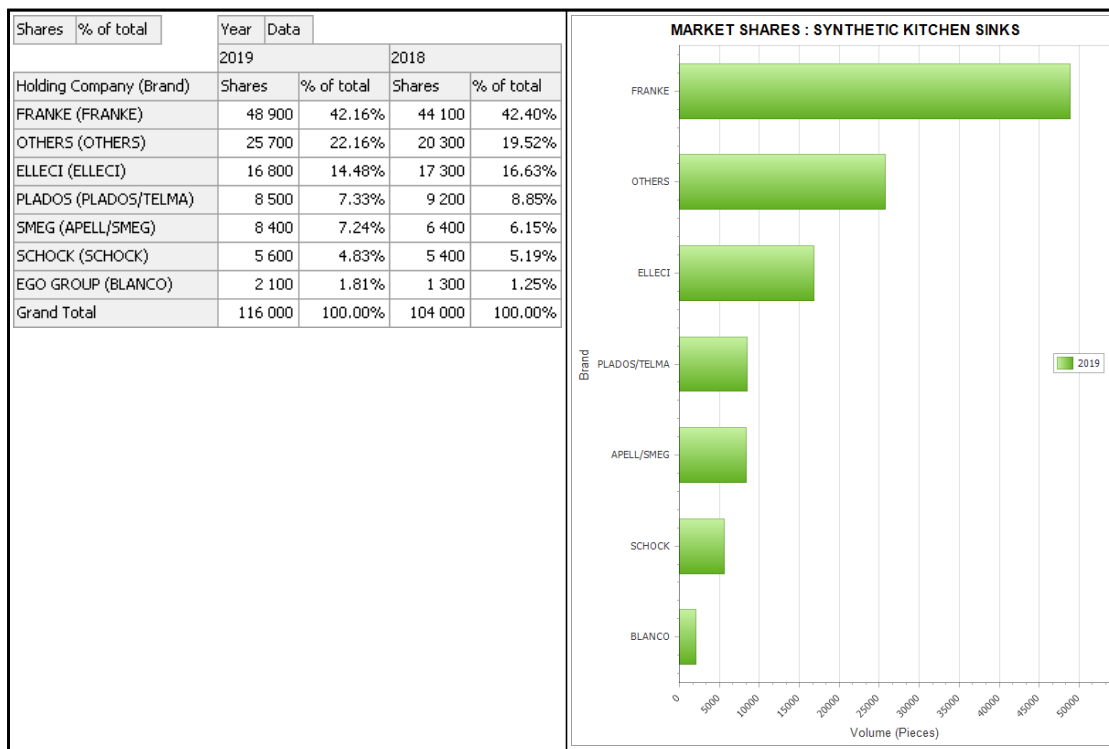
IT - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

IT - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

63.3%
Worktop Manufacturers
63.3%

Wholesale Level

Manufacturers	Worktop Manufacturer
24.7%	9.4%
Wholesalers / Merchants	
34.1%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.3%	0.0%	2.3%
Internet Retailers		
2.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
2.3%	3.8%	2.1%
DIY Retailers		
8.1%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.4%	50.1%	5.9%
Specialist Retailers		
65.3%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	17.1%	2.4%	2.0%	22.9%
Installers					
44.3%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.0%	6.5%	0.3%	6.1%	42.5%	42.5%
Residential						
97.9%						
New Build				Residential RMI		
9.0%				88.9%		
Project		Non-Project		Project		Non-Project
5.0%		4.0%		4.0%		84.9%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	1.9%
Non-Residential						
2.1%						
New Build				Non-Residential RMI		
1.5%				0.6%		
Project		Non-Project		Project		Non-Project
0.8%		0.7%		0.2%		0.4%

8.6.2

Route to Market: Kitchen Sinks
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

62.7%
Worktop Manufacturers
62.7%

Wholesale Level

Manufacturers	Worktop Manufacturer
24.9%	9.1%
Wholesalers / Merchants	
34.0%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.5%	0.0%	3.6%
Internet Retailers		
4.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
2.5%	3.7%	2.1%
DIY Retailers		
8.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.3%	49.9%	5.8%
Specialist Retailers		
65.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	17.0%	3.6%	2.1%	22.8%
Installers					
45.5%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.0%	5.3%	0.4%	6.2%	42.3%	43.7%
Residential						
98.0%						
New Build				Residential RMI		
9.5%				88.5%		
Project		Non-Project		Project		Non-Project
5.3%		4.2%		4.0%		84.6%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	1.8%
Non-Residential						
2.0%						
New Build				Non-Residential RMI		
1.4%				0.5%		
Project		Non-Project		Project		Non-Project
0.8%		0.6%		0.2%		0.3%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

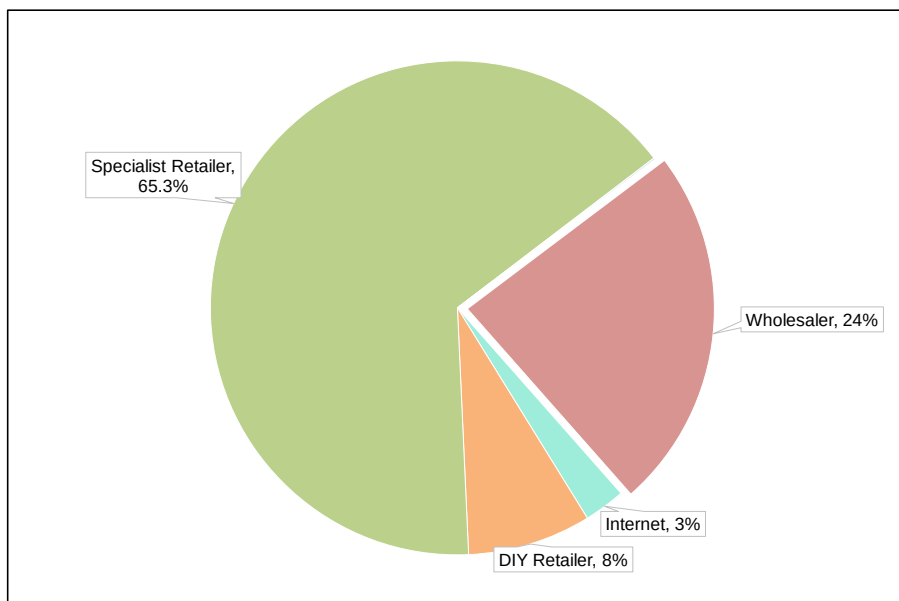
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.8%	2.7%	8.1%	65.3%	0.1%	9.0%	1.0%	88.9%	1.1%
100%					10.0%		90.0%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

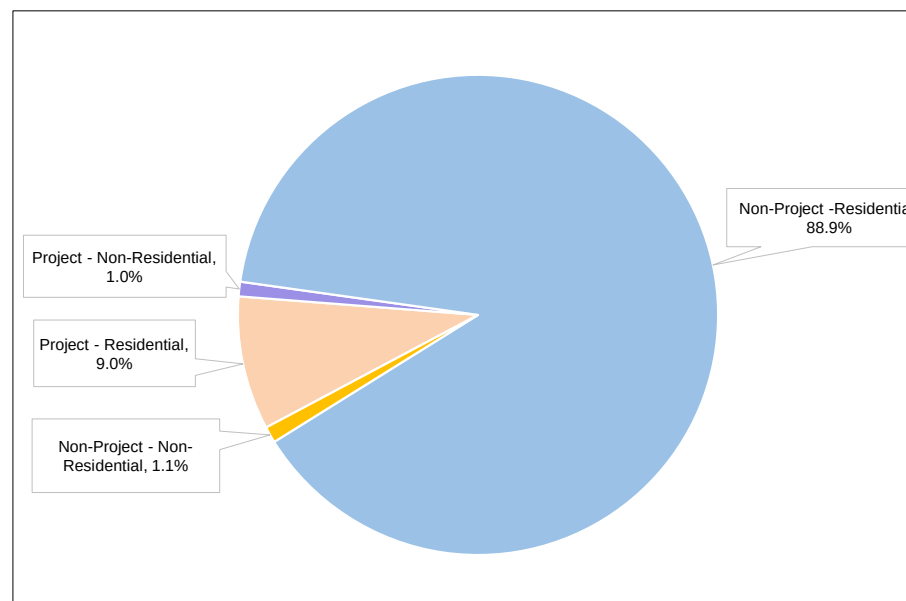
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.5%	4.0%	8.3%	65.1%	0.1%	9.3%	1.0%	88.8%	0.9%
100%					10.3%		89.7%	

IT - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



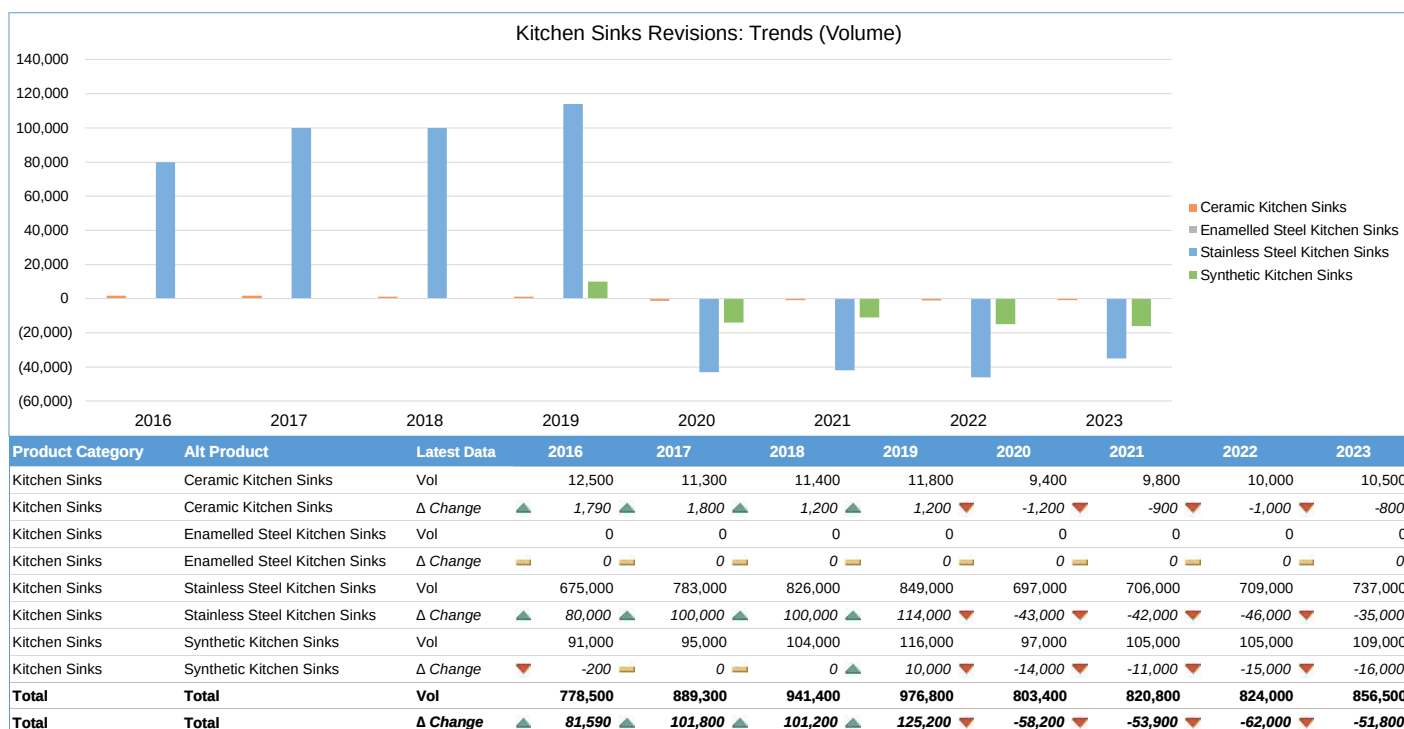
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Italian Kitchen Sinks Market (April 2020)

IT - REVISIONS IN THE ITALIAN KITCHEN SINKS MARKET

Data Comparison: April 2019



BRG has removed cast iron kitchen sinks from its Italian kitchen report as sales of these products are now marginal and negligible.

Following the upward revision to the Italian CSW market, the ceramic kitchen sink market has also been revised upward. Please refer to the Sanitary Ware section for more details on these revisions.

Sales of stainless steel kitchen sinks were revised up for 2016 to 2019 as cheap imports, such as from China, were unaccounted for. According to industry sources, Chinese sourced products had also been underestimated in previous years. These are largely sold through DIY stores, as well as other type of smaller format hardware stores.

ITALY

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The connection of kitchen taps and mixers with kitchen sinks has been historically strong in a market that has been greatly driven by several ad-hoc measures and policies by the legislator, with the allocation of public budget money for the private market of renovation, in an effort to boost private consumption and complex refurbishment interventions. Like many markets, the kitchen tap and mixer market has closely followed construction activity and the dynamics of purchasing power. The rate of replacement of kitchen taps and mixers has in the post-economic downturn lost its strong connection to the substitutions of sinks, which occur once every 15 years or so. In the wake of the financial downturn, consumers have opted to replace broken components rather than replace the entire tap, resulting in longer lifespans and significant drops in replacement sales.

The product mix in recent years has been characterised by a continuing dominance of one-head mixers in the kitchen, as a popular choice both in new housing and housing RMI. The two-head mixer has long remained a distant second, more popular in the south of the country.

In terms of distribution, the wholesaler category includes both generic ITS wholesalers and the more traditional kitchen appliance wholesalers. Overall, this channel represents around half of total sales volumes. The ITS wholesalers deal in all products relating to bathroom and heating, as well as building materials. They can operate both as showrooms and as wholesalers, with the aim of widening their product offer to accommodate demand coming from both consumers and installers.

A further implication of the specificity of domestic distribution is the government law requiring the installation of kitchen taps and mixers to be conducted by certified installers, with the goal of reducing domestic accidents. This does not mean, however, that all sales pass through the installer channel, as some consumers prefer to complete the purchase of the product themselves and involve the installer afterwards, to avoid the higher margins that installers place on products they have sourced.

Recent Market Trends

Continuing from the past years' trends, the kitchen tap and mixer market showed it is no longer a segment immune to the penetration of technology and design, and is able to combine water-saving solutions as well as versatility in use. The overall Italian kitchen tap and mixer market experienced in 2019 a second year of substantial growth, supported by growing sales within the replacement and the new housing segment. According to a study conducted by ASSOARREDO, a further factor that has sustained the demand for kitchen taps and mixers these past two years can be linked to the increased fragmentation of the products replaced, breaking with the past trend of the replacement of the whole kitchen, and hence the replacement of the sink closely following that of the related mixer. The non-housing

market has seen rather stable levels of investments, with sales in the segment growing steadily, although at a small pace.

The evolution of the product mix has continued with a shift in favour of the one-head mixers, stealing share from two-head, continuing the long-term trend. It was also noted that flexible mixers had a strong performance in non-housing, due to their wider radius of water supply.

The relevance of the DIY channel continued to gain further foothold in 2019 in the kitchen tap and mixer market, as consumers are attracted to a larger number of outlets with a greater choice of brands and greater price competitiveness. The relevance of the internet channel has increased further within the kitchen tap and mixer market, although it is quite underdeveloped, as the tap and mixer manufacturers that are moving towards this channel have a stronger presence in the bathroom product variants.

Prices and Market Values

As for sanitary taps and mixers, many kitchen tap manufacturers have maintained stable catalogue prices, with a marginal increase only in the economy and lower price segments. Special attention was given by manufacturers in the past years to the norms that regulate the toxicity of materials to humans and the environment, and thus a push to use materials that reduce the release of lead and guarantee higher antibacterial properties – such as copper. This led to a slight increase in list prices of luxury products. Overall the average MSP of kitchen taps and mixers increased only slightly in 2019.

The higher sales within the medium to luxury price segments have two-fold implications. If it confirms the increased attention of manufacturers to the quality of the product, it also corroborates the greater efforts of the supply chain to provide products that are able to meet a demand that is increasingly opting for water-saving, minimal and user-friendly product options.

New Housing

Taps and mixers going into new housing have traditionally been the trend-setters for the other end-use segments in terms of functional development and sustainable solutions. Sales in new housing tend to follow the housing market very closely, as sales are usually of one set of mixers for every house built. The market therefore saw a decent increase in demand in 2019, following the new housing construction trend. To this extent, one-head mixers are dominant, and their offering includes an increasing share of showerette product variants.

Housing RMI

The sales for kitchen taps and mixers in the RMI segment tend to perform better than those for bathroom basin taps and mixers, as wear and intense usage tend to necessitate quick replacement due to the absence of alternatives (such as basin

taps in the second bathroom). Over the past years, the modest performance of private investment in extraordinary refurbishments in existing dwellings was reflected in the cautious growth of one-head mixer sales, with minor shifts in favour of two-head mixers, which are known to have a higher average price. The widening of the availability of replacement components for kitchen taps within the ITS and DIY channels indicates a high incidence of the partial replacement of such products, with a further postponement of the change of the whole tap.

Non-Housing

The non-housing segment is mainly represented by restaurants, bars and hotel-type business activities, and has a higher share of one-head mixers than any other segment, primarily due to the popularity of showerette mixers in restaurant kitchens.

Supply Structure

The traditionally-large degree of penetration of OEM (original equipment manufacturer) suppliers compared to markets such as bathroom furniture and bathroom accessories had important implications for the entire product segment. As a result, the larger and more international companies with higher production abroad were able to withstand the fluctuation of consumer expenditure confidence better than domestic players.

The kitchen taps and mixers market has often been subject to major changes in the positioning of players in recent years, due mainly to the major changes in the distribution channels, wherein those manufacturers operating as specialists have seen important changes at the level of growth of demand.

The market is not impermeable to the entry of new players, as the launch of production of taps and mixers by MAMOLI, which is jointly owned by PAINI and FRANKE, has demonstrated.

Moreover, GROHE is the largest manufacturer of taps and mixers in both the bathroom and kitchen markets in Europe, whereas, the majority of kitchen production of NOBILI remains anchored in the OEM type; however, its expansion into foreign markets has consolidated its leading position in the Italian domestic market.

Kitchen taps and mixers are an exception within the product range covered by this research, in that they are generally manufactured by companies specialising in the bathroom sector and can often be sold in combination with kitchen products. A further example of players whose core business is centred on products different to taps and mixers is that of several kitchen manufacturers within the 'others' category, namely APELL and KWC – which are among the major players within the kitchen sinks market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

As in all kitchen and bathroom product markets, projections for 2020 indicate a sharp drop in sales. Sales prospects for 2021 are also negative, due to the ongoing effects of the COVID-19 crisis. Sales will be negatively affected by the expected drop in new housing construction, as well as by the delayed RMI works, with RMI sales expected to drop at a faster rate than new housing installations.

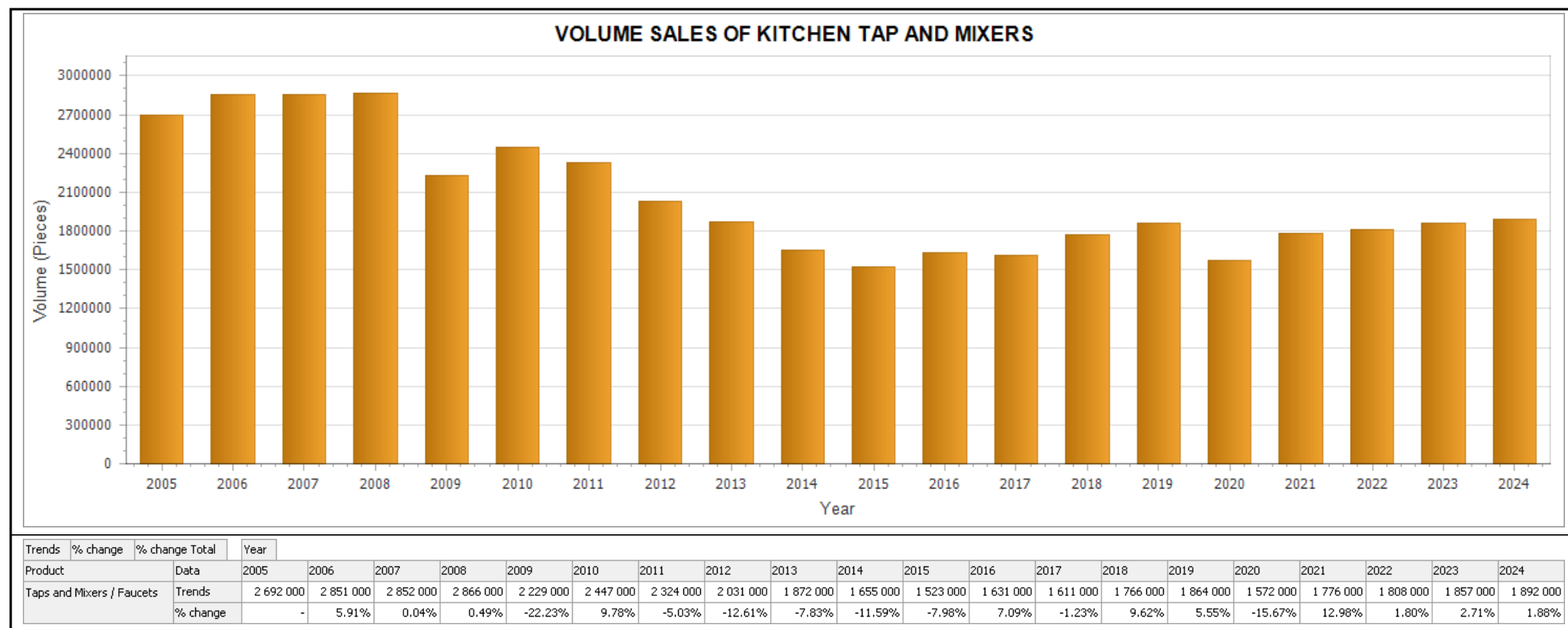
Due to the degree of activity of repair and upgrades in the kitchen being higher than in the bathroom, it confirms the ongoing general trend that the kitchen taps market performs better than the bathroom one in terms of RMI demand.

Replacement sales should begin to recover following the COVID-19 crisis, and to a lesser extent will be joined by the expansion of demand from new housing, as completions are expected to resume growth from 2021. The market could however experience a further slowdown in sales growth, as households may opt to save money in line with the expected drop in purchasing power. All projections will depend on how fast the Italian economy will recover for the international sanitary crisis.

The development of the distribution chain within the kitchen taps market is likely to be a strong trend towards the DIY channel, increasingly in favour of the internet sector. The reluctance of the leaders within the kitchen taps market to expand their presence in the e-commerce platforms will likely be overcome with the adoption of new market strategies – to facilitate the access to such a channel for professionals and end-use consumers.

9.2 Historical Trends and Forecasts : Kitchen TM

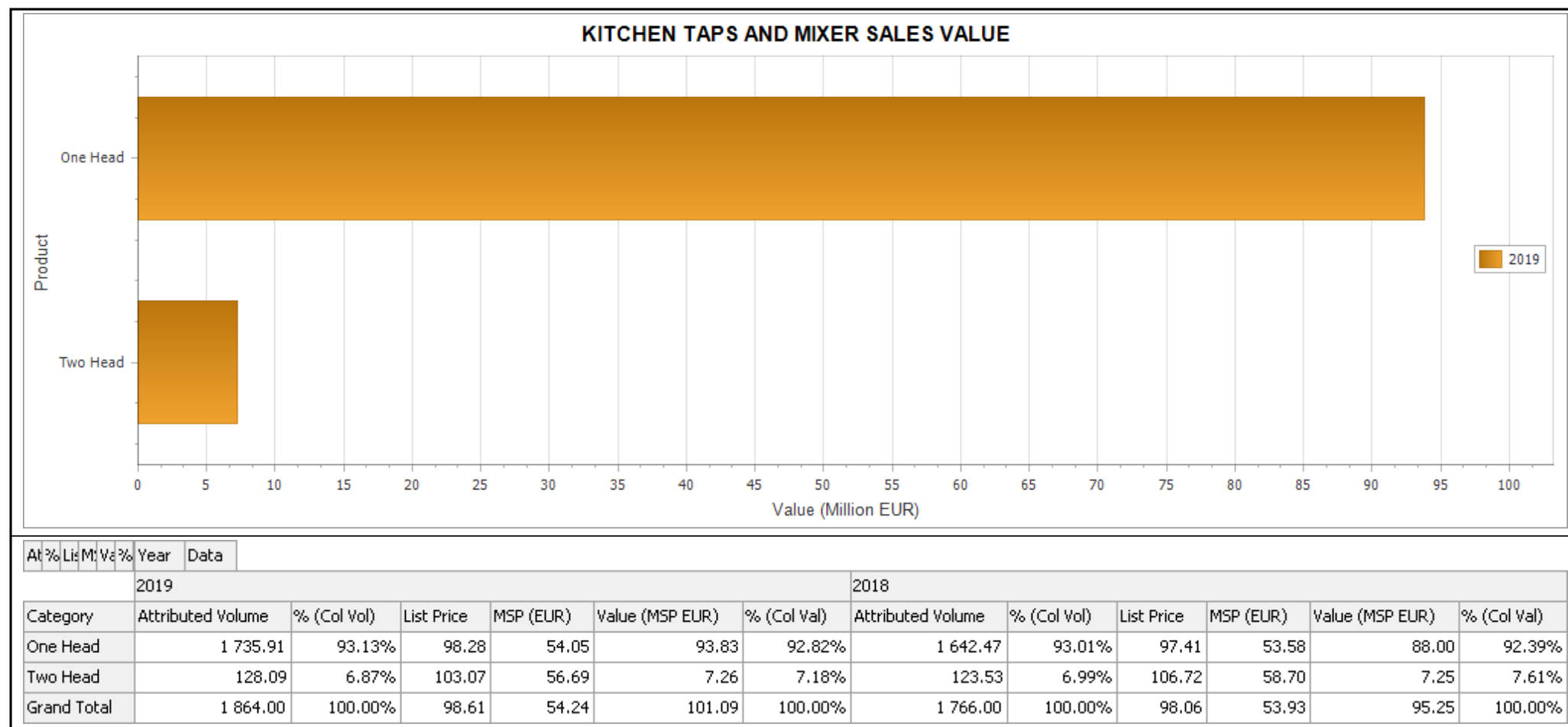
IT - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

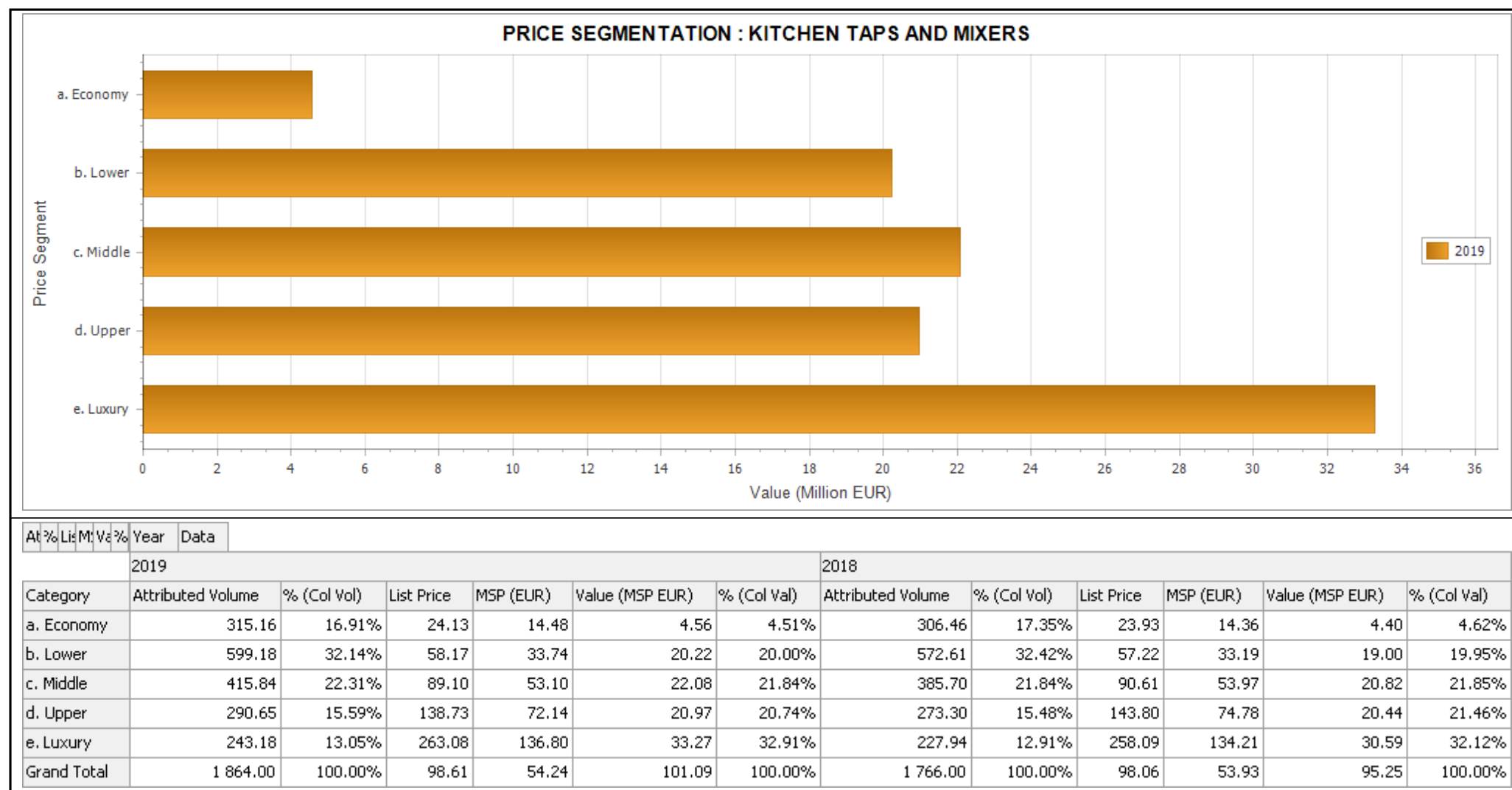
IT - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

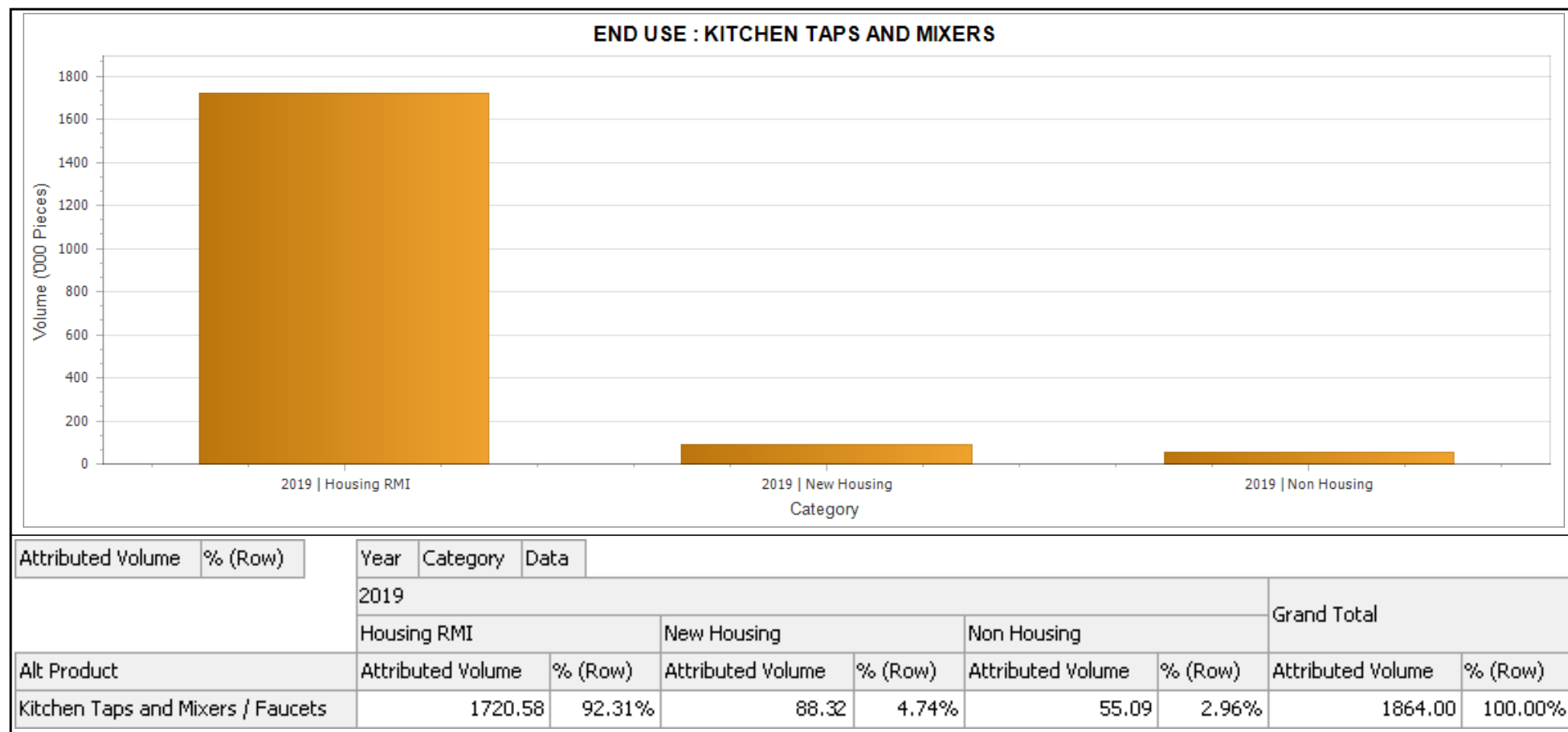
IT - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

9.4.1 End Use : Base Year

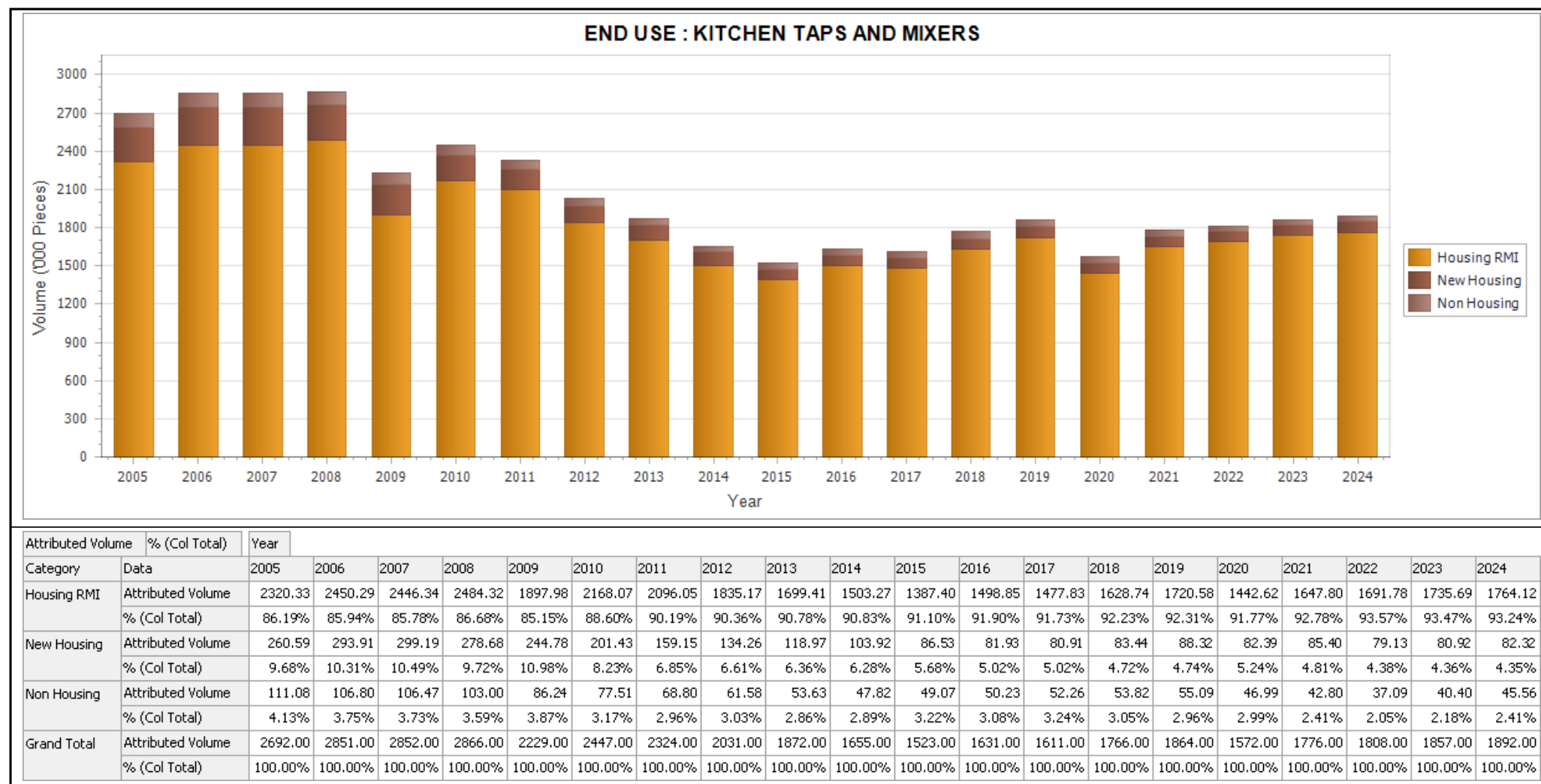
IT - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

IT - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

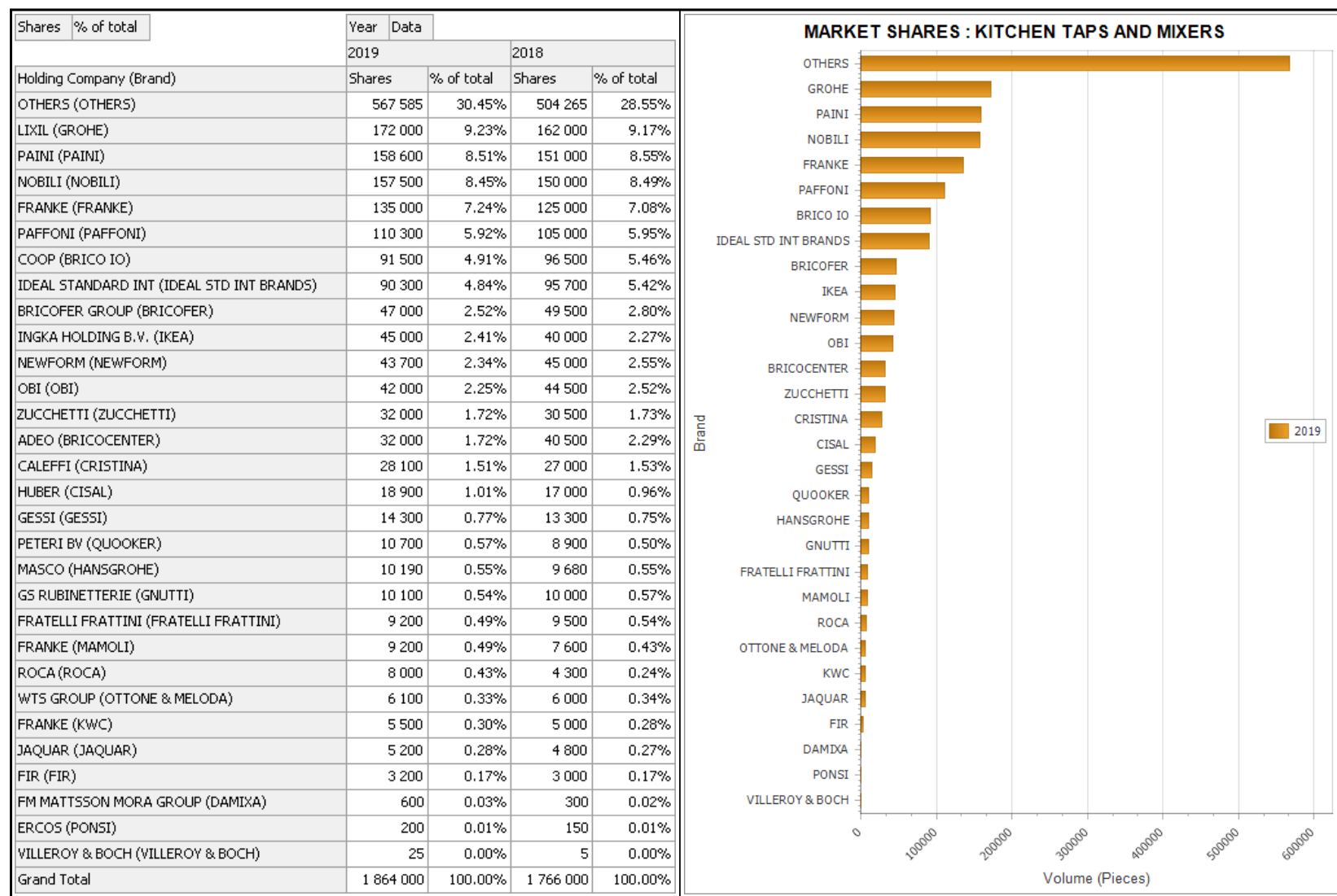


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

IT - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	67.3%				
	Wholesalers / Merchants				
	67.3%				
Retail Level	Manufacturer		Wholesaler		
	2.4%		4.3%		
	Internet Retailers				
	6.7%				
	Manufacturer		Wholesaler		
	15.0%		6.4%		
	DIY Retailers				
	21.5%				
	Manufacturer		Wholesaler		
	11.9%		31.2%		
Specialist Retailers					
43.1%					
</					

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	68.8%				
	Wholesalers / Merchants				
	68.8%				
Retail Level	Manufacturer		Wholesaler		
	2.8%		5.1%		
	Internet Retailers				
	7.9%				
	Manufacturer		Wholesaler		
	14.8%		6.2%		
	DIY Retailers				
	21.0%				
	Manufacturer		Wholesaler		
	10.8%		31.4%		
	Specialist Retailers				
	42.2%				
</					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

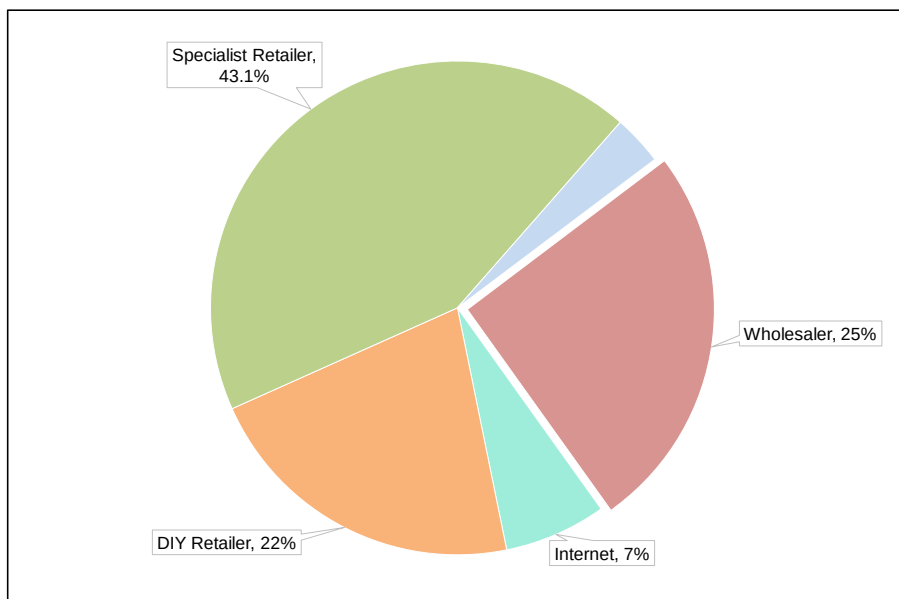
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.4%	6.7%	21.5%	43.1%	3.3%	6.9%	1.3%	90.2%	1.7%
100%					8.1%		91.9%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

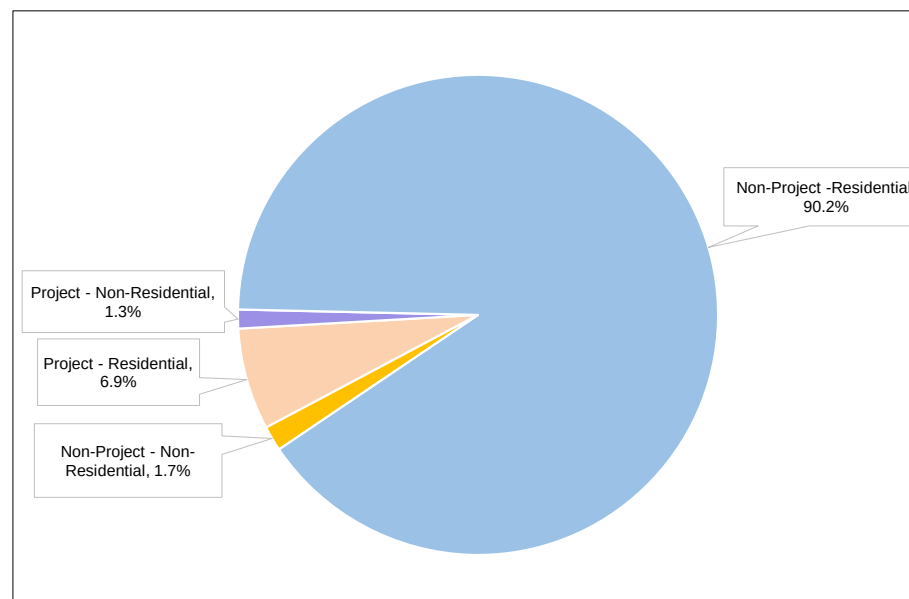
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.1%	7.9%	21.0%	42.2%	2.8%	6.8%	1.0%	90.8%	1.4%
100%					7.8%		92.2%	

IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



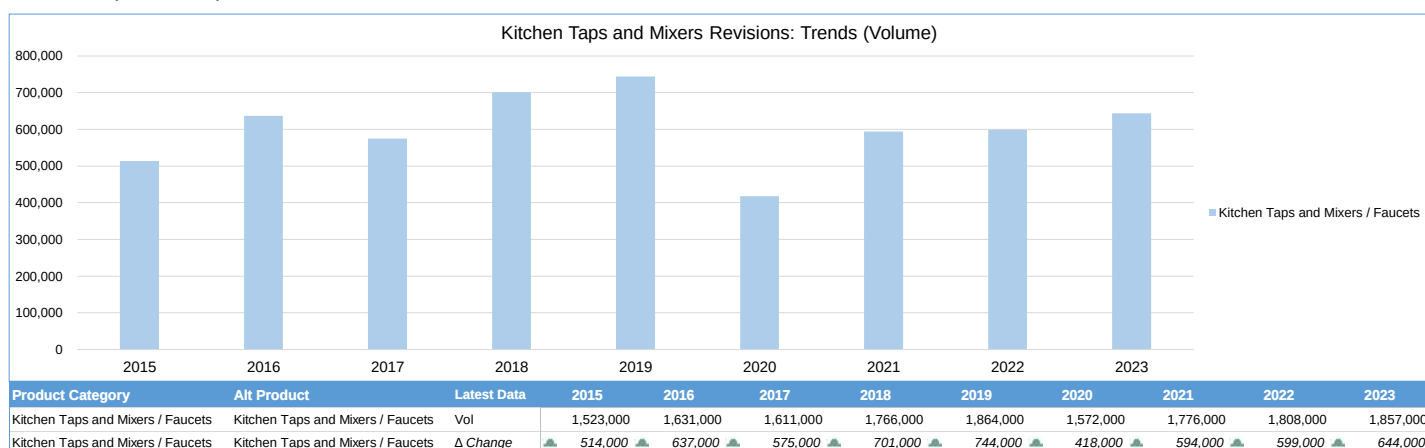
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Italian Kitchen Taps and Mixers Market (April 2020)

IT - REVISIONS IN THE ITALIAN KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



BRG has made significant revision to the market size for taps and mixers, including all types, in Italy due a number of reasons:

- As with ceramic sanitary ware, the Italian tap and mixer market has seen an influx of cheaper imports from China, which has had a strong impact on the sales of domestic manufacturers. These imports, together with imports from other European countries such as Spain, France, Poland and Portugal, had previously been underestimated. That being said, unlike ceramic sanitary ware, the share of domestic manufacturers has not declined that strongly over the last decade since the Italian tap and mixer market has always relied more on imports than that of ceramic.

- According to industry sources, Chinese sourced products had also been underestimated in previous years. These are largely sold through DIY stores, as well as other type of smaller format hardware stores. Many of the DIY retailers are increasingly offering their own brands ('private label'), including OBI, LEROY MERLIN, BRICOCENTER and BRICO OI. For example, around 35% of OBI's taps and mixer offer consists of its own OBI range and 26% of LEROY MERLIN's product range (the SENSEA range of bathroom fittings) and the other DIY stores are also believed to have a wide range of private label. Many well-known Italian fitting brands, such as PAFFONI, ZUCHETTI and PAINI, are not even available to purchase in most Italian DIY stores.

- The growing importance of cheaper imports can also be linked to the fact that the Italian DIY market developed at a significant later stage when compared to other European markets. According to industry experts this is linked to geographical characteristics of Italy, with its long and narrow shape, combined with the economic difference between the north and the south of the country. As previously mentioned, DIY stores account for the sale of the vast majority of Chinese imported products in Italy. The expansion of the Italian DIY sector accelerated in the 2000s many international chains opened stores in the Italian peninsula. The rapid growth of DIY in recent times, and therefore sales of taps and mixers, comes as a direct result of consumer demand to have a greater choice of products within a wider price range, particularly as the financial crisis has encouraged many consumers to minimise budgets by choosing more low-end products and possibly install the products themselves, whereas previously they would have relied on an installer.

- The replacement ratio of taps and mixers when compared to sales of the actual application (e.g. baths, basins or kitchens) was also previously too low in Italy, meaning that the estimate of like-for-like replacement sales was not high enough. The lifespan of the actual application can vary quite a bit, from 15-20 years for a washbasin and/ or bidet and from 20-30 years for a bath and/or a kitchen sink, whereas the lifespan of a mixer is a lot shorter. During the lifespan of the application, the mixer is probably replaced between two to four times depending on the product involved.

Following revisions made to the supply structure, by adding a number of new players including DIY's private label brands, minor upward revisions were made to the MSP for all types of taps and mixers sold on the Italian market.